GREEN CLIMATE FUND

Meeting of the Board
17 – 20 February 2025
Songdo, Incheon, Republic of Korea
Provisional agenda item 11

GCF/B.41/02/Add.11

27 January 2025

Consideration of funding proposals – Addendum XI

Funding proposal package for FP263

Summary

This addendum contains the following seven parts:

a) A funding proposal summary titled "Mirova Sustainable Land Fund 2" by MIROVA;
b) No-objection letter(s) issued by the national designated authority(ies) or focal point(s);
c) Environmental and Social report(s) disclosure;
d) Secretariat's assessment of the Project-specific Assessment Approach (PSAA) Applicant;
e) Independent Technical Advisory Panel's assessment;
f) Response from the accredited entity to the independent Technical Advisory Panel's assessment; and
g) Gender documentation of the funding proposal.

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Funding Proposal

Programme title:	Mirova Sustainable Land Fund 2 (MSLF2)
Country(ies):	Costa Rica; Côte d'Ivoire; Ghana; Malaysia; Morocco; Peru; The Philippines
Accredited Entity:	Mirova
Date of first submission:	*2024/05/02*
Date of current submission	*2025/01/17*
Version number	*[V.2]*

GREEN CLIMATE FUND

A

Contents

Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the GCF Information Disclosure Policy, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"

A. PROJECT/PROGRAMME SUMMARY

A.1. Project or programme	Programme	**A.2. Public or private sector**	Private
A.3. Request for Proposals (RFP)	*If the funding proposal is being submitted in response to a specific GCF Request for Proposals, indicate which RFP it is targeted for. Please note that there is a separate template for the Simplified Approval Process and REDD+.* Not applicable		

A.4. Result area(s)

*Check the applicable GCF result area(s) that the overall proposed project/programme targets below. For each checked result area(s), indicate the estimated percentage of **GCF and Co-financers' contribution** devoted to it. The total of the percentages when summed should be 100% for GCF and Co-financers' contribution respectively.*

	GCF contribution	Co-financers' contribution[1]
Mitigation total	Enter number %	Enter number %
☐ Energy generation and access	Enter number %	Enter number %
☐ Low-emission transport	Enter number %	Enter number %
☐ Buildings, cities, industries and appliances	Enter number %	Enter number %
☒ Forestry and land use	40 %	40 %
Adaptation total	Enter number %	Enter number %
☐ Most vulnerable people and communities	Enter number %	Enter number %
☒ Health and well-being, and food and water security	30 %	30 %
☐ Infrastructure and built environment	Enter number %	Enter number %
☒ Ecosystems and ecosystem services	30 %	30 %

A.5. Expected mitigation outcome[2] *(Core indicator 1: GHG emissions reduced, avoided or removed / sequestered)*	*Indicate greenhouse gas (GHG) emission reductions or removals in tCO2eq over total lifespan of the project/programme[3]* 17.2 $MtCO_2e$	**A.6. Expected adaptation outcome** *(Core indicator 2: direct and indirect beneficiaries reached)*	63,000 direct beneficiaries	
			63,000direct	*251,000 indirect*
			0.00219%	*0.087%*
A.7. Total financing (GCF + co-finance[4])	363 million Euros	**A.9. Project size**	Large (Over USD 250 million)	
A.8. Total GCF funding requested	75 million Euros			

A.10. Financial instrument(s) requested for the GCF funding	*Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8.* ☒ Grant EUR 5 million ☐ Loan Enter number ☐ Guarantee Enter number ☒ Equity EUR 70 million ☐ Results-based payment Enter number

A.11. Implementation period	12 years	**A.12. Total lifespan**	*Indicate the maximum number of years over which the outcomes of the investment are expected to be effective, i.e. to lead to adaptation and/or mitigation results.* 20 years for agroforestry/forestry projects

[1] Co-financer's contribution means the financial resources required, whether Public Finance or Private Finance, in addition to the GCF contribution (i.e. GCF financial resources requested by the Accredited Entity) to implement the project or programme described in the funding proposal.

[2] These impact figures are only related to the portion of the fund that will be invested in GCF eligible/ NOL countries.

[3] The total lifespan of the project/programme is defined as the maximum number of years over which the outcomes of the investment are expected to be effective. This is different from the project/programme implementation period.

[4] Refer to the Policy of Co-financing of the GCF.

A.13. Expected date of AE internal approval	*This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/ programme, if available.* 12/2/2024	**A.14. ESS category**	*Refer to the AE's safeguard policy and GCF ESS Standards to assess your FP category.* I-2
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	**A.16. Has Readiness or PPF support been used to prepare this FP?**	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	NOT APPLICABLE Yes ☐ No ☐	**A.18. Is this FP included in the country programme?**	Yes ☐ No ☒
A.19. Complementarity and coherence	*Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.* Yes ☒ No ☐ MSLF2 leverages on the success of the Land Degradation Neutrality Fund (LDNF) to support companies in the AFOLU sector that have positive climate adaptation and mitigation impacts. The LDNF was initiated by the UNCCD, managed by Mirova, and funded by other private and public investors. The LDNF TA Facility was supported by a grant from the Global Environment Facility (GEF). In addition to the LDN Fund, Mirova has identified several institutions that are investing in natural capital projects in similar regions and countries to those targeted by MSLF2 (see Table 7). Appendix 1.7 of the Feasibility Study (Annex 2) provides an analysis of MSLF2 complementarity and coherence with other projects and programmes in each of the target countries.		
A.20. Executing Entity information	*If not the Accredited Entity, please indicate the full legal name of the Executing Entity(ies) and provide its country of registration and ownership type. Note that there can be more than one Executing Entity. Also indicate if an Executing Entity is the National Designated Authority. Refer to the definition of Executing Entity in the Accreditation Master Agreement.* Mirova will be the Accredited Entity for the programme under the Project Specific Assessment Approach (PSAA) modality. Mirova will act as Executing Entity for Component 1. Mirova will fundraise and deploy an investment vehicle under the laws of Luxembourg named the Mirova Sustainable Land Fund II (MSLF2). Mirova will partner with a Technical Assistance Manager which will act as Executing Entity for Component 2.		
A.21. Executive summary (max. 750 words, approximately 1.5 pages)			

Climate change problem

1. There are close causal links between climate change and both forest loss (including deforestation and forest degradation) and land degradation. Climate-related hazards are already driving both issues today, with **projected changes in frequency and intensity of climate related weather events expected to accelerate rates of forest loss and land degradation** in the future.
2. Forest loss and land degradation are both major sources of greenhouse gas emissions. **The agriculture, forestry, and other land use (AFOLU) sector is the second largest source of greenhouse gas emissions after the energy sector – accounting for around 25% of global emissions**. About half of these (5-10 gigatonnesCO2e annually) comes from deforestation and forest degradation.
3. Unsustainable agricultural production practices are a key driver of both forest loss and land degradation. Current global food production systems have a series of negative impacts on climate and natural systems. Reversing these trends by promoting sustainable forestry and agriculture practices are key to reverse land degradation, improve climate resilience for producers, and tackle climate change through carbon sequestration in soils, trees and forests.
4. In addition to impact on GHG emissions, forest loss and land degradation both have negative environmental impacts (including biodiversity loss and reduced availability and quality of water), and socio-economic impacts (including livelihoods, food and water security, and health).
5. There is an urgent need to scale investment in Sustainable Land Management practices. Estimated climate finance needs for agri-food systems range from USD 212 billion[5] – USD 1.3 trillion[6] annually until 2030. Public budgets are insufficient to meet these needs, particularly in developing countries. The private sector will need to play a significant role in bridging this gap, however due to high perceived (or actual) risks, current levels of private investment remain well below the amounts required.

Proposed interventions

6. The Mirova Sustainable Land Fund 2 (MSLF2) targets investment in 7 countries across Africa, Asia, and Latin America, namely: Costa Rica; Côte d'Ivoire; Ghana; Malaysia; Morocco; Peru and The Philippines. Component 1 focuses on the establishment of the scalable investment vehicle and deployment of capital to target companies. Component 2 provides Technical Assistance to make companies investment-ready, support implementation of sustainable practices beyond standards, and enhance delivery and reporting on the environmental and social impact of MSLF2 investments (on climate mitigation/adaptation, biodiversity, gender, etc).
7. MSLF2 will scale up private investment in Sustainable Land Management (SLM) practices – including in sustainable forestry (anticipated 40% of total fund value) and regenerative agriculture including agroforestry (anticipated 60% of total fund value). The fund has a strong gender focus and is aligned with the “2X” gender inclusion targets at both the fund and investee project level.
8. Concessional financing from the GCF in the MSLF2 program will play an essential role in de-risking private investors and crowding in co-finance at scale to deliver climate, environmental and social benefits in developing countries.
9. The MSLF2 strategy for sustainability, replicability and scale-up involves reducing the perceived and actual risk of these investments, and strengthening linkages between investee companies and supply chain buyers that prioritize sustainable sourcing. By promoting multiple sustainable certification labels (such as the Rainforest Alliance and FSC) the MSLF2 stimulates positive feedback loops that make sustainable production a viable and attractive option, de-risks producer businesses and helps them provide returns for owners, investors, employees and their communities.

Climate results/benefits

10. **Mitigation impact**: The MSLF2 program contributes to the mitigation results area on “Forestry and land use”. Over the lifetime of the fund, the expected mitigation impact is approximately 17.2 $MtCO_2e$ in NOL countries. For details on the mitigation impact methodology, please see Annex 22.
11. **Adaptation impact**: The MSLF2 program contributes to GCF adaptation results areas on “Health, well-being, food and water security”; and “Ecosystems and ecosystem services”. The program is expected to yield the following adaptation metrics.
    i. 63,000 direct beneficiaries and 251,000 indirect beneficiaries with enhanced resilience to climate change impacts (see Annex 23 for details);
    ii. 105,000 hectares of natural resources brought under improved low-emission and/or climate-resilient practice.

[5] Food and Land Use Coalition (FOLU), 2019. Growing Better: Ten Critical Transitions to Transform Food and Land Use. Available at: https://www.foodandlandusecoalition.org/ wp-content/uploads/2019/09/FOLU-GrowingBetter-GlobalReport.pdf

[6] Thornton, et al. (2023). What it might cost to reconfigure Food Systems? Global Food Security, Volume 36, 2023,100669, ISSN 2211-9124. Available at: https://doi.org/10.1016/j.gfs.2022.100669

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

Importance of land and forest resources for human well-being

12. Land and forests are critical to human livelihoods and ecological balance. According to the FAO, as of 2019, around 1.23 billion people were employed in the world's agrifood systems, and more than three times that figure, or almost half the world's population, live in households linked to agrifood systems. Of the 3.83 billion people reliant on agrifood systems for their livelihoods, 2.36 billion live in Asia and 940 million in Africa.[7]
13. Land and forest resources are under increasing pressure from both climate change and human activities. Deforestation, urbanization, industrial development, agricultural expansion and unsustainable farming practices undermine the ability of the planet to sustain food production, maintain freshwater and forest resources, and regulate the climate and air quality.
14. Almost 2 billion hectares of land are classified as degraded. This area, home to 1.5 billion people, represents approximately 40% of the planet's agricultural land. Every year 12 million hectares of land are degraded, and 24 billion tonnes of fertile soil are lost due to erosion. According to UNCCD, if business as usual continued through 2050 this would result in additional degradation to an area close to the size of South America[8].

15. Forest degradation accounts for over 70% or 15 million hectares (ha) of annual forest loss. The other 30% of lost forests are permanently deforested[9]. Forests cover 31% of the Earth's land surface (4.06 billion ha) but the area is shrinking, with 420 million ha of forest lost through deforestation between 1990 and 2020. The rate of deforestation is declining but was still 10 million ha per year in 2015–2020[10].
16. The IPBES assessment report on Land Degradation reveals that unsustainable land management practices driven by human activities have resulted in severe land degradation with almost 75% of the Earth's land area significantly altered by human actions, underscoring the urgency to address this crisis[11]. Furthermore, figures from the IPCC report indicate that land degradation reduces the productivity of 23% of the global land surface, adversely impacting livelihoods and food security. Around 25% of the Earth's ice-free land is subject to human-induced degradation, with Agriculture, Forestry and Other Land Use (AFOLU) activities are a major contributor of land degradation, responsible of 23% of global CO_2 emission in 2019[12].
17. The economic impact of land degradation is enormous. 3.83 billion people rely on agrifood systems for their livelihoods, among which 2.36 bn live in Asia and 940 million in Africa (Almost half the world's population lives in households linked to agrifood systems, FAO, 2023)[13]. Without healthy ecosystems, those reliant on forests and agriculture could face significant livelihood insecurity:
    - Food security: over the next 25 years, land degradation could reduce global food production by as much as 12%, leading to a 30% increase in world food prices and reducing food security for vulnerable people. In the meantime, the demand for food is expected to rise by 45% between 2015 and 2050 and will have to be met by further intensification and expansion of agricultural land, resulting in the further loss of 3 million hectares of natural areas mainly in sub-Saharan Africa and Latin America.
    - Poverty: 50% of the world's population is directly affected by land degradation in areas where people rely on agricultural activities trapped in a downward spiral of productivity reduction. According to the FAO 2022 State of Food Security in the World, only 1.7% of global climate finance is reaching small-scale producers so far, whom income revenue is highly impacted by soil productivity decline[14].

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[7] FAO (2023), Almost half the world's population lives in households linked to agrifood systems. Available at :https://www.fao.org/newsroom/detail/almost-half-the-world-s-population-lives-in-households-linked-to-agrifood-systems/en#:~:text=Of%20the%203.83%20billion%20people,of%20employed%20in%20agrifood%20systems
[8] UNCCD (2022), Global Land Outlook – Second Edition
[9] Global Environment Facility (2023), Land Degradation
[10] FAO (2022), The State of the World's Forests 2022
[11] IPBES (2018): The IPBES assessment report on land degradation and restoration. Montanarella, L., Scholes, R., and Brainich, A. (eds.). Secretariat of the Intergovernmental Science-Policy Platform on Biodiversity and Ecosystem Services, Bonn, Germany. 744 pages.https://doi.org/10.5281/zenodo.3237392
[12] IPCC (2019), Climate Change and Land: an IPCC special report on climate change, desertification, land degradation, sustainable land management, food security, and greenhouse gas fluxes in terrestrial ecosystems
[13] FAO (2023), Almost half the world's population lives in households linked to agrifood systems. Available at :https://www.fao.org/newsroom/detail/almost-half-the-world-s-population-lives-in-households-linked-to-agrifood-systems/en#:~:text=Of%20the%203.83%20billion%20people,of%20employed%20in%20agrifood%20systems
[14] FAO (2022), The State of Food Security and Nutrition in the World 2022. Repurposing food and agricultural policies to make healthy diets more affordable

Link between climate change and land management/forest resources

18. Climate change and land use are closely interconnected. Land use change and inadequate land management contribute to climate change by releasing stored carbon and reducing the land's ability to sequester CO_2. At the same time, the IPCC's Special Report on Climate and Land notes that: "land degradation affects people and ecosystems throughout the planet and is both affected by climate change and contributes to it". The IPCC projects (with high confidence) that "climate change can exacerbate land degradation through increases in rainfall intensity, flooding, drought frequency and severity, heat stress, pests and diseases" leading to further land decline.[15]
19. "Changes in land conditions from human use or climate change in turn affect regional and global climate (high confidence). On the global scale, this is driven by changes in emissions or removals of CO_2, CH_4 and N_2O by land (biogeochemical effects) and by changes in the surface albedo (very high confidence)"[16]. The linkages between land degradation, climate change, and biodiversity loss are summarized in Figure 2 (below).

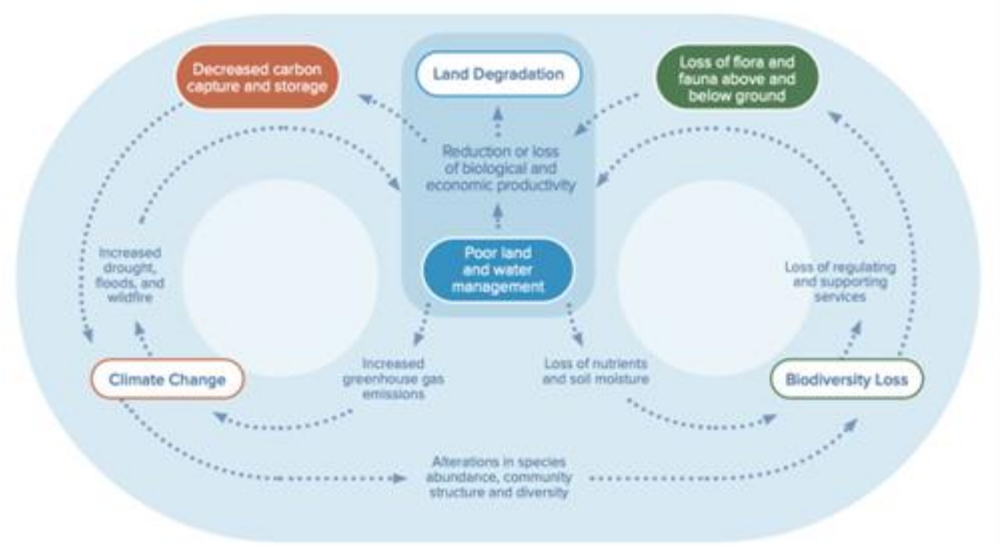


Figure 1 Feedback loops between land degradation, climate change, and biodiversity loss

20. The interconnection between climate change and land degradation might have a wide range of impacts across the world, which vary depending on local and regional context. Table 1 below illustrates this link through one example:

Region	Country profile
Africa	**Morocco** is highly vulnerable to climate variability and change. Climate and socio-economic environments in semi-arid areas in Morocco makes communities vulnerable to food insecurity and unstable livelihoods as well as leads to unsustainable agroecological systems, crop failure, and unproductive rangelands.[17] <u>Climate change affecting land degradation</u> Climate change can intensify land degradation through increased temperatures, reduced precipitation and desertification. For example, prolonged droughts may lead to soil erosion and loss of vegetation cover, exacerbating land degradation. <u>Land degradation affecting Climate change</u> Conversely, sustainable land management practices such as overgrazing and improper irrigation contribute to soil degradation and hinder the land's ability to adapt to climate change. This mutual influence between climate change and land degradation poses challenges for Morocco's agriculture sector and overall ecosystem health. <u>Source</u>: 15725-WB_Morocco Country Profile-WEB.pdf (worldbank.org)

Table 1 Interconnection between climate change and land degradation - selected NOL country

[15] IPCC (2019), Climate Change and Land: an IPCC special report on climate change, desertification, land degradation, sustainable land management, food security, and greenhouse gas fluxes in terrestrial ecosystems
[16] Ibid
17 World Bank (2018). Climate Variability, Drought, and Drought Management in Morocco's Agricultural Sector

Climate trends and impacts

21. The IPCC states (with high to very high confidence) that climate change is exacerbating many land degradation processes[18]. Climate change impacts on land and forests are expected to worsen in the future as temperatures rise and weather patterns change, increasing the frequency, intensity and/or duration of major climate hazards. Figures 3 and 4 (below) indicate increases in the mean average temperature and change in rainfall pattern in a 1.5 °C mean temperature increase scenario.

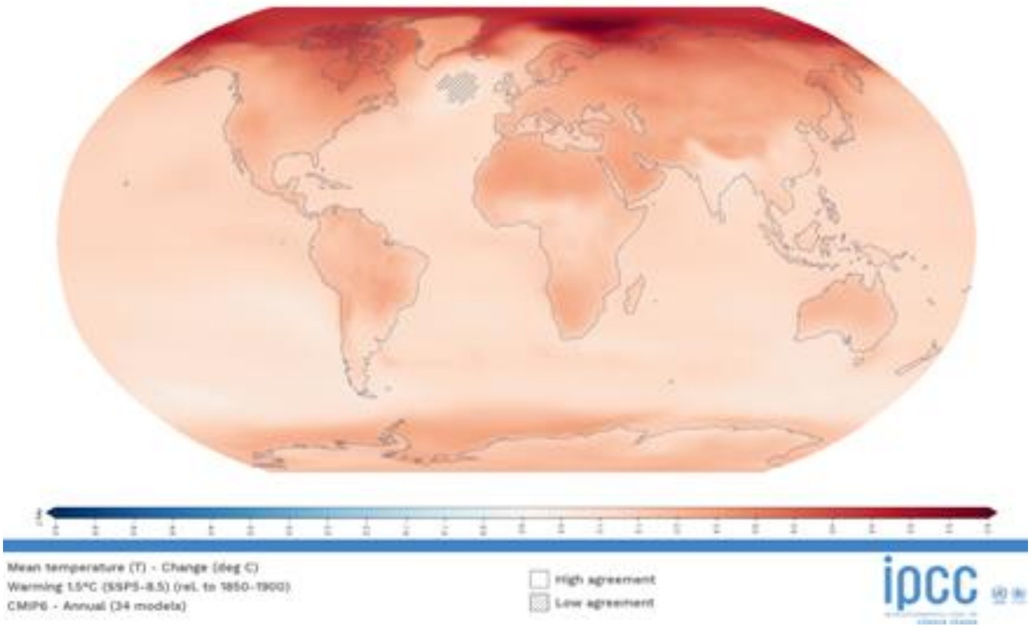


Figure 2 Change in mean maximum temperature in a 1.5°C scenario

Source: IPPC Interactive Atlas

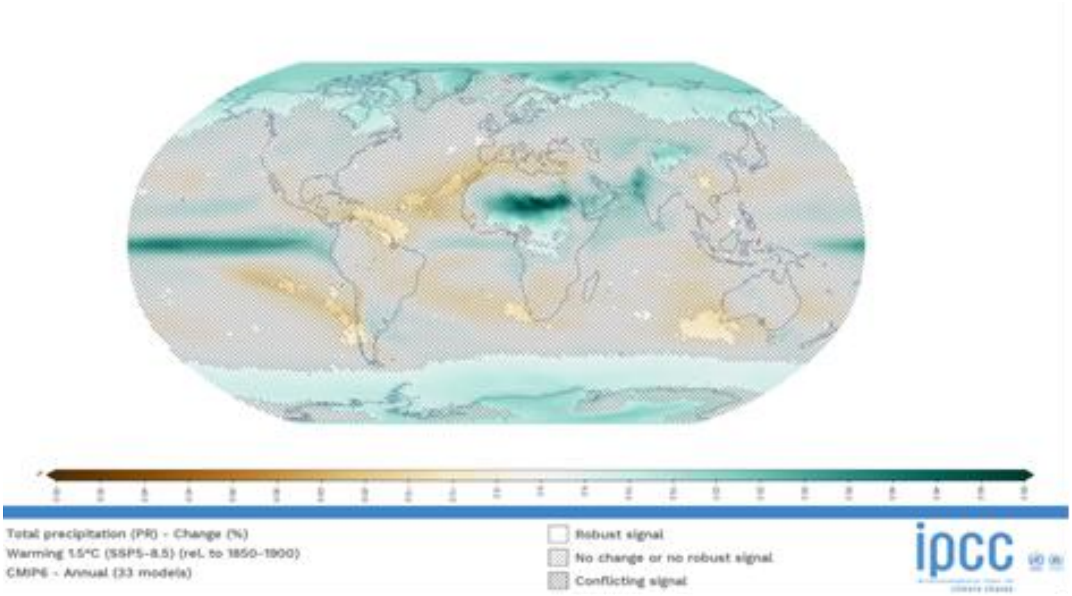


Figure 3 Change in total precipitation in a 1.5°C scenario

[18] IPCC (2019), Climate Change and Land: an IPCC special report on climate change, desertification, land degradation, sustainable land management, food security, and greenhouse gas fluxes in terrestrial ecosystems

22. Table 2 below summarizes the extent of land degradation in each of the MSLF2 target countries, as well as the climate hazards and their contribution to land degradation in the target countries.

Country and degraded land area (ha / %)	Climate related hazards					Contribution to land degradation					
	Drought	Increased temps / heatwaves	Changing rainfall frequency/ intensity	Storms/ cyclones	Sea level rise	Soil erosion/ loss of structure	Landslides	Coastal erosion	Salinization/ saltwater intrusion	Flooding	Wildfires
Costa Rica - 1.62 million ha (32%)	•		•	•	•	•	•	•		•	•
Cote d'Ivoire - 3.78 million ha (11.84%)	•	•	•		•	•		•	•	•	
Ghana - 3.86 million ha (16.65%)	•		•			•				•	
Malaysia - 4.94 million ha (15.52%)	•	•	•	•	•	•	•	•	•	•	
Morocco - 3.58 million ha (5.05%)	•		•		•	•		•		•	
Peru - 10.81 million ha (8.49%)	•	•	•	•	•	•	•	•		•	
The Philippines - 14.26 million ha (49.04%)	•	•	•	•	•	•	•	•	•	•	

Table 2 - Land degradation and climate hazards, by country

23. The specific climate-adaptive responses to these hazards and drivers of degradation are context specific, and will depend on the nature of the hazard, the impacts on different food and fiber products and production techniques, and the adaptive capacity of companies and farmers. MSLF2 increases this capacity and expands the range of climate-adaptive responses available. MSLF2 supports producers to overcome the barriers to climate action (see Table 4 and 5 below) that would otherwise impede a low-carbon and climate resilient response.

Contribution of productive land and forest management to adaptation and mitigation outcomes

24. Sustainable and productive land and forest management can contribute to both adaptation and mitigation outcomes by (i) increasing GHG removals from agroforestry, soils and forested land, and (ii) reducing emissions from forest degradation and loss due to an expanding agricultural frontier or deforestation, while (iii) increasing the resilience of agriculture and forestry, and (iv) improving yields, reducing the variability of agricultural production, and diversifying income (for example, agroforestry with non-timber tree products or crop rotations) for smallholders' farmers. MSLF2 aims to support sustainable land management companies to bolster the long-term resilience of small-scale farmers facing climate change and soil degradation. MSLF2 will support projects employing local and indigenous communities benefiting from additional income through profit-sharing mechanisms or contractual agreements, fostering sustainable development in those regions.
    a) Agriculture plays a role in mitigating climate change by reducing its own contribution to greenhouse gas emissions. MSLF2 will support agroforestry practices and organic farming able to sequester carbon in soils, reduce emissions from fertilizer use and enhance overall carbon storage in agricultural landscapes. Sustainable practices not only fortify soil quality but also contribute to emissions reduction, aligning with IPCC's guidance on mitigating climate impacts
    b) MSLF2 will support resilient agriculture projects with the potential to enhance the sector's ability to withstand and recover from climate-related variations or shocks. This includes measures like drought-resistant crop varieties or agroforestry model.

Adaptation

25. <u>Adaptation gap in the context of forest and land management</u>: According to WRI, there is a USD 300 billion a year shortfall in global funding for ecosystem restoration and conservation.[19] While these measures would not necessarily be solely for adaptation (many of the benefits are cross-cutting), they provide an order or magnitude estimate of the level of investment required. UNDRR reaches a similar conclusion in identifying a global financing gap for adaptation and resilience in developing countries between USD 194-366 billion, "approximately 10-18 times more than current financing flows".[20]
26. Despite the associated adaptation and mitigation benefits, investment in sustainable land management remains a nascent market, especially when used specifically as a tool for climate adaptation. This is particularly true in developing countries, where companies seeking equity and debt investment are classified as high risk or unbankable.

Mitigation

[19] Roots of Prosperity: the Economics and Finance fo Restoring Land, December 2017. World Resources Institute. https://files.wri.org/d8/s3fs-public/roots-of-prosperity-exec-summary-english.pdf
[20] Guide for Adaptation and Resilience Finance, Standard Chartered, KPMG and UNDRR, April 2024, page 8, https://www.undrr.org/media/95342

Contribution of the AFOLU sector to global emissions

27. The IPCC Special Report on Climate Change and Land notes that an estimated 23% of total anthropogenic GHG emissions between 2007-2016 derive from the AFOLU sector.[21] As outlined in Table 3 below, the AFOLU sector is a significant contributor to GHG emissions in the MSLF2 NOL countries.

Country	Estimated AFOLU sector contribution to national emissions	Reference year		Country	Estimated AFOLU sector contribution to national emissions	Reference year
Costa Rica	20.5%[22]	2017		Morocco	22.8%[23]	2016
Côte d'Ivoire	62%[24]	2019		Malaysia	3% AFOLU-Agriculture, negative LULUCF	2019
Ghana	54%	2019[25]		Peru	15.2%[26]	2012
				The Philippines	13.7%[27]	2000

Table 3 Contribution of the AFOLU sector to total GHG emissions in MSLF2 target countries

Barriers to sustainable land management-based adaptation and mitigation

28. In a low-carbon, climate-resilient scenario, agricultural businesses, smallholder farmers and cooperatives, government agencies and other stakeholders would be able to identify climate challenges and invest the time and human, technical and financial resources required to shift to more sustainable production systems that are less vulnerable to climate impacts. Unfortunately, there are multiple interconnected barriers that prevent a spontaneous response. These barriers are summarized below:

Barrier	Interventions to overcome barrier
1. Local financing institutions focus on short term loans/ trade finance, restricting the volume of capital available for longer term sustainable agricultural production investments	The MSLF2 will provide a mix of longer-term loans and equity to local producers to help overcome the financing gap (Output 1.2). Equity is in particularly short supply in most markets and will ensure that Mirova leaves space for local lenders. The LDNF deployment has proven that there is a strong need for patient capital, to finance capex and long-term development of companies operating in the AFOLU sectors. MSLF2 will replicate the same instruments, offering more flexible terms and conditions (such as grace periods or sculpted repayment schedules) and longer maturities that what is already available on the market.
2. Institutional investors perceive a risk / return mismatch for sustainable agricultural and forestry investments	The MSLF2 offers both a financial and technical solution to the risk/return mismatch facing the sector. By mobilizing a junior (“first loss”) tranche of capital with GCF support, MSLF2 will de-risk private investors (Output 1.1), while allowing a more diversified portfolio that includes higher-impact opportunities.- In parallel, MSLF2 will deploy, in cooperation with existing delivery partners a Technical Assistance which will significantly decrease the risk profile for institutional and private investors. MSLF2 replicates the same structure as LDNF, which has proven its ability to attract private mainstream investors. Based on our discussions with such investors, risk perception for investment in emerging countries for the sectors targeted by MSLF2 is still very high and a strong junior protection is required. However, based on LDNF successful track record, the objective is to slightly reduce the junior tranche

[21] IPCC Special Report on Climate Change and Land: Summary for Policymakers, page 8. https://www.ipcc.ch/site/assets/uploads/sites/4/2022/11/SRCCL_SPM.pdf
[22] https://www.fao.org/in-action/enteric-methane/news-and-events/news-detail/costa-rica-s-breakthrough--improving-methane-emission-quantification-in-the-livestock-sector/en#:~:text=Livestock%20plays%20an%20important%20role,to%20enteric%20fermentation%20of%20ruminants.
[23] https://unfccc.int/sites/default/files/resource/tasr2020_MAR.pdf
[24] World Bank (2023), Cote d’Ivoire – Country Climate and Development Report
[25] Ghana’s Fourth National Greenhouse Gas Inventory Report (2019) https://unfccc.int/sites/default/files/resource/gh_nir4_rev_0.pdf
[26] Ministry of Environment Peru, Third National Communication of Peru to the UNFCCC
[27] [27] The Philippines’ Total GHG Emissions Reached 204.33 Teragrams of Carbon Dioxide Equivalent in 2020 (July 9, 2024)

	compared to LDNF. Launching a second vintage fund, with proven processes and an experienced team is a strong advantage to attract institutional and private investors.
3. Difficulty or inability of farmers to access and apply information on climate change adaptation and benefits of sustainable agricultural and forestry production systems.	MSLF2, in cooperation with existing Technical Assistance (TA) providers will offer a menu of capacity building activities, ranging from mobilizing subject matter expertise to improve agronomy practices in accordance with identified localized climate change impacts, to assistance in developing and monitoring project impact, to improving administrative and financial literacy (Output 2.1). To sustain this enhanced capacity over the longer-term, Mirova will partner with an impact enhancement facility to support investees with the assessment, implementation and monitoring of chosen practices resulting in GHG emissions reduction, removals, sequestration, and the delivery of adaptation, gender, social and environmental benefits (Output 2.2). These TA activities are in line with the ones implemented for the LDNF and which have proven their efficiency to facilitate the adaptation of sustainable practices.
4. Gender inequities present obstacles and reduce incentives to investment in sustainable agriculture and forestry	In September 2022, the LDNF Fund pledged to the 2X Global Criteria with the objective of leveraging this unique global network to engage in peer learning and knowledge exchange on practical insights and good practice, and benefit from co-investing and co-financing opportunities. Based on the learnings from the previous fund, the MSLF2 will maintain a similar approach and high commitment to gender equality by tracking the gender responsiveness of each investment and their alignment with 2X Challenge criteria. The MSLF2 Gender Action Plan describes the Fund's approach to mainstreaming gender considerations at Fund and investee level to achieve transformational change.
5. Information gaps and transaction costs limit traceability and hinder the ability of global supply chains buyers to engage with producers in areas at high-risk of deforestation and land degradation.	The MSLF2 aims to target not only producers, but also actors involved in the transformation of agricultural products. The MSLF2 will help increase traceability and enhance the ability of producers to engage with global supply chains buyers who need to comply with climate-focused regulations (Outputs 2.1 and 2.2). MSLF2 will facilitate the certification to standards such as Rainforest Alliance and Fairtrade, and provide advisory services for compliance with national and international laws and regulations (Output 2.1). For some LDNF investments, international sales for agricultural or timber products were low due to a lack of long-term off-take agreements caused by insufficient traceability as well as market price volatility. To remedy this, dedicated support will be provided by the TAF to support developing agricultural or forestry companies comply with internationally recognized standards and certifications, as well as market and import regulations. Mirova has also developed partnerships with major supply chain buyers and certification bodies which expand MSLF2 sourcing of opportunities.

Table 4 Programme-level barrier analysis

29. Table 5 below summarizes the results of Mirova's country level barrier analysis. The results indicate that where data is available, nearly every NOL country experiences most or all of the indicated barriers to adaptation and mitigation in the sustainable land and forest management sector. Please see Annex 2 for more detailed country-level analyses that provide evidence for the barriers facing actors in the MSLF2 target countries. Because MSLF2 is a private sector-focused investment fund, the exact locations of the projects/businesses the fund invests in will be determined during the implementation of the programme. The nature of the barriers is context-specific and likley to vary at sub-national level. A more targeted barrier analysis will form part of the investment screening process for each prospective investment opportunity.

Country	Financial Barrier Short tenors from local finance providers	Financial Barrier: Risk/return mismatch for institutional investors	Technical/information Barrier: information on climate adaptation and SLM	Gender Barrier: Inequitable access	Market Barrier: Information gaps and transaction costs for supply chain traceability
Costa Rica	•	No data	•	•	•
Cote d'Ivoire	•	•	•	•	•
Ghana	•	No data	•	•	•
Malaysia	No data	No data	•	•	•
Morocco	•	•	•	•	•
Peru	No data	No data	•	•	•
The Philippines	•	•	•	•	•
COUNT	5	3	7	7	7

Table 5 Summary of country-level barrier analysis (Source: Mirova)

30. MSLF2 is a private sector-focused investment fund and therefore the exact locations of the projects/businesses the fund invests in will be determined during the implementation phase. Given the context-specific nature of the barriers, which are likely to vary at national or sub-national level, MSLF2 will specifically target investments where there is a need and opportunity to address these types of barriers to climate action in the AFOLU sector. A more targeted barrier analysis will be undertaken during the investment screening process for each prospective investment opportunity.

Mirova's experience with the Land Degradation Neutrality Fund

31. The design of MSLF2 is directly informed by Mirova's successful experience and track record with the Land Degradation Neutrality Fund (LDNF). In 2018 Mirova launched LDNF, a first-of-its kind impact investment fund that invests in profit-generating sustainable land use and ecosystem restoration projects in developing countries. The LDN Fund provides long-term financing (debt/equity) for sustainable land use projects that reduce or reverse land degradation, mostly in the field of sustainable agriculture and forestry. It targets positive impacts in terms of climate, biodiversity, fights against poverty and promotes gender equality.
32. The LDNF employs a layered structure, leveraging public money to increase private sector investment in sustainable development. The final size of the LDNF reached USD 208 million, with more than 60% of total commitment coming from private institutional investors. The LDN Fund has supported land restoration projects and programmes by investing in 13 business (across 14 emerging and developing countries) and has provided innovative solutions to address the critical issue of land degradation and climate change. A "test-and-learn" approach and continuous improvement have been applied to the deployment of the fund.
33. As of 2023, approximately 100,000 people (male and female) had directly benefitted from seven investments involving smallholder farmers, and the LDN had resulted in 9.5 MtCO2e in GHG removals (please see Annex 22 for details on Mirova's GHG calculation methodology for LDN and MSLF2 and Annex 23 for the beneficiary calculation methodology).
34. Mirova will apply lessons learned and best practices from the LDN Fund to the design and implementation of MSLF2.

Contribution to national climate plans and strategies

MSLF2 supports countries to achieve their climate mitigation and adaptation objectives in the AFOLU sector. Appendix 1.6 of Annex 2 – Feasibility Study details the MSLF2's alignment with national climate and sectoral policy frameworks and regulations for each of the 7 target countries. This in-depth analysis includes the programme's contribution to individual GCF Country Programmes as applicable, and contribution to targets key mitigation and adaptation tools such as Nationally Determined Contributions (NDCs) and National Adaptation Plans and Plans of Action (NAPs/NAPAs).

Country	Thematic alignment with NDCs	Thematic alignment with NAP/ NAPA	Thematic alignment with REDD+ Strategy	Thematic alignment with GCF Country Program
Costa Rica	•	•	•	TBC
Cote d'Ivoire	•	•	•	TBC
Ghana	•	•	•	TBC
Malaysia	•	•	•	TBC
Morocco	•	•	TBC	TBC
Peru	•	•	•	TBC
The Philippines	•	TBC	•	•

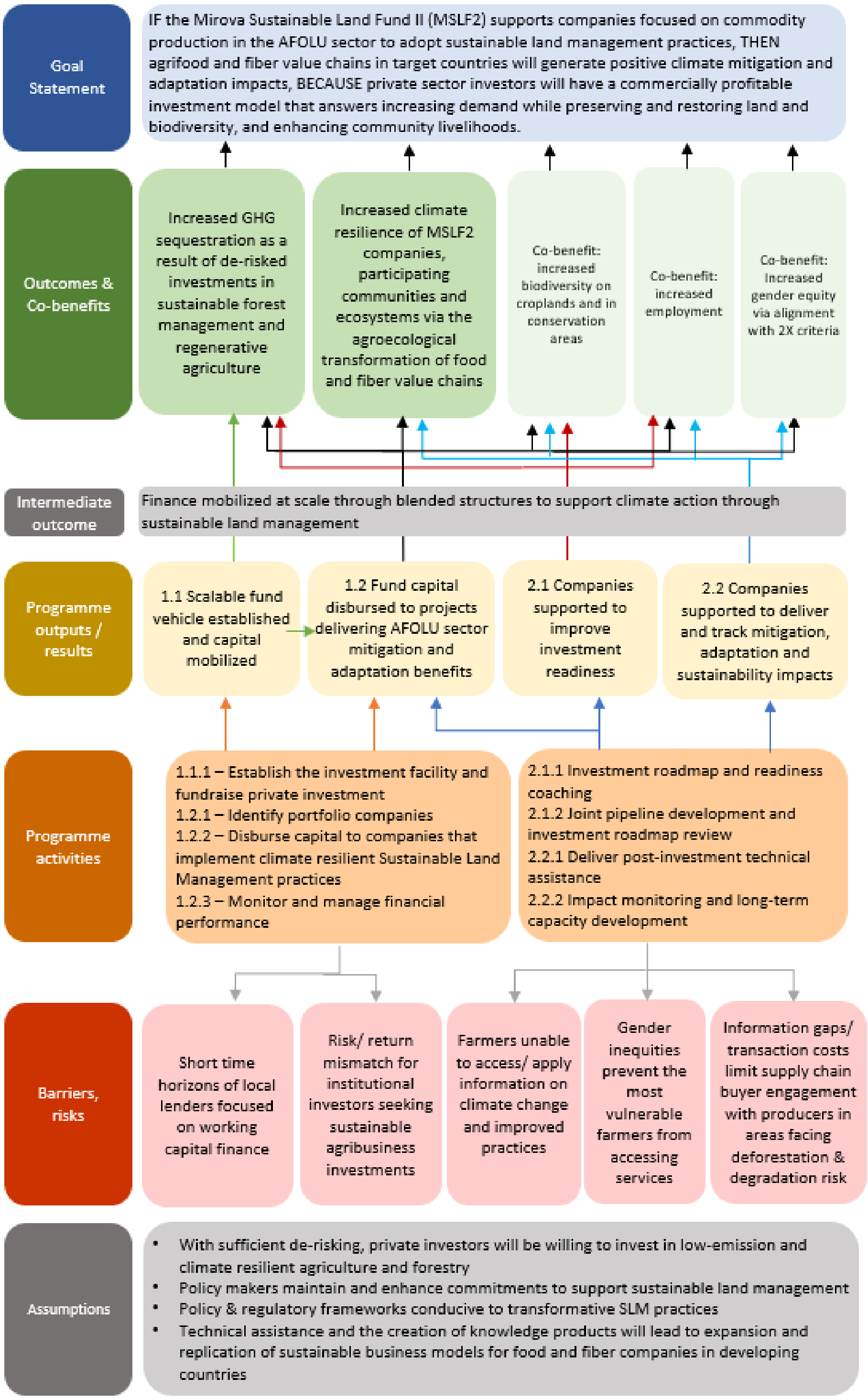
Table 6 Alignment with national climate plans and strategies

B.2 (a). Theory of change narrative and diagram (max. 1500 words, approximately 3 pages plus diagram)

35. The Theory of Change for the MSLF2 describes the causal linkages between the proposed activities as described above, the expected results and the ultimate climate-related goals of the programme. The theory of change is reflected in the programme's logical framework, presented in Section E of the funding proposal. The goal statement for the programme's Theory of Change reads as follows: **"IF the Mirova Sustainable Land Fund II (MSLF2) supports companies focused on food and fiber production in the AFOLU sector to adopt sustainable land management practices, THEN agrifood and fiber value chains in target countries will generate positive climate mitigation and adaptation impacts, BECAUSE private sector investors will have a commercially profitable investment model that answers increasing demand while preserving and restoring land and biodiversity, and enhancing community livelihoods."**
36. The Theory of Change identifies multiple barriers to the adoption of SLM practices, namely financial barriers affecting local finance providers and international investment institutions, technical and knowledge barriers hindering adoption of SLM practices by national stakeholders, and information barriers that restrict access to markets for sustainable products from regions threatened by deforestation and land and forest degradation. The programme delivers a package of activities aimed at:
    - establishing the investment facility,
    - fundraising and identifying investment prospects,
    - disbursing patient capital to companies operating in the AFOLU sector that clear due diligence,
    - facilitating Technical Assistance (TA) to make companies engaged in SLM activities more "bankable" to MSLF2 and other investors, and
    - providing support to enhance the climate and sustainability impact of target companies, generate knowledge and build communities of practice.
37. These activity packages will result in four tangible programme outputs linked to the successful performance of the activities during the implementation period: (a) the establishment and closing of the scalable fund vehicle, (b) the disbursement via the investment facility of capital to projects delivering mitigation and adaptation benefits in the AFOLU sector, (c) the creation of a pool of companies qualified and ready to receive investment, and (d) companies supported to deliver and track mitigation, adaptation and broader sustainability impacts. For example, Mirova could identify a company looking to make the transition from traditional to shade-grown (agroforestry) coffee production. The switch to shade grown coffee could reduce the impacts of changing temperature and rainfall patterns on the coffee crop, and simultaneously increase carbon sequestration. After the potential investee clears due diligence, Mirova would provide investment via the MSLF2 investment facility and technical assistance via the TA facility to support this transition. The Mirova TA Facility also would provide support to improve the producer's access to markets that are willing to pay a premium for sustainably produced coffee. This technical and market access assistance would be overlaid with support to deliver gender, social and environmental co-benefits, and to track and report the project's climate impact. These outputs will combine to form a virtuous cycle that supports two transformational outcomes:
    - Increased GHG sequestration as a result of de-risked investments in sustainable forest management and regenerative agriculture; and
    - Increased climate resilience of MSLF2 companies, participating communities and ecosystems via the agroecological transformation of food and fiber value chains.
38. An intermediate outcome is the mobilization of finance at scale to facilitate the achievement of the transformational climate outcomes. It is envisaged that the programme activities will yield multiple co-benefits, namely: improved biodiversity via the conservation of 20,000 hectares of ecosystem, socio-economic benefits from contracting 10,000 direct workers, and gender benefits via the Fund's alignment with the 2024 2X criteria[28].

Error! Reference source not found. below illustrates the Theory of Change for the MSLF2 programme.

[28] https://www.2xchallenge.org/criteria



39. Figure 4 MSLF2 Theory of change

B.2 (b). Outcome mapping to GCF results areas and co-benefit categorization

Fill in the GCF results area table below to map each project/programme outcome identified in section B.2(a) to the contributing GCF results area(s) by referring to the description of eight results areas provided in the guidance note.

Outcome number	**GCF Mitigation Results Area (MRA 1-4)**				**GCF Adaptation Results Area (ARA 1-4)**			
	MRA 1	**MRA 2** Low-emission transport	**MRA 3**	**MRA 4** Forestry and land use	**ARA 1** Most vulnerable	**ARA 2**	**ARA 3**	**ARA 4**

	Energy generation and access		Building, citiies, industries, appliances		people and communities	Health, well-being, food and water security	Infrastructure and built environment	Ecosystems and ecosystem services
Outcome 1	☐	☐	☐	☒	☐	☒	☐	☒
Outcome 2	☐	☐	☐	☒	☐	☒	☐	☒
Outcome 3	☐	☐	☐	☐	☐	☐	☐	☐
Outcome 4	☐	☐	☐	☐	☐	☐	☐	☐
Outcome ...	☐	☐	☐	☐	☐	☐	☐	☐
Outcome ...	☐	☐	☐	☐	☐	☐	☐	☐

If any co-benefits have been identified in section B.2(a), fill in the Co-benefit table below to map each co-benefit to the corresponding category as defined in the FP guidance note.

Co-benefit number	**Co-benefit**					
	Environmental	**Social**	**Economic**	**Gender**	**Adaptation**	**Mitigation**
Co-benefit 1	☒	☐	☐	☐	☐	☐
Co-benefit 2	☐	☒	☐	☐	☐	☐
Co-benefit …	☐	☐	☐	☒	☐	☐
Co-benefit …	☐	☐	☐	☐	☐	☐

B.3. Project/programme description (max. 2500 words, approximately 5 pages)

Geographic focus

40. The MSLF2 leverages GCF resources to crowd-in large-scale investment from private and public commercial sources to tackle climate change in the sustainable land management sector by supporting companies that contribute to both adaptation and mitigation outcomes. The fund was designed based on lessons learned from the LDNF, which found that it is possible to create an overarching framework that mobilizes private capital at scale for climate action, while still allowing customized and context-specific responses to the climate-related land degradation challenges facing companies in participating countries. MSLF2 will target investments in 7 countries, each of which has its own unique vulnerabilities to climate change (see Table 2 above),and suffers from the impacts of land degradation. The fund anticipates investment in the following countries: **Costa Rica, Cote d'Ivoire, Ghana, Malaysia, Morocco, Peru and The Philippines**. The selection of participating countries for MSLF2 has been based on the following criteria:

- Climate-related land degradation challenges facing the country (see Table 2 above);
- Existing track-record of Mirova in the country: Prior experience through direct investment or technical assistance from the LDN Fund has been considered. Please refer to Table 8 below for more information;
- Depth of pipeline opportunities: Countries with a strong pipeline of potential sustainable investment opportunities in sectors targeted by MSLF2 have been prioritized. This assessment has been based both on the number of opportunities analyzed to date (see Table 8 below) and the analysis of the supply chains for key products (see Table 9) below;
- Country risk and business environment: MSLF2 is limited to investing in DAC-list countries, and those with higher levels of perceived political and economic risk have been excluded from consideration. This exclusion aims to ensure a stable and favorable business environment for investment, which is crucial for attracting private investors;
- Relevance of the MSLF2 financing offer to address financial, technical and other barriers to sustainable land use practices (refer to Table 5 above);
- Alignment of the MSLF2 investment strategy with existing national climate policies (refer to Table 6 above). This alignment is essential to ensure support from the country and operate within a positive environment.

41. These criteria have been carefully considered to ensure that MSLF2 can effectively and responsibly allocate GCF and other investor resources to countries where they can make a meaningful and positive impact. By targeting countries with a

strong track record, robust pipeline opportunities, and a supportive environment, MSLF2 aims to maximize its potential for sustainable development and positive change.

	DAC list and supportive business environment (1)	Importance of the agriculture sector (2)	Direct LDN Fund investments (3)	Investments through the LDN Technical Assistance Facility (4)	Existing Mirova engagement (5)
Costa Rica	Yes	Medium			Medium
Cote d'Ivoire	Yes	High		Yes	High
Ghana	Yes	High	Yes	Yes	High
Malaysia	Yes	Medium			Medium
Morocco	Yes	Medium	Yes	Yes	Medium
Peru	Yes	Medium	Yes	Yes	High
Philippines	Yes	Medium	Yes	Yes	Medium

Table 7 - Mirova track record in target countries

42. In the above table:
    1) "DAC list" is the DAC list for ODA recipients. Business environment assessment is based on Natixis internal ratings and third-party ratings such as Coface
    2) Importance of the agricultural sector in the country's economy (both in terms of employment and GDP contribution). Refer to Table 17 for details
    3) Countries with existing LDN Fund investments
    4) Countries with existing investments of the LDN Fund Technical Assistance Facility
    5) Level of engagement is based on the number of investment opportunities that have been identified in the country to date
43. The Feasibility Study (Annex 2) provides country-specific background information related to MSLF2 as follows:
    - Climate trends and projections in target countries (Appendix 1.1)
    - State of deforestation in each country (Appendix 1.2)
    - State of land degradation and desertification (Appendix 1.3)
    - Analysis of agricultural sector and key value chains (Appendix 1.4)
    - Socioeconomic overview (Appendix 1.5)
    - MSLF2 alignment with national climate policies and strategies including NDCs (Appendix 1.6)
    - MSLF2 complementarity and coherence with other projects and programmes (Appendix 1.7)
44. The MSLF2 investment geographic focus strikes a balance between the need (i) to have a deeper understanding of the markets and trends, (ii) to concentrate resources within Mirova's origination networks to identify the best projects, (iii) to diversify the risk across the portfolio from an economic and regulatory standpoint and (iv) the mitigation and adaptation financing needs in the land use sector of the target country.

Programme description

45. MSLF2 drives climate action along multiple paradigm-shifting pathways in the agriculture, forestry and land use (AFOLU) sector. MSLF2 invests in companies that are concerned with sustainable production in this sector. Targeted subsectors include: (1) planted forests to meet growing demand for timber, (2) agroforestry including annual tree crops with a focus on agroforestry practices, and regenerative agriculture. It is anticipated that sustainable forestry will comprise 40% of the total fund value, and regenerative agriculture (including agroforestry) will account for 60% of the total fund value of MSLF2.
46. Forest protection and sustainable agriculture and land management are central elements of the Paris Agreement due to the significant stores of carbon in these landscapes and the potential to enhance carbon uptake via restoration activities. The proposed programme recognizes the linkages between (1) forestry and land use and (2) ecosystems and ecosystem services. Programme activities will help to halt and reverse the vicious cycle of increasing emissions and reduced adaptive capacity that results from forest and land degradation and create instead a virtuous cycle of increased carbon sequestration and storage, increased adaptive capacity and improved economic outcomes for stakeholders in developing countries. Halting the loss and degradation of natural systems and promoting restoration has the potential to contribute to

a third of total climate change mitigation required by 2030. The restoration of 350 million hectares of degraded land, as per the objective of the Bonn Challenge, could sequester up to 1.7 gigatonnes of CO_2e annually[29].

47. The detailed design of MSLF2 is directly informed by the successes and lessons learned from LDNF. Key lessons learned include:

48. Geographic scope: the ability to maintain focus across 10-15+ emerging countries requires a strong network of local partners and enhanced regional presence via local offices
49. Geographic scope: investment in high-risk countries (regulatory/operational risks and low liquidity) requires a portfolio that is diversified also into low-risk emerging countries, a sizeable junior tranche, and a focus on debt transactions in higher-risk countries
50. Fund positioning: sustainable agriculture/forestry is a young asset class that still requires derisking through diversification and a conservative and seasoned approach to assessing an opportunity
51. Underlying assets: investing in processing industries with adequate traceability can also be a strong driver to disseminate good agricultural practices
52. Counterparties/sponsors: long-term offtake agreements constitute a significant mitigant to market volatility, Mirova is strengthening its network with major corporates of AFOLU/FLAG sectors
53. Team set up: recruitment of a dedicated portfolio manager and strengthening Mirova's local offices in Nairobi, Singapore and Latin America will enable better monitoring and management of assets.
54. The MSLF2 programme is comprised of two main components. Component 1 focuses on the scale-up and operationalisation of the investment vehicle, including disbursement of capital to a selected pipeline of investees. The investment vehicle will secure co-financing and invest directly in emerging economy businesses that adopt sustainable land management and regenerative agriculture practices such as agroforestry, reforestation, and soil conservation. Component 2 focuses on the provision of TA for investment readiness and ongoing support to enhance the climate, environmental and social impact of portfolio companies. Activities under Component 2 will run in parallel to Component 1.
55. These activities will leverage the resources and capabilities of existing delivery partners and will also include the establishment and operationalisation of a Mirova-managed TAF.

Component 1 – MSLF2 Investment Facility [GCF EUR 70M (USD 74M equivalent[30]), Cofinance EUR 280M (USD 297M equivalent[31]))]

Outcome 1: Finance is mobilized at scale through blended finance structures, enabling the scale up of commercial models for sustainable agriculture, land management, and forestry.

56. Component 1 involves the mobilization and deployment of finance for sustainable land use practices. Component 1 employs GCF resources to successfully mobilize finance at scale to transform forest and land use activities in target countries. The activities undertaken under Component 1 will result in two outputs that are presented in sequence, although practically the activities are implemented in continuity. Mirova will build on the experience, lessons learned and contacts in natural capital investments developed under the Land Degradation Neutrality Fund.
57. By providing significant catalytic financing, the GCF will allow MSLF2 to mobilize more private capital at the fund level. Fundraising success can vary based on prevailing macroeconomic conditions and other factors. The target size of the MSLF2 capital is EUR 350 million (USD 371 million)[32] including a target EUR 70 million (USD 74 million[33]) of financing from the GCF.
58. The MSLF2 is mandated to invest in businesses that are committed to the adoption of sustainable land management practices such as agroforestry, reforestation, and soil conservation projects and programmes. The MSLF2 will contribute to global mitigation and adaptation targets – with expected mitigation benefits of **24.5 MtCO_2e**, **150,000 ha** of land under sustainable land practices, and **90,000 direct beneficiaries** with enhanced adaptive capacity over the lifetime of the fund. It is anticipated that c.70% of these impacts will be in countries where NOL have been obtained[34]. This means that in GCF countries expected mitigation benefits are **17.2 MtCO_2e**, **105,000 ha** of land under sustainable land practices, and **63,000 direct beneficiaries** with enhanced adaptive capacity over the lifetime of the fund.

[29] https://iucn.org/resources/issues-brief/forests-and-climate-change
[30] EUR/USD: 1.06
[31] EUR/USD: 1.06
[32] EUR/USD: 1.06
[33] EUR/USD: 1.06
[34] The remaining c.30% countries were selected using the same country selection criteria as described above. The same investment criteria and environmental and social standards will apply to investments in these countries.

Output 1.1 – Scalable fund established and capital mobilized EUR 1 million (USD 1.06 million[35])

59. Output 1.1 sees the scale-up of the MSLF2 fund vehicle to allow investment by the GCF as well as private investors and development finance institutions where appropriate. This funding, particularly from institutional investors such as pension funds and insurance companies, strategic corporates and family offices will enable the MSLF2 to operate at scale and is a precondition to the achievement of the Fund's climate objectives.
60. Output 1.1 will be delivered through the following activities:

Activity 1.1.1 – Fundraise investment vehicle at scale

61. The MSLF2 investment vehicle has been established in 2024. Following an initial closing, Mirova's objective is to raise significant additional capital for the Junior and Senior Shares of the Fund. The GCF will play a catalytic role in the scale up of the Fund as it will subscribe for EUR 70 million (USD 74 M[36]) mostly as a junior investor. The MSLF2 has a target fund size of EUR 350 million (USD 371[37] M) (including both the GCF investment and co-financing).
62. Mirova promotes the MSLF2 to large private and public investors via its website, investor roadshows and other outreach activities. These activities ensure private sector actors are aware of the Fund, understand its objectives. The aim is for investors to view the MSLF2 correctly as a viable investment opportunity that (a) provides exposure to emerging markets and supply chains that are otherwise challenging to access, (b) has a positive environmental impact and (c) provides opportunity for strong financial returns over the medium term. Investment from the GCF builds credibility, lowers risk perceptions, acts as a catalyst to unlock additional co-investment and derisks these private investments. Mirova's existing LDN Fund has opened the door to conversations with a range of private and public investors. The LDNF has further strengthened Mirova's track record in the natural resource investment space and served as a proof-of-concept that allows Mirova to fundraise for the MSLF2 at a larger scale.
63. For each new investor, Mirova will engage in thorough due diligence to ensure AML/CFT compliance and alignment with investment objectives. Mirova will negotiate terms and conditions and execute the relevant investment agreement. Inflows into the scalable investment vehicle will be tracked and documented in the audited annual financial accounts for the MSLF2.

Output 1.2 – Fund capital disbursed to projects delivering mitigation and adaptation benefits EUR 349 million (USD 370 million[38])

64. Activities under Output 1.2. will deploy investor funds to projects and companies with potential to generate climate adaptation and mitigation outcomes through sustainable forestry and regenerative agriculture practices. These activities will be implemented in parallel with activities under Output 2.1. relating to investment readiness and technical assistance for impact enhancement. The TA support will help improve the bankability of pipeline companies and ensure that they can deliver the expected climate, environmental, social and other benefits.
65. MSLF2 is only able to invest in countries on the Development Assistance Committee (DAC) list of official development assistance (ODA) recipients. MSLF2 is targeting 17 countries, out of which 7 (NOL) countries will be eligible for GCF investments. The target is to have c.70% of MSLF2 investments in GCF eligible/NOL countries. GCF funds will be ringfenced to countries where NOL have been obtained through a specific legal structuring (GCF funds could be segregated in a dedicated compartment).
66. MSLF2 will target investments in small and medium-size privately-owned companies that combine operational robustness and strong environmental and social impacts. They can be working with a large network of small-scale farmers (from a few hundreds to several thousands). This is especially true for some value chains like cocoa, coffee or tree nuts. In such cases the MSLF2 investee companies will proceed through contract farming, supporting the farmers to implement sustainable practices (such as agroforestry), then collect, process and export the final product to customers. Most of these companies are aiming to integrate the full value chain, from primary production to final marketing and sale of their products, including processing and transformation activities. This allows them to retain more added value at the local level while ensuring full traceability.
67. Companies targeted by MSLF2 will derive the majority of their revenues from the sale of agricultural and forestry products but some companies might have additional revenues related to carbon credit sales on the voluntary market. Volume of

[35] EUR/USD: 1.06
[36] EUR/USD: 1.06
[37] EUR/USD: 1.06
[38] EUR/USD: 1.06

emissions reductions related to the sale of such carbon credits will be capped at 20% of the overall fund's impact and deducted from the impacts reported to the GCF.

68. Such companies have usually completed a successful first development phase and are starting to generate revenues but have not yet achieved full profitability. They are therefore struggling to finance the expansion of their activities and cannot access funding from commercial local banks. MSLF2 has been designed to address this funding gap and to support the development of such companies by providing the right financial instrument.
69. Mirova anticipates that ticket sizes for investments made through MSLF2 will be in the range of EUR 10 – EUR 20 million, with average investment tenors of between 7-9 years. This a much longer tenor than what is usually available on local financial markets. Such maturity is needed to accompany the transition/expansion of production practices, as several years are needed to get the first harvest for perennial crops. The fund will have the flexibility to invest using debt, equity, and mezzanine instruments. The choice of instrument will depend on the cashflow profile of the company and its repayment capacity.
70. Assessment of climate impact potential and other environmental and social impacts of the investment forms a distinct and important element of the investment process. Full details on the evaluation process and criteria for investees of MSLF2 are detailed in Annex 6 (ESG and Impact Framework). In summary, MSLF2 investments will be evaluated using the following impact criteria to qualify under each key impact areas (in bold) and co-benefits:
    - **Sustainable Land Use**: implementation of sustainable forestry practices, regenerative agriculture or agro-ecological practices; positive improvement in land cover and productivity; significant reduction of the deforestation pressure.
    - **Climate Mitigation**: carbon sequestration through the above-mentioned improved farming and forestry practices; reduction of value chains' direct and indirect carbon footprints; switch to renewable energy use and energy efficiency.
    - **Climate Adaptation**: promoting climate-resilient farming methods such as crop diversification, heat- and drought-resistant crops, water saving irrigation methods, increase in smallholders' productivity and income, etc.
    - Biodiversity: maintaining natural vegetation cover/conservation area on at least 10% of the agriculture land and 20% of the forestry area.
    - Social: adherence to good labor and working conditions, and progress towards workers' living wage assessment.
    - Gender: commitment to progress towards the 2X certification.

    Companies that qualify for MSLF2 investment must also meet the following criteria:
71. Compliance with national environmental, social and labour laws and regulations.
72. Compliance with the Fund-level ESG policy and all issue-specific policies aligned with Category B / I-2 E&S risk category, including those related to Indigenous Peoples (see Annex 6 Environmental and Social Safeguards for more information).
73. Meet the criteria of internationally recognized sustainability standards (such as the IFC Social and Environmental Standards.
74. Funding from MSLF2 can play a catalytic role to attract other investors, either at the same time than investment or afterwards, by supporting the investee to find additional financing. Investment from MSLF2 may either be provided at the same time as other investors, or on its own for a given funding round. Either way, investment from MSLF2 is expected to represent less than 50% of the total project costs.
75. Illustrative funding allocations for each MSLF2 country are provided in Annex 17. Please note that these figures are indicative only. MSLF2 is a commercial investment vehicle and the ultimate funding totals allocated to each country will depend upon:
76. The Fund's ability to identify a sufficient pipeline of bankable businesses that meet the investment criteria for MSLF2 and pass Mirova's comprehensive due diligence process; and
77. Mirova being able to achieve a target fund size of at least EUR 350 million (USD 371 million[39]).
78. The potential investment pipeline will comprise high-impact SMEs identified through TA delivery partners' candidate pools and through Mirova's own deal sourcing and identification processes. Deal sourcing, identification and due diligence processes are described below under Output 1.2, while TA support to investees is described under Component 2 further below.
79. MSLF2 is open to investment in a wide range of agricultural products. This broad focus gives the fund the flexibility to tailor interventions to the priority value chains in different countries, and to select companies with greatest potential for adopting

[39] EUR/USD: 1.06

transformative practices. Investment opportunities must be land-based projects that deliver on the following results and impact areas:

Sustainable agriculture	Sustainable forestry
• Alignment with regenerative agriculture objectives (improving soil health and fertility, enhancing water retention and carbon sequestration, and resilient farming practices • Application of agroforestry (shade trees, intercropping, wind breaks etc.) and conservation agriculture practices (minimal soil disturbance etc.) • Enhanced climate resilience of agricultural land (reduced soil erosion, increased soil organic carbon, improved water management etc.) • Alignment with certified agricultural practices such as Rainforest Alliance, Global G.A.P, Sustainable Program for Irrigation and Groundwater etc.	• Alignment with sustainable forest management certification (FSC Forest Management) • Planted (i) with a landscape level mosaic approach by interspersing with other land-use types, such as non-timber agriculture, conservation areas, and buffer zones, (ii) on degraded lands, and (iii) with at least 20% set aside for conservation • Strong potential of climate mitigation • Forest management plan for at least 10 years

Table 8 Targeted criteria for agriculture and forestry investments

80. MSLF2 will typically target perennial crops and agroforestry, and the following value chains are likely to present potential investment opportunities across most of the countries targeted by MSLF2: coffee; cocoa; timber; and nuts. Additionally, MSLF2 may also invest in agricultural products such as avocados, citrus fruits, mangos, and rubber. The exact value chains that MSLF2 will invest in will vary from country to country and will ultimately depend on Mirova's ability to identify investable opportunities that meet the eligibility criteria and due diligence process of the fund.

Output 1.2 results will be delivered through the following activities:
Activity 1.2.1 – Identify portfolio companies

81. In parallel with the establishment and capitalization of the MSLF2, Mirova will develop the Fund's investment pipeline. Mirova has an existing active pipeline of potential projects. These projects are ready to go through the MSLF2 investment due diligence process and if successful would become the first investments of MSLF2.
82. Mirova's deal sourcing and identification team is supported by a strong network of partners and is well connected to actors throughout the natural capital ecosystem in target countries. The investment pipeline for the MSLF2 will be developed through four sourcing channels (i) Mirova's investment team network, (ii) Natixis group network, (iii) Public and non-profit partners, (iv) Supply chain actors and offtakers.
83. These four channels demonstrate only some of the ways that Mirova will work collaboratively to maximise the efficiency and impact of MSLF2 capital deployment. Mirova has established strategic partnerships with various entities and associations that have direct relevance to the work of the Natural Capital Investment team. These relationships will facilitate project sourcing and fundraising and provide a source of advice and expertise.
84. As highlighted in Table 9 (below), the types of products that MSLF2 will invest in are significant contributors to agricultural production in MSLF2 target countries, and – based on traditional production models – are: having considerable impacts on land degradation and/or forest loss; and/or vulnerable to current or projected future impacts of climate change. Furthermore, several of these products (coffee, cocoa, rubber, and timber) are covered by supply chain traceability requirements followed by large buyers. These requirements are likely to increase demand for products which are sustainably produced.

Sector	MSLF2 countries that are major producers	Evidence of climate risks	Evidence of adaptation and mitigation benefits of sustainable land management and Mirova's track record.
Coffee	Costa Rica; Côte d'Ivoire ; Peru.	• Coffee production is altering rainforest ecosystems which negatively affect plant and animal species living within. Worldwide, the use of monocrop coffee	• Coffee production with appropriate agroforestry can significantly enhance carbon sequestration (particularly when conducted on degraded land)[43], as well as reduce pressure on existing forest.[44]

[43] Justine et al, 2019; Zaro et al, 2020; Goncalves et al, 2021
[44] Nijmeijer et al, 2019; Fitch et al, 2022

		production is leading to deforestation, soil erosion, and water pollution. • Demand for coffee has doubled in the past three decades, if current trends continue, global consumption is expected to double again to 6bn cups of coffee every day by 2050[40]. • Climate change is forecast to modify the landscape of coffee growing regions, potentially leading to a reduction by half of the global area suitable for coffee production by 2050[41]. • Analysis of climate factors such as temperature, rainfall and humidity in the top 12 coffee-producing countries globally between 1980 and 2020, has found that the frequency of "climate hazards" – suboptimal growing conditions due to extremes such as high temperatures – had increased in every region during that period. The study also found that rising temperatures in the tropics would lead to lower coffee yields and higher prices[42].	• Climate-adapted production systems – with appropriate geography, agroforestry and management systems – can maintain coffee output in the face of adverse climate change.[45] Mirova has experience investing in agroforestry coffee production – including in several MSLF2 countries - through the LDN Fund.
Cocoa	Côte d'Ivoire; Ghana; Peru.	• The cocoa industry is a major driver of deforestation, loss of critical wildlife habitat, and human rights abuses around the world — particularly in West Africa — but also in Latin America and Southeast Asia. • Demand for cocoa is leading to the destruction of protected forests in west Africa. Research has found that cocoa production was linked to 360,000 of a total 962,000 hectares (37.4%) of the deforestation since 2000 of protected areas in Côte d'Ivoire, and 26,000 out of a total 193,000 hectares (13.5%) of the deforestation of similar areas in Ghana[46].	• Cocoa can be grown in ways that promote biodiversity and support healthy ecosystems. For wildlife, the best cocoa comes from shade-grown agroforestry. Agroforestry entails planting cocoa in and among diverse trees and crops. Environmental benefits of this practice include carbon sequestration, soil health, nitrogen fixation, water regulation, erosion control, microclimate control, and increased biodiversity. Agroforestry cocoa systems can help farmers as well, by facilitating income diversification and improving food security[47]. Mirova has experience investing in agroforestry cacao production – including in several MSLF2 countries - through the LDN Fund.
Nuts	Examples based on several common varieties of nut: Almonds: Morocco Cashews: Côte d'Ivoire; Ghana	• Vietnam, India, Côte d'Ivoire and Benin are responsible for 73% of global cashew production. A study found that growing range of cashews will undergo significant shifts under even moderate warming scenarios by 2050. The study also concluded that the area of land "most suitable" for crop-growing in many of the major producing countries will largely shrink in the coming decades[48].	• A study on cashew production in Mozambique found that when planted mainly in agroforestry systems, with intercropping, cashew trees can substantially reduce GHG emissions through carbon sequestration while providing income to farmers[49]. • Cashews have also been found to be a viable species within agroforestry projects

[40] Financial Times (16th August 2023), Have we reached peak coffee?
[41] https://www.theguardian.com/environment/2016/aug/29/climate-change-predicted-to-halve-coffee-growing-area-that-supports-120m-people
[42] The Guardian (March 2023), Rising temperatures in tropics to lead to lower coffee yields and higher prices, study suggests
[45] Kumar et al, 2018; Mulinde et al, 2019
[46] The Guardian (23rd May 2023). Cocoa planting is destroying protected forests in west Africa, study finds
[47] https://international.nwf.org/cocoa-and-deforestation/#:~:text=The%20cocoa%20industry%20is%20a,Latin%20America%20and%20Southeast%20Asia.
[48] Carbon Brief (January 2022), Coffee, cashew and avocado growers will be 'seriously affected' by climate change
[49]https://www.forestcarbonpartnership.org/cashew#:~:text=Planted%20mainly%20in%20agroforestry%20systems,while%20providing%20income%20to%20farmers.

	Peanuts: Ghana		for land restoration in dryland regions in West Africa[50]. Mirova has experience investing in agroforestry nut production – including in several MSLF2 countries - through the LDN Fund.
Timber	Malaysia	• Between 2001 – 2015 forestry was the second highest driver of deforestation (approximately 26%).[51] • Timber production is responsible for ~13% of the GHG emissions from tropical deforestation and degradation.[52] • Global demand for timber is set to triple by 2050[53]. • Timber industry is vulnerable to climate change. [54]	Sustainable timber production can provide the following adaptation and mitigation benefits: Mitigation: • Carbon sequestration through the growth of healthy trees; timber products; and forest regeneration. • Reduced emissions through avoided deforestation and sustainable forest management Adaptation benefits • Enhancing biodiversity • Enhancing ecosystem services • Regulating water systems • Soil conservation • Improved economic opportunities for local communities Mirova has experience investing in sustainable timber production – including in several MSLF2 countries - through the LDN Fund.
Rubber	Malaysia; Côte d'Ivoire; The Philippines	• The global land area used for rubber production has doubled in the last two decades. This expansion is accelerating deforestation and contributing to increased carbon emissions[55]. • Climate change is already impacting rubber production due to drier seasons and more variable precipitation[56]. • The maximum temperature for productive rubber production is 28°C, consequently, higher temperatures will likely have a negative impact on production. • Rubber plantations are also vulnerable to extreme rainfall and heavy winds[57].	• Enhanced carbon sequestration by existing rubber plantations[58] • Moving away from monoculture can provide shade, enhance soil nutrients, prevent moisture loss and reduce pest damage, potentially boosting yields and incomes for farmers[59] • Irrigation can reduce the impacts of drought and keep rubber trees cooler[60]
Citrus	Morocco	• Some of the most harmful factors impacting citrus production are extreme temperature changes, drought, flooding, and the salinity of irrigation water and	• Studies have found that agroforestry and biodynamic management systems are the

[50] https://apps.worldagroforestry.org/downloads/Publications/PDFS/BC22001.pdf
[51] Curtis et al (2018), Classifying drivers of global forest loss
[52] Timothy Pearson (2018), Remote assessment of extracted volumes and greenhouse gases from tropical timber harvest
[53] FAO (2022), The State of the World's Forest
[54] Andersen et al (2017), Adaptation to Climate Change in Forestry: A Perspective on Forest Ownership and Adaptation Responses
[55] Singh et al. (2021), A global review of rubber plantations: Impacts on ecosystem functions, mitigations, future directions, and policies for sustainable cultivation
[56] Pinizzotto et al. (2021), Natural rubber and climate change: a policy paper
[57] Chen et al. (2021), Tornado disaster assessment of rubber plantation in western Hainan Island using Landsat and Sentinel-2 time series images https://www.foreststreesagroforestry.org/wp-content/uploads/pdf/rubber/D1_Session%201.2/1.%20Dr%20Chen%20Bangqian.pdf
[58] Singh et al. (2021), A global review of rubber plantations: Impacts on ecosystem functions, mitigations, future directions, and policies for sustainable cultivation
[59] Esekhade et al (2021), Sustainability of rubber agroforestry strategies in boosting smallholders' resilience to cope with the realities of new global challenges
[60] Mangmeechal, (2020) EFFECTS OF RUBBER PLANTATION POLICY ON WATER RESOURCES AND LANDUSE CHANGE IN THE NORTHEASTERN REGION OF THAILAND. Available at: https://ges.rgo.ru/jour/article/view/1160/466

		substrates, which are all linked to climate change, as described above. The optimal temperature range for citrus cultivation is estimated to be 22–34 ºC. Temperatures above this range lead to fruit abscission and smaller fruit size. The worse these factors become, the lower the commercial value of the yield[61].	best options to maintain soil quality and functioning for citrus production[62]. • The LDN Fund's portfolio includes Atlas Fruits Company - a platform for sustainable citrus production in Morocco. The LDN Fund investment allows Atlas Fruits to expand its best practices to new brownfield citrus orchards (total of 1,000 ha) with pilot cutting-edge water-saving innovations, conduct precision agriculture and implement agroecological and organic practices and renewable energy production[63].
Avocados	Peru	• Avocado production has substantial and irretrievable environmental costs and damages. Disproportionately huge demand for the fruit is creating a climate change effect. Forest lands with diverse wildlife have been destroyed to produce avocado. Intensive avocado production has caused biodiversity loss, extreme weather conditions, extensive soil degradation of the soil and is on the brink of causing an entirely human-made environmental disaster.[64] • Similarly, as avocado production requires a substantial amount of water, the effects of climate change (such as heat stress and droughts) are impacting production. Globally, areas deemed highly suitable for growing avocados are expected to decline by between 14% and 41% by 2050, depending on how quickly global emissions are reduced. The worse the climate scenario, the more rapidly prime avocado growing regions will shrink[65].	• Avocado-based agroforestry models have been found to increase profitability[66.]
Bananas	Costa Rica; The Philippines	• A study on banana yields in 27 countries which account for 86 per cent of the world's dessert banana production -- have on average seen increased crop yield since 1961 due to the changing climate resulting in more favorable growing conditions. However, the report also suggests that these gains could be significantly reduced, or disappear completely, by 2050 if climate change continues at its expected rate. The study suggests that 10 countries -- including the world's largest producer and	• Banana agroforestry systems have been found to have both socioeconomic and environmental benefits - including increased soil fertility and carbon storage68.

[61] Damián Balfagón et al(2021), The future of citrus fruit: The impact of climate change on citriculture
[62] Pilon, L.C.; Ambus, J.V.; Blume, E.; Jacques, R.J.S.; Reichert, J.M. Citrus Orchards in Agroforestry, Organic, and Conventional Systems: Soil Quality and Functioning. *Sustainability* **2023**, *15*, 13060. https://doi.org/10.3390/su151713060
[63] https://www.mirova.com/sites/default/files/2023-07/Impact-Report-LDN-2022-EN-web.pdf
[64] World Economic Forum (February 2020), Avocado: the 'green gold' causing environment havoc
[65] Christian Aid, (May 2024), Avocados are getting smashed by climate change.
[66] Batumanyeho, G. & Mukuralinda, Athanase & Bigirimana, C. & Mukamana, L. & Imanirareba, E. & Gatesi, J. & Alain, Ndoli & Manirakiza, V. & Niyitanga, F.. (2024). Analysis of the profitability of avocado-based agroforestry value chain in the eastern province of Rwanda. Agro-Science. 22. 78-82. 10.4314/as.v22i1.11.

[68] Zake, J et al. (March 2015), Can agroforestry improve soil fertility and carbon storage in smallholder banana farming systems?. In Journal of Plant Nutrition and Soil Science 178(2).

		consumer of banana India and the fourth largest producer, Brazil -- are predicted to see a significant decline in crop yields[67].	
Mangos	Ghana	• Climate impacts such as floods, droughts, rising temperature, erratic rainfall and windstorm have been found to negatively affect the survival, growth, establishment and quality of mango seedlings.[69] • Climate-induced changes disrupt traditional phenological patterns, impacting pollination, fruit development, and harvest. Elevated temperatures lead to premature flowering, irregular fruit set, and post-harvest quality degradation.[70]	Studies have found that: • Mango-based agroforestry systems are more profitable than sole cropping system71; and • Mango-based agroforestry has potential for environmental (including soil fertility benefits) and socio-economic advantages to local communities72.

Table 9 Agricultural and forestry products targeted by MSLF2

85. Detailed descriptions of each step in the investment screening process can be found in the Programme Description section in Annex 2 – Feasibility Study. The mains steps of the process are summarised below:

Preliminary analysis

86. Each investment opportunity is subject to a preliminary analysis by the Investment Team to rapidly filter deal flow and identify attractive prospects while quickly discarding those that fall outside of the Fund's scope.

Screening committee review

87. In cases where preliminary analysis is positive, the Investment team will gather more information on the proposed investment and summarize the investment opportunity in dedicated note which is presented to the Screening Committee. The analysis should include a summary of the environmental and social impacts, focusing on climate impact assessment, the envisaged financing structure and the targeted terms and conditions.
88. This step also supports the identification of a potential investees' need and eligibility for technical assistance. Where the screening committee determines that the company requires technical assistance from the Technical Assistance Facility (TAF), whereby the prospective investee demonstrates alignment with MSLF2 result and impact areas, strong potential to deliver concrete adaptation and social benefits and/or strong investment bankability, but lacks the required ESG frameworks or internal governance mechanisms to implement the measures, the MSLF2 Investment Team jointly with the TAF Manager will recommend the prospective company receives technical assistance from the TAF for investment readiness support (described in Output 2.1.) provided by TA delivery partners and/or impact enhancement support (described under Output 2.2) provided by MSLF2.
    Where the screening committee determines the company's eligibility, need and readiness for investment without investment readiness TA support, the MSLF2 Investment Team will allocate a dedicated team for further implementation of the due diligence and investment process.

In depth analysis and investment decision process

89. Upon approval of the opportunity by the screening committee, the Investment Team undertakes an internal in-depth analysis of all its financial and non-financial components, organises meetings with company and potential co-financiers to further structure the deal, and provides a detailed financial model of the transaction.
90. In parallel, the ESG team assesses the prospective investment's expected positive impacts (including climate impacts) and approach to risk management.

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[67] Varun Varma, Daniel P. Bebber. Climate change impacts on banana yields around the world. *Nature Climate Change*, 2019; DOI: 10.1038/s41558-019-0559-9
[69] Asare Nuama et al (2022), Mitigating the risks of climate variability and change on mango seedlings in Ghana: Evidence from mango seedlings producers in the Yilo Krobo Municipality
[70] Rajdip Halder, Suraj Varma, Manisha Singh and Ankit Dahiya (2024), From orchard to table: Understanding climate change impacts on mango production in India: A review
71 Rana, T. (March 2022), Productivity Analysis of Mango Based Agroforestry Systems in the Madhupur Sal Forest of Bangladesh, in European Journal of Agriculture and Food Sciences.
72 Gochera, A., & Worku, H. (2022). Mangifera indica (L.) tree as agroforestry component: Environmental and socio-economic roles in Abaya-Chamo catchments of the Southern Rift Valley of Ethiopia. Cogent Food & Agriculture, 8(1). https://doi.org/10.1080/23311932.2022.2098587

91. Based on all these factors, the Investment Team prepares an investment memo summarising the investment opportunity with a detailed analysis of the various components of the transaction (ESG impact, financing structure, contractual framework, risk allocation, financial model outputs including sensitivities, etc.). The opportunity is presented to the investment committee 1, which provides a go/no go decision.

Due diligence and transaction closing

92. In case of positive decision, external consultants will be selected by the Investment Team for implementation of specialized items as part of the due diligence process, which can include but are not limited to the following:
93. A review of key environmental and social issues identified during previous analysis stages
94. A technical/agronomical review of the project
95. A review of legal/tax risks
96. Due diligence main outcomes are presented to a second investment committee, which validates the final terms of the transaction.

Activity 1.2.2 – Disburse capital to companies that implement climate resilient Sustainable Land Management practices

97. The MSLF2 Investment Team will negotiate commercial lending and equity investment agreements and disburse funds to target companies that pass the rigorous due diligence process and agree to robust environmental and social covenants incorporated into the investment agreements. Key deliverables for this activity include executed investment documents / contracts (confidential) and periodic financial disbursement summaries. MSLF2 will offer debt, mezzanine and equity investments. Equity investment targets companies at an earlier development stage but already generating a strong social and environmental impact and poised for growth. Mezzanine investments are intended for companies in the growth phase with an established operational track record and planning on scaling-up high impact projects. Senior secured debt is designed for companies with a strong operational and financial track record, characterized by a lower risk profile.

Activity 1.2.3 – Monitor and manage financial performance

98. Mirova will perform its fiduciary duty on behalf of the GCF and other investors to monitor the performance of MSLF2 portfolio companies and enforce the financial and other terms of the investment agreements.
99. During the term of the investment, an annual review of risks is performed in relation to the support functions. Depending on the occurrence of particular events whether of a technical, commercial or regulatory nature, amendment negotiations to the original documentation could be implemented. In the event of substantial changes in the risk profile or performance of an investment, and if a decision of the Alternative Investment Fund Manager is required, the Investment Committee may be consulted.
100. The performance of MSLF2 portfolio companies will be communicated to investors and stakeholders as appropriate through annual audited financial statements, quarterly management reports, and impact reports that provide details on performance of the project in comparison to key performance indicators of the Fund and environmental/social measures from both Mirova and the MSLF2.

Figure 5 Example impact report from the LDNF

Component 2 – Technical Assistance Facility [GCF EUR 5.0M USD 5.3M, Cofinance EUR 8.0M USD 8.5M[73])]

Outcome 2: MSLF2 portfolio companies are empowered to transform production processes to support the agroecological transition of food and fibre value chains.

101. As described previously, investor reluctance is not the only challenge facing transformative land and forest management projects. Information and technology barriers mean that agriculture and forestry businesses consider the transition to lower-emission and climate resilient production processes to be high-risk. Mirova must not only identify investors for the MSLF2, but also find a cadre of business operators who are willing to adopt these practices, and then provide them with the technical assistance to make the apparent "gamble" pay off. Crucially for the long-term paradigm shift, the MSLF2 must document the experience of these pioneers and help them share lessons learned to inspire other businesses.
102. Component 2 activities will be implemented in tandem with activities under Component 1 and are designed to be complementary to them. GCF support for Component 2 will contribute to transformational planning and programming within businesses, catalyse climate innovation within and between countries, and support the creation of coalitions and knowledge to scale up success.
103. Output 2.1. results in the delivery of TA for investment readiness to businesses. This output is delivered by leveraging the resources and capabilities of existing TA providers active in this space, such as IDH, the Partnerships for Forests and WRI. In addition, there has been a proliferation of "green" investment incubators and project preparation facilities across Africa, Asia and Latin America, and the MSLF2 stands to benefit from their work, through partnerships. Such partnerships are expected to be formalized through specific contractual agreements such as Memorandums of Understanding (MoUs). The objective of these activities will be to improve the investment readiness of companies aligned with MSLF2 strategy and to ultimately make them eligible for a financing under Component 1.

[73] EUR/USD: 1.06

104. Output 2.2 results in impact enhancement support provided to investee companies via the Technical Assistance Facility (TAF). The overall objective of the Mirova TAF[74] is to support the agroecological transition of food and fibre value chains to generate and maximise positive impacts on climate mitigation and adaptation as well as co-benefits on biodiversity, livelihoods, and gender equality. The TAF will provide tailored support to investees implementing improved production processes, monitoring, and reporting GHG removals and sequestration, the development and implementation of Gender Action Plans, Biodiversity Plans, ESAPs and other processes. The objective of Output 2.2 is to ensure Mirova has a transformational role for the companies receiving a financing under Component 1, helping them to create additional value through the strengthening of their environmental and social practices. Output 2.2 will be implemented in clase partnership with the post-investment monitoring described in Component 1.
105. Mirova will select an external TA manager that will be the Executing Entity for the MSLF2 TAF and will be responsible for managing day-to-day implementation (origination, execution, contracting, monitoring, KPI reporting, manage process & relationships). Selection criteria are indicated in Section B.4

Output 2.1 Investment readiness/project preparation Technical Assistance delivered to candidate companies [GCF EUR 0, Cofinance EUR 3M (USD 3.2 M[75])][76]

106. Under Output 2.1, the MSLF2 will build synergies with existing project preparation facilities to ensure a robust pipeline of bankable projects that can drive transformational sustainable land management. As noted previously, there are several existing facilities that provide investment readiness support to businesses. These facilities will help develop a pipeline of investment candidates for the Mirova SLF2, and improve the businesses' preparedness to meet Mirova due diligence and post-investment performance requirements. This support will help overcome the identified information, coordination, technical and organizational barriers that prevent the uptake of sustainable and regenerative agricultural practices in developing economies
107. Output 2.1. will be delivered through the following activities:

Activity 2.1.1 Investment roadmap and readiness coaching

108. Under this activity, the MSLF2 Investment Team and TA delivery partners will engage in outreach and dialogue with prospective investees selected from their respective project preparation support pools. This engagement will be remote or in-person and tap into existing networks and pipelines from the LDN Fund and work programmes. Once potential project proponents are identified, Mirova will carry out an initial mapping of investment needs and opportunities for sustainable business model growth and environmental and social impact. The MSLF2 Investment Team will begin the early stages of the due diligence process described in Activity 1.2.2 and develop a pipeline of project proponents.

109. After a positive screening, TA delivery partners will provide investment readiness to help the proponents meet the MSLF2 investment and impact criteria, resulting in the development of investment roadmaps. Mirova will discuss the applicable eligibility criteria with TA delivery partners as appropriate. A summary table of MSLF2 pre-eligibility criteria for TA access is provided in the description of Activity 2.1.1. in Annex 2 – Feasibility Study.
110. The type of activities that will be eligible for investment readiness support include:
111. Mobilizing specific subject matter expertise to strengthen project design in terms of expert advice on best agronomy practices, including efficient fertilizer and water use, soil management and erosion control techniques, fighting diseases, pests and weeds, adaptation to changing climatic conditions, improving sustainable harvesting and post-harvest management practices
112. Assistance in completing a positive impact evaluation (derived from the positive impact evaluation required by the MSLF2 Fund). Trainings will enable TAF recipients to understand the full range of potential benefits associated with their project concept and to identify the relevant indicators/metrics as reflected by the UN Sustainable Development Goals
113. Design of interventions to support producer organizations' financial management, financial literacy, and operational capabilities. Design inventory management systems and internal controls tailored to their business. Design interventions to build enterprise resilience through stronger governance and executive leadership, improve accounting procedures and strengthen financial reporting and analysis. Assess feasibility of technological solutions to streamline their operations and inform decision making

[74] Target setting, subject to approval
[75] EUR/USD: 1.06
[76] This component does not involve GCF support and will invest in both NOL and non-NOL countries, keeping a focus on NOL countries.

114. Scope for site/project-specific opportunities to enhance positive social and environmental impacts within the investment, including on climate change adaptation, sustainable land and water management, biodiversity, inclusive business models and alignment with gender equality standards and women's empowerment principles. This may include developing partnerships with local organizations, information exchange visits between land users, providing capacity building for inclusive stakeholders consultations, identification of specific entry points to make the business more inclusive and to close gender gaps related to women suppliers, etc.
115. Fostering cooperation with the organizations that are needed for institutional support (women's groups, trade unions, farmers associations, local governments, etc.)
116. Improving operational and financial arrangements of outgrower schemes for enhanced soil regeneration, climate mitigation and social impacts
117. Support to plan and prepare for certification by the relevant product standard (e.g., Rainforest Alliance, Forest Stewardship Council, and Fair Trade or Organic labelling for agri-products)
118. Assistance in understanding and complying with national environmental, social and labour laws and legislation
119. Support in conceptualizing and engaging in meaningful stakeholder consultation
120. Briefings and trainings to meet the objectives of the MSLF2 Environmental and Social Standards
121. Analysis and training to help strengthen the approach to land governance and tenure in the project.

122. TA delivery partners will support prospective investees in the development of their investment roadmap, which will include conditional action items and commitments needed to approve investment and disburse the capital. These conditional items may include Gender Action Plans, Corporate Governance Plans or others depending on company profile and needs.

Activity 2.1.2 Pipeline development and investment roadmap review

123. Upon finalisation of an investment roadmap, the TA partners will submit the roadmap for screening and review to the MSLF2 Investment Team that is performing screening (see Output 1.2 above). The Investment Team will follow the process detailed in Activity 1.2.2. for due diligence with the intention to select businesses across the target companies and sign investment agreements prior to deploying fund capital. As described above, Output 2.1 activities are designed strengthen the pipeline of potential investments for Component 1.

Output 2.2 Impact enhancement EUR 10 million (USD 10.6 million) [GCF EUR 5M (USD 5.3M) / Cofinance EUR 5M (USD 5.3M)][77][78]

124. Output 2.2 will result in the delivery of TA support for impact enhancement to MSLF2 investees, including to support the monitoring of investment-related climate, environmental and social impacts. This TA arm will focus on maximising the expected ecological, climate, social, gender and environmental impacts delivered by investees while ensuring the commitments made in the pre-investment phase are upheld.
125. The investment agreement with each company that receives MSLF2 funding will include provisions requiring preparation of a plan for recording GHG emissions, removals and sequestration that result from the project activities, and for tracking compliance with the approved environmental and social action plan, as well as the gender action plan for the project. Because these activities may fall outside the companies' normal operations and areas of expertise, the MSLF2 will offer TA grants to facilitate timely and consistent delivery.
126. Output 2.2 will be delivered through the following activities:

Activity 2.2.1 Deliver impact enhancement technical assistance

127. An external TA manager will manage the MSLF2 TA Facility across jurisdictions and will outsource any specialized services to contractors or implementation partners as needed.
128. This support will focus on interventions that help investee companies enhance their ability to deliver transformative climate, environmental and social benefits Indicative areas for support and estimated costs per project include:
129. **Greenhouse gas reduction, removals and sequestration** (assessment, identification of appropriate interventions, deployment planning, monitoring and reporting): estimated 80-100% of the portfolio benefitting
130. **Climate change adaptation** (assessment and plan): climate hazard and vulnerability assessments, development of climate adaptation plans - estimated 80-100% of the portfolio benefitting

[77] GCF funding will support only the NOL countries. It is envisioned that c.70% of the 10m EUR will be allocated to GCF eligible countries.
[78] EUR/USD: 1.06

131. **Gender assessment, action plan, and implementation support**: estimated 80-100% of the portfolio benefitting of the assessment and action plan; 40% of the implementation support; portfolio-level awareness raising to be provided to all projects.
132. **Biodiversity monitoring**: not relevant to all projects but for all forestry and most of agroforestry: estimated 40-60% of the portfolio benefitting
133. **Corporate governance**: post-investment, not relevant to all projects depending on maturity level: estimated 40-60% of the portfolio benefitting
134. **External communication**: post-investment, not relevant to all projects depending on maturity level: estimated 40-60% of the portfolio benefitting
135. Project developers can receive TA to conduct a diagnostic assessment to identify opportunities and entry points for gender inclusion within their organisation or their supply chain. The diagnostic will inform the Gender Action Plan development and will aim at alignment with 2X Challenge criteria (with a focus on representation in workforce, leadership, value chains, as well as risk mitigation for gender-related risks).
136. Under Component 1, an ESAP will be implemented for all MSLF2 investees. As part of the ESAP development support, TAF recipients will be offered support to conduct gender assessments and develop Gender Action Plans and to identify strategies for alignment with 2X Challenge criteria[79] during the course of the investment. The GAP implementation support will continue during post-investment. The proposed TAF process at the project-level is further detailed in the description of Activity 2.2.1 in Annex 2 – Feasibility Study.

Activity 2.2.2 Impact monitoring and long-term capacity development

137. Activity 2.2.2 will support the development of knowledge products and case studies to be disseminated to local and national governments and relevant national institutions and stakeholders to replicate. These activities help ensure that GCF support contributes to the development of coalitions and knowledge to scale up success.
138. Tasks under this activity include supporting investees to implement streamlined systems of Monitoring, Reporting and Verification (MRV) to track impacts in a manner that meets MSLF2 and GCF requirements for incremental GHG reductions, climate resilience and social inclusion, as well as alignment with corporate sustainability reporting initiatives such as the Science Based Targets Initiative (SBTi), CDP (formerly Carbon Disclosure Project) and others.
139. The day to day operational and administrative monitoring of MSLF2-supported projects will be performed primarily by the project proponents themselves, using templates and indicators that are aligned with the MSLF2 investment strategy and programme objectives, both in terms of financial returns and impacts to be delivered.
140. The MSLF2 is not intended to play the role of regulator. Once the investment is validated, the Investment Team remains responsible for the relationship with the different counterparties. The Investment Team members involved ensure the smooth transmission and coordination of the project with the Middle Office and the Risk department, which provides an independent monitoring and first level control.
141. The TAF manager and committee will also play a key role in monitoring the progress of investees and insure the adequacy of the support which is provided, in connection with the Investment team.
142. As described in the monitoring and evaluation plan, Quarterly Project Update Notices (PUN) are also produced in consultation with investees. The objective is to ensure close follow-up of the project, on both financial, technical and ESG aspects.

Activity 2.2.3 Programme-level Monitoring and Evaluation

143. Activity 2.2.3 will support programme-level data collection and reporting in line with Annex 11 – Monitoring and Evaluation Plan. Please see Section E.7 of this Funding Proposal for an elaboration of this activity.

Consideration of alternatives

144. The MSLF2 was designed based on the successes and lessons learned from Mirova's Land Degradation Neutrality Fund. The design process included a review of the LDNF's geographical focus, revenue streams, deal size and other features. The design of the MSLF2 is also informed by a thorough analysis of the barriers to climate action in the agriculture, forestry and land use sectors, and a careful consideration of potential alternative approaches. Table 10 below summarizes some of the key alternatives that were considered and rejected in the design of MSLF2.

Table 10 MSLF2 Consideration of alternatives

[79] For more information on the 2X Challenge criteria, the expected alignment, and targets for MSLF 2 see Annex 8 – Gender Assessment (page 11)

Alternative	Reason for rejection
No action – Mirova and Natixis launch a traditional fund	Agriculture and forestry businesses in developing countries unable to overcome barriers to climate action without assistance. No paradigm shift from business as usual. Slower progress to achieve national mitigation and adaptation targets.
Grants and TA support without the MSLF investment facility	Grant financing is insufficient to meet global and national adaptation and mitigation finance needs. Less alignment of incentives with commercial producers (moral hazard). Risk of crowding out private sector investment.
Investment facility without concessional blended finance and TA	Risk/return mismatch limits institutional investor appetite without de-risking from junior investors and TA facility. The resulting fund is sub-scale and cannot invest in higher-impact projects (see Annex 3).
Single-country / more limited country focus	Less diversification of investment risk. Higher per-country transaction costs means smaller, higher-risk countries more likely to be excluded.
Single-instrument facility focused on loans	Debt instruments best suited to stable, lower-risk investments. Therefore, inability to invest in newer, high-impact potential companies that require equity.
Single-instrument facility focused on equity investments	Portfolio comprised entirely of higher risk investments would require higher rates of return, potentially limiting the universe of candidate companies or else failing to reach sufficient fund size.

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

Implementation arrangements

145. Mirova will serve as the Accredited Entity (AE) for the GCF programme under the Project Specific Assessment Approach (PSAA) modality. Mirova will serve as the EE for activities relating Component 1. Mirova will partner with a third-party TA manager that will serve as Executing Entity for activities under Component 2.
146. Mirova is an investment manager dedicated to responsible investment, a principle that forms the core of the firm's DNA. Through a conviction-driven investment approach, Mirova's goal is to combine value creation over the long term with sustainable development. Mirova has more than EUR 31 billion of assets under management (as of 30 September 2024) and brings together more than 200 multidisciplinary experts, specialists in thematic investment management, engineers, financial and ESG analysts, specialists and experts in socially conscious finance and project financing. As a pioneer and leader in socially responsible investing with almost 30 years of experience, Mirova is deeply involved in the implementation of ESG investment strategies.
147. To date, Mirova is a 94.61% owned affiliate of Natixis Investment Managers, one of the largest asset management groups in the world, and 5.39% by Mirova staff. Mirova is the dedicated responsible investing affiliate of the group and is completely autonomous and independent in its corporate and investment decision-making. Natixis Investment Managers is 100% owned by Natixis, the financial services company owned 100% by the BPCE Group*, the second-largest banking group in France. This ownership structure ensures financial stability without any influence on the asset management business from the banking divisions.
148. Table 11 below provides a summary of programme-level implementation arrangements with a breakdown at the output and activity level.

Table 11 Summary of implementation arrangements

Outputs	Financing/co-financing (EUR)	Financing source	Executing Entity (EE)	Activities
Output 1.1. Scalable fund developed and capital mobilized	Total: 1,000,000 GCF: 200,000 Co-finance: 800,000	GCF Co-financing	Mirova	Activity 1.1.1 Scale the MSLF2 investment facility and fundraise private investment

Output 1.2. Fund capital disbursed to projects delivering mitigation and adaptation benefits	Total: 349,000,000 GCF: 69,800,000 Co-finance: 279,200,000	GCF Co-financing	Mirova	Activity 1.2.1. Identify portfolio companies Activity 1.2.2 Disburse capital to companies that implement climate resilient practices Activity 1.2.3 Monitor and manage financial performance
Output 2.1. Investment readiness TA delivered to candidate companies	Total: 3,000,000 GCF: 0 Co-finance: 3,000,000	Co-financing	Mirova	Activity 2.1.1 Investment roadmap and readiness coaching Activity 2.1.2 Joint pipeline development and investment roadmap review
Output 2.2. Impact enhancement via the MSLF2 TAF	Total: 10,000,000 GCF: 5,000,000 Co-finance: 5,000,000	GCF Co-financing	TA Facility Manager	Activity 2.2.1 Deliver impact enhancement technical assistance Activity 2.2.2 Impact monitoring and long-term capacity development

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

Countries need private capital to support climate action

149. The Mirova Sustainable Land Fund 2 targets investment in sustainable land management in 11countries - including 1 Least Developed Countries and African nations. In each of these countries, unsustainable agricultural production and other land use practices is a major driver of forest loss and land degradation. Forest loss and land degradation are a major source of greenhouse gas emissions, and thus have significant negative impacts on climate change, as well as biodiversity loss, and various other socio-economic impacts (further details on the impacts of forest loss and land degradation are provided in section B.1 and in the Feasibility Study).

150. Although each of the 7 countries have set targets for sustainable land management within their national climate agendas, implementation of these objectives has been challenging. In the countries and regions targeted by the MSLF2, the climate finance gap is significantly above the resources that can be supplied via government budgets. Additionally, in several instances, public finances are severely constrained due to high debt servicing requirements.

151. Public finance is finite, therefore the private sector has a critical role to play in bridging the funding gap for the transition to Sustainable Land Management practices (as well as the climate and sustainable development agenda more broadly). However, to date private investment in sustainable land management practices is well below the levels required. This is largely due to the risks faced by institutional investors in investing in sustainable land management initiatives in developing countries. International investors are currently unwilling to invest in the sector without adequate de-risking mechanisms in place.

GCF will have a catalytic effect and mobilize significant private co-financing

152. Mirova requests EUR 75 (USD 79.5 million[80]) from the GCF to help the MSLF2 reach efficient scale and accelerate climate action in the agriculture and land use sector. Of this total EUR 70 million (USD 74 million[81]) is in the form of equity, while EUR 5 million (USD 5.3 million[82]) would be a grant to support the TA Facility. Beyond the mechanistic increase in fund size, a significant junior commitment by the GCF will have a strong catalytic effect: with a junior tranche of 20%, every EUR 1 of junior money is expected to unlock EUR 4 of senior money. The junior equity portion of the LDN Fund is currently at around 21%. The MSLF2 fund aims to demonstrate that investments in agricultural and forestry projects in emerging markets are maturing and require less de-risking. A minimum commitment of 15% of junior investors has been set in the legal documentation and Mirova objective is to reduce the junior tranche of MSLF2 as much as possible as it indicates a trend towards reduced de-risking for this asset class. The split between junior and senior equity from GCF's

[80] EUR/USD: 1.06
[81] EUR/USD: 1.06
[82] EUR/USD: 1.06

commitment will be finalized at the final close of MSLF2 and will be kept at the optimal level (subject to a cap in the Term Sheet) which will help MSLF2 maximize co-investments. The goal for the successor fund of MSLF2 will be to further decrease the percentage of junior commitment.

153. Mirova anticipates a target size for MSLF2 of EUR 350 million (USD 371 million[83]) and a ceiling of EUR 500 million (USD 530 million[84]). In addition, the programme anticipates co-financing of approximately EUR 8 million (USD 8.5 million[85]) for the TA Facility. Total cofinancing is therefore approximately EUR 288 million (USD 305 million[86]) to EUR 438 million (USD 464 million[87]), yielding a co-financing:GCF ratio between 3.8:1 and 5.8:1 for MSLF2.
154. Natural capital is still a relatively nascent area of finance. Whilst there are a number of institutions active in this area, the assets they manage are well below the levels required to meet global sustainable land use targets. As such, funds such as MSLF2 are important tools to create transformational change in the land use sector. In turn, investment from the Green Climate Fund in MSLF2 is critical to the fund's activities, as the concessional capital provided by GCF is key to securing co-investment in the fund, and ensuring it reaches the scale required to achieve significant impact. In addition to the financial de-risking that GCF support provides, private investors benefit from the GCF's due diligence, strong climate objectives and the application of good practice environmental and social safeguards.
155. **Junior equity** from GCF will make this investment profile possible. Junior investors play a key role in reducing risk for senior investors, thereby unlocking private investment. This capital protection for senior investors will encourage the involvement of private investors who otherwise might have been too risk-averse to participate. This first loss financing is essential for attracting institutional investors, given the higher risks (both real and perceived) associated with sustainable land use projects in developing countries. Rather than subsidizing private profits, this model is bringing additionality. The MSLF2 operates on the principle of minimum concessionality so that it facilitates the sustainable long-term transformation of commercial finance for sustainable agriculture and forestry businesses. It must be noted that even with the GCF contribution, the targeted risk-adjusted return of SLF2 is below market expectations. Several potential investors have indicated that they would expect more than 10% net IRR for this asset class in developing countries. The GCF contribution does not allow MSLF2 to offer an "attractive" return to private investors. Instead, it contributes to offer them greater downside protection in case the portfolio underperforms. This protection is illustrated in the sensitivity analysis presented in Annex 3, this is a key element to attract private investors.
156. The GCF's commitment as a **senior equity** investor could provide an extra level of assurance for private investors and enables the fund to attain the minimum size required for their investment. Discussions with private investors have indicated that they would only consider land use and developing country investments if prominent public institutions such as the GCF, DFIs, or multilateral banks are also part of the senior tranche. Apart from the fund size, these public institutions are respected for their thorough due diligence process on fund managers, which private investors can rely on.

MSLF2 employs the correct financial instruments for effective downstream investment, with minimum concessionality

157. MSLF2 will contribute to closing the equity gap in developing countries, which is a scarcer financial resource than debt. Strengthening equity plays a catalytic role by allowing the companies to raise debt in successive fundraising rounds from local or international banks, and consequently expand their activity (e.g. increasing the area under sustainable management). Through equity or mezzanine investments the fund will be supporting more greenfield projects that usually plan a higher number of new hectares of land under sustainable productive management (vs. brownfield projects).
158. MSLF2 will also offer more flexible conditions for debt-like instruments, providing financing options that are not usually available in local markets. This is reflected through more flexible terms and conditions, typically longer tenors and grace periods. While local banks usually provide short-term funding, mostly to finance working capital (<1 year), MSLF2 will long-term funding (up to 9 years) with significant grace periods (up to 3 years). Such long-term financing is key to allow project developer to make CAPEX investments and to expand their activity or to integrate the processing part of the value chain by building a unit. This is for instance critical to expand plantations for tree crops like coffee and cocoa where first revenues are not generated before year 3 to 5.

GCF support will broaden the portfolio composition and increase positive impact

159. Without GCF commitment Mirova does not expect to reach the target fund size and fewer/smaller investments would have to be made, implying reduced climate impact potential. The GCF commitment will impact the portfolio composition by allowing MSLF2 to take more risk (and generate higher expected return).

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[83] EUR/USD: 1.06
[84] EUR/USD: 1.06
[85] EUR/USD: 1.06
[86] EUR/USD: 1.06
[87] EUR/USD: 1.06

160. Without a blended finance approach, the private sector's appetite to invest in agricultural and forestry projects in emerging markets may be limited due to various factors:

- High Risk: agriculture and forestry projects in emerging markets often face significant risks, including market volatility, political instability, and climate-related challenges. Private investors may be hesitant to take on these risks without some form of risk mitigation or financial support.

- Limited Returns: agricultural and forestry investments in emerging markets may offer lower returns compared to other sectors due to factors such as smallholder farming, limited infrastructure, and market inefficiencies. Private investors may prioritize higher-return opportunities in other sectors.

- Lack of access to capital: many agricultural and forestry projects in emerging markets require significant upfront capital investment, which may be difficult for private investors to provide on their own. Without access to additional funding sources, such as concessional or public financing, private investors may be unable or unwilling to fully finance these projects.

- Long payback period: agricultural and forestry projects often have long payback periods, especially those focused on development of new planted areas or value chain improvements. Private investors may be reluctant to commit to such long-term investments without the support of blended finance mechanisms.

161. In the absence of blended finance, these factors may deter private sector investment in agricultural and forestry projects in emerging markets, limiting the potential for sustainable development and economic growth in the sector. Blended finance can help address these challenges by providing risk-sharing, concessional capital, and other forms of support to attract and incentivize private sector investment in agricultural initiatives. Based on the experience of LDN Fund and MSLF2 fundraising, private investors have clearly indicated that they will not commit into this category of investment (agricultural and forestry projects in emerging markets) without a derisking mechanism. Private investors can find the same level of expected return through less risky investments in developed countries (such as infrastructure).

As illustrated in the financial analysis (see Annex 3) GCF commitment would also enable a riskier geographical exposure for MSLF2, which would otherwise focus on the most developed emerging countries. GCF commitment enhances MSLF2's impact by allowing the fund to invest in higher risk-higher return companies and countries. Without de-risking MSLF2's investment strategy would have reduced exposure to smaller or more illiquid markets, where exits might prove challenging.

B.6. Exit strategy (max. 500 words, approximately 1 page)

Exit Strategy

162. MSLF2 will have a closed-ended structure, with a term of 12 years to be counted from its inception and potentially to be extended for two successive periods of one year. Most of the investments will be made through self-liquidating instruments (debt-like) to avoid the exit risk.

163. The exit strategy for each portfolio company will be determined by Mirova's investment team. For equity investments, the exit options are analysed before the investment during the due diligence process. The shares sales can usually be done to a strategic buyer, such as a larger company or an investor looking to expand its presence in the region, or to the majority shareholder. Equity investments in the project may include favourable exit clauses as well as alignment clauses between shareholders (tag/drag-along and first refusal clauses) to facilitate the transfer of shares beyond predefined terms.

Sustainability and replicability

164. The MSLF2 will build on the success of the Land Degradation Neutrality Fund, which has been a pioneer and a leading player in designing, improving, and scaling high-impact investment solutions that address major global climate and environmental challenges. The LDN Fund has supported land restoration projects and programmes by investing in 13 businesses (across 14 emerging countries) within the sustainable agriculture and sustainable forestry value chains and has provided innovative solutions to address the critical issue of land degradation and climate change. A "test-and-learn" approach and continuous improvement have been applied to the deployment of the fund and this will be continued in the MSLF2.
165. The mandate of the MSLF2 is to de-risk investments at scale in agriculture and forestry value chains that demonstrate strong commitment to Sustainable Land Management practices. This approach works. The LDNF established the precedent with a junior tranche comprising 20% of that fund's capital. Once established (through Component 1), MSLF2

will leverage between c.280 million (USD 297 million[88]) in co-finance, with a hard cap for the fund of EUR 500 million (USD 530 million[89]). With the fund at this size, the MSLF2 will be able to invest at sufficient scale that actual and perceived risks are reduced, a clear track record is established, and commercial investors will confidently invest in businesses that integrate sustainable land management practices beyond the lifetime of the fund.

166. The MSLF2 is designed to sustainably overcome several overlapping barriers to climate action in the developing country agriculture, forestry and land use sectors. The programme's paradigm shift sets the stage for a "new normal" where producers have technical knowledge and networks, the ability to source inputs for sustainable production, and access to capital with a cost and tenor that make adoption of these practices a realistic and attractive option. The MSLF2 drives change across paradigm shifting pathways related to three of the GCF results areas: agriculture and food security, forests and land use, and ecosystems and ecosystem services.
167. The MSLF2 strategy for sustainability, replicability and scale-up involves ensuring that the above-mentioned barriers have been overcome convincingly, while strengthening linkages between investee companies and supply chain buyers that prioritize sustainable sourcing. MSLF2 investees will benefit from increasing global demand for sustainably produced food and fibre products. By promoting multiple sustainable certification labels, the MSLF2 stimulates positive feedback loops that make sustainable production a viable and attractive option, de-risks producer businesses and helps them provide returns for owners, investors, employees and their communities. The focus on gender inclusion via the 2X challenge further strengthens the programme's potential for sustainability and replication. Additionally, the MSLF2 TAF will provide support to portfolio companies to improve their investment readiness, operational performance, and enhance the climate, social and environmental impact of their activities.

The MSLF's successful operation and exit will make it easier for Mirova and other fund managers to raise funds that support sustainable agriculture, forestry and land use. This inherent replication potential will further increase the pool of capital available for climate action in this sector. In addition, investors who have gained experience with the MSLF2 may potentially have increased appetite for funds in adjacent sectors.

[88] EUR/USD: 1.06
[89] EUR/USD: 1.06

C. FINANCING INFORMATION

C.1. Total financing

(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)	Total amount		Currency	
	75.0		million euro (€)	
GCF financial instrument	**Amount**	**Tenor**	**Grace period**	**Pricing**
(i) Senior loans				
(ii) Subordinated loans				
(iii) Equity	70.0			
(iv) Guarantees				
(v) Reimbursable grants				
(vi) Grants	5			
(vii) Results-based payments				
(b) Co-financing information	**Total amount**		**Currency**	
	288.0		million euro (€)	
Name of institution	**Financial instrument**	**Amount**	**Currency**	**Tenor & grace**
Junior & Senior Investors	Equity	280.0	million euro (€)	years years
TA partners	Grant	3.0	million euro (€)	years years
MSLF2 TA Facility	Grant	5.0	million euro (€)	years years
(c) Total financing (c) = (a)+(b)	**Amount**		**Currency**	
	363.0		million euro (€)	

C.2. Financing by component

Please provide an estimate of the total cost per component and output as outlined in section B.3. above and disaggregate by source of financing. More than one co-financing institution can fund a single component or output. Provide the summarised cost estimates in the table below and the detailed budget plan as annex 4.

Component	Output	Indicative cost million euro (€)	GCF financing		Co-financing		
			Amount	Financial Instrument	Amount	Financial Instrument	Name of Institutions
Component 1 SLF2 Investment Facility	1.1 Scalable fund vehicle established and capital mobilized	Enter amount 350.000	Enter amount 70.00	Equity	280.00	Equity	Public and Private Investors Click here to enter text.

	1.2 Fund capital disbursed to projects delivering mitigation and adaptation benefits						
Component 2 Technical Assistance Facility	2.1 Investment readiness TA	3.0	0.00		3.0	Grants	TA Partners (such as NGOs, CSOs)
	2.2 Impact enhancement via the Mirova TAF	10.00	5.00	Grants	5.00	Grants	Other donors (Development Finance Institutions, Foundations)
Indicative total cost (EUR)		363.000	75.00		288.00		

This table should match the one presented in the term sheet and be consistent with information presented in other annexes including the detailed budget plan and implementation timetable.

In case of a multi-country/region programme, specify indicative requested GCF funding amount for each country in annex 17, if available.

168. Annex 17 presents an indicative and non-binding estimate of GCF funding amounts for each country.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?	Yes ☒ No ☐
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☐ No ☒

If the project/programme is expected to support capacity building and technology development/transfer, please provide a brief description of these activities and quantify the total requested GCF funding amount for these activities, to the extent possible.

169. GCF financing will support help strengthen investee company capacity to deliver, monitor and report on the sustainable development benefits associated with programme investments. These capacities, including gender mainstreaming, soil and carbon monitoring, water resource and hydrological monitoring, lie outside the standard operational requirements of commercial operations in the agriculture and forestry sectors in development countries. GCF support will contribute also to monitoring, evaluation and learning, and to knowledge sharing. EUR 5.0 million (USD 5.3 million[90]) is requested from GCF for these activities, to be matched by EUR 5.0 million (USD 5.3 million[91]) of cofinancing from Mirova to financed activities under Output 2.2.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's Initial Investment Framework.

D.1. Impact potential (max. words, approximately 1 page)

Describe the potential of the project/programme to contribute to the achievement of the Fund's objectives and result areas. As applicable, describe the envisaged project/programme benefits for mitigation and/or adaptation. Provide the intended outcomes for mitigation by elaborating on how the project/programme contributes to low-emission sustainable development pathways. Provide the intended outcomes for adaptation by elaborating on how the project/programme contributes to increased climate-resilient sustainable development. Calculations should be provided as an annex. This should be consistent with section E.3 reporting GCF's core indicators.

170. The programme expects to achieve the following climate impacts for the investments supported by the GCF financing :

17.2 million tonnes CO_2 removed and sequestered

63,000 climate and economically resilient farmers

105,000 ha under sustainable land use

171. As noted in appendix 1 of the Feasibility Study (Annex 2), the land use and forestry sectors are significant contributors to GHG emissions in Mirova's target countries, even as climate change threatens the continued productivity of these sectors. The Mirova Sustainable Land Fund II will help target countries achieve their mitigation and adaptation goals and support companies to embrace climate action. The Fund's focus on regenerative agricultural practices, sustainable forestry, agroforestry and conservation agriculture will contribute to increased climate resilience, reduced emissions and increased sequestration. and support companies to take climate action.
172. MSLF2 investments in the sustainable agriculture sector will improve soil health and fertility and enhance water retention and carbon sequestration. This will result in several adaption benefits for the beneficiaries and income increase. For instance, climate resilient farming methods will help diversify agricultural production and the source of revenues for smallholder farmers. In addition, the promotion of heat- and drought- tolerant crops will reduce the production risk related to climate risk, while facilitating market access and increasing the climate economic resilience of the farmers. Agroforestry projects will increase sequestration in perennial biomass and reduce emissions due to soil disturbance. Projects will improve climate resilience by reducing soil erosion, increase soil organic carbon, and improve water management. Likewise, investments in the sustainable forestry sector will support best-in-class commercial reforestation/afforestation projects that employ a landscape mosaic approach and that help protect and restore degraded lands, with a forest management plan for at least 10 years. Mirova will further contribute to a reduction in value chains' direct and indirect carbon footprints though improved practices, the adoption of renewable energy and energy efficiency for processing and equipment, and a switch to lower carbon inputs, packaging and transport.
173. Please see Annex 22 (mitigation calculations) and Annex 23 (beneficiary calculation methodology) for further details on the MSLF2 climate impact potential.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

174. The MSLF2 is designed to sustainably overcome several overlapping barriers to climate action in the developing country agriculture, forestry and land use sectors. Under business-as-usual, companies are locked into traditional, high-emissions and maladaptive agricultural and forestry production models. Despite the resultant climate and environmental challenges, businesses and their investors consider business-as-usual a lower-risk option than lower-emission and more climate resilient approaches. The MSLF2 programme's paradigm shift sets the stage for a "new normal" where producers have technical knowledge and networks, the ability to source inputs for sustainable production, and access to capital with a cost and tenor that make adoption of these practices a realistic and attractive option.
175. At the market level, Mirova will provide a proof of concept via MSLF2 to change investors' perception about the bankability of the SLM sector. This model is based on Mirova's previous experience transforming investment in the sustainable energy sector, which was seen as higher risk a decade ago and is now considered mainstream. The Fund's activities should have a positive demonstration effect, helping to develop the nascent sustainable land use investment market. As the market gradually matures and demonstrates success, new investors and companies will enter and contribute, further validating the investment case for MSLF2 investees, and attracting increasingly mainstream investors. This paradigm shift could turn sustainable land use investments into a mainstream asset class. The market opportunity is huge, because sustainably managing land and rehabilitating degraded land is the only viable option for the world's growing population to sustain itself. It just requires new thinking and new financial vehicles to pioneer the approach, which can develop a good track record to attract others.
176. The success of MSLF2 investments in general will encourage other investors to enter the sustainable land use market, while specific projects can be replicated. MSLF2 aims to select best-in-class business models across various geographies and land use sectors. Models that demonstrate robust financial performance and positive E&S benefits can then be used by other project developers, greatly increasing the scale of positive impacts.
177. MSLF2 will be the second of several vintages, of increasing size. It is designed to be bigger than the first LDN Fund. The success of MSLF2 would continue such dynamics and create a track record that would attract investors to the successive vintages. Future vintages are expected to have a progressively lower junior capital buffer, as increasing track record lowers risk receptions. This means that as well as being larger, the funds will have a greater percentage of senior investors, increasing the level of private investment in sustainable development.
178. The MSLF2 drives change across paradigm shifting pathways related to three of the GCF results areas: agriculture and food security, forests and land use, and ecosystems and ecosystem services. Tables 4, 5 and 6 below summarize the programme's paradigm shift potential.

Agriculture and Food Security							
		Transformational Planning & Programming	**Catalyzing Climate Innovation**	**Mobilization of Finance at Scale**		**Coalitions & Knowledge to Scale Up Success**	
Paradigm - Shifting Pathways	**Promoting Resilient Agroecology**	Technical assistance to mitigate risks of maladaptation and maximize joint adaptation-mitigation synergies Ensuring projects are responsive to the needs of farmers, women and vulnerable groups Investment pipeline development	Promoting new business models that incentivize low-emissions resilient inputs, practices & technologies Promoting adoption of climate responsive technologies, services and practices	Provision of equity, debt and mezzanine investment for agricultural producers and value chain actors	Use of blended finance to mobilize private finance at scale Technical investment assistance Rigorous ESG impact measurement	Transparent ESG reporting and establishment of knowledge platforms for sharing good practices, lessons learned and success stories Promoting successful business models for scaling resilient and low-emission agriculture	Monitoring, evaluation & learning to inform scaling Promoting public awareness & capacity building for scale
	Reconfiguring food systems	Using minority equity investments as a lever to catalyze high-impact adaptation & mitigation in sustainably productive food systems	Promoting agroforestry and climate resilient varieties and approaches to build resilient food systems	Capitalization of investment vehicle focused on sustainable agriculture and forestry	Mobilization of national & global funds through capital markets	Technical assistance to support private sector actors to mainstream climate risk in their business models, internal policies and investments	

Table 12 Drivers of paradigm shifting pathways – agriculture - Source Mirova

Forests and Land Use							
		Transformational Planning & Programming	**Catalyzing Climate Innovation**	**Mobilization of Finance at Scale**		**Coalitions & Knowledge to Scale Up Success**	
Paradigm - Shifting Pathways	Protecting natural forests and landscapes	Protecting forested ecosystems containing irrecoverable carbon (intact forests, peat lands)	Incorporating forest and landscape protection objectives into investment agreements with commercial producers	Provision of equity, debt and mezzanine investment for agricultural and forest producers employing sustainable techniques	Use of blended finance to mobilize private finance at scale	Transparent ESG reporting and establishment of knowledge platforms for sharing good practices, lessons learned and success stories	Monitoring, evaluation & learning to inform scaling
	Restoring degraded forests and other landscapes	Using equity and debt investments as a lever to derive commercial value from restoration of degraded forests and other landscapes	Supporting the application of PES (e.g., carbon credits) to increase the financial viability of projects, where appropriate	Payments and incentives for ecosystem services	Technical investment assistance Rigorous ESG impact measurement	Promoting successful business models for scaling resilient and low-emission forest enterprises	Promoting public awareness & capacity building for scale
	Sustainable management of productive forest landscapes	Development of value chains based on sustainable management of productive forest landscapes (e.g. NTFPs)	Supporting the adoption of forest crops that can be grown in agroforestry systems on marginal, degraded land	Capitalization of private investment vehicle focused on climate & natural capital	Mobilization of national & global funds through capital markets	Technical assistance to support private sector actors to mainstream climate risk in their business models, internal policies and investments	

Table 13 Drivers of paradigm shifting pathways - forests and land use - Source Mirova

Ecosystems and Ecosystem Services							
		Transformational Planning & Programming	**Catalyzing Climate Innovation**	**Mobilization of Finance at Scale**		**Coalitions & Knowledge to Scale Up Success**	
Paradigm - Shifting Pathways	Ecosystem-based management of terrestrial and freshwater ecosystems	Participatory multi-stakeholder processes and effective demonstration of "free, prior and informed consent" (FPIC) Support for ecosystem-based solutions improving NDCs	Leverage equinvestments to promote businesses based on production that maintains and enhances conservation areas	Provision of debt, equity and messaine investment for agricultural producers Payments and incentives for ecosystem services	Use of blended finance to mobilize private finance at scale Technical investment assistance Rigorous ESG impact measurement Mobilization of national & global funds through capital markets	Transparent ESG reporting and establishment of knowledge platforms for sharing good practices, lessons learned and success stories Promoting successful business models for scaling resilient and low-emission agriculture	Monitoring, evaluation & learning to inform scaling Promoting public awareness & capacity building for scale

Table 14 Drivers of paradigm shifting pathways – ecosystems - Source Mirova

179. The MSLF2 strategy for sustainability, replicability and scale-up involves strengthening linkages between investee companies and supply chain buyers that prioritize sustainable sourcing. By promoting multiple sustainable certification labels, the MSLF2 stimulates positive feedback loops that make sustainable production a viable and attractive option, de-risks producer businesses and helps them provide returns for owners, investors, employees and their communities

D.3. Sustainable development (max. 500 words, approximately 1 page)

180. The MSLF2 will directly contribute to SDGs 8, 13 and 15 as detailed below. The programme aims to support the forestry and agriculture sectors' contribution to achieve the 1.5°C objective under the Paris Agreement, while addressing an increasing demand for food and fibre products and preserving and restoring land, biodiversity and enhancing local communities' livelihood opportunities. In doing so, the proposed programme will deliver significant environmental, social, economic and gender-sensitive co-benefits.

SDG 8: Decent work and economic growth

8 DECENT WORK AND ECONOMIC GROWTH

The investment readiness and impact maximisation support provided under Component 2 will enable agriculture and forestry-based businesses in target countries to uphold the highest production standards and increase revenue to offer more resilient livelihood opportunities to at least 63,000 farmers (direct beneficiaries) and 251,000 indirect beneficiaries.

SDG 13: Climate action	13 CLIMATE ACTION	MSLF2's key contribution to SDG 13 includes the removal and/or sequestration of 17.2 $MtCO_2$ over the programme's lifetime from the agriculture, land use and forestry sectors, through the implementation of climate resilient and soil restorative practices by producers.
SDG 15: Life on land	15 LIFE ON LAND	By supporting land and forest restoration and conservation and promoting the sustainable use of land resources, the MSLF2 will directly contribute to the preservation of ecosystems which support a number of key animal and plant species that are essential to terrestrial food production.

181. **Environmental co-benefits**: Further to their contribution to SDG 15, investments under MSLF2 will include conditional covenants to the lending agreements relating to the preservation of natural cover and conservation areas. A minimum target of 10% of agricultural land and 20% of forests in the total portfolio will need to be safeguarded as conservation or "unproductive" zones, creating buffer zones and biodiversity hotspots. Sub-project Biodiversity Plans will also include specific measures to protect endangered species and native flora and fauna, as appropriate.
182. **Social co-benefits**: The MSLF2 supports long-term quality employment and sustainable livelihoods for farming communities. Associated co-benefits will be achieved through improvements in labour and working conditions, with a special attention to seasonal and daily workers throughout the employment cycle (validated by third-party social audits such as SMETA[92]). Additionally, living wage assessments will be conducted for investees complying with the Rainforest Alliance certification, with a covenant to close pay gaps within 3 years. As a result of these commitments, a total of 63,000 farmers will benefit from more resilient and economically sustainable livelihoods, as well as 7,000 direct workers contracted over the Fund's lifetime in NOL countries.
183. **Economic co-benefits:** Through its approach combining concessional financing and technical assistance, the MSLF2 will increase productivity at the farm and landscape-levels, which in turn will increase income for farmers and revenue for agriculture and forestry-based businesses engaging in sustainable production. Thanks to support via the TA Facility under Component 2, the share of sustainably-produced foods and fibres will be increased, with dedicated support to facilitate access to higher-yielding markets through certification support. This will generate significant, although uncountable, economic co-benefits.
184. **Gender-sensitive development impact**: The MSLF2 programme will also contribute to the achievement of SDG 5 – *Gender equality* by supporting investees with the development of Gender and Social Inclusion Plans in alignment with the 2X standard. As detailed in Annex 8 – Gender Assessment and Action Plan, a target of 50% of the overall MSLF2 portfolio aligned with the 2X criteria is envisioned. This will be enabled by the investment readiness support provided to candidate investees under Component 2 to formulate project-level Gender Analyses and Action Plans (GAAPs). The research conducted for the preparation of Annex 8 (Gender Assessment and Action Plan) revealed that women in the MSLF2 target countries are faced with gender related barriers preventing them to fully participate and benefit from agriculture and land-use investments. The fundamentals of the MSLF2 strategy are to invest in sustainable land-use projects and companies in the forestry and agriculture sectors, while targeting positive impacts in terms of climate mitigation and adaptation as well as co-benefits in biodiversity protection, community inclusion and gender equality.

5 GENDER EQUALITY

185. The MSLF2 will contribute to SDG5 – to achieve gender equality and empower all women and girls. The MSLF 2 will aim at contributing to the achievement of Target 5.5: "Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision-making in political, economic and public life" by tracking the proportion of women in managerial positions.
186. The project will also indirectly contribute to end forms of discrimination against women through the support provided to investee companies and their application of inclusive workplace policies and practices (Target 5.1 of SDG 5). Companies will be incentivised to hire women at all levels and to track women participating in their value chains, and to adapt their policies and practices so that they can meet workforce's diversity targets. Further, in alignment with Mirova's strong ESG approach, the programme will also strive to contribute to the

[92] Sedex Members Ethical Trade Audit.

elimination of violence against women by supporting companies to develop strong GBV prevention and SEAH prevention mechanisms (Target 5.2).

D.4. Needs of recipient (max. 500 words, approximately 1 page)

187. In each of the 7 GCF-eligible countries targeted for MSLF2 investment, the agriculture, forestry and land use sectors are important contributors to food security and economic growth. In most cases, these sectors are the biggest source of employment. Table 15 (below) highlights the contribution of the agriculture sector to employment and national GDP in each of the 7 countries, as well as (where data is available) highlighting the climate finance needs for the AFOLU sector in each country. Climate change is already having an impact on the productivity of the AFOLU sector. One-third of the target countries are in Africa, a region with particularly high exposure and vulnerability to climate impacts. Without support for a significant shift towards more sustainable and climate resilient land use practices, the vulnerability of farmers and communities who depend on the AFOLU sector is projected to increase in the coming decades. The exact nature of current and projected climate trends, drivers of vulnerability and impacts varies between and within countries. Analysis at the country level is presented in detail in the Feasibility Study (Annex 2) – see Appendix 1.1 *Climate trends and projections*.

Table 17 – Contribution of the agriculture sector to employment and GDP, and climate finance needs for the AFOLU sector and current flows in MSLF2 target countries.

Country	Population Employed in Agriculture[93]	Agriculture as share of GDP[94]	Total cost of implementation of AFOLU sector NDC objectives	Climate finance to AFOLU projects received to date (USD)
Costa Rica	13.3%	3.8%	Data unavailable	Insufficient data
Côte d'Ivoire	48%	14.4%	USD 10 billion dollars for mitigation component USD 12 billion dollars for adaptation[2].	Insufficient data
Ghana	35.9%	21.1%	USD 9.3 billion and USD 15.5 billion for all adaptation. AFOLU requirement not specified.	The AFOLU sector received 28% (USD 235 million) of total climate finance investment.[3]
Malaysia	10%	7.8%	Data unavailable	Insufficient data
Morocco	29.3%	11.1%	The total estimated cost for NDC mitigation measures is USD 38.8 billion, with USD 21.5 billion allocated to conditional measures.	Insufficient data

[93] Source : International Labour Organisation – ILOSTAT Database – Country Profiles. This database allows filtering by country. In this column the percentages shown are from the field titled 'Share of agriculture (%)'. For each country the data is from the most recent available year.

[94] Source : World Bank Data
To find the data, apply the filters for 'Agriculture, forestry, and fishing value added (% of GDP)' and the name of the relevant country. For each country the data in this table was from 2023 – the most recent available year at the time of preparing this table.

			The cost to implement adaptation measures across NDC priority sectors is estimated to be nearly US$40 billion. According to Morocco's BUR, sectoral investment needs include USD 1.278 billion for agriculture and USD 359 million for forestry by 2030	
Peru	24%	7.2	According to the BUR achieving Peru's climate objectives in the agriculture sector will require approximately USD 1.5 billion per year until 2030.	Insufficient data
The Philippines	22.8%	9.6%	Estimated cost to implement climate change mitigation is at USD 4.12 billion from 2015 to 2030, not including the costs for the Philippines to reach its Nationally Determined Contribution (NDC) goal of 75% GHG emissions reductions and avoidance.	Insufficient data

188. As noted in Annex 8 (Gender Assessment and Action Plan), the impacts of climate change are not gender neutral. Many poor people, especially women, girls, and indigenous peoples, depend heavily on the natural resources that are threatened by land degradation and deforestation, and these are worsened by climate change. Almost 80% of employed women in least-developed countries rely on agriculture as their primary livelihood and women represent the majority of people who rely on land in regions affected by desertification, land degradation and droughts.[95] The literature on this topic in fact illustrates a strong link between gender and land because these are closely tied to gender biases in land rights, access to resources and incentives, opportunities to participate in decision-making, and the distribution of costs/benefits of projects targeting land improvement.

Economic and social development level of the country and the affected population

[95] Namubiru-Mwaura, E. 2021. Gender and Land Restoration. UNCCD Global Land Outlook Working Paper. Bonn. Available at https://www.unccd.int/sites/default/files/2022-03/UNCCD%20GLO%20WP%20gender.pdf

189. Of the 7 eligible NOL countries targeted for MSLF2 investment, three are in Africa. More detailed analysis of the socio-economic context in each of the target countries is provided in the Feasibility Study.

Absence of alternative sources of financing (e.g. fiscal or balance of payments gap that prevents government from addressing the needs of the country; and lack of depth and history in the local capital market)

190. Estimated climate finance needs for each of the regions targeted for MSLF2 investment are consistently high. Country Nationally Determined Contributions and National Adaptation Plans emphasize the need for increased investment in the agriculture, forestry and land use sectors to meet national ambitions for climate mitigation and adaptation. In the countries and regions targeted by the MSLF2, the climate finance gap is significantly above the resources that can be supplied via government budgets. In several instances, public finances are severely constrained due to high debt servicing requirements. Based on debt sustainability analysis by the World Bank and IMF, several of the countries in the MSLF2 programme are at moderate to high risk of debt distress, and one (Ghana) is already in debt distress. Given the size of the investment gap and the finite resources of both domestic governments and international public finance, a significant amount of funding for the transition to sustainable land use practices will need to come from the private sector.

191. However, private investment in sustainable land management practices in each of the target countries remains below the levels required. The World Bank's "Ease of Doing Business" rankings indicate that international investors assign a risk premium to the target countries; this premium is even higher for the AFOLU sector, given its vulnerability to extreme weather and other factors. As noted in the barrier analysis (see Section B.1), international investors are unwilling to commit to the sector without significant de-risking. Meanwhile, local commercial lenders focus on short-term cash flow financing rather than the longer-term finance required to transform agriculture and forestry practices.

192. Given the limited availability of public finance and the limited appetite of private investors to finance the transition to Sustainable Land Management practices, funds such as MSLF2 are important tools to create transformational change in the land use sector. In turn, investment from the Green Climate Fund in MSLF2 is critical to the fund's activities, as the concessional capital provided by GCF is key to securing co-investment in the fund, and ensuring it reaches the scale required to achieve significant impact.

193. In each of the 7 countries, investments made by MSLF2 will contribute to transforming land use practices to more sustainable methods, by financing agricultural production models that preserve and restore ecosystems and the climate, while fostering social inclusion, health, and wellbeing. Investments made by MSLF2 will also demonstrate the financial viability of investing in sustainable land management practices, thus reducing current perceived and actual risks and laying the groundwork for investment at scale (particularly from the private sector).

194. Investments made by MSLF2 will demonstrate both the financially viability and positive climate and environmental benefits of sustainable land management practices. This will lay the groundwork for investment at scale in SLM practices in the countries and regions that the fund is targeting.

Need for strengthening institutions and implementation capacity

195. The increased emphasis on international supply chain traceability highlights the importance of professionalizing the operations of producers and farmers in the agriculture, forest and land use sectors in developing countries. While individual, forward-thinking producers may be able to meet these requirements, there is limited institutional capacity to integrate these approaches into companies' standard business practices. This leads to lost revenue opportunities and reduced ability to continue investing in sustainable production approaches. The MSLF2 TA Facility will provide support to portfolio companies and build their capacity –to meet the requirements for investment, comply with relevant supply chain traceability requirements, and to monitor and report on critical environmental and social impact metrics (see Section B.3 of this funding proposal).

D.5. Country ownership (max. 500 words, approximately 1 page)

Alignment with national strategies and GCF Country Programmes

196. Appendix 1.5 of Annex 2 – Feasibility Study details the MSLF2's alignment with national climate and sectoral policy frameworks and regulations for each of the 7 target GCF countries. This in-depth analysis includes the programme's contribution to individual GCF Country Programmes as applicable, and contribution to targets key mitigation and adaptation tools such as Nationally Determined Contributions (NDCs) and National Adaptation Plans and Plans of Action (NAPs/NAPAs). Although disparities exist among target countries in terms of their institutional capacity and the enabling environment for sustainable agriculture and forestry production, all countries display adequate frameworks and commitments to facilitate the deployment of MSLF2 in support of the AFOLU sector.

Engagement with NDAs and other key stakeholders

197. Mirova has had continuous engagement and dialogue with NDAs since the beginning of programme development to ensure country ownership. From the start of the Concept Note and Funding Proposal preparation process, Mirova has conducted outreach via email and teleconference to share information about the MSLF2, and request information on individual countries' priorities, as well as requirements for obtaining Non-Objection Letters (NOLs). The list of participating countries will be finalized prior to the targeted Board Meeting publication deadline. In addition to NDAs, key stakeholders (government line ministries, national institutions, CSOs and NGOs, women's groups) from the target countries were invited to two rounds of webinars. The first series of webinars presented the proposed programme and fund structure and sought initial feedback and comments from NDAs, while the second round included a multi-stakeholder Q&A session. Webinars were held in English, French, and Spanish between February and March 2024. In addition, Mirova has publicized the MSLF2 programme on its website and issued a call for stakeholder input[96]. All questions, comments and feedback are logged in a tracker and the input used to continuously refine the programme design. This detail can be found in Appendix 2 of Annex 7 – Summary of Stakeholder Consultations and Stakeholder Engagement Plan.

198. During the implementation phase, country ownership will be ensured at both fund and investment level via ongoing engagement and dialogue with relevant stakeholders. At the fund-level, a stakeholder engagement plan has been developed, detailing the roles and influence of relevant stakeholders, and associated engagement activities and responsibilities. Key stakeholders for this ongoing engagement at fund-level include TA delivery partners, certification bodies and membership-based bodies such as 2X, public and private investors, and global supply chain actors. At the investment level, country ownership includes engagement with local businesses to ensure that proposed interventions are suited to the local context. Investment and TA support will be conditional on the development and implementation of a stakeholder engagement plan that includes engagement with vulnerable groups as appropriate, and describes processes for establishing meaningful and informed engagement and consultation. This detailed process is described in Annex 7 – Summary of Stakeholder Consultations and Stakeholder Engagement Plan.

199. Mirova is committed to ensuring that investments made through MSLF2 are aligned as closely as possible with the climate and sustainable development priorities of the relevant country. Mirova recognises the importance of maintaining regular communication with National Designated Authorities (and other relevant ministries) in each of the programme countries and proposes the following approach:
   - Mirova will share annual updates on the investment portfolio in each country, and investment readiness and impact enhancement TA provided to companies and other stakeholders.
   - Mirova will monitor each country's published climate policy and programme documents to ensure continued alignment. Additionally, to ensure complementarity with new projects and initiatives, Mirova invites the NDA to keep it informed of new developments.
   - Mirova will participate in calls requested by the NDA to share updates and perspectives.

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

[96] https://www.mirova.com/en/news/request-stakeholder-engagement-mirova-sustainable-land-fund-2

200. Mirova requests EUR 75 million (USD 79 million[97]) from the GCF to help the MSLF2 reach efficient scale and accelerate climate action in the agriculture and land use sector. Of this total EUR 70 million (USD 74 million[98]) is in the form of junior and senior equity, and EUR 5 million (USD 5.3 million[99]) would be a grant to support the TA Facility. Beyond the mechanistic increase in fund size, a significant junior commitment by the GCF will have a strong catalytic effect: for instance with a target junior tranche of 20% on average, every EUR 1.0 of junior money is expected to unlock EUR 4 of senior money. Mirova anticipates a target size for MSLF2 of EUR 350 million (USD 371 million[100]) and a ceiling of EUR 500 million (USD 530 million[101]). Total cofinancing for Component 1 and 2 is therefore EUR 288 million (USD 305 million[102]) to EUR 438 million (USD 464 million[103]), yielding a cofinancing GCF ratio between 3.8:1 and 5.8:1. As a result of GCF support, MSLF2 is expected to yield GHG emission reductions of at least 17.2 $MtCO_2e$ over the investment period, and provide enhanced climate resilience for 63,000 direct and 251,000 indirect beneficiaries. For downstream investments MSLF2 will normally have a concentration limit of 50% as a target. This yields a downstream leverage ratio of 7.8:1.
201. Adequacy of financial structure to address objectives: The objective is to keep the junior ratio at a minimum level, even if the final ratio will reflect the different investors constraints. A minimum 15% of junior is included in MSLF2 legal documentation. This minimum has been set considering private investors' feedback: institutional investors (such as pension funds or insurance companies) still consider land-use investments in emerging countries as nearly impossible to finance without a derisking mechanism.
202. It is the intention and the target of Mirova to keep this junior tranche at the minimum level possible as (i) junior funding is a scarce resource and senior capital is easier to raise for Mirova, which has already demonstrated its capacity to mobilize private sector at scale in senior shares through the LDN Fund, and (ii) Mirova's objective is to prove the viability of the asset class by launching successive funds with progressively reduced junior shares, which will be the key to scale-up the fund sizes.
203. Several prospective senior investors (private or DFIs) have nevertheless challenged this minimum level of 15%, requiring a higher protection level. Mirova may also need to integrate constraints from some junior investors that may not be able to invest in all target countries and/or sectors of MSLF2 targets, while other junior investors will require to be exposed to the whole portfolio.
204. It is anticipated that the junior tranche will therefore represent c.20 % of MSLF2 at final close even if the target of Mirova is to be closer to 15 %(floor) and the worst case scenario would be at 25% (cap). Such cap reflects the combination of (i) potential requirements of some senior investors to have a minimum protection of 20% for all investments and (ii) potential investment restrictions (country/sector) from some juniors investors.
205. We believe that the junior could be decreased for future successor funds. However, to date, a lower junior percentage would imply a significant change of the investment strategy. At the same time, a senior investment by GCF helps ensure that fund operates at an efficient scale, while minimizing the required concessionality of GCF support. A sub-scale fund would experience less diversification, less economies of scale, and less ability to crowd-in institutional investors who have concentration limits regarding how much of the fund is comprised of their money versus other sources. Therefore, GCF investment in the senior tranche is a vote of confidence that MSLF2 can generate attractive returns for commercial investors.
206. Justification of financial instruments and commercial terms: MSLF2 will offer long-term debt, debt-like instruments and equity investments. Equity investment targets companies at an earlier development stage but already generating a strong social and environmental impact and poised for growth. Mezzanine investments are intended for companies in the growth phase with an established operational track record and planning on scaling-up high impact projects. Senior secured debt is designed for companies with a strong operational and financial track record, characterized by a lower risk profile.

207. Equity investment from GCF will make this investment profile possible. First-loss money is a scarce resource, and the current fundraising pipeline shows limited junior availability for MSLF2. Without GCF commitment Mirova does not expect to reach the target fund size and less investments will have to be made, implying reduced climate impacts. The GCF commitment will impact the portfolio composition by allowing MSLF2 to take more risk

[97] EUR/USD: 1.06
[98] EUR/USD: 1.06
[99] EUR/USD: 1.06
[100] EUR/USD: 1.06
[101] EUR/USD: 1.06
[102] EUR/USD: 1.06
[103] EUR/USD: 1.06

(and expect higher return). In the absence of GCF investment (and a substantial junior tranche), private investors will not agree to finance the riskiest projects, which are also the most impactful. Deploying the fund through more risky investments will maximize climate impact through the following aspects:

- By providing more equity (vs. lower risk financings in debt) to companies, SLF2 will contribute to closing the equity gap in developing countries, which is a scarcer financial resource than debt. Strengthening equity plays a catalytic role by allowing the companies to raise debt in successive fundraising rounds from local or international banks, and consequently expand their activity (e.g. increasing the area under sustainable management). Through equity or mezzanine investments the fund will be supporting more greenfield projects that usually plan a higher number of new hectares of land under sustainable productive management (vs. brownfield projects)
- MSLF2 will also offer debt-like instruments, riskier than the ones provided by local banks or more mainstream investors. This is reflected through more flexible terms and conditions. Whereas local banks usually provide only short-term funding, mostly to finance working capital (<1 year), MSLF2 will offer longer tenor (maturity up to 10 years) and grace periods. It allows the project developer to make CAPEX investments to expand their activity or to integrate the processing part of the value chain by building a unit.
- As illustrated in the financial analysis (see Annex 3), GCF commitment would also enable a riskier geographical exposure for MSLF2, which will otherwise focus on the most developed emerging countries. As least developed countries are usually more vulnerable to climate change, investing in such countries is key.

208. <u>Minimum concessionality</u>: The MSLF2 operates on the principle of minimum concessionality so that it facilitates the sustainable long-term transformation of commercial finance for sustainable agriculture and forestry businesses. It must be noted that even with the GCF contribution, the targeted risk-adjusted return of SLF2 is below market expectations. Several potential investors have indicated that they would expect more than 10% net IRR for this asset class in developing countries. The GCF contribution does not allow MSLF2 to offer an "attractive" return to private investors. Instead, it contributes to offer them greater downside protection in case the portfolio underperforms. This protection is illustrated in the sensitivity analysis presented in Annex 3, this is a key element to attract private investors.

209. <u>Cost-effectiveness</u>: Based on experience and *ex ante* emission reduction estimates (see Annex 22), a fund size of EUR 245 million (USD 260 million[104]) in NOL countries will aim to achieve climate mitigation impacts of <u>17.2</u> million tonnes CO_2e removed and sequestered, for an indicative mitigation cost of EUR 14/tCO_2e (USD 15/tCO_2e). If the fund successfully reaches its ceiling of EUR 500 million (USD 530 million[105]) this would catalyse emission reductions of 35.7 million tonnes CO_2e at the total fund level (including GCF and non-GCF countries). This indicative abatement cost compares favourably to both the shadow price of carbon as estimated by the World Bank[106] and also the market price for verified emission reductions in the carbon markets. This same investment is expected to result in 210,000 ha under sustainable land use, for an indicative cost of EUR 2,333/ha (USD 2,473/ha[107]).

210. The MSLF2 will achieve further cost-effectiveness by leveraging the existing resources and commitments of TA partners across its global network to identify target investments and support those businesses to become bankable. This approach, funding almost entirely via cofinancing, reduces duplication and enhances complementarity and coherence with existing project preparation support facilities.

[104] EUR/USD: 1.06
[105] EUR/USD: 1.06
[106] For the MSLF2 expected implementation period, the World Bank's 2017 study estimated the shadow price at between USD 45 - USD 89 in 2025 and between USD 73 – USD 146 in 2047. https://thedocs.worldbank.org/en/doc/911381516303509498-0020022018/original/2017ShadowPriceofCarbonGuidanceNoteFINALCLEARED.pdf
[107] EUR/USD: 1.06

E. LOGICAL FRAMEWORK

This section refers to the project/programme's logical framework in accordance with the ***GCF's Integrated Results Management Framework*** *to which the project/programme contributes as a whole, including in respect of any co-financing.*

E.1. Project/Programme Focus

Please indicate whether this proposal is for a mitigation or adaptation project/programme. For cross-cutting proposals, select both.

☒ Reduced emissions (mitigation)

☒ Increased resilience (adaptation)

E.2. GCF Impact level: Paradigm shift potential (max 600 words, approximately 1-2 pages)

This section of the logical framework is meant to help a project/programme monitor and assess how it contributes to the paradigm shift described in section D.2 above by applying three assessment dimensions - scale, replicability, and sustainability.

Accordingly, for each assessment dimension (see the definition per assessment in the accompanying guidance note), describe the current state (baseline) and the potential scenario (target) and rate the current state (baseline) by using the three-point-scale rating (low, medium, and high) provided in the guidance note. Also describe how the project/programme will contribute to that shift/ transformation under respective assessment dimensions (scale, replicability and sustainability). In doing so, please refer to section B.2(a) (theory of change).

Assessment Dimension	Current state (baseline)		Potential target scenario (Description)	How the project/programme will contribute (Description)
	Description	Rating		
Scale	Long-term concessional commercial financing for sustainable agriculture and forestry practices is currently scarce. A limited number of private investors are willing to take the risk to invest in these models due to an insufficient risk/return ratio. Additionally, many financing institutions do not possess the capacity to adequately assess the bankability of these investments as	<u>Low</u>	Initiated with the LDNF, Mirova aims to scale-up the potential of the MSLF2 by mobilizing junior capital from public institutions in order to de-risk senior investment from larger private investors. With a target fund size of EUR 350 million (fund cap of EUR 500 million), capital mobilization under the MSLF2 would more than double the achieved fundraising of the LDNF. MSLF2 investors and local banks will have greater exposure and confidence to	The MSLF2 will contribute to demonstrating the financial viability of sustainable agriculture and forestry production from a commercial perspective, and to establish precedents for financing these business models. As part of the paradigm shifting potential described above, MSLF2 will strengthen linkages between producers and global supply chain buyers by supporting enhanced traceability to achieve the highest production, climate and E&S standards available for certification.

	well as their climate, social and environmental benefits. Information and data on the economic viability and impact potential of regenerative agriculture and forestry production practices is limited due to the recent nature of these investments, thereby restricting the ability of high-potential companies to seek investment from financing sources at attractive rates.		invest in the sustainable agriculture and forestry sector at scale.	Additionally, by providing impact enhancement support to investee companies, the MSLF2 will contribute to the upscaling of business models with built in monitoring and reporting systems for benefits and co-benefits in climate adaptation and mitigation, biodiversity, gender equality and social inclusion. This assistance will ensure that the highest standards can be upheld at the company-level without compromising on rentability.
Replicability	The replication of sustainable agriculture and forestry businesses is hampered by the perceived or actual insufficient risk/return ratio to finance the costs associated with the transition from unsustainable to regenerative production practices. Investors seeking exposure to this space must repeatedly “start from scratch”, learning the same lessons and slowing replication. Companies in emerging markets have limited access to reliable information on the economic, social, environmental and climate benefits of implementing climate-resilient agroecological measures at the company and landscape-levels.	<u>Low</u>	The MSLF2 generates reliable data, information and processes for the assessment, implementation and monitoring of sustainable agriculture and forestry business models, which enables the replication of such investments in developing country contexts. This paradigm shift would deliver exponential results in terms of climate change mitigation and adaptation, in addition to generating significant social, environmental and gender-sensitive co-benefits.	By demonstrating the financial viability of incorporating high standards of environmental and social sustainability, the MSLF2 will initiate a virtuous cycle of successful investments that will attract further financing to this space. In line with the experience of the LDNF, data and information relating to all MSLF2 investments will be compiled in case studies and disseminated to relevant stakeholders in the natural capital space, further enhancing the capacity of financing institutions, private investors and national governments to assess, support and implement sustainable agriculture and forestry businesses. This knowledge management framework is expected to further strengthen the replicability potential of the MSLF2 after the GCF exit.

Sustainability	There is not enough concessional capital available to de-risk further investments from commercial investors to increase financing flows in natural capital.	Low	The GCF's de-risking role will crowd-in private investors to mobilize financing at scale and contribute to a "new normal" where fundraising for sustainable agricultural and forest production businesses does not attract a special risk premium. Companies will have access to both short-term cashflow finance and longer-term patient capital to continue transforming their operations.	The MSLF2 couples patient capital with hands-on TA for investee companies, and rigorous monitoring and reporting of financial performance, as well as social and environmental outcomes. Investee companies will be empowered with the financial resources and technical know-how to continue delivering sustainable production models beyond the GCF investment period..

E.3. GCF Outcome level: Reduced emissions and increased resilience (IRMF core indicators 1-4, quantitative indicators)

Select appropriate IRMF core and supplementary indicators to monitor project/programme progress. More than one IRMF (core and or supplementary) indicators may be selected as applicable for each GCF results area and project/programme outcome (as defined in the table in section B.2(b)). If IRMF indicators are unable to measure any given project/programme outcomes, project/programme-specific indicators should be developed under section E.5 (project/programme specific indicators).

GCF Result Area	IRMF Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final[108]	
MRA4 Forestry and land use	Core 1: GHG emissions reduced, avoided or removed/sequestered	Annual reporting of expected impact at the project-level by investee companies, cross-referenced with remote sensing data Independent monitoring, with mid-term and final impact evaluations.	0	8.5 $MtCO_2e$	17.2 $MtCO_2e$	Derisking will stimulate sufficient investor appetite to invest capital into sustainable agriculture and forestry Policy makers maintain/ enhance commitments to support SLF

[108] The final target means the target at the end of project/programme implementation period. However, for core indicator 1 (GHG emission reduction), please also provide the target value at the end of the total lifespan period which is defined as the maximum number of years over which the impacts of the investment are expected to be effective.

						Targets based on an average of 70 $ktCO_2e$ sequestered per million Euro invested – see Annex 22 for more details
ARA2 Health, well-being, food and water security	Core 2: Direct and indirect beneficiaries reached	Baseline and annual reporting at the project-level by investee companies Independent monitoring, with mid-term and final impact evaluations	0	31,500 direct beneficiaries Male: 20,475 Female: 11,025 125,500 indirect beneficiaries (50% women)	63,000 direct beneficiaries Male: 40,950 Female: 22,050 251,000 indirect beneficiaries (50% women)	Derisking will stimulate sufficient investor appetite to invest capital into sustainable agriculture and forestry Policy makers maintain/ enhance commitments to support SLM Targets for direct beneficiaries based on 260 farmers benefitting from livelihoods generated by the investment per million invested, 44% women Targets for indirect beneficiaries estimated using average household size average across all 11 target countries, and using population mix between men and women at 50% - more details in Annex 23
ARA2 Health, well-being, food and water security	Supplementary 2.1: Beneficiaries (female/male) adopting improved and/or new	Annual reporting of expected impact at the project-level based on expected impacts in lending agreements	0	3,500 direct beneficiaries Male: 2,275	7,000 direct beneficiaries Male: 4,550	TA and creation of knowledge products will lead to expansion and replication of sustainable

	climate-resilient livelihood options	Evaluation including through a site visit of project impacts at end of investment period External surveys and assessments (third-party)		Female: 1,225	Female: 2,450	business models for food and fibre companies Direct workers contracted, based on an average of 30 direct workers per million invested Target of 35% of direct workers contracted will be women
ARA2 Health, well-being, food and water security	Core 4: Hectares of natural resources brought under improved low-emission and/or climate-resilient management practice	Annual reporting of expected impact at the project-level based on expected impacts in lending agreements Evaluation including through a site visit of project impacts at end of investment period External surveys and assessments (third-party)	0	52,500 hectares	105,000 hectares	Derisking will stimulate sufficient investor appetite to invest capital into sustainable agriculture and forestry Policy makers maintain/ enhance commitments to support SLM Average of 430 ha per million Euro invested, assuming target fund size of EUR 350M
ARA2 Health, well-being, food and water security	Supplementary 4.1: Hectares of terrestrial forest, terrestrial non-forest, freshwater and coastal marine areas brought under resoration	Annual reporting of expected impact at the project-level based on expected impacts in lending agreements Evaluation including through a site visit of	0	7,000 hectares	14,000 hectares	20% of conservation areas in forestry and 10% in agroforestry

	and/or improved ecosystems	project impacts at end of investment period External surveys and assessments (third-party)				

E.4. GCF Outcome level: Enabling environment (IRMF core indicators 5-8 as applicable)					
Select at least two relevant IRMF core (enabling environment) indicators to monitor and elaborate the baseline context and project/programme's targeted outcome against the respective indicators. Rate the current state (baseline) vis-à-vis the target scenario and select the geographical scope of the outcome to be assessed. Describe how the project/programme will contribute towards the target scenario. Refer to a case example in the accompanying guidance to complete this section.					
Core Indicator	**Baseline context (description)**	**Rating for current state (baseline)**	**Target scenario (description)**	**How the project will contribute**	**Coverage**
Core indicator 7: Degree to which GCF Investments contribute to market development/transformation at the sectoral, local, or national level	Many barriers hamper the financing and implementation of sustainable forestry and agricultural ventures in target countries. High risk perception from private and institutional investors of transformational agriculture and forest production practices prevents the offering of patient capital. Low technical capacity of producers to target and implement ambitious E&S and climate objectives in production practices and supply chains.	low	Producers wishing to transition to sustainable production practices in target countries have access to finance at attractive prices and tenors. Commercial investors have more experience and confidence to invest in sustainable agriculture and forestry without imposing excessively high-risk premiums. Adequate support services are available to enhance social and environmental co-benefits as well as adaptation and mitigation targets.	By derisking initial investments, the MSLF2 will give institutional investors increased exposure to SLM businesses and help them better assess the risk/return ratio for investments in the sector. Support for technical assistance will improve bankability and help companies deliver and report on social and environmental sustainability improvements.	Multi-countries
Core Indicator 6: Degree to which GCF	There is low technical capacity from producers and sustainable	low	Companies wishing to engage in sustainable agricultural	MSLF2 will provide capital to allow companies to acquire	Multi-countries

investments contribute to technology deployment, dissemination, development or transfer and innovation	land management companies in MSLF2 target countries to develop and implement resilience and mitigation actions to halt land degradation and deforestation		production have access to adequate technical assistance support to deploy best practices and business cases in resilient agriculture and forestry.	required technology and advisory services. The MSLF TA Facility will provide support, advice and knowledge networks to support the transition to sustainable practices, and encourage the monitoring, reporting and improvement of gender, social and environmental performance indicators that lie outside companies' core focus at present.	
Core indicator 8: Degree to which GCF investments contribute to effective knowledge generation and learning processes, and use of good practices, methodologies and standards	The use of sustainable forestry and agricultural production practices is reserved to larger global supply chain actors with sufficient technical, financial, and human resources to absorb the costs associated to the transition from land-degrading to land-restoring practices. Compliance with market regulations and standards for sustainable production and trade is out of reach for smaller producers.	low	There is a clear detailed roadmap for companies to follow in order to improve their production practices. Blueprints of successful sustainable business models are available and can be replicated and scaled-up, and there is a community of practice that companies can access. Companies are supported to comply with supply chain traceability and sustainability standards.	The GCF investment in MSLF2 will contribute to creating coalitions and knowledge to scale up success, by creating blueprints for sustainable agriculture and agroforestry business models that deliver concrete mitigation and adaptation benefits and E&S co-benefits while maintaining attractive returns for investees and investors.	Multi-countries

E.5. Project/programme specific indicators (project outcomes and outputs)

*This section should list out project/programme-specific performance indicators (outcomes and outputs) that are not covered in sections above (E.1-E.4). List down tailored indicators to monitor /track progress against relevant project/programme results (outcomes/outputs). AEs have the freedom to decide against which outcomes they would like to set project/programme specific indicators. If any co-benefits are identified in sections B.2(a)(b), and D.3, AEs are encouraged to add and monitor co-benefit indicators under the "**Project/programme co-benefit indicators**" section in table below. Add rows as needed.*

Please number each outcome and output as shown below to indicate association of outputs to the contributing outcome. The numbering for outputs under this section should correspond to the output numbering in annex 4 (detailed budget plan).

Project/programme results (outcomes/ outputs)	Project/programme specific Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions / Note
				Mid-term	Final	
Output 1.1 Scalable fund raised and capital mobilized	Amount of capital fundraised and mobilized (in EUR)	Investment commitments	0	1 EUR 350 million (USD 371 million[109])	1 EUR 350 million (USD 371 million[110])	Market conditions remain favourable for fundraising under expected financial terms
Output 1.2 Fund capital disbursed to projects delivering mitigation and adaptation benefits	Amount (in EUR millions) disbursed to investee companies	Investment agreements with covenants governing SLM Financial accounts/ audits Portfolio valuation updates Annual reporting Mid-term and final reporting	0	EUR 350 (USD 371 million[111])	EUR 350 million (USD 371 million[112])	Macroeconomic conditions remain conducive to investment success Sufficient pool of candidate companies in MSLF2 target countries

[109] EUR/USD: 1.06
[110] EUR/USD: 1.06
[111] EUR/USD: 1.06
[112] EUR/USD: 1.06

Output 2.1 Pre-investment Technical Assistance delivered to candidate companies	Number of candidate companies supported	Quarterly and annual reports Investment roadmaps	0	10	31	Macroeconomic conditions remain conducive to investment success Sufficient pool of candidate companies in MSLF2 target countries TA support is sufficient to make candidate companies bankable
Output 2.2 Impact enhancement support delivered to ensure achievement of climate and other impact objectives	MSLF2 TA Facility established Number of investee projects meeting mitigation, adaptation and social/environmental targets	Assistance agreements with beneficiary companies Independent evaluation of company performance against environmental and social action plans and 2X gender criteria	0 0	1 TA vehicle operational 8	1 TA vehicle operational 21	Macroeconomic conditions remain conducive to investment success TA and the creation of knowledge products contribute to sustainable business models for food and fibre companies
Project/programme co-benefit indicators						
Co-benefit 1: Ecosystem conservation and increased biodiversity	Number of hectares under natural vegetation cover/conserved area	Remote sensing	TBD	2,800 of agricultural land 4,200 hectares of forestry land	5,600 hectares of agricultural land 8,400 hectares of forestry land	According to specificities of each project Assuming 60%/40% ratio of agriculture and forestry investments, respectively

Co-benefit 2: increased gender equity via investment in women at the fund and portfolio level	Percentage of the Fund's portfolio that meets the 2X 2024 criteria	Annual investee reporting Due diligence reports at investment stage Cross-checks and independent baseline, mid-term and final evaluations	TBD	30% of portfolio	50% of portfolio	Market conditions and business opportunities allow investment in relevant companies that meet 2X criteria TA support increases the bankability of target companies that meet the 2X criteria
Co-benefit 3: Improved long-term quality employment and improved livelihoods	Number of direct jobs created (disaggregated by sex)	Annual investee reporting Site visits and cross-checks with documents and interviews Independent baseline, mid-term and final evaluations	TBD	3,500 direct beneficiaries Male: 2,275 Female: 1,225	7,000 direct beneficiaries Male: 4,550 Female: 2,450	Direct workers contracted. Based on an average of 30 direct workers / EUR million invested Target of 35% of total number of direct workers contracted will be women

E.6. Project/programme activities and deliverables

All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in annex 5 implementation timetable. Add rows as needed.

Please number the activities as shown below to indicate association of activities to the related outputs provided above in section E.5. Similarly, please number sub-activities as shown below to associate to the related activity.

Activities	Description	Sub-activities	Deliverables
Activity 1.1.1 Scale-up investment facility and fundraise private investment	Structuring a scalable investment vehicle. Fundraising of co-financing capital from public institutions and private investors.	Sub-activity 1.1.1.1 Onboard and reach legal agreements with new investors (junior and senior) Sub-activity 1.1.1.2 Consummate subsequent closings and reach target size	MSLF2 final closing
Activity 1.2.1 Identify portfolio companies	Generation of pipeline opportunities through Mirova's own processes and	Sub-activity 1.2.1.1 Sign MoUs with TA delivery partners	Annual investment pipeline status reports

	network of partners. Screening of opportunities to create shortlist for the programme pipeline.	Sub-activity 1.2.1.2 Generate pipeline from pool of candidate companies Sub-activity 1.2.1.3 Create shortlist based on initial screening	
Activity 1.2.2 Disburse capital to companies that implement climate resilient SLM practices	Following due diligence and eventual pre-investment support, provision of long-term loans to eligible shortlisted companies in accordance with defined E&S and climate covenants	Sub-activity 1.2.2.1 Carry out due diligence on candidate companies Sub-activity 1.2.2.2 Update MSLF2 pipeline Sub-activity 1.2.2.3 Present candidate companies to investment committees Sub-activity 1.2.2.4 Sign investment agreements with shortlisted companies	Annual investment portfolio reports
Activity 1.2.3 Monitor and manage financial performance	Ongoing management and resolution of issues related to financial performance of investees	Sub-activity 1.2.3.1 Develop quarterly and annual reports to investors on financial results and performance of investees Sub-Activity 1.2.3.2 Steer investee performance to maximize financial returns	Timely reporting to investees and delivery of expected results and targets to investors
Activity 2.1.1 Investment roadmap & readiness coaching	Identification of required areas of investment-related support for candidate companies. Delivery of investment readiness support.	Sub-activity 2.1.1.1 Develop investment roadmaps outlining required areas of investment-related support for candidate investees Sub-activity 2.1.1.2 Deliver pre-investment support in partnership with TA delivery partners Sub-activity 2.1.1.3 Review developed frameworks in line with MSLF2 objectives and targets	Number of investment roadmaps in alignment with MSLF2 objectives and targets Summary reports detailing investment readiness support provided to candidate companies
Activity 2.1.2 Joint pipeline development and investment roadmap review	In collaboration of with TA delivery partners, finalize the MSLF2 investment pipeline and review of candidate companies in alignment with MSLF2 impact targets.	Sub-activity 2.1.2.1 Screening of proposed investment roadmaps in line with MSLF2 eligibility criteria, impact frameworks and targets Sub-activity 2.1.2.2 Sign investment roadmap agreements	Investment roadmap presenting long- and short-lists of candidate companies

Activity 2.2.1 Deliver impact enhancement technical assistance	Delivery of impact enhancement support through the TA facility	Sub-activity 2.2.1.1 Establish TA vehicle and operationalize Sub-activity 2.2.1.2 Provide impact enhancement support to companies and facilitate compliance with covenants and sustainability certification bodies	Company reports on compliance with mitigation/adaptation, gender, environmental and social covenants Certification and standards certificates and reports
Activity 2.2.2 Impact monitoring and long-term capacity development	Management of the MSLF2 portfolio and reporting on expected adaptation and mitigation results and impacts.	Sub-activity 2.2.2.1 Monitor ESG performance of the MSLF2 portfolio and identify areas for continuing improvement Sub-activity 2.2.2.2 Organize third-party audits and assessments of investee performance against agreed E&S and climate covenants	Impact reports and KPIs M&E mechanisms at the fund and project levels
Activity 2.2.3 Programme level monitoring and evaluation			

E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Monitoring and reporting system and procedures

211. In its role as Accredited Entity and through the MSFL2 as Executing Entity, Mirova will oversee and supervise the implementation of the MSFL2 programme in accordance with the AMA signed between Mirova and the GCF, and consistent with the IRMF. Mirova will be responsible for fund-level monitoring and evaluation in collaboration with the MSFL2 Investment Team, the MSFL2 Programme Management Unit (PMU), country NDAs in each target country, implementing the necessary tools and methods to facilitate monitoring and evaluation of the project.
212. The programme indicators described in the logical framework will be jointly monitored by the MSFL2 Investment Team, and country NDAs during the implementation of the programme via annual supervision missions (or more as needed) that will include results, reflection and planning meetings (in-person or virtual) with investees. This will happen within the framework of regular monitoring and evaluation (M&E) procedures established implemented during the programme's inception phase.
213. The EE will procure M&E and knowledge management specialists to support the monitoring, evaluation and learning (MEL) of investees at the fund-level, by undertaking annual on-site visits or as needed. The M&E system at fund level will be compliant with the policies and procedures of the GCF, country NDAs and Mirova. The procured M&E specialists will work with the MSLF2 Investment Team and MSFL2 to develop MEL tools and approaches to deliver reporting arrangement and monitor KPIs described below.

Reporting arrangements

214. At the company level, Mirova will produce the following monitoring and reporting products for the MSLF2:
- Annual audited financial statements – to be communicated no later than 30 April each year
- Quarterly management reports as of 31 March, 30 June, 30 September, and 31 December including the NAV of the Fund on those dates, as well as an overview of the portfolio
- Impact reports are communicated no later than 30 June each year. The annual impact report provides details on performance of the Fund in comparison to KPIs at the fund-level and environmental/social measures from the managing companies and from the targeted Fund.

Evaluation process

215. The EE for Component 2 and the MSLF2 Investment Team will be jointly responsible for coordinating the independent interim and final evaluations.
216. The evaluations will be conducted using a question-driven approach, and may include assessments against the criteria of relevance, effectiveness, and sustainability, among others. The evaluation criteria will be as required by the GCF Evaluation Policy.
217. The Interim Evaluation will be instrumental in contributing – through operational and strategic recommendations – to improve implementation, setting out any necessary corrective and adaptive management measures for the remaining period of the investment(s), and identifying relevant lessons learned for stakeholders in-country as well as the broader region.
218. The final evaluation will assess the relevance of the intervention at the fund-level, its overall performance, as well as sustainability and scalability of results, differential impacts and lessons learned of investments.
219. Both evaluations will contribute to the evidence base for sustainable agriculture and forestry production at a national level and across the target regions and will be published on the Mirova website and other relevant platforms. The mid-term evaluation will be undertaken when delivery reaches 50% of the initial total budget and/or mid-point of scheduled programme duration. The independent Final Evaluation will be launched within six months prior to the actual completion date of the programme.

Environmental and Social Impact Reporting

220. Together with the investees, the E&S specialists will conduct the following monitoring and reporting activities related to ESG and positive impact:
- Review and report quarterly on the E&S Action Plan (ESAP) progress
- Participate to quarterly ESG committees at investee's level to review and advise on ESG milestones
- Report annually on ESG impact metrics
- Report on serious incidents.

Additional information on the incidents to be reported, environmental and social KPIs can be found in Annex 6 – E&S, and also Annex 11 – M&E Plan.

F. RISK ASSESSMENT AND MANAGEMENT		
F.1. Risk factors and mitigations measures (max. 3 pages)		
Please describe financial, technical, operational, macroeconomic/political, money laundering/terrorist financing (ML/TF), sanctions, prohibited practices, and other risks that might prevent the project/programme objectives from being achieved. Also describe the proposed risk mitigation measures. Insert additional rows if necessary. *For probability: High has significant probability, Medium has moderate probability, Low has negligible probability* *For impact: High has significant impact, Medium has moderate impact, Low has negligible impact* *Prohibited practices include abuse, conflict of interest, corruption, retaliation against whistleblowers or witnesses, as well as fraudulent, coercive, collusive, and obstructive practices*		
Selected Risk Factor 1		
Category	**Probability**	**Impact**
Technical and operational	Low	Medium
Description		
Agronomical/technical underperformance of the downstream investments. The impact of downstream investments depends on effective implementation of technical and agronomic interventions by investees. There is a risk that these interventions are not implemented effectively or yield results below expectations.		
Mitigation Measure(s)		
Based on experience with the LDN Fund, a strong technical/agronomical due diligence will be conducted prior to investments. The Mirova team has developed over the years a network of third-party experts to facilitate such due diligences. MSLF2 will not take agronomic innovation risk by financing new crops (i.e. planted for the first time in the country), and will rely on proven sustainable land management interventions. Additional support will be provided to investees through the Technical Assistance facility on a case-by-case basis.		
Selected Risk Factor 2		
Category	**Probability**	**Impact**
Governance	Medium	Medium
Description		
Local governments are not committed to slowing land degradation and deforestation and therefore sustainable change cannot be achieved. This risk may arise where measures that facilitate investments in sustainable land management conflict with other priorities or established interests.		
Mitigation Measure(s)		
The MSLF2 focuses on countries that have demonstrated commitment to climate action. As part of the investment due diligence process the MSLF2 will evaluate the degree to which investee businesses have achieved buy-in from local governments and their stakeholders. The required stakeholder engagement process (see Annex 7) ensures businesses engage local governments from the initial stages to align incentives; IDH, WRI and other TA delivery partners already have established relationships with many of these governments. Investment plans will incorporate awareness of relevant government policies, programmes and interventions at the national level that can facilitate local government buy-in and support.		
Selected Risk Factor 3		
Category	**Probability**	**Impact**
Other	Low	Medium
Description		
Emissions risk – an investee project fails to achieve its GHG target because either: A. Anthropogenic or natural disturbances reverse sequestered carbon; and/or		

B. GHG emissions associated with intensification (e.g. greater mechanisation, more intensive use of fertilizers and chemicals, soil disturbance, higher enteric fermentation etc.) at least partially offset the GHG benefits of reduced extensification and carbon sequestration in protected forests.		
Mitigation Measure(s)		
Investees monitor forest and land areas for conservation and restoration, monitoring and case-by-case reporting on reversal outcomes and remediation. Annual GHG monitoring for the LDN Fund indicates that "induced" emissions do not make a material contribution to the GHG impact of Mirova investments; and this trend is expected to continue for MSLF2. MSLF2 intends to employ remote sensing to identify reversals and the need for remediation on a case-by-case basis. Reversals are accounted for in the KPI framework. Considering the large areas of protected forest and expected small areas of reversals, the net result is projected to be slightly lower reported emissions benefits. The forecast emissions impacts account for reversals and are built on conservative input assumptions, so the 'actual' sequestration should be higher than that reported (see Annex 22). This will tend to counter any reductions in sequestration.		
Selected Risk Factor 4		
Category	**Probability**	**Impact**
Credit	Medium	Medium
Description		
Risk of capital loss for investors. MSLF2 projects are subject to various project risks that may result in capital losses for investors in the fund. GCF's junior equity position helps to catalyse the participation of commercial investors so that the fund can reach effective size to support low-emission and climate resilient agriculture, forestry and land use projects in developing countries. The overall risk profile of the GCF's capital is relatively high risk in case of underperformance in the portfolio companies.		
Mitigation Measure(s)		
Diversification, across sectors, companies, and geographies will help to mitigate MSLF2 portfolio risk. Mirova has an established track record of sustainable investment management across Africa, Asia and Latin America. To date, Mirova has over EUR 31 billion in assets under management (as of 30 September 2024), strong sector expertise, and a dedicated team of research experts. Mirova will conduct thorough due diligence prior to investment, and actively monitor and manage investments throughout the life of the fund to identify and mitigate performance risk and enhance financial returns as well as environmental and social impact.		
Selected Risk Factor 5		
Category	**Probability**	**Impact**
Technical and operational	Medium	Medium
Description		
Inability to find investment opportunities and deploy capital in a swift manner. Implementation delays could potentially reduce the period over which the fund generates climate benefits and investment returns, lowering its overall impact.		
Mitigation Measure(s)		
While many newly formed investment funds struggle to develop their investment pipeline, MSLF2 benefits from Mirova's experience with the LDN Fund and strong track record overall. Over the past years, Mirova has assembled a strong team of professionals and has successfully deployed the LDN Fund through 13 investments (after screening more than 400 opportunities). The team brings a broad international sourcing capacity with demonstrated transaction execution success, ensuring a steady deal flow of investment ready opportunities. Over the years, Mirova has developed a strong network with various stakeholders including development finance institutions, civil society organisations, certification bodies (such as rainforest Alliance) and corporates. It is also part of several alliances initiatives related to the AFOLU sector. In addition, Mirova's TA facility partners will further support the identification of prospective investment opportunities. Mirova is also reinforcing its local offices with a presence in Singapore and Nairobi, which will allow the team to even have a more pro-active approach. Several investment opportunities in the target countries are already under active consideration for MSLF2.		
Selected Risk Factor 6		

Category	Probability	Impact
Credit	Medium	Medium
Description		
Inability to “crowd in” sufficient complementary investment to reach effective size. The ability to deploy capital for sustainable land management activities depends on MSLF2’s success in mobilizing investment from public and private sources.		
Mitigation Measure(s)		
MSLF2 benefits from Mirova’s track record and the success of the LDNF. Mirova’s experience and track record, combined with the downside protection provided by the junior tranche will overcome the perceived and actual risk/return mismatch and lower the entry barrier for commercial investors. The increased international focus on sustainable supply chain sourcing has increased demand for private sector investors to gain exposure to high impact sustainable land and forest management investment opportunities. Mirova has already developed a strong pipeline of interested investors, but in any case GCF maximum equity stake in MSLF2 will be respected.		
Selected Risk Factor 7		
Category	**Probability**	**Impact**
Technical and operational	Medium	Medium
Description		
Difficulty to properly monitor the performance of the investments. Investee companies are primarily responsible for reporting relevant data that is used to track and report climate impacts from the programme. Late or inaccurate reporting from investee companies could affect MSLF2’s ability to monitor and manage performance and report to the GCF and other investors in a timely manner.		
Mitigation Measure(s)		
Leveraging on the experience of the LDN fund, Mirova has developed a strong monitoring framework to follow its investees and will apply this framework for the MSLF2. The Mirova TA Facility will support investee companies to monitor and report climate, environmental and social impacts. Through the TA and investment teams, Mirova will play an active monitoring role, bringing additional value to the companies. The strengthening of the local Mirova offices in Africa, Asia and Latin America will also play a key role to ensure closer monitoring.		
Selected Risk Factor 8		
Category	**Probability**	**Impact**
Governance	Medium	Medium
Description		
Adverse conditions arising from possible “force majeure” changes in the business environment (mass riots, civil war, etc.)		
Mitigation Measure(s)		
Portfolio diversification will limit exposure to a given country and the country selection for MSLF2 programme has taken into account a country risk assessment The team constantly liaises with Natixis’s Country Risk department, which is consulted for every investment appraisal. Political risk insurance policies can be purchased in case of significant exposure in a given country, associated with an increase of the country risk assessment. MSLF2’s focus on businesses that directly benefit the local community and engage actively with stakeholders helps those businesses as well as the fund to anticipate and potentially mitigate this risk, as it aligns incentives with local stakeholders to avoid disruption.		
Selected Risk Factor 9		
Category	**Probability**	**Impact**
Other	Medium	Medium
Description		

Product price risk: Volatility and cyclicality of agriculture and forest product prices impact borrowers' ability to meet repayment obligations.
Mitigation Measure(s)
MSLF2 will engage in active portfolio diversification to avoid excessive exposure to one type or only a few specific products. Companies will be supported to obtain sustainability certifications that help their products attract a market premium. The relatively long investment period for MSLF2 will help to smooth out short-term price shocks.

Selected Risk Factor 10		
Category	**Probability**	**Impact**
Forex	Low	Medium
Description		
MSLF2 is a Euro fund, and therefore may be exposed to currency risk where products and investee returns are priced in local currency or Dollars.		
Mitigation Measure(s)		
Financing in local currency will be limited. Most of the investment will be in Dollars or in Euros directly. To minimize the FX risk at investee level, MSLF2 will focus on companies active in supply chains with a significant exposure on international markets, therefore getting revenues from exports in USD or EUR.		

Selected Risk Factor 11		
Category	**Probability**	**Impact**
ML/FT	Low	Medium
Description		
Risk that the Fund is misused for money laundering ("ML") and terrorism financing ("TF") or any other financial misconduct or crime.		
Mitigation Measure(s)		
The AE has an AML/CFT policy and dedicated risk and compliance officers aiming to ensure that ML/TF risks in the process of fundraising for, and investments by, the Fund are properly identified, monitored, mitigated and reported, in order to prevent the Fund and its customers, governing bodies and service providers from being misused for ML/TF or any other financial misconduct or crime. No individual or entity that is listed on any UN Security Council sanctions list, including the UN Consolidated Sanctions list, will be involved in any manner with the project or its activities, either as a counterparty, implementer, or beneficiary. The Fund expects its business partners to apply similar standards of conduct when working for and servicing the Fund.		

Selected Risk Factor 12			
Category		Probability	Impact
Other	Medium	Medium	Medium
Description			
Risk that MSLF2 is not able to exit a transaction according to original expectation.			
Mitigation Measure(s)			
Most of MSLF2 investments will be debt instruments with no exit risk, as the equity exposure is capped at 30%. The relatively long-term nature of MSLF2 investments gives the fund the ability to "ride out" short-term challenges in exiting an investment. Specific rights (such as tag along, drag along clauses) will be included in the legal documentation to facilitate investment liquidity. Exit opportunities might involve (i) strategic investors (corporates vertically integrated their supply chain) (ii) impact investors and (iii) TIMOs funds for sustainable forestry investments. We see a growing interest from these different players for the sectors targeted by MSLF2. Assessment of the exit strategy (including the market volatility/liquidity) is part of the pre- investment due diligence.			

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

221. **Environmental and Social risk classification**: The proposed MSLF2 programme is expected to generate positive environmental and social impacts as it enables the implementation of sustainable agriculture and forestry production practices at the company level in developing markets. The Fund requires investees to commit to the highest standards of sustainable agricultural practices, social standards and environmental safeguards, and will not invest in projects with unmitigable or minor impacts. In accordance with the GCF Environmental and Social Safeguards Requirements, the overall programme rating according to IFC is categorized as I-2 and its sub-projects as B.
222. **Environmental and Social Management System:** Based on its commitment to identifying and addressing the ESG risks and impacts associated with its activities, Mirova developed an Environmental and Social Management System (ESMS). This ESMS has been designed in accordance with Good International Industry Practice principles (GIIP) and international lenders' standards, among which the IFC Performance Standards.
223. It provides a framework defining roles and responsibilities, quantitative and qualitative objectives, policies, procedures and tools for ESG management. As such, the ESMS enables Mirova to improve its ESG performance through the systematic control and management of the organization's ESG risks and responsibilities through:
    - Identifying risks and responsibilities over which it has control or influence
    - Developing action plans and procedures to respond to and manage significant risks
    - Facilitating compliance with ESG policies, legislative and other obligations
    - Measuring progress in achieving improved ESG performance.
224. **Framework approach for risk assessment and mitigation:** The ESG and Impact assessment process is fully aligned with the common approach across the Natural Capital Business Unit at Mirova and in compliance with the GCF Environmental and Social Policy. All assessments are conducted by independent Impact & ESG specialists sitting outside of the fund within the Mirova Sustainability Research team, in close collaboration with the MSLF2 Investment team.
225. Environmental risks cover potential negative impacts on the natural environment – both in terms of protection of ecosystems and pollution from chemicals (soil, water, air), and noise, as well as use of electricity and water resources. Social risks cover potential negative impacts on local communities, project stakeholders and the workforce. Governance risks, in this context, are restricted to the governance of E&S risks, and notably takes into consideration the characteristics of the country of investment (risk of corruption, of child labour, forced labour, strength of the environmental regulations, etc.).

226. The topics systematically covered by the ESG risk assessment comprise the following:
    - Business Ethics
    - Legal and Regulatory E&S compliance
    - Certifications and Standards
    - Environmental and Social Assessment and Management
    - Pollution Control, Energy and Water use
    - Biodiversity Conservation
    - Human resources Policies & Procedures
    - Health & Safety at work
    - Community Health, Safety and Security
    - Land Tenure and Land Use Change
    - Indigenous Peoples' Rights and interests
    - Stakeholder Engagement and Grievance Management
    - Gender
    - Cultural Heritage
227. Categorizing projects based on their level of inherent risk is also a best practice implemented by all Development Finance Institutions signatory of the Equator Principles. The risk categories, adapted from IFC risk categorization, are used to classify project-level inherent risk. Only if the assessment during the due diligence highlights inherent risks that were not identified or sufficiently understood at the screening stage, this category can be revised during the assessment process. The risk categories are listed in Section 2.2 in Annex 6 – ESG.
228. As an impact investment fund leading to positive impacts**, MSLF2 will not consider investment in Category A projects, which generate unmitigable negative impacts**. MSLF2 will only invest in projects rated as "positive impact" (low positive, moderate positive and high positive impact) and does not invest in projects rated at "negative" or "negligible" impact. This approach complies with the definition of "sustainable investment" per the

European SFDR regulation, covering all three aspects of positive contribution, DNSH (Do not Significant Harm) and good governance. It ensures a robust integration of sustainability risks in all investment processes and limits the potential negative impact of these investments.

229. **Impact assessment**: Key Performance Indicators presented in Annex 6 and Annex 11 are monitored at two levels:
- At the level of the invested assets, we use them as parameters in the investment decision process and as a basis for follow-up exchanges with management after investment. Indicators are tailored to reflect the specificities of each asset.
- At the portfolio level, to ensure the alignment and performance of invested assets with respect to the ambitions of a given fund.

230. After assessing the expected positive impacts of a potential project, MSFL2 analyses its alignment with the Fund's impact strategy, including Fund-level impact indicators and co-benefit indicators as described in Section E – Logframe, above. The Fund-level requirements in terms of ESG impacts are described in Annex 6, section 4 in general terms, and by sector and topic of investment. Regular monitoring and evaluation arrangements of ESG-related metrics are described in Annexes 6 and 11.

231. **Information disclosure:** In accordance with GCF information disclosure requirements, the Environmental and Social Management System will be translated and disclosed in English, French, Spanish, Arabic and Malay on the Mirova website by 27 January 2025 at the latest. Physical copies will be made available in each country as investments are made.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

232. The assessment of the seventeen target countries identified context-specific challenges for advancing women's participation in forestry, agriculture and land restoration activities. While women's labour force participation varies across countries, social norms and discriminatory laws limit mobility, access to land resources, assets and opportunities. Particularly in agrifood value chains, women remain relegated to small-scale value-added work, or in subsistence crops in many countries, they continue to face several barriers which limit their effective participation in agri-food systems. Mirova recognizes that an in-depth understanding of the gender barriers, gaps and opportunities in each specific context will be needed to inform gender-responsive investments. Mirova's approach in MSLF2 will ensure that projects address the specific gender barriers present in their contexts of implementation, and that they integrate gender considerations across their business operations.

Gender lens investing thesis for MSLF2:

233. The MSLF2 builds on Mirova's philosophy and dedication to responsible investing, based on the notion that directly and indirectly encouraging and fostering better environmental, social and governance (ESG) practices is essential to creating long-term value for society as a whole.

234. The fundamentals of the MSLF2 strategy are to invest in sustainable land-use projects and companies in the forestry and agriculture sectors, while targeting positive impacts in terms of climate mitigation and adaptation as well as co-benefits in biodiversity protection, community inclusion and gender equality.

Programmatic approach to gender equality

235. The MSLF2 approach ensures that activities are established on a foundation of identifying, minimizing and mitigating social and gender risks, underpinned by sound and accountable governance. In alignment with the ESG Policy, the gender approach requires investments in the MSLF2 to:
- Comply with national environmental, social and labour laws and regulations.
- Comply with the Fund-level ESG Policy (which includes any ESG requirements of investors in the fund) and all issue-specific Policies.
- Meet the objectives of internationally recognized sustainability standards such as the IFC Social and Environmental Performance Standards

236. Eligible investments must be land-based projects that fulfil and demonstrate several eligibility criteria, including among others:
- **Demonstrated benefits**: projects should clearly benefit local communities (job creation and smallholder inclusion) with gender equality.
- **Environmental & Social (ESG) risk management**: robust ESG Standards are an integral part of the Fund's approach, and ensure the responsible handling of ESG risk.

237. To meet these requirements, MSLF2 applies a gender and social inclusion lens at different stages of the investment process and focuses on supporting investee companies to meet their gender and inclusion outcomes and to achieving gender equity impacts.
238. At the **investment process level**, the Fund's ESG analysis will be fully integrated within the investment process, from pre-screening, to due diligence, contracting (through gender-related milestones) and monitoring of progress. MSLF2 fund is therefore committed to apply a gender and social inclusion lens in its investment process and foster its implementation at project level through the following steps:
    - Conduct a contextual analysis at the country and sector level using publicly available information prior to the screening phase
    - Assess gender risks and impacts at project level during the due diligence phase
    - Include a requirement on Gender Action Plan and women's empowerment in the contractual Environmental and Social Action Plan (ESAP)
239. At the **project level**, a Gender Action Plan is seen as a key item to:
    - Operationalize the constraints and opportunities for women and men identified during the gender analysis phase,
    - Serve as a project manual to ensure women's equal participation, management in and enjoyment of project activities and benefits, with clear responsibilities and timelines for implementation, and
    - Require periodic reviews of gender action implementation.
240. At the **portfolio level**, alignment with international industry standards will be tracked, striving for 2X Challenge compliance for 50% of the portfolio. Finally, there will be opportunities to compile lessons learned and share them across the portfolio in terms of what strategies are working well, what is falling behind, and what successful factors can be captured in the implementation of the gender action plans.

<u>Gender Technical Assistance support</u>

241. The design of the gender TA approach builds on the assumption that all investees will require support to develop their GAPs, while only a smaller proportion of the portfolio will require hands-on support to implement their GAP and track progress during project implementation. Gender TA will be provided pre- and post-investment with the purpose of supporting investee companies to comply with ESG standards, to enhance their gender and social inclusion impacts, and to align with industry standards (i.e. 2X Challenge) while supporting companies to achieve their business and impact results.
242. The complete gender assessment, including the programmatic approach, targets and the 7 countries studies, and programme gender action plan, are provided as Annex 8.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

Financial Management

243. Section B.4 Implementation Arrangements describes the contractual relationship between Mirova as AE, the MSLF2, the TA Facility (TAF), and project investee companies. The detailed provisions regarding financial management of GCF resources by the AE will be described in the FAA. Mirova will be overall responsible for project implementation and reporting obligations to the GCF. Periodic reporting will be provided by Mirova to the GCF specifying among others:
    - The amounts already committed by the MSLF2 by country and by project;
    - The amounts already committed and disbursed by the TA Facility by country;
    - The remaining amount on different GCF accounts;
    - A provisional disbursement schedule on a one-year rolling horizon;
    - For the loan component, a list of incidents recorded during the repayment period of the loan provided to project clients.

Such reports will be submitted in English to the GCF in line with reporting timelines to be captured in the Term Sheet and Funded Activity Agreement (FAA) respectively.

244. Mirova will be responsible for establishing KYC/due diligence processes including anti-money laundering and other evaluations of investors according to each respective institution's internal policy requirements. Mirova will be responsible as AE for all funds of the MSLF2 programme. Credit risk monitoring of project borrowers / investees will be carried out by Mirova. Audits will be carried out on an annual basis. Mirova's internal audit team monitor transaction activities relating to disbursement of funds for each investment as well as repayments

following international standards. MSLF2 financial statements will be prepared in accordance with international accounting standards (Lux GAAP).

Disbursement

245. Disbursement by Mirova to the MSLF2 and TA Facility will be consistent with the FAA and Term Sheet. These will be subject to the fulfilment of all conditions precedent. Disbursement by the MSLF2 to investee companies will follow the procedures and requirements described in the Term Sheet.

Procurement

246. The procurement of Goods and Services for Funded Activities, whether by Mirova as AE, the MSLF2 and TA Facility, or by a third party, shall be done in accordance with Mirova's procurement rules, policies and procedures, which are consistent with international procurement standards. The procurement manual outlines the processes and procedures for each procurement method, as well as their applicable thresholds. Please see Annex 10 for the detailed procurement plan for the programme.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☐ No confidential information: The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ With confidential information: The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

H. ANNEXES

H.1. Mandatory annexes

☒	Annex 1	NDA no-objection letter(s) **(template provided)**
☒	Annex 2	Feasibility study - and a market study, if applicable
☒	Annex 3	Economic and/or financial analyses in spreadsheet format
☒	Annex 4	Detailed budget plan **(template provided)**
☒	Annex 5	Implementation timetable including key project/programme milestones **(template provided)**
☒	Annex 6	E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3): **(ESS disclosure form provided)** ☐ Environmental and Social Impact Assessment (ESIA) or ☐ Environmental and Social Management Plan (ESMP) or ☐ Environmental and Social Management System (ESMS) ☐ Others (please specify – e.g. Resettlement Action Plan, Resettlement Policy Framework, Indigenous People's Plan, Land Acquisition Plan, etc.)
☒	Annex 7	Summary of consultations and stakeholder engagement plan
☒	Annex 8	Gender assessment and project/programme-level action plan **(template provided)**
☒	Annex 9	Legal due diligence (regulation, taxation and insurance)
☒	Annex 10	Procurement plan **(template provided)**
☒	Annex 11	Monitoring and evaluation plan **(template provided)**
☒	Annex 12	AE fee request **(template provided)**
☐	Annex 13	Co-financing commitment letter, if applicable **(template provided)**
☒	Annex 14	Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

☐	Annex 15	Evidence of internal approval **(template provided)**
☐	Annex 16	Map(s) indicating the location of proposed interventions
☒	Annex 17	Multi-country project/programme information **(template provided)**
☐	Annex 18	Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
☐	Annex 19	Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity
☒	Annex 20	First level AML/CFT (KYC) assessment
☐	Annex 21	Operations manual (Operations and maintenance)
☒	Annex 22	Assessment of GHG emission reductions and their monitoring and reporting (for mitigation and cross cutting-projects)[113]
☒	Annex 23	Beneficiary calculation methodology

** Please note that a funding proposal will be considered complete only upon receipt of all the applicable supporting documents.*

Legal Information

Mirova
Portfolio management company - French Public Limited liability company with board of Directors
Regulated by AMF under n°GP 02-014
RCS Paris n°394 648 216
Registered Office: 59, Avenue Pierre Mendes France – 75013 – Paris
Mirova is an affiliate of Natixis Investment Managers.

Natixis Investment Managers
French Public Limited liability company
RCS Paris n°453 952 681
Registered Office: 59, Avenue Pierre Mendes France – 75013 – Paris
Natixis Investment Managers is a subsidiary of Natixis.

[113] Annex 22 is mandatory for mitigation and cross-cutting projects.

No-objection letter(s) issued by the national designated authority(ies) or focal point(s)

MINISTERIO DE AMBIENTE Y ENERGÍA | GOBIERNO DE COSTA RICA / VICEMINISTERIO DE GESTIÓN ESTRATÉGICA

San José, October 25, 2024
DVGE-203-2024

Ms. Mafalda Duarte
Executive Director
Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 406-840
Republic of Korea

Subject: Expression of no-objection for the application for the Green Climate Fund Project-specific Assessment Approach (PSAA)

Dear Madam, Sir,

We refer to the programme titled Mirova Sustainable Land Fund II (MSLF2)]under the Project-Specific Assessment Approach ("**PSAA**") submitted by Mirova to us on [date].

The undersigned is the duly authorized representative of the Ministry of Environment and Energy, the National Designated Authority of Costa Rica.

Pursuant to the GCF Board decision B.08/10, the content of which we acknowledge to have reviewed, in my capacity as representative of the National Designated Authority, we hereby communicate our no-objection to the programme as included in the funding proposal.

[The NDA/focal point may wish to include information on how the entity and the proposal can contribute to the country's climate priorities]

By communicating our no-objection, it is implied that:

(a) The government of Costa Rica has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Costa Rica;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

In the case that the funding proposal is for a programme, we also confirm that our no-objection applies to all projects or activities to be implemented within the approved framework.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,

Carlos Isaac Pérez Mejía
Vice-minister of Strategic Affairs Government of Costa Rica
Ministry of Environment and Energy

Cc: Mr. Franz Tattembach Capra, Minister of Environment and Energy
Ms. Enid Chaverri, FVC Focal Point
Ms. Patricia Campos, FVC Focal Point
file / consecutive

MINISTRY OF THE ENVIRONMENT, OF THE SUSTAINABLE DEVELOPMENT AND THE ECOLOGICAL TRANSITION

DIRECTORATE OF INTERNATIONAL COOPERATION AND FUNDING MOBILIZATION

NATIONAL DESIGNATED AUTHORITY FOR THE GREEN CLIMATE FUND

N° 00018 /MINEDDTE/CAB/DCIMF

REPUBLIC OF COTE D'IVOIRE
Union – Discipline – Work

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20 JAN 2025

To

Madam Executive Director of the Green Climate Fund Secretariat
175 Art Center-daero
Yeonsu-gu, Incheon 406-840

REPUBLIC OF KOREA

Subject: Expression of no-objection for the application for the Green Climate Fund Project-specific Assessment Approach (PSAA)

Dear Madam,

We refer to the programme titled Mirova Sustainable Land Fund II (MSLF2) under the Project-Specific Assessment Approach ("PSAA") submitted by Mirova to us on 20 January 2025.

The undersigned is the duly authorized representative of the Ministry of Environment and Sustainable Development, the National Designated Authority of Côte d'Ivoire.

Pursuant to the GCF Board decision B.08/10, the content of which we acknowledge to have reviewed, in my capacity as representative of the National Designated Authority, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Côte d'Ivoire has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Côte d'Ivoire;

(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

Furthermore, the initiative will be housed and monitored by the Directorate of International Cooperation and Funding Mobilization.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

____

YAO Marcel

Director of International Cooperation and Funding Mobilization

Focal Point

Côte d'Ivoire

REPUBLIC OF GHANA

MINISTRY OF FINANCE

P.O.Box MB 40, Ministries, Accra
Digital Address : GA-144-2024

Kindly quote this number and date on all correspondence
My Ref. No.__ **MOF/CFD/GCF/01/25**
Your Ref. No. ___________
Date.: 3rd **January 2025**

Dear Ms. Mafalda Duarte,

RE: FUNDING PROPOSAL FOR THE GCF BY MIROVA SUSTAINABLE LAND FUND 2

We refer to the programme titled 'Mirova Sustainable Land Fund 2 (MSLF2)' as included in the funding proposal submitted by Mirova to the National Designated Authority Focal Point, Ghana on the 25th March, 2024.

2. The undersigned is the duly authorized representative of the Ministry of Finance, the National Designated Authority/ Focal Point of the Republic of Ghana.

3. Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our **no-objection** to the 'Mirova Sustainable Land Fund 2' as included in the funding proposal.

4. By communicating our no-objection, it is implied that:

(a) The Government of Ghana has no-objection to the programme as included in the funding proposal;
(b) The MSLF2 as included in the funding proposal is in conformity with the national priorities, strategies and plans of the Republic of Ghana; and
(c) In accordance with the GCF's environmental and social safeguards, the MSLF 2 as included in the funding proposal is in conformity with relevant national laws and regulations.

5. We also confirm that our national process for ascertaining no-objection to the MSLF2 has been duly followed.

6. We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

7. We acknowledge that this letter will be made publicly available on the GCF website.

8. Kind regards,

PHYLLIS ADWOA FRAIKUE
AG. DIRECTOR, CFD/NDA-FOCAL POINT
***FOR*: MINISTER**

THE EXECUTIVE DIRECTOR
GREEN CLIMATE FUND
G-TOWER, 24-4 SONGDO-DONG
YEONSU-GU INCHEON CITY,
REPUBLIC OF KOREA

Cc: The Hon. Minister, MoF
Hon. Minister of State, MoF
Hon. Dep. Ministers, MoF
The Chief Director, MoF
The Coordinating Directors, MoF
The Principal Secretary, SDH&UD,Nairobi

Tel: +233 (0) 302 747 197
Email : info@mofep.gov.gh

KEMENTERIAN SUMBER ASLI DAN KELESTARIAN ALAM
MINISTRY OF NATURAL RESOURCES AND ENVIRONMENTAL SUSTAINABILITY
Blok F11, Kompleks F
Lebuh Perdana Timur, Presint 1
Pusat Pentadbiran Kerajaan Persekutuan
62000 PUTRAJAYA
MALAYSIA

Tel: 603-8000 8000

NRES.BPI.(S)700-7/1/6 (4)
June 2024

Ms. Mafalda Duarte
Executive Director
Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 22004
REPUBLIC OF KOREA

Ms. Duarte,

EXPRESSION OF NO-OBJECTION FOR THE APPLICATION FOR THE GREEN CLIMATE FUND PROJECT-SPECIFIC ASSESSMENT APPROACH (PSAA)

I hope this letter finds you well.

2. Referring to the programme titled **Mirova Sustainable Land Fund II (MSLF2)** under the Project-Specific Assessment Approach (PSAA) submitted by Mirova to the NDA on 7th May 2024.

3. The undersigned is the duly authorized representative of the Ministry of Natural Resources and Environmental Sustainability, the National Designated Authority of Malaysia. Pursuant to the GCF Board decision B.08/10, the content of which we acknowledge to have reviewed, in my capacity as representative of the National Designated Authority, we hereby communicate our no-objection to the programme as included in the funding proposal.

4. By communicating our no-objection, it is implied that:

a) The government of Malaysia has no-objection to the programme as included in the funding proposal;
b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Malaysia; and

c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

5. Furthermore, we also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed and that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

7. We acknowledge that this letter will be made publicly available on the GCF website.

Thank you.

Kind regards,

(DATUK NOR YAHATI BINTI AWANG)
National Designated Authority of Malaysia
Deputy Secretary General (Environmental Sustainability)
Ministry of Natural Resources and Environmental Sustainability
Malaysia

المملكة المغربية
ⵜⴰⴳⵍⴷⵉⵜ ⵏ ⵍⵎⵖⵔⵉⴱ
Royaume du Maroc

MINISTÈRE DE LA TRANSITION ENERGETIQUE ET DU DEVELOPPEMENT DURABLE
- DÉPARTEMENT DU DEVELOPPEMENT DURABLE -

وزارة الانتقـــال الطـــاقـــي والتنميـــة المستدامـــة
- قطـــاع التنميـــة المستدامـــة -

Mafalda Duarte
Executive Director
Secretariat of the Green Climate Fund
175 Art Center-daero
Yeonsu-gu, Incheon 406-840
Republic of Korea

31 JUIL. 2024

Subject: **Expression of no-objection for the application for the Green Climate Fund Project-specific Assessment Approach (PSAA)**

Dear Madam, Sir,

We refer to the programme titled Mirova Sustainable Land Fund II (MSLF2) under the Project-Specific Assessment Approach ("**PSAA**") submitted by Mirova to us on 7th of May 2024.

The undersigned is the duly authorized representative of Mr Bouzekri Razi, the National Focal Point of The Kingdom of Morocco.

Pursuant to the GCF Board decision B.08/10, the content of which we acknowledge to have reviewed, in my capacity as Focal Point, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of The Kingdom of Morocco has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of The Kingdom of Morocco;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

In the case that the funding proposal is for a programme, we also confirm that our no-objection applies to all projects or activities to be implemented within the approved framework.

We acknowledge that this letter will be made publicly available on the GCF website.

Sincerely,

Ministère de la Transition Energétique et du Développement Durable
Département du Développement Durable

Mr. Bouzekri Razi

National Focal Point of Morocco

To: The Green Climate Fund ("GCF")

Lima, 14 October 2024

Re: Funding proposal for the GCF by Mirova regarding Mirova Sustainable Land Fund II (MSLF2)

Dear Madam, Sir,

We refer to the programme titled Mirova Sustainable Land Fund II (MSLF2) in Peru as included in the funding proposal submitted by Mirova to us on 17 May 2024.

The undersigned is the duly authorized representative of Ministry of Economy and Finance, the National Designated Authority of Peru.

Pursuant to GCF decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The government of Peru has no-objection to the programme as included in the funding proposal;
(b) The programme as included in the funding proposal is in conformity with the national priorities, strategies and plans of Peru;
(c) In accordance with the GCF's environmental and social safeguards, the programme as included in the funding proposal is in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the programme as included in the funding proposal has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Kind regards,

____

Mr. Jose Alfredo La Rosa Basurco
Director, General Directorate of International Economic Affairs, Competition and Productivity
Ministry of Economy and Finance
Peru

Republic of the Philippines
DEPARTMENT OF FINANCE
Roxas Boulevard Corner Pablo Ocampo, Sr.Street
Manila 1004

BAGONG PILIPINAS

Ms. MAFALDA DUARTE
Executive Director
Green Climate Fund (GCF)
175 Art Center-daero
Yeonsu-gu, Incheon
Republic of Korea

SUBJECT : **No Objection Letter for the Mirova Sustainable Land Fund II (MSLF2) Programme under the Project-specific Assessment Approach (PSAA) facility of the Green Climate Fund (GCF)**

Dear **Ms. DUARTE:**

We refer to the programme entitled Mirova Sustainable Land Fund II (MSLF2) under the Project-Specific Assessment Approach ("PSAA") facility of the GCF, submitted by Mirova to this office on May 6, 2024.

The undersigned is the duly authorized representative of the Department of Finance, the National Designated Authority/focal point of the Republic of the Philippines.

Pursuant to the GCF Board decision B.08/10, the content of which we acknowledge to have reviewed, we hereby communicate our no-objection to the Programme as included in the funding proposal.

By communicating our no-objection, it is implied that:

(a) The Government of the Republic of the Philippines has no-objection to the Programme as included in the funding proposal;

(b) The Programme as included in the funding proposal is in conformity with the Republic of the Philippines' national priorities, strategies and plans; and

(c) In accordance with the GCF's environmental and social safeguards, the Programme as included in the funding proposal are in conformity with relevant national laws and regulations.

We also confirm that our national process for ascertaining no-objection to the Programme has been duly followed.

We also confirm that our no-objection applies to all projects or activities to be implemented within the scope of the Programme.

We acknowledge that this letter will be made publicly available on the GCF website.

Very truly yours,

RALPH G. RECTO
Secretary of Finance
NOV 20 2024

DEPARTMENT OF FINANCE
REPUBLIC OF THE PHILIPPINES
039860

ESS disclosure report form for projects or programmes submitted under the Project-specific Assessment Approach (PSAA) Pilot

Environmental and social report(s) disclosure

Basic project or programme information	
Project or programme title	Mirova Sustainable Land Fund 2 (MSLF2)
Existence of subproject(s) to be identified after GCF Board approval	Yes
Sector (public or private)	Private
Name of entity	Mirova
Environmental and social safeguards (ESS) category	Category I-2
Location – specific location(s) of project or target country or location(s) of programme	Costa Rica, Côte d'Ivoire, Ghana, Malaysia, Morocco, Peru, Philippines
Environmental and Social Impact Assessment (ESIA) (if applicable)	
Date of disclosure on entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management Plan (ESMP) (if applicable)	
Date of disclosure on entity's website	N/A
Language(s) of disclosure	N/A
Explanation on language	N/A
Link to disclosure	N/A
Other link(s)	N/A
Remarks	N/A
Environmental and Social Management System (ESMS)	
Date of disclosure on entity's website	Friday, January 17, 2025
Language(s) of disclosure	English, Arabic, French, Malay, and Spanish
Explanation on language	These are the official languages of the target countries.
Link to disclosure	English: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2.pdf Arabic*: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2-ar.pdf French*: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2-fr.pdf

	Malay*: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2-ms.pdf Spanish*: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2-es.pdf
Other link(s)	https://www.mirova.com/fr/durabilite
Remarks	An Environmental, Social and Governance (ESG) & Impact Framework (ESGIF) has been prepared for the Mirova Sustainable Land Fund 2 programme, which provides an overview of the key aspects of the existing environmental and social management policies and procedures that will guide the identification of environmental and social risks and impacts. An ESMS consistent with the requirements for a Category I-2 programme is contained in the Environmental, Social and Governance (ESG) & Impact Framework.
Any other relevant ESS reports, e.g. Resettlement Action Plan (RAP), Resettlement Policy Framework (RPF), Indigenous Peoples Plan (IPP), Indigenous Peoples Planning Framework (IPPF) (if applicable)	
Description of report	Indigenous Peoples Planning Framework" (IPPF); "Land Acquisition Framework" and a "Resettlement Action Plan Outline"
Date of disclosure on entity's website	Friday, January 17, 2025
Language(s) of disclosure	English, Arabic, Malay, Spanish, French
Explanation on language	These are the official languages of the target countries
Link to disclosure	English: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2.pdf Arabic*: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2-ar.pdf French*: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2-fr.pdf Malay*: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2-ms.pdf Spanish*: https://www.mirova.com/sites/default/files/2025-01/ESG-Impact-Framework_MSLF2-es.pdf
Other link(s)	https://www.mirova.com/fr/durabilite
Remarks	An "Indigenous Peoples Planning Framework" (IPPF), a "Land Acquisition Framework" and a "Resettlement Action Plan Outline" are included in the ESGIF.

Disclosure in locations convenient to affected peoples (stakeholders)	
Date	Friday, January 17, 2025
Place	The ESGIF is available online for anyone to access at any time, and in addition available at GCF NDA representative/country offices at the locations of the target countries, upon request. The current locations as of the disclosure date are: **Costa Rica** Ministry of Environment and Energy Mr. Carlos Isaac Pérez Mejía Vice-minister of Strategic Affairs Calle 25. Av. 8-10, San Jose, Costa Rica Phone (506) 2106-8527 **Ghana** Ministry of Finance Mrs Phyllis Fraikue Primary Ag. Director, Climate Financing Division P.O.Box MB40, Ministries, Accra, Ghana Phone +233501290102 **Malaysia** Ministry of Natural Resources and Environmental Sustainability Datuk Nor Yahati Binti Awang Deputy Secretary General (Environmental Sustainability) Phone +603 8091 7244 **Morocco** Ministry of Energy Transition and Sustainable Development- Department of Sustainable Development Mr. Bouzekri Razi Director of Climate Change, Biodiversity, and Green Economy Phone +212 537 711842 **Peru** Ministry of Economy and Finance Mr. Jose Alfredo La Rosa Basurco General Director, General Directorate of International Economic Affairs, Competition and Productivity Jr. Lampa N° 277 - Cercado de Lima,, Lima, Peru Phone +(511) 311 5930 **Philippines** Department of Finance Secretary Ralph Recto secfin@dof.gov.ph - gcf_ph@dof.gov.ph Mr. Joven Balbosa Primary Undersecretary, International Finance Group Phone +63 2 8523-4955 jbalbosa@dof.gov.ph / gcf_ph@dof.gov.ph

	Côte d'Ivoire Minister's Office, Ministry of Environment and Sustainable Development Mr. Marcel YAO Public Policy, Climate Change and Ecological Transition Expert / Technical Advisor to the Minister in charge of International Cooperation and Resource Mobilization Cite Administrative, Plateau, Tour D, 10eme etage - 20 BP 650 Abidjan 20, Abidjan, Cote d'Ivoire Phone (225) 0707791504 / 2720239900
Date of Board meeting in which the FP is intended to be considered	
Date of entity's Board meeting	N/A
Date of GCF's Board meeting	Monday, February 17, 2025

Note: This form was prepared by the entity stated above.

* Subsequent to the disclosure of this form to the Board and active observers on January 17, 2025 (KST), the following updates have been made:

Kenya has been removed from the programme because its No-Objection Letter (NOL) was not provided by the deadline. Consequently, the addresses for convenient access by affected peoples in Kenya has also been removed. Moreover, the translation of the Environmental, Social and Governance (ESG) & Impact Framework (ESGIF) into the local languages of the target countries (Arabic, French, Malay and Spanish) have been made available on January 25, 2025.

Secretariat’s assessment of the Project-specific Assessment Approach (PSAA) Applicant for FP263

Secretariat's assessment of the PSAA applicant

1. The Secretariat has assessed the document titled "**PSAA accreditation: application and review checklist**" submitted by MIROVA, a société anonyme (referred to as "Mirova" or "the applicant") against the GCF accreditation standards. The result of the entity capacity assessment and recommendations for GCF project-specific assessment approach (PSAA) accreditation are as follows:

Overall capacity	High Mirova has a well-developed financial management system and a robust control framework that includes risk management. It maintains strong systems and policies to prevent money laundering, the financing of terrorism, fraud, and other prohibited practices. Additionally, it is well-equipped to manage environmental, social, and gender risks and impacts, ensuring a minimal likelihood of negative impacts on its ability to carry out the proposed project as planned.
Fiduciary functions	Basic fiduciary standards
	Specialised fiduciary standard for project management
	Specialised fiduciary standards for on-lending and/or blending (for loans, equity and guarantees)
Maximum environmental and social risk category	Medium risk (Intermediation 2)
Conditions	Not applicable

2. The Secretariat has augmented its capacity by using external experts to undertake the applicant capacity assessment review.[1] A summary of the assessment is presented in this document.

I. Applicant capacity assessment summary report

1.1 Introduction and institutional assessment

3. Mirova is an investment management firm specialising in sustainable finance, managing over EUR 31 billion across various strategies that focus on environmental and social (E&S) impacts. Its extensive experience in managing funds in areas such as renewable energy, natural capital, sustainable infrastructure, and thematic equity investments positions Mirova as a well-established firm in the sustainable finance field.

4. Mirova is owned by Natixis Investment Managers, itself fully owned by Group BPCE (France's listed banking group), providing Mirova with substantial expertise and an extensive international reach. The applicant has received B Corporation certification and multiple

[1] In line with the PSAA pilot framework approved by the Board (decision B.31/06), the Secretariat has augmented its capacity by using external experts, third-party organizations and/or service providers to support it in undertaking the applicant capacity assessment review.

internationally recognised sustainability awards underscoring its commitment to sustainable finance practices.

5. Mirova has proposed the Mirova Sustainable Land Fund 2 (MSLF2) and accompanied Technical Assistance Facility to GCF. If approved by the Board, the applicant will act as a fund manager to the Mirova Sustainable Land Fund 2 SLP RAIF and an accredited entity under the PSAA window. It will also procure and oversee the activities of an external manager in charge of implementing the technical assistance component of the proposed programme.

6. The Secretariat engaged external experts to evaluate the applicant's ability to successfully implement the proposed programme. The assessment determined that Mirova possesses a high capacity and meets the relevant GCF accreditation standards.

1.2 Methodology

7. The accreditation process for Mirova began with the submission of the first set of materials on 8 April 2024, based on a customised application form and materials requested. An external review team conducted a comprehensive review, assessing the applicant's policies, procedures, and track record against GCF accreditation standards.

8. This assessment included reviews of Mirova's policies, procedures, capacities, track record, and human resources, complemented by interviews with key Mirova personnel and reference calls with existing investors in the Land Degradation Neutrality Fund (LDNF) project and prospective MSLF2 investors. Key informants from Mirova covered areas such as general management and financial administration, procurement, project management, E&S and gender issues, as well as transparency and accountability. These discussions provided further evidence of Mirova's internal capacities and facilitated a walk-through of key systems and tools used by staff. The reference calls confirmed Mirova's capabilities, ethical adherence, and the high skill level of its employees.

9. The second stage of the review concluded with a final assessment and review of the risks based on the funding proposal, received in May 2024.

10. Mirova was assessed in accordance with several GCF policies and standards relevant to accreditation, including but not limited to:

(a) "Updated Strategic Plan for the GCF 2024–2027" (USP-2; decision B.36/13);

(b) "Matters related to the accreditation framework" regarding the accreditation process (decisions B.24/13 and B.26/01);

(c) "Guiding framework and procedures for accrediting national, regional and international implementing entities and intermediaries, including the Fund's fiduciary principles and standards and environmental and social safeguards" (decision B.07/02);

(d) "Policy on Prohibited Practices" (decision B.22/19);

(e) "Anti-Money Laundering and Countering the Financing of Terrorism Policy" (AML/CFT Policy) (decision B.18/10);

(f) "Policy on the Protection of Whistleblowers and Witnesses" (decision B.BM-2018/21);

(g) "Environmental and Social Management System: Environmental and Social Policy" (decision B.19/10);

(h) "Comprehensive Information Disclosure Policy of the Fund" regarding the disclosure of E&S information (decision B.12/35);

(i) "Updated Gender Policy and Gender Action Plan 2020–2023" (decision B.24/12);

(j) "Revised Environmental and Social Policy" (decision B.BM-2021/18);

(k) "Evaluation Policy" (decision B.BM-2021/07); and

(l) "Updates to the Accreditation Framework" (decision B.31/06).

11. The following assessment is based on this due diligence.

1.3 Contribution to the mandate of GCF

12. The funding proposal outlines Mirova's contributions to forestry and land use, health and well-being, and food and water security, along with ecosystems and ecosystem services in the GCF target countries. The applicant plans to use GCF funding to catalyse private-sector investments in sectors that are currently underinvested in these countries. The goal is to attract both private and public financing and to help establish sustainable land use as an attractive asset class. The mission of MSLF2 is aligned with the USP-2 strategy and supports the GCF mandate.

1.4 Track record and implementation of similar projects

13. Mirova has a strong track record of managing similar projects such as LDNF. The LDNF project has invested in the same asset class in similar companies and projects globally, in emerging markets and developing countries, with comparable levels of development, environmental and social risk levels, targeted outcomes, and a similar nature of monitoring and evaluation processes as is proposed for MLSF2.

14. Mirova has invested in several other climate change-related projects and companies, mainly in areas such as agroforestry, planted forests, agroecological transition, and energy transition. The applicant's track record in financing sustainable development and climate change-related projects and companies to date includes investments in a number of funds, including Mirova Energy Transition 5; Mirova Eurofideme 2, 3 and 4; and the Sustainable Ocean Fund.

15. The track record of Mirova suggests that it is well-equipped to effectively support climate-related priorities in the MSLF2 target countries. The project pipeline that the applicant has presented is in alignment with the portfolio-level objectives of GCF.

1.5 Legal status, registration, permits and licences

16. MIROVA, a société anonyme organised in France and registered in the Paris Trade and Companies Registry under no 394 648 216, is an alternative investment manager domiciled in France and regulated by the French *Autorité des Marchés Financiers* (AMF) since 2002 under European Union Alternative Investment Fund Managers (AIFM) regulations. Mirova has been approved by AMF under number GP-02014, and registered as a public limited liability company in Paris since April 1994. Mirova has indicated it has legal capacity to enter into a financing agreement with GCF.

17. Mirova also has operations outside of France through its affiliates, including the United States of America through two entities (Mirova Africa Inc. and Mirova US), in Kenya (through Mirova Kenya Ltd) and in Luxembourg (through Mirova Luxembourg SAS). All subsidiaries are fully owned by Mirova. Mirova also has a presence in Singapore through a division hosted at Natixis Investment Managers Singapore Limited.

II. Accreditation assessment

2.1 Basic fiduciary standards

2.1.2. Key administrative and financial capacities

18. Mirova has adequate governance and oversight bodies, including a board and its supporting functions. Its management structure facilitates good governance and decision-making.

19. Mirova has adequate key administrative and financial management and accounting capacities, human resources, processes and systems to effectively manage the proposed programme. Mirova follows the French generally accepted accounting principles (Plan Comptable Général, or PCG), also known as the French Generally Accepted Accounting principles (GAAP), and values its funds periodically according to the International Financial Reporting Standards (IFRS) or Luxembourg Generally Accepted Accounting Principles (GAAP). As observed, there are no major findings in any of the audit reports. The audit opinions for Mirova have been unqualified throughout the period of observation.

20. Mirova has an appropriate internal control framework and a functioning procurement system. The internal audit function adheres to the International Internal Audit Standards and Mirova has sufficient controls and policies in place for risk and compliance management.

21. Mirova's procurement policy includes procedures, guidelines, systems, and control frameworks that aim to ensure fair, competitive, and transparent procurement processes. The applicant conducts due diligence on vendors and monitors procurement practices and risks related to its investees. Mirova does not disclose procurement information publicly.

2.1.3. Transparency and accountability

22. Mirova has appropriate ethical and conflict-of-interest practices, as well as prohibited practices policies and functions. The whistleblowing systems, fraud detection, and investigation function have also been assessed to be at an adequate level. Mirova follows a strict anti-money laundering and countering the financing of terrorism regime. No relevant gaps in the applicant's systems or policies were identified.

2.2 Specialised fiduciary standards

2.2.1. Project management

23. The applicant has an established track record and experience in project management, with demonstrated expertise in assessing project viability, and monitoring project performance during the development and operational stages.

24. This capacity is supported by adequate investment appraisal processes, including sourcing, screening, and due diligence, which often require engagement with external service providers. Mirova has undertaken the role of overseeing a TA manager, which was recruited by Mirova to manage the TAF of the LDNF.

25. Mirova maintains appropriate systems for overseeing and controlling project implementation, as well as for monitoring and evaluating results and annually publishes its impact reports on its website, making the information publicly accessible.

2.2.2. Grant award and/or funding allocation mechanisms

26. Mirova did not apply for accreditation for the grant award and/or funding allocation mechanisms specialised fiduciary standard.

2.2.3. On-lending and/or blending for loans and equity

27. Mirova satisfies the specialised fiduciary standards of GCF for on-lending and blending for loans and equities. Mirova operates as a licensed alternative investment fund manager. Its business model and investment procedures allow it to process funds from organisations such as GCF, and to on-lend or blend these funds with its own funds and additional capital from various public and private investors. Mirova's previous experience proves its ability to manage funds in a portfolio setting and effectively distribute them to the final beneficiaries.

28. Mirova has adequate investment appraisal processes, including sourcing, screening, and due diligence. Mirova assesses investment-related risks according to their comprehensive internal guidelines and policies. Mirova's risk team functions independently and validates investment processes and methods, with the ability to escalate issues directly to senior management. Furthermore, Mirova maintains appropriate systems to oversee and control implementation and to monitor and evaluate results.

29. Mirova's staff comprise an experienced, cohesive team, capable of implementing investments across various asset classes.

2.3 Environmental and Social Safeguards

30. Mirova's practices align with international standards, including the GCF interim environmental and social safeguards (ESS) standards for risk identification and screening. Additionally, Mirova's E&S management programme meets the requirements of the GCF revised Environmental and Social Policy and the interim ESS standards for projects and programmes at a maximum E&S risk category of I-2, covering International Finance Corporation Performance Standards (PS)1–8. Mirova's track record indicates compliance with the E&S laws and standards of the host countries where it invests. The applicant maintains an environmental and social management programme designed to manage E&S risks effectively and in a timely manner. Monitoring and review processes are systematically conducted using appropriate, proprietary software systems. Mirova possesses the organisational competency and human resources necessary to manage grievances and external communications in accordance with GCF standards, ensuring diligent monitoring, follow-up, and management of E&S risks.

31. In addition, Mirova demonstrates a thorough understanding and capacity for (PS7) related to stakeholder engagement and consultations, including with Indigenous Peoples.

32. Mirova has earned a B Corporation certification, recognising its commitment to corporate social responsibility. The company has established a Mission Committee that steers its vision for E&S responsibility across its investments. This vision is explicitly detailed in the MSLF2 theory of change, which advocates for the transformation of production models to become regenerative, low-emission, climate-resilient, and socially inclusive, particularly in the forestry and agriculture sectors.

2.4 Gender

33. Mirova has a well-established track record of conducting gender assessments and maintains a robust policy framework. Gender considerations are thoroughly integrated into Mirova's environment, social and governance (ESG) policy and the MSLF2 ESG & impact framework. According to this framework, Mirova conducts a contextual analysis at both the country and sector levels using publicly available information prior to the screening phase. It also evaluates gender risks and impacts at the project level during the due diligence phase and includes a requirement for a gender action plan and initiatives for women's empowerment in the contractual environmental and social action plan.

34. The due diligence confirms that Mirova's gender policy, strategy, and action plan, are in alignment with the principles outlined in the GCF Gender Policy. Mirova possesses the organisational capacity, a proven track record, and the necessary human resources to implement projects in accordance with the GCF Gender Policy. Additionally, Mirova is equipped to produce and disseminate gender-related knowledge products. Overall, Mirova is in compliance with the updated GCF Gender Policy.

III. Conclusions and Recommendations

3.1 Conclusions

35. Following its assessment, the Secretariat concludes that Mirova is well equipped to support the implementation of USP-2. Mirova is capable of effectively managing the proposed project under PSAA accreditation and enhancing private sector participation in climate change mitigation and adaptation projects, specifically in the agriculture and forestry sectors across targeted geographical areas.

36. The applicant has demonstrated that it has a high capacity to implement the proposed MSLF2 project and manage the GCF-funded activities in alignment with the relevant GCF policies.

37. The applicant meets the requirements of the GCF basic fiduciary standards, the GCF Policy on the Protection of Whistleblowers and Witnesses, the GCF Policy on Prohibited Practices, the GCF AML/CFT Policy, and the Specialised fiduciary standard for project management, the specialised fiduciary standards for on-lending and/or blending (for loans, equity and guarantees to the extent applicable to the PSAA, and to the funding proposal.

38. The applicant meets the GCF revised Environmental and Social Policy, the GCF interim ESS standards and the GCF Comprehensive Information Disclosure Policy on disclosure of E&S information in relation to the medium E&S risk category I-2 and to the extent applicable to PSAA and the funding proposal.

39. Mirova meets the necessary legal requirements stipulated in the PSAA pilot framework to implement the project.

40. The Applicant has further demonstrated that it has policy, procedures, and competencies to implement its gender policy consistent with the updated GCF Gender Policy to the extent applicable to PSAA and the funding proposal.

3.2 Recommendations on project-specific accreditation

41. Accreditation type: PSAA

42. Fiduciary functions:

(a) Basic fiduciary standards; and

(b) Specialised fiduciary standard for project management, on-lending and/or blending for loans and equity;

43. Maximum environmental and social risk category: Medium risk (category I-2).

44. **Conditions:** No conditions

Independent Technical Advisory Panel's assessment of FP263

Proposal name:	Mirova Sustainable Land Fund 2(MSLF2)
Accredited entity:	Mirova
Project/programme size:	Large

I. Assessment of the independent Technical Advisory Panel

1.1 Overview

1. The programme "Mirova Sustainable Land Fund 2 (MSLF2)" intends to facilitate private-sector investments in sustainable land management (SLM) practices across 11 countries: Ghana, Peru, Morocco, Malaysia, Costa Rica, Philippines, Côte d'Ivoire, Indonesia, Kenya, Thailand and Uganda. Thus far, Mirova has been able to obtain NOLs from the following seven countries: Ghana, Cote d'Ivoire, Peru, Morocco, Malaysia, Costa Rica, and Philippines. iTAP understands that the Accredited Entity (AE) is in the process of obtaining NOLs from the four remaining countries targeted by the programme. The overarching objective of the programme is to transform commodity production in the agriculture, forestry, and other land use (AFOLU) sector by supporting companies in adopting SLM practices. By doing so, the programme aims to create agrifood and fibre value chains in the target countries that deliver significant climate mitigation (i.e. carbon removal) as well as adaptation benefits. MSLF2 has been submitted to the iTAP under the GCF project-specific assessment approach, which enables the GCF Secretariat to concurrently evaluate the project sponsor's implementation capacity and the proposal's suitability for GCF financing. The review by the iTAP assumes that the Secretariat's assessment of the sponsor's capabilities meets the necessary standards for evaluating this programme.

2. Available scientific evidence demonstrates that climate change is intricately linked to forest loss, including deforestation and forest degradation, as well as land degradation.[1] Climate-related hazards already contribute to these issues, with the increasing frequency and intensity of extreme weather events projected to exacerbate rates of forest and land degradation in the future. At a global level, both forest loss and land degradation contribute significantly to greenhouse gas (GHG) emissions, making the AFOLU sector the second-largest global source of emissions, accounting for around 23 per cent of the total.[2] Approximately half of these emissions stem from deforestation and forest degradation, emphasizing the crucial need to address unsustainable agricultural practices. Sustainable forestry and agriculture practices are part of the solution, enabling carbon sequestration in soils, trees and forests while improving resilience and reversing land degradation. Beyond their impact on GHG emissions, forest loss and land degradation also have far-reaching environmental and socioeconomic

[1] See for example Intergovernmental Panel on Climate Change (IPCC) (2019), *Climate Change and Land*:, an IPCC Special Report on climate change, desertification, land degradation, sustainable land management, food security, and greenhouse gas fluxes in terrestrial ecosystems (SR2), Background report for the Scoping Meeting (available at https://www.ipcc.ch/site/assets/uploads/2018/07/sr2_background_report_final.pdf, downloaded 22 December 2024).
[2] "Land use contributes to 23% of anthropogenic greenhouse gas emissions (2007–2016), largely from deforestation, agricultural emissions from soil and nutrient management, and livestock. At the same time, the land system absorbs nearly a third of anthropogenic CO_2 emissions, providing an important carbon sink." (Ibid., chapter 2).

consequences, including biodiversity loss, reduced water availability and quality, and threats to livelihoods, food security, and public health.

3. Addressing these challenges demands urgent and scaled investment in SLM practices. All MSLF2 target countries share significant vulnerabilities to the impacts of climate change, which manifest in intensified weather events such as hurricanes, typhoons, and flooding, as well as prolonged droughts. These climate-related hazards exacerbate deforestation, land degradation and GHG emissions, creating a feedback loop that threatens ecosystems and communities. Unsustainable agricultural practices, including land clearing for monoculture plantations, overgrazing, and poor soil management, further degrade natural ecosystems, diminishing their capacity to sequester carbon and increasing vulnerability to climate extremes.

4. While the target countries (including those for which the AE has not yet obtained an NOL) share the overarching challenge of addressing forest loss and land degradation, the specific drivers and impacts vary. Côte d'Ivoire, Ghana and Indonesia, for example, face deforestation pressures primarily from the expansion of cocoa, palm oil and rubber production, industries that are crucial for their economies but carry significant environmental costs. Kenya and Morocco, on the other hand, confront issues of land degradation driven by overgrazing, soil erosion and desertification, which reduce agricultural productivity and threaten food security. Coastal countries such as Costa Rica, the Philippines and Thailand are especially at risk from extreme weather events like hurricanes and typhoons, which not only damage forests but also disrupt livelihoods and economies dependent on agriculture and tourism.

5. Recognizing these differences is essential for developing effective and context-specific SLM investment strategies targeting carbon removal. The proposed programme submitted by the accredited entity (AE) consists of a blended finance initiative focusing on targeted SLM investments in the 11 target countries. Its approach combines capital deployment to scalable companies via an investment facility with technical assistance (TA) aimed at making these companies investment-ready, supporting advanced sustainable practices, and enhancing environmental and social impact reporting in areas such as climate mitigation, biodiversity and gender inclusion. The investment facility is expected to allocate 40 per cent of its capital to sustainable forestry and 60 per cent to regenerative agriculture,[3] including agroforestry, while maintaining a strong focus on gender inclusion aligned with the “2X” gender inclusion framework.[4] The fund’s strategy emphasizes sustainability and scalability by reducing risks, promoting sustainable certification labels such as Rainforest Alliance and Forest Stewardship Council, and fostering stronger links between portfolio companies and supply chain buyers committed to sustainable sourcing. These efforts are expected to create positive feedback loops that enhance the viability of sustainable production, benefiting not only investors and businesses but also employees, communities and the environment.

6. Under the terms of the proposal, the AE requests EUR 75 million from GCF to facilitate and support private sector-led SLM investments in the selected target countries. In terms of financial instruments, the AE is requesting EUR 70 million in the form of equity and EUR 5 million in the form of grants. The AE anticipates that, through the entire programme, it will facilitate SLM investments amounting to a total of approximately EUR 350 million, of which EUR 300 million will be provided by other investors (GCF leverage ratio of approximately 1:4 on the entire fund that will include investments in non-NOL countries funded by proceeds from investors other than GCF). The investments that the AE will provide to portfolio companies in the target countries will also trigger additional co-investment from these portfolio companies and other third-party investors.

[3] Generally understood as a system of farming principles and practices aimed at improving and restoring soil health, biodiversity and ecosystem resilience, while also addressing climate change by enhancing carbon sequestration and reducing GHG emissions. It goes beyond sustainable agriculture by actively seeking to regenerate the land and ecosystem.
[4] See https://www.2xchallenge.org/ (accessed 2 January 2025).

7. With this proposed programme, the AE intends to provide support for climate investments in the target region via two main programme components:

(a) **Component 1 – MSLF2 Investment Facility:** Component 1 uses GCF resources to scale finance for sustainable land use via a blended finance fund, aiming to raise EUR 350 million, including EUR 70 million from GCF. With regards to investments in NOL countries (the GCF-eligible portfolio), MSLF2 will invest in agroforestry, reforestation, and soil conservation, targeting 17.4 MtCO2e removal, 147,000 ha under improved low-emission and/or climate-resilient practice, and improved adaptive capacity for 63,000 direct beneficiaries.

(b) **Component 2 – Technical Assistance Facility (TAF):** Component 2 focuses on providing TA to improve investment readiness and enhance the environmental and social impacts of portfolio companies. Leveraging partnerships with established organizations like IDH Transforming Markets and the World Resources Institute, the TAF (with EUR 5 million from GCF) is expected to help businesses transition to climate-resilient, low-emission production systems. Tailored support will ensure improved monitoring, reporting, and implementation of plans for gender equality, biodiversity and climate mitigation, fostering a broader shift towards sustainability and maximizing value across environmental, social and economic dimensions.

8. Under the terms of the funding proposal, Mirova will act as the AE and as executing entity (EE) for component 1; the EE for the TAF will be an external TA Manager selected by Mirova. This entity will manage the daily implementation of the TAF, including activities such as origination, execution, contracting, monitoring and key performance indicator reporting.

1.2 Impact potential *Scale: Medium*

9. The funding proposal highlights a range of anticipated outcomes resulting from the proposed programme across various GCF mitigation results areas (MRAs) and adaptation results areas (ARAs), reflecting the investment scope of the proposed programme. Specifically, the funding proposal references the following main programme outcomes:[5]

(a) **Outcome 1:** GHG emissions reduced, avoided or removed/sequestered, with a total expected removal of 17.4 million t CO_2 eq (core indicator 1, MRA 4).

(b) **Outcome 2:** Increased climate resilience for water and food security, including gender considerations, with 63,000 direct beneficiaries and 264,000 indirect beneficiaries, 50 per cent female in both cases (core indicator 2, ARA 2).

(c) **Outcome 3:** Increased climate resilience for water and food security, including gender considerations, with beneficiaries adopting improved and/or new climate-resilient livelihood options, with 7,000 direct beneficiaries (core indicator 2, ARA 2, Supplementary 2.1).

(d) **Outcome 4:** Hectares of natural resources brought under improved low-emission and/or climate-resilient management practices, with 106,000 hectares targeted (core indicator 4, ARA 2).

(e) **Outcome 5:** Hectares of terrestrial forest, terrestrial non-forest, freshwater and coastal marine areas brought under restoration and/or improved ecosystems, with 14,000 hectares targeted (core indicator 4, ARA 2, supplementary 4.1).

10. The programme is also expected to engender positive enabling environment outcomes, contributing to the emergence of a commercially sustainable market for SLM investments (core

[5] Please see footnote 6. Please also refer to integrated results management framework available at: https://www.greenclimate.fund/document/integrated-results-management-framework".

indicator 7), technology deployment and dissemination (core indicator 6), and effective knowledge-generation and sharing (core indicator 8).

11. The AE/EE expects to accomplish these outcomes via the following outputs:

(a) **Output 1.1:** A scalable blended finance fund vehicle is created and capitalized with investments from GCF and other private and public sector entities. This will enable large-scale financing of sustainable agriculture, forestry and land management projects.

(b) **Output 1.2:** Investment capital is deployed to businesses implementing SLM practices, including agroforestry, reforestation and regenerative agriculture. The focus will be on projects that deliver significant climate adaptation and mitigation benefits.

(c) **Output 2.1:** Tailored TA is provided to prepare businesses for investment. Activities include capacity-building, compliance support for sustainability standards, and assistance with financial and administrative processes to enhance eligibility for financing.

(d) **Output 2.2:** Portfolio companies receive support to implement strategies for improved climate, biodiversity, and social outcomes. This includes developing and executing plans for GHG monitoring, gender equality, biodiversity, and environmental safeguards.

(e) **Output 2.3:** Lessons learned and best practices from portfolio companies are documented and shared to inspire broader adoption of sustainable practices. Partnerships with stakeholders enhance technical knowledge and capacity within target regions.

12. The funding proposal's logical framework is coherent and aligns well with the objectives of mobilizing investment, fostering SLM practices, and delivering climate, environmental and social benefits. However, it also relies on numerous assumptions, particularly concerning the final composition of the fund portfolio to be supported by MLSF2. The iTAP identifies several factors that could hinder the project's ability to achieve the anticipated outcomes:

13. **Lack of visibility on pipeline of portfolio companies and resulting uncertainty on expected programme outcomes.** As seen in other Division of Private Sector Facility projects submitted to GCF – particularly those involving impact investment funds or concessional credit lines for on-lending through financial institutions – the AE relies on a synthetic opportunity pipeline to project programme outcomes. This pipeline serves as a placeholder for the investments the proposed vehicle may support, rather than detailing a specific list of projects. As with other Division of Private Sector Facility projects, this approach makes it difficult to conduct a reliable ex ante assessment of the programme's impacts. As a result, the iTAP cannot fully validate the outcome targets specified in the proposal. It is reasonable to anticipate that the outcome estimates may shift (upward or downward) as the programme progresses through implementation. However, the iTAP is reassured by the AE's significant prior investment experience in relevant target markets and sectors, particularly through the precursor fund to MSLF2, the Land Degradation Neutrality Fund (LDNF), which provides a grounded (though unavoidably limited) basis for the assumptions underlying expected outcomes.

14. **Ability to generate high-quality pipeline for MSLF2.** A related point concerns the ability of the AE to generate a sufficiently high-quality pipeline within the proposed four-year investment period of the fund. The funding proposal notes that the AE has already developed an active investment pipeline consisting of potential projects that are ready to undergo the MSLF2 due diligence process. The AE has provided further details regarding its pipeline building work as part of the question and answer process with the iTAP. If successful, these projects will form the fund's initial investments. The AE however has not provided much detail that would enable the iTAP to assess the depth and quality of the AE's pipeline. The funding proposal highlights that the pipeline will be expanded through various channels, including the AE's investment team, collaborations with public and non-profit organizations, and networks of supply-chain

actors and off-takers. However, the iTAP anticipates that building a robust pipeline for MSLF2 may encounter challenges, given the market opportunity, targeted climate outcomes, geographical scope, and the characteristics of the companies and investments involved:

(a) **Targeted geographies**: Many of the target countries, while potentially rich in opportunities, face significant challenges such as political instability, weak regulatory environments, and limited access to reliable financial markets. These factors could complicate the identification and due diligence of eligible projects, especially with an investment team that is mostly Europe-based. This may result in the fact that some of the more complex target countries included in the programme will see few if any investments (no requirement is included for a particular portfolio allocation).

(b) **Size of targeted companies:** The focus on small and medium-sized enterprises (SMEs) in the AFOLU sector, particularly those in transition phases, may limit the pool of businesses ready to absorb the average investment size of EUR 15 million. Many SMEs may lack the financial maturity or operational capacity to meet the fund's requirements.

(c) Alignment with climate and sustainability goals: Identifying projects that not only meet financial viability thresholds but also deliver substantial climate adaptation, mitigation, and sustainability impacts requires sophisticated screening and a strong TA framework. This dual emphasis may narrow the pipeline, not the least since the AE will delegate TAF implementation to a third party which the iTAP believes could undermine the potential of the TAF to build a high-quality investment pipeline.

15. **Portfolio company selection and climate impact assessment.** Assessing the potential of sustainable forestry and regenerative agriculture investments in achieving carbon removal and climate adaptation outcomes in emerging economies is complex. The Intergovernmental Panel on Climate Change (IPCC) highlights that these practices offer significant mitigation potential through carbon sequestration in soils and biomass, while also enhancing adaptation, for example by improving ecosystem resilience and water retention.[6] However, challenges typically arise from variability in social and ecological conditions, limited baseline data, and a lack of robust measurement, reporting and verification (MRV) and monitoring and evaluation systems. Socioeconomic factors, including lack of enforced land tenure and use rights and low local capacities, further complicate selection of investment projects as well as implementation and monitoring. Tailored, context-specific approaches and rigorous methodologies are essential to unlock their full potential.

16. To ensure MSLF2 has the potential to generate expected climate mitigation and adaptation outcomes, the AE is proposing a system aimed at ensuring that the portfolio companies in which the fund invests will meet the eligibility criteria established in the funding proposal (and in compliance with GCF standards as established by the Board in decision B.33/12). Mirova's approach integrates rigorous methodologies like Ex-ACT for carbon accounting, pre-screening, and due diligence to align projects with GCF climate impact goals. The TAF is expected to enhance implementation of sustainable practices, maximizing co-benefits such as biodiversity, livelihoods and gender equity. Additionally, the proposed MRV and monitoring and evaluation frameworks, including annual reviews and external audits, have the potential to provide transparency and accountability throughout the investment life cycle. However, the approach presented in the funding proposal and further responses provided during the question and answer procedure also demonstrate various weaknesses:

(a) **Lack of visibility on carbon removal calculation methodologies:** The approach outlined in annex 22 indicates that MSLF2 will rely on detailed data from portfolio companies for carbon removal calculations, with Ex-ACT Tier 1 calculations serving as a

[6] Intergovernmental Panel on Climate Change (IPCC) (2019), *Climate Change and Land*:, an IPCC Special Report on climate change, desertification, land degradation, sustainable land management, food security, and greenhouse gas fluxes in terrestrial ecosystems, available at https://www.ipcc.ch/srccl/ (accessed 23 December 2024).

fallback in cases where specific data is unavailable. The initial mitigation estimates are based on benchmarks from the LDNF, with customized models and data-collection tools to be developed only after approval of the funding proposal by the GCF Board. While the overall approach to the methodology aligns with best practices in leveraging both project-specific and standardized tools, the fact that no customized model for MSLF2 has thus far been developed may pose risks to the reliability of carbon removal estimates included in the funding proposal and also does not allow the iTAP to determine compliance with GCF standards as set out in Board decision B.33/12. Early development of these customized models for MSLF2 should be prioritized, and integration of sensitivity analyses ensured, to better account for uncertainties in data and project contexts. In addition, further detail is required: (i) to explain how the application of the tools and methodologies adheres to the five principles mentioned above; (ii) to provide evidence that the individuals responsible for conducting the climate impact assessment have proven expertise in calculating the mitigation impact potential of AFOLU activities; and (iii) to clarify how the assessment of mitigation impact potential will influence the investment decisions made by MSLF2 (see condition 1 below).

(b) **Weaknesses in the MRV system:** Overall, the MRV system described in annex 11 to the funding proposal demonstrates a comprehensive approach and incorporates several state-of-the-art elements, such as the use of Tier 2 and Tier 3 data and remote-sensing technologies. However, there are areas where the system could be enhanced. A key concern is reliance on self-reported data from portfolio companies, which may compromise accuracy, particularly in regions with limited verification infrastructure. While cross-checking through site visits and external audits is included, these measures might not sufficiently cover the scale and geographical diversity of the projects. Additionally, the system encounters difficulties in tracking adaptation outcomes. While mitigation metrics, such as GHG removals, are well-defined, adaptation indicators rely heavily on qualitative assessments and indirect proxies. This lack of specificity could hinder the accurate evaluation of resilience-building impacts.

(c) **Limited approach to tracing adaptation outcomes:** The methodology in annex 23 for assessing adaptation impact (and specifically beneficiary calculations) provides a structured approach, leveraging learnings from the LDNF while applying conservative assumptions to ensure realistic estimates. However, there are areas where the methodology demonstrates strengths and others where it could be improved for greater precision and reliability. A significant weakness lies in its reliance on generalized benchmarks derived from LDNF data and the lack of consideration of context-specific aspects of adaptation to climate change. While useful as a foundation, these benchmarks may oversimplify the diverse contexts and complexities of as broader and more varied MSLF2 portfolio. Another challenge is the heavy dependence on data provided by portfolio companies. Variations in data quality and consistency across projects can impact the reliability of aggregated results. The proposed use of remote-sensing data (for example to determine the number of hectares under sustainable land use), and especially field visits, can mitigate this challenge, but it remains unclear how regularly field visits will be conducted, which aspects will be checked, and by whom. Furthermore, the simplistic application of an average household size to estimate indirect beneficiaries overlooks regional differences, potentially reducing the accuracy of these projections. In addition, the proposal is not clear about how the socioeconomic parameters related to adaptive capacity will be included in the quantification of beneficiaries. Collectively, these weaknesses highlight the need for more localized, validated and nuanced metrics to strengthen the methodology's capacity to assess adaptation impacts comprehensively and credibly. A detailed plan is required that sets out a more nuanced system for tracing adaptation outcomes, taking into account the weaknesses highlighted above.

(d) **Integration of climate impact in investment decision-making.** While all investments to be made by MSLF2 will be screened against climate eligibility, it remains somewhat unclear what priority the review of climate mitigation and adaptation potential will have in the ultimate investment decision-making process of the fund. In that context, ensuring eligibility of investments against criteria set by GCF is a necessary but not sufficient step; in addition, to maximize impact, there should be a strong mechanism in place to ensure that investments with more climate outcome potential than others are prioritized from the pool of overall eligible investments. The iTAP recommends that the AE should appoint one independent member with a background in climate adaptation finance to its Investment Committee to ensure outcome considerations have a strong voice and advocate in the investment decision-making process.

17. Overall, the iTAP rates the impact potential of the project as medium, with potential for improvement if the issues highlighted above are adequately clarified and addressed prior to the start of programme implementation.

1.3 Paradigm shift potential *Scale: Medium*

18. MSLF2 demonstrates potential to drive systemic change and contribute to the GCF paradigm shift objective by fostering sustainable land use practices across its target countries via a series of innovative investments in new and sustainable business models. It builds on the proven structure of the LDNF while introducing innovative mechanisms (including additional efforts to de-risk private-sector investments and leveraging TA to support the institutional and operational capacity of investee companies). The programme targets underserved areas such as agroforestry and regenerative agriculture, aiming to scale these practices through a combination of equity, mezzanine and debt instruments. This approach ensures flexibility and adaptability for the unique needs of these high-risk sectors. The potential of the programme to effect paradigm shift however also faces inherent limitations:

19. **Limits to effecting long-term systemic change.** The funding proposal outlines a strategy to achieve systemic change by embedding sustainable land use practices into market and policy frameworks. The funding proposal posits that this will be achieved through de-risking investments, promoting certification standards, and aligning with national and international climate policies, such as nationally determined contributions and Sustainable Development Goals. These measures aim to normalize sustainable practices and integrate them into economic and regulatory systems. However, while the programme intends to align with national frameworks, there is limited evidence of direct engagement with governments to influence broader policy reforms. For systemic change to endure beyond the project lifecycle, targeted efforts to shape policies, such as incentives for sustainable practices or penalties for unsustainable actions, are critical. This is a general limitation of private sector-led programmes and not unique to MLSF2. In addition, the programme's reliance on private-sector engagement and certification systems is promising but may face challenges in addressing structural market barriers. Effective change will require coordinated efforts with supply-chain actors, including buyers and processors, to create a consistent demand for sustainably produced goods. The programme does not currently plan for substantial efforts on that front.

20. **Enhancing market access for smallholder farmers and SMEs.** MSLF2 emphasizes market access through certification schemes (e.g. Forest Stewardship Council, Rainforest Alliance), supply-chain integration, and TA. These initiatives aim to improve the competitiveness and resilience of smallholder farmers and SMEs in the target regions. However, certification schemes can be costly and complex for smallholders to implement. While the programme provides TA, ensuring equitable access and affordability for resource-constrained farmers is essential to prevent exclusion. It is unclear from the funding proposal what support specifically the programme will provide to smallholders and SMEs to defray related costs. In

addition, the funding proposal identifies key buyers and supply-chain actors but does not elaborate on mechanisms to secure long-term off-take agreements or enhance traceability, which are vital for sustained market access. Strengthening partnerships with buyers and integrating digital tools for traceability could address this gap. Finally, the funding proposal implicitly assumes that certification will naturally attract buyers, but additional incentives (e.g. price premiums or contractual guarantees) might be necessary to secure their commitment; the programme is not set up to provide such incentives but could make a sustained effort to build partnerships with other entities that potentially can.

21. **Private investment dynamics and junior equity requirements.** The programme seeks to reduce the perceived risk of investments in sustainable land use through concessional finance enabled by a junior equity tranche. Mirova suggests that follow-on funds will require reduced junior equity as the market becomes more familiar with these investments and their risk-return profiles. However, while the fund builds on the LDNF, the proposal does not provide concrete evidence that risk perception among private investors will substantially decline. In fact, the AE suggests to include a large junior equity layer in MSLF2 compared to the predecessor fund LDNF (from 22 per cent to 25 per cent). Without detailed data on risk reduction and financial returns from the predecessor fund, this assumption remains speculative. To lower junior equity requirements, the fund must demonstrate tangible success metrics, such as reduced default rates, stable returns and market validation of sustainable practices. Also, the programme seemingly relies heavily on European private investors, with limited exploration of local or regional investment sources in target countries. Diversifying the investor base and building local financial capacity could reduce future dependency on high junior equity thresholds.

22. In conclusion, the MSLF2 proposal effectively demonstrates paradigm shift potential by addressing systemic barriers, fostering innovation and creating enabling environments for SLM. With its approach to scalability, replicability and long-term sustainability, the fund is well-positioned to catalyse transformative change in target countries. Overall, the iTAP rates the potential for the project to effect a paradigm shift as medium.

1.4 Sustainable development potential *Scale: Medium-High*

23. The MSLF2 presents a strong case for delivering sustainable development benefits across environmental, social and economic dimensions:

24. **Environmental co-benefits.** The fund aims to deliver significant environmental benefits, including biodiversity conservation and improved land productivity. These contribute to broader climate resilience and ecological restoration goals and will be achieved via legally binding covenants in MSLF2 investments that prescribe minimum targets of land to be preserved as buffer zones and biodiversity hotspots. While the environmental benefits are well-articulated, their synergies with social and economic objectives could be better integrated. For example, linking conservation covenants with income generation for local communities could enhance co-benefits.

25. **Social co-benefits.** The emphasis of MSLF2 on social co-benefits, including long-term quality employment, improved labour conditions and sustainable livelihoods, reflects a commendable commitment to enhancing social outcomes in the target countries. The integration of third-party audits such as the Sedex Members Ethical Trade Audit and living wage assessments for Rainforest Alliance-certified investees demonstrates alignment with international labour standards and best practices. However, this commitment faces contextual challenges in the target countries and sectors. Seasonal and daily workers, who are among the most vulnerable, may require more robust protections to ensure compliance across diverse regulatory landscapes, where enforcement is often weak. Additionally, the covenant to close living wage gaps within three years is ambitious and may be hindered by structural barriers

such as fluctuating agricultural markets and the limited financial capacity of SMEs. Integrating culturally adaptive mechanisms and stronger engagement with local stakeholders would further enhance the fund's ability to achieve meaningful social impact.

26. **Gender-sensitive development impact.** The programme demonstrates a robust commitment to gender inclusion, targeting alignment of 50 per cent of its portfolio with the 2X Challenge criteria by the end of the fund's lifecycle. This alignment will be facilitated through pre-investment gender assessments, the implementation of tailored Gender Action Plans, and TA. A strength of the programme lies in its structured action plan, which includes specific indicators and timelines for compliance. All investments are required to develop Gender Action Plans and report on sex-disaggregated data, ensuring transparency and accountability. The fund's emphasis on supply chain inclusivity and prevention of gender-based violence aligns with recognized global best practices. However, the target of 50 per cent portfolio alignment lacks a defined baseline or interim milestones to track progress effectively. The proposal does not clearly outline strategies to address non-compliance among investee companies, which could hinder overall achievement.

27. **Economic co-benefits.** The programme highlights potential job creation and income generation as key economic co-benefits. It estimates substantial employment opportunities through project activities and increased income for smallholder farmers. More specifically, MSLF2 is projected to generate 7,000 direct jobs and benefit 63,000 smallholders directly.[7] These calculations are based on historical data from 13 LDNF investments, with conservative estimates applied to ensure realistic targets. However, while the funding proposal provides aggregate targets, it does not detail specific mechanisms to track income improvements or set baselines for measurement. This limits the ability to validate income-related outcomes. There is also limited information on how the fund will secure and sustain market access for smallholders beyond the project lifecycle.

28. Overall, the iTAP rates the sustainable development impact potential of the project as medium-high.

1.5 Needs of the recipient *Scale: Medium-High*

29. The proposal targets vulnerabilities and financing gaps in the AFOLU sectors across target countries. While diverse, all countries face relevant challenges, including land degradation, deforestation and erratic climatic conditions, with Uganda, for instance, reporting that 86 per cent of its national emissions are attributed to AFOLU-related activities. The fund's emphasis on addressing these vulnerabilities through SLM and agroforestry practices demonstrates a commitment to building climate resilience and reducing emissions.

30. While the 11 countries included in this programme all face challenges related to climate change in the AFOLU sector, they exhibit significant differences in economic conditions and climate-related needs. Target countries include lower-middle-income to upper-middle-income economies, with substantial variations in their gross domestic product per capita and their share of emissions from the AFOLU sector (see table below). This diversity underscores the differing capacities and requirements for climate action across the region. (The seven countries for which NOLs have been received are marked in bold in the below table.)

[7] Please refer to footnote 5 with regards to the adaptations iTAP made to expected impact metrics based on the reduced funding amount requested by the GCF.

Table: Economic conditions, emissions from AFOLU sector and climate-related needs across the target countries

Country	Income Level	GDP (USD billion) [(a)]	Per Capita Income (USD) [(a)]	Share of Emissions from AFOLU (%) [(c)]	Public Debt Distress [(a)]	Carbon Footprint [(b)]	Climate Transition Financing Capacity [(b)]
Costa Rica	**Upper-middle income**	**USD 63**	**USD 12,700**	**37.2**	**Moderate risk**	**Moderate**	**Moderate, with access to international markets**
Côte d'Ivoire	**Lower-middle income**	**USD 70**	**USD 1,700**	**62**	**Moderate risk**	**Moderate**	**Limited, relies on international support**
Ghana	**Lower-middle income**	**USD 75**	**USD 2,400**	**44.6**	**High risk**	**Moderate**	**Limited, highly dependent on donors**
Indonesia	Lower-middle income	USD 1,180	USD 4,600	50.13	Moderate risk	High	Moderate, better access to international markets
Kenya	Lower-middle income	USD 110	USD 2,000	44	High risk	Moderate	Limited, reliant on international support
Malaysia	**Upper-middle income**	**USD 400**	**USD 11,300**	**3**	**Low risk**	**Low to moderate**	**Stronger, with significant international finance**
Morocco	**Lower-middle income**	**USD 140**	**USD 3,700**	**22.8**	**Moderate risk**	**Moderate**	**Stronger, with significant international finance**
Peru	**Upper-middle income**	**USD 230**	**USD 7,000**	**15.2**	**Low risk**	**Moderate**	**Moderate, with growing international support**
Philippines (the)	**Lower-middle income**	**USD 410**	**USD 3,700**	**29**	**Moderate risk**	**Moderate**	**Limited, relies on international donors**
Thailand	Upper-middle income	USD 540	USD 7,800	14.7	Moderate risk	Moderate to high	Moderate, some access to international markets
Uganda	Low income	USD 45	USD 850	86	High risk	Moderate	Very limited, highly reliant on international donors

Abbreviation: AFOLU = agriculture, forestry and other land use, GDP = gross domestic product

Notes: a Based on data retrieved from International Monetary Fund and World Bank websites and databases in 2024.

[b] Assessment by the independent Technical Advisory Panel.

[c] Intergovernmental Panel on Climate Change Special Reports on Climate Change and Land and Nationally Determined Contributions submitted to the United Nations Framework Convention on Climate Change.

31. The iTAP understands that one key success factor for MSLF2 will be the ability to build a diversified portfolio, in order to attract private-sector investors into the programme. However, without a requirement on the AE to invest a minimum share of the fund size into each target country, there is a risk that the portfolio will ultimately centre around some of the lower-risk countries such as Peru, Thailand or Morocco which feature also relatively lower shares of emissions from AFOLU sectors compared to the overall target group (with an average of 38 per cent).

32. Some additional areas require improvement to fully meet the needs of the target countries and final beneficiaries. For example, although capacity-building is mentioned, the funding proposal does not provide sufficient detail on how it will strengthen institutional and implementation capacities at the national and local levels to ensure the sustainability of its interventions. To enhance its impact, the MSLF2 could also incorporate detailed subnational vulnerability assessments to refine intervention strategies and ensure targeted support for the most affected populations. Expanding private-sector engagement strategies, including partnerships with local enterprises and mechanisms to address region-specific risks, could

improve the programme's ability to mobilize private investment effectively, especially from local sources.

33. Overall, the iTAP rates the potential for the project to serve the needs of the recipients as medium to high.

1.6 Country ownership *Scale: Medium-High*

34. The AE has submitted no-objection letters (NOLs) from national designated authorities in 7 of the 11 target countries: Costa Rica, Cote d'Ivoire, Ghana, Malaysia, Morocco, Peru and the Philippines. The AE has informed the iTAP during the question and answer session that it is in active discussions with other countries regarding NOLs but there is no certainty that additional NOLs will be issued.

35. MSLF2 otherwise demonstrates country ownership through its design, which is tailored to address the specific needs and priorities of its target countries. These needs have been identified through consultations with key stakeholders, including GCF national designated authorities, line ministries, civil society organizations, and private-sector actors. The programme aligns with the nationally determined contributions and national climate strategies of its participating countries, ensuring support for their commitments to sustainable land use and climate resilience.

36. During implementation, by engaging with public authorities and local institutions, MSLF2 aims to build capacity in critical areas such as SLM, monitoring and reporting of land-use changes, and private-sector engagement in climate finance. The programme will promote regular dialogue by portfolio companies with stakeholders, supported by a detailed stakeholder engagement plan that incorporates grievance mechanisms and free, prior, and informed consent for Indigenous and affected communities. This will be supported by the TAF which is predominantly geared at providing post-implementation support and capacity-building to portfolio companies. The iTAP would like to highlight that support to companies for stakeholder engagement via the TAF should be prioritized and have a specific budget. On their own, private companies typically do not have the necessary expertise, experience and resources to conduct stakeholder engagement which is particularly important in sensitive sectors such as agriculture and forestry. Additionally, the programme emphasizes knowledge-sharing and TA to enhance the capacity of local stakeholders, fostering a stronger sense of ownership over the interventions and reinforcing alignment with local and national priorities for sustainable development.

1.7 Efficiency and effectiveness *Scale: Medium*

37. The lack of a clearly defined pipeline of portfolio companies to be supported by MSLF2 limits the ability to assess the programme's economic soundness with certainty. Nevertheless, the following observations can be made:

38. **Leverage and junior equity provisions.** With a EUR 70 million equity commitment from GCF (split across both a junior and senior equity commitment) and a total expected fund size of EUR 350 million, the GCF commitment delivers a leverage ratio of 1:4 on the entire fund which is in line with similar blended finance structures in the market. However, given that GCF proceeds as well as the capital's first loss function will be ringfenced (likely in the form of a sub-fund under an umbrella structure) to NOL countries, and also considering that in that ringfenced compartment the maximum allowable share of GCF resources can go up to 40% of the fund, the leverage on the actual GCF-eligible portfolio is considerably lower (1:2,5 on the entire GCF equity commitment to the sub-fund). iTAP notes however that the maximum share of

junior capital from the GCF will be capped at 25% (for the entire fund, and the sub-fund). It is important to point

39. **Distribution waterfall.** The distribution waterfall of the draft term sheet prioritizes senior equity investors for both principal recovery and preferred returns before junior equity investors recover capital. This structure diverges from more "junior-friendly" distribution models seen in other GCF-supported funds, which typically split principal and hurdle returns between senior and junior equity before addressing manager and excess returns. If this structure remains unchanged, a 25 per cent junior equity layer may create inefficiencies by overprotecting senior investors and diminishing the fund's market competitiveness. The GCF Secretariat should negotiate for a more balanced waterfall or, failing that, refrain from agreeing to a 25 per cent junior equity threshold as currently requested by the AE.

40. **Climate benefits and cost efficiency.** The projected climate benefits include direct GHG removals of 17 million t CO_2 eq over the project's lifetime and significant social benefits, including 63,000 direct and 246,000 indirect beneficiaries. These benefits translate to a cost of EUR 4.02 per ton of CO_2 removed based on the GCF commitment, and EUR 20.11 per ton based on the total expected fund size. The cost per ton of CO_2 removed through private sector investments in AFOLU sectors varies widely based on geographic, project-specific, and market conditions. A cost range of USD 10 to USD 30 per ton of CO_2 is often considered reasonable; thus, the proposed programme compares well.

41. Overall, while uncertainties around the pipeline and some structural features of the fund present challenges, the programme offers meaningful climate and social benefits at a cost that compares favourably with market benchmarks. Strategic adjustments to the distribution waterfall and junior equity provisions would enhance the fund's efficiency and attractiveness. The iTAP therefore considers the efficiency and effectiveness of the programme as medium.

II. Overall remarks from the independent Technical Advisory Panel

42. Overall, the funding proposal is comprehensive, and although there are various risks and weaknesses (as highlighted above) it shows a credible pathway to achieving notable outcomes.

43. To address some of the identified weaknesses, the iTAP recommends that the GCF Secretariat should advocate for a more balanced distribution waterfall structure for MSLF2, ensuring a fairer allocation of principal recovery and preferred returns between senior and junior equity investors, as highlighted in paragraph 41 above. If a balanced structure cannot be achieved, the Secretariat should reject the proposed 25 per cent junior equity threshold, as it risks inefficiencies by excessively protecting senior investors and undermining the fund's market competitiveness. Negotiations should aim to optimize equity alignment and improve the fund's attractiveness to all investors.

44. Furthermore, the iTAP recommends to the Board inclusion of the following conditions precedent to first disbursement of GCF proceeds in the funded activity agreement:

(a) Delivery to the GCF by the Accredited Entity, in a form and substance satisfactory to the GCF Secretariat, of the finalized carbon removal calculation methodologies for MSLF2 which shall include: (i) a comprehensive framework outlining project-specific models for carbon removal calculations, developed to align with GCF standards as set out in Board decision B.33/12; (ii) further details on the fallback methodology based on Ex-ACT Tier 1 calculations, with clear guidelines on when and how these calculations will be applied in cases where specific data from portfolio companies is unavailable; and (iii) sensitivity analyses demonstrating the reliability of carbon removal estimates under varying data quality and project contexts, with explanations of how these analyses address uncertainties; and

(b) Delivery to the GCF by the Accredited Entity, in a form and substance satisfactory to the GCF Secretariat, of a detailed plan and/or system for tracing and accounting for adaptation outcomes in the MSLF2 portfolio which shall include: (i) a framework outlining project-specific approaches to beneficiary calculations, including adjustments to account for regional variations, socioeconomic parameters, and adaptive capacity specific to each country; and (ii) clear guidelines for improving data quality and consistency, including a proposed frequency and scope of field visits, the aspects to be verified, and the roles and responsibilities of personnel conducting these visits.

Response from the accredited entity to the independent Technical Advisory Panel's assessment (FP263)

Proposal name:	Mirova Sustainable Land Fund 2(MSLF2)
Accredited entity:	Mirova
Country/(ies):	Costa Rica, Côte d'Ivoire, Ghana, Malaysia, Morocco, Peru, Philippines.
Project/Programme size:	EUR 363 million

Impact potential

Mirova acknowledges that the approach presented in the funding proposal still presents room for improvement to ensure MSLF2 has the potential to generate expected climate mitigation and adaptation outcomes. In that regard, ITAP's assessment clearly help refining MSLF2 approach, processes and tools on which Mirova will focus on before launching the Programme. The following improvement points are well taken:

- Carbon Removal Calculation Methodologies: The absence of a customized model for MSLF2 raises concerns about the reliability of carbon removal estimates and compliance with GCF standards. To address these issues, it is indeed essential to prioritize the early development of tailored models and incorporate sensitivity analyses to manage uncertainties. Mirova is already engaging with its external carbon expert to develop such tool and Mirova is also working to refine any assumptions related to the projections.
- Monitoring, Reporting, and Verification (MRV) System: The current MRV system relies heavily on self-reported data from portfolio companies, which can compromise accuracy. To enhance the system's robustness, it is recommended implementing more rigorous verification processes and improving the tracking of adaptation outcomes by developing clearer, quantitative indicators. The MRV system will be reviewed and upgraded before the launch of the Programme and GCF first disbursment. Mirova is reviewing the MRV approaches employed by projects within our carbon funds as part of our investigation into options to address this weakness.
- Assessment of Adaptation Outcomes: The methodology for evaluating adaptation impacts needs refinement, as it currently relies too much on generalized benchmarks. To improve accuracy, a more localized and nuanced approach to measuring adaptation outcomes is necessary, including clearer criteria for assessing indirect beneficiaries and incorporating socioeconomic factors. Related to adaptation, Mirova is in the process of refining our approach, including review and development of appropriate metrics the adequately reflect the different elements of climate change adaptation while also being applicable across a diversity of contexts. Further details will be provided in the upgraded MRV system including on living income assessment which is being piloted on some LDNF projects.

Paradigm shift potential

The iTAP's medium rating of the Programme's paradigm shifting potential is noted. As mentionned in the commentary, MSLF2 is specifically focused on enhancing the competitiveness and resilience of local smallholder farmers by facilitating their integration into the global supply chain. We recognize the ITAP's observation regarding the necessity to strengthen technical assistance for certification schemes and, more broadly, to secure long-term off-taker agreements and bolster partnerships with buyers. Direct engagements with local governments have been established, as Mirova is already active in all the countries involved in the projects. We acknowledge ITAP's encouragement to further strengthen these connections. In response to ITAP's comments on private capital mobilization, we are fully aligned with the GCF's objective of minimizing the junior capital requirement as much as possible. Fundraising is progressing well, and we are confident in our ability to attract large-scale investors to meet our target fund size. The structuring and sizing of the junior tranche are based on the experience from our predecessor fund, the Land Degradation Neutrality Fund, as well as the knowledge Mirova has developed over the past decade on this subject and the benchmarks set by similar funds in the market. Additionally, we have compared the MSLF2 fund's waterfall structure with market standards. To support independent and reliable analysis of these innovative structures, Mirova's Research Center has formed a research partnership with Columbia University SIPA, focusing on blended finance, which includes insights from their published paper on natural capital blended finance. The level of junior protection integrates also private investors feedback: i) the sector is perceived as highly innovative and risky; ii) risks perception associated with emerging markets, particularly in Africa, is higher today than in the past. We agree with ITAP's observation that the success of MSLF2, particularly concerning default rates, will be crucial for enabling lower junior requirements in the future. It is also worth noting that Mirova has a global investor base, not limited to Europe; we are currently in advanced discussions with numerous non-European investors and have not observed any significant differences in their junior protection requirements compared to those of European investors.
Sustainable development potential
Mirova appreciates the positive feedback on the environmental, social, gender and economic co-benefits of the MSLF2 Programme as well as the identified challenges which are very relevant and would be useful suggestions to enhance MSLF2 approach on: • <u>Environmental co-benefits:</u> the idea of integrating biodiversity conservation and improved land productivity with social and economic objectives could indeed be better articulated to create further synergies and will be considered for those projects entailing those benefits. • <u>Social co-benefits:</u> Mirova fully agrees on the challenges mentioned which were also identified with the LDNF. MSFL2 will build on that experience to engage further with the investees on those topics and propose more specific corrective actions in the ESAP when risks and gap with international best practice is identified during the pre-investment process. • <u>Gender-sensitive development impact:</u> the remark on the baseline and milestone for achieving the target of 50 per cent alignment with the 2X challenge criteria is well taken and will be addressed in the upgraded MRV system. • <u>Economic co-benefits:</u> living wage and living income assessments are planned to be conducted as part of the MSLF2 Programme either though certification like RainForest Alliance or with the support of the technical assistance. This approach will be more detailed in the upgrade MRV system.

Needs of the recipient
Mirova acknowledges iTAP's favorable evaluation and observations regarding the recipient's needs, which have been rated as "medium-high" by iTAP. Notably, iTAP emphasizes the diverse array of countries represented in the Programme, each of which encounters unique climate challenges and opportunities. A crucial factor for the success of MSLF2, as highlighted by iTAP, is the capacity to create a diversified portfolio. This diversification not only serves as a robust risk mitigator for private investors but also enhances the overall impact of the fund. To facilitate this diversification, legal documentation includes concentration limits by geography.
Country ownership
The iTAP's medium-high rating of the Programme's Country ownership is noted. Concerning the two points highlighted in the ITAP's assessment (stakeholder engagement and knowledge sharing), we can consider incorporating these areas into the scope of the Technical Assistance Facility. In any case, a stakeholder engagement process that includes a grievance mechanism is part of our E&S Policy. Additionally, strengthening local capacity is typically included in the ESAP we implement with the investee.
Efficiency and effectiveness
The iTAP's medium rating of the Programme's Efficiency and Effectiveness is noted. The parameters of the blended finance structure for MSLF2 were developed through both a top-down and a bottom-up approach: (i) top-down approach involved identifying best practices and comparable blended finance structures, particularly layered funds with junior or "first loss" tranches, and above all (ii) bottom-up approach incorporated feedback from both public and private investors regarding their perception of risk and the assessment of the necessary level of junior capital. The resulting structure aims to facilitate the mobilization of private capital without providing excessive protection with the proposed parameters for MSLF2 (level of the first-loss tranche, distribution waterfall, preferred Returns). These parameters are intended to encourage private investors, including those from the initial vintage (Land Degradation Neutrality Fund), to reinvest in this sector, which continues to be viewed as risky. These reflect the outcomes of negotiation and consensus among investors, and we can confirm the commitment of both existing investors from the Land Degradation Neutrality Fund and new investors to MSLF2 with the proposed blended structure.
Overall remarks from the independent Technical Advisory Panel: We greatly appreciate the iTAP's feedback and look forward to the opportunity for continued partnership with GCF. Regarding the recommendations on distribution waterfall structure and preferred returns between senior and junior equity investors, we align with the GCF's objective of minimizing the junior capital requirement as much as possible (25% of junior capital is a maximum). We believe that the primary risk for blended finance vehicles is receiving public and concessional capital without being able to attract private capital. Mirova has a significant competitive advantage in this area, as the vast majority of the capital managed by Mirova comes from private institutional investors. Mirova has the ability to mobilize private capital from mainstream investors, as demonstrated by the Land Degradation Neutrality Fund, which had over 60% of its funding from private investors. Similarly, for the first close of MSLF2, which took place in July 2024, Mirova has already mobilized mainstream private institutional

investors, including large European insurance companies, confirming the willingness of private investors to commit to the proposed level of junior capital. Market feedback and interviews with large private institutional investors clearly indicate their requirements regarding the leverage of the junior capital and preferred return structure, in line with MSL2 proposal.

Regarding the carbon removal calculation methodology, we are focused on enhancing it by developing a comprehensive framework and providing more detailed calculations. This will also incorporate sensitivity analyses to illustrate the reliability of carbon removal estimates across different scenarios.

In addition, we are developing a comprehensive plan or system for tracking and accounting for adaptation outcomes within the MSLF2 portfolio, which will encompass: (i) a framework that outlines project-specific methodologies for calculating beneficiary impacts, including adjustments for regional differences, socioeconomic factors, and adaptive capacity unique to each country; along with clear guidelines.

Gender documentation for FP263

Mirova Sustainable Land Fund 2 (MSLF2)

Annex 8 – Gender Assessment

Version 4

This report has been prepared under contract as part of work under the contract "Mirova Sustainable Land Fund 2 Green Climate Fund (GCF) Funding Proposal".

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Table of Contents

1. Introduction

This document provides an assessment of the barriers and opportunities for advancing gender inclusion in the Mirova Sustainable Land Fund 2 programme (MSLF 2). The assessment includes an overview of the key gender-related barriers in the context of land degradation, deforestation and sustainable agriculture. The assessment also discusses the opportunities for adopting a gender lens into the programme to ensure women's participation and to drive inclusiveness in the forestry and sustainable agriculture sectors and alignment with industry standards. This document outlines key entry points for the MSLF 2, followed by in-country assessments for the seven target countries. The country assessments provide an overview of the gender equality situation in each country with a particular emphasis on labour force participation in agribusiness and forestry sectors, and in gender issues on land rights.

Methodology

The gender assessment has been prepared based on the guiding questions listed in the GCF gender guidance documents and templates (notably the Mainstreaming Toolkit) and on the Updated GCF Gender Policy. The gender assessment is based on quantitative data and qualitative evidence derived from a desk review of existing literature and secondary resources.

1.1 Gender and Land Degradation

Land degradation is one of the most pressing environmental problems across the world and it affects the livelihoods of billions of people, particularly women, smallholder farmers, people living in rural communities and the poorest and most marginalised populations. Land degradation is not gender neutral, as the effects of land degradation and biodiversity loss impact women and men differently. Women are twice more affected by drought, land degradation and deforestation.[1] The literature on this topic in fact illustrates a strong link between gender and land because these are closely tied to gender biases in land rights, access to resources and incentives, opportunities to participate in decision-making, and the distribution of costs/benefits of projects targeting land improvement.

Many poor people, especially women, girls, and indigenous peoples, depend heavily on the natural resources that are threatened by land degradation and these are worsened by climate change. Almost 80% of employed women in least-developed countries rely on agriculture as

[1] Okpara (2019). Gender and land degradation neutrality: A cross country analysis to support more equitable practices https://eprints.whiterose.ac.uk/145129/5/SymplecticLEEDS_Full%20Proof%20Manuscript_Updated.pdf

their primary livelihood and women represent the majority of people who rely on land in regions affected by desertification, land degradation and droughts.[2]

The impact of desertification affects men and women in different ways, and evidence across Africa and Asia show that women are greatly impacted by desertification[3]. For example, deforestation and desertification increase the amount of time that women spend gathering fuelwood and fetching water. Desertification is also leading to loss of efficiency in tasks traditionally held by women across many societies such as cooking (due to diminishing fuelwood sources) and farming activities (linked to increased labour needed to combat desertification). Some of the gendered impacts of land degradation and droughts include an increase of women's work burden, changes in diet patterns and quantity of food, increased exclusion from decision-making spaces and school dropout for girls.[4]

Across all countries, histories of land tenure conflicts, ineffective land governance systems, and patriarchal norms that discriminate against women and girls prevent women from benefiting from land regeneration and sustainable land use efforts. Despite progress in certain countries, recent studies find that across the world women continue to face discrimination in their right to own, use and control land.[5] In East Asia, women continue facing obstacles to accessing land and non-land assets, including low legal literacy, discriminatory gender stereotypes around land ownership, and legal discrimination under customary laws. All sub-Saharan African countries show evidence of some form of discrimination, notably under customary law, which prevents women from enjoying secure access to land by blocking either their right to inherit or own land under their name. When women are widowed, they often suffer evictions from in-laws and are left with no land from which they can generate income and sustain their families. Women's rights to inherit their husbands' property continue to be denied in more than 100 countries across the world. Many Latin American countries have considerably advanced legal frameworks to ensure equal access to land rights.[6] Most legal frameworks in the region enshrine equal rights to access land for women and men. Improvements in women's land rights have benefited from strengthened equality provisions in laws addressing women's status within the family and within marriage. Yet, even in countries where women have the same legal rights as men to own and access land, only a smaller percentage of farm ownership falls in the hands of women.

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[2] Namubiru-Mwaura, E. 2021. Gender and Land Restoration. UNCCD Global Land Outlook Working Paper. Bonn. Available at https://www.unccd.int/sites/default/files/2022-03/UNCCD%20GLO%20WP%20gender.pdf

[3] FAO (n.d) Gender and sustainable development in drylands: an analysis of field experiences. Food and Agriculture Organization of the United Nations

[4] UNCCD (2022) Study on the differentiated impacts of land degradation, desertification and drought on women and men. Retrieved at https://www.unccd.int/sites/default/files/2022-11/Gender%20study%20.pdf

[5] Ibid.

[6] Ibid.

Research conducted by the World Bank found that even when women own or manage land, gender-related differences remain in agricultural productivity, with male farmers producing more than women farmers across several African countries. This is linked to gender gaps in access to new agricultural technology or credit and investments for sustainable land management such as soil conservation and augmentation, terracing, tree planting and establishment of buffer zones.

Without an appropriate integration of gender considerations in land restoration and sustainable land use initiatives there is not just a risk of limiting impact, but of exacerbating inequalities. For example, where women do not legally own their land, or where customs and practices prevent their land ownership, they are not recognized as farmers or "value-chain" actors. As a result, they are excluded from access to extension services and inputs. Women's limited or insecure land rights undermine their engagement in reforestation, forestry and agroforestry systems, which has direct costs for their food security and nutrition, and that of their families.

Evidence compiled by the United Nations Convention to Combat Deforestation (UNCCD) indicates that degradation threats can be reduced if gender gaps in land rights, access to finance and credit, and participation in actions to avoid, reduce and reverse degradation, and knowledge dissemination, were closed.[7] In fact, equitable land governance, land tenure and land tenure security are all fundamental components to enable land restoration efforts.

1.2 Gender, Deforestation and Forest Degradation

Women and men use and manage forests in different ways, with socioeconomic and sociocultural environments playing a crucial role. The use of and control over resources, as well as the prevailing power structures, decision-making processes, and subsistence strategies are also affected by gender differences. People living near forested areas often have limited access to markets, and thus can be even more dependent on forest livelihood sources. This is particularly true for women who may rely for up to half of their income on forests, and thus require secure access and use rights to these resources.[8] [9] In addition, socio-cultural norms often make it difficult for women to participate in local forest governance as key stakeholders on an equal footing to men, unless project processes are designed to support women's effective participation in forest institutions, such as resource user groups, and in economic production and benefit-sharing processes.

Across different countries, often men control the most valuable forest resources such as timber production and other products that can be sold to the market, while women's control is usually

[7] UNCCD (2017). Turning the tide: the gender factor in achieving land degradation neutrality. Bonn, Germany.

[8] World Bank. 2016. World Bank Group Forest Action Plan FY16-20. Washington DC: World Bank

[9] Moss, C. and Swan, A. 2013. "Gender analysis in forestry research: what policymakers should know". Available at http:// blog.cifor.org/14176/gender-analysis-in-forestry- researchwhat-policymakers-should-know?fnl=en

centred on fuelwood, fodder and non-timber products.[10] [11] Deforestation and forest degradation have a direct impact on women's lives because it often means that women have to walk longer distances to collect fuelwood, negatively impacting their income-generation opportunities, and personal safety.

Several barriers hinder women's participation in sustainable forest management and reforestation efforts. Discriminatory land ownership laws and customary laws represent a challenge for women, limiting their ability to own and control land and trees and subsequently resulting in unequal benefits from forest restoration, plantation and agro-forestry investments. The lack of land ownership titles and formal tenure reduce women's decision-making power over the trees planted and the use of the resources produced.

Men and women also have different household responsibilities and gendered division of labour has a direct effect on their preferences for planting trees and for their engagement in value-chain activities. For example, studies have shown that men prefer planting trees that offer higher commercial benefits.[12] Women, on the other hand, tend to select trees based on their use and relevance for subsistence of the family such as trees that provide fruits, firewood, fodder and increase soil fertility. Women's time poverty and physical safety concerns limit their access to and use of forest resources. Women's work burdens within the household limit the time women can allocate to forestry and agroforestry income-generating activities.

Another difference between how men and women participate in forest value chains is related to the size and types of businesses they engage with. Women's participation in forest value chains usually involves harvesting and small-scale retail trade, while men are more likely to own and manage larger businesses.[13] This varies across regions. In Africa for example, women dominate the collection of forest products, but in Latin America men are predominantly engaged in this function. Across regions, women's participation tends to decrease as the scale of operations increases. Women's participation also diminishes when the distance to the trading location increases, often due to socio-cultural norms.[14]

Given these differences between how men and women engage in forest activities, ensuring women's participation in reforestation and agroforestry activities is crucial for promoting sustainable land management, enhancing biodiversity, and improving rural livelihoods.

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[10] Aguilar, L., Shaw, D.M.P., & Quesada-Aguilar, A. (2011). Forests and Gender.

[11] FAO (2015) Mainstreaming Gender into Forest Policies in Asia and the Pacific.

[12] Kiptot, E., and Franzel, S. 2012. "Gender and agroforestry in Africa: a review of women's participation". Agroforestry Systems, 84(1), 35-58.

[13] Marin and Kuriakose (2017) Gender and sustainable forest management: Entry points for design and implementation. Climate Investment Funds

[14] Ingram, V., Haverhals, M., Petersen, S., Elias, M., Sijipati Basnett, B., & Phosiso, S. 2016. "Gender and forest, tree and agroforestry value chains: evidence from literature". In Colfer, C.J.P., Sijapati Basnett, B., & Elias, M. (eds.) Gender and Forests: Climate Change, Tenure, Value Chains and Emerging Issues .

1.3 Gender and Sustainable Agriculture

Women play important roles in global, regional and local supply chains, in farms and processing facilities. Although women contribute significantly to these sectors, they often remain invisible, and women are overly represented in lower paid workforces and smallholder farming. As key actors in the rural food production chain across many countries and value chains, women farmers are disproportionately impacted by climate change. For women farmers that rely on agriculture and natural resources for their livelihoods, the gender-differentiated impacts of climate change can intensify the disadvantages they already have.

Women contend with additional barriers such as discriminatory cultural practices and social norms, which restrict their access to opportunities, resources, and decision-making power. Gender gaps are also significant in access to productive resources such as land, inputs, markets, technology, education, and financial services. Although women make up around 43% of the global labour force in agriculture, this number goes up to 60% in least developed countries,[15] but women only represent 30% of cooperative memberships and just 15% of landholders globally[16]. As a result of these barriers women adopt sustainable land management practices at a lower rate compared to their male counterparts, particularly in Sub Saharan Africa.[17] Women's contributions to farming, such as household labour, childcare, and post-harvest processing, are often unpaid or undervalued. This reinforces gender roles and contributes to the feminization of low-paid and insecure agricultural work. Women are also less likely to plant high-value crops, which may result from limited access to climate change adaptation tools and extension services[18]. Even when they are employed in the agricultural sector, women are faced with gender-based discrimination and gender-based violence and harassment. Women working in agricultural value chains may experience discrimination, harassment, and unequal treatment in terms of employment opportunities, wages, and leadership roles within cooperatives, businesses, and industry associations.

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[15] World Bank (2022) Gender-smart agriculture: The only way forward for women and climate. Available athttps://blogs.worldbank.org/en/climatechange/gender-smart-agriculture-only-way-forward-women-and-climate

[16] FAO (2018) Gender Gaps in land rights . Available at https://www.fao.org/3/I8796EN/i8796en.pdf

[17] Seagbeh (2022). Women at more risk of effects of deforestation, land degradation, drought https://earthjournalism.net/stories/women-at-more-risk-of-effects-of-deforestation-land-degradation-drought-new-unccd-study

[18] UN Women (n.d.) The gender gap in agricultural productivity in Sub-Saharan Africa: causes, costs and solutions, Available at https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/Library/Publications/2019/UN-Women-Policy-brief-11-The-gender-gap-in-agricultural-productivity-in-sub-Saharan-Africa-en.pdf

1.4 Addressing gender gaps to achieve sustainable land management

To address the several gender barriers mentioned in the previous sections, entry points exist for integrating gender issues into land degradation efforts and in sustainable land use projects overall.[19] These include (list non exhaustive):

- Understanding the differing roles, responsibilities and knowledge in managing natural resources that exist between men and women;
- Addressing gender differences in rights and access to land and other natural resources. Facilitate women's access to land for tree planting and agroforestry activities by advocating for land tenure rights for women, promoting joint land titling for couples, or facilitating community-based land management approaches that prioritise women's inclusion.
- Addressing gendered access to, and interventions regarding, new technology, information and training related to natural resource management; by providing equal access to inputs, technologies, and land, women can enhance their productivity, increase efficiency, reduce drudgery.
- Addressing forms of cooperation, conflict or controversy between men and women or different ethnic groups arising from land degradation;
- Involving women in resource-related decision-making processes at all levels; and strengthening women’s access to goods and services for market access and food production and storage.
- Providing women with access to financial resources to overcome financial barriers to participating in reforestation and agroforestry projects. Financial support can be used for purchasing tree seedlings, investing in agroforestry inputs, or implementing sustainable land management practices.
- Targeting capacity building and technical assistance to women through extension services tailored to women's needs that can enhance their capacity to engage in reforestation and agroforestry activities effectively. This includes training on tree species selection, soil conservation, pest management, and value-added processing of agroforestry products. Close knowledge gaps and enhance skills development of women for agricultural techniques, climate smart agricultural practices, financial literacy, and business management among others.
- Promoting women's participation in decision-making processes related to reforestation and agroforestry planning, implementation, and monitoring is crucial. This involves ensuring women's representation in local forestry committees, community meetings, and project management teams.

These opportunities listed above represent some of the necessary actions to close gender gaps, promote women’s empowerment and to successfully implement sustainable land management and regenerative agriculture practices. Mirova recognises that an in-depth

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[19] Samandari (2017) Gender Responsive Land Degradation Neutrality. Global Land Outlook Working Paper.

understanding of the gender barriers, gaps and opportunities in each specific context will be needed to inform gender-responsive investments. The following sections illustrate how Mirova's approach in the Sustainable Land Fund 2 will ensure that projects address the specific gender barriers present in their contexts of implementation, and that they integrate gender considerations across their business operations.

2. Programme Overview

2.1 Mirova Sustainable Land Fund 2

The Mirova Sustainable Land Fund 2 (MSLF2) is a private sector-led, multi-country investment fund that supports project operators in developing nations to accelerate climate action in the agriculture and land use sectors. MSLF2's investments contribute to the achievement of Paris Agreement objectives by addressing the drivers of deforestation and land degradation, supporting the sustainable management of productive landscapes, and maintaining ecosystem services in the context of climate hazards. MSLF2 will support agroforestry, sustainable forestry, and regenerative agriculture projects in developing countries, while preserving and restoring nature and the climate.

The MSLF2 programme is structured around two main components. Component 1 focuses on the establishment and operationalisation of the investment vehicle, including disbursement of capital to a selected pipeline of investees. The investment vehicle will secure co-financing and invest directly in emerging economy businesses that adopt sustainable land management and regenerative agriculture practices such as agroforestry, reforestation, and soil conservation. Component 2 focuses on the provision of technical assistance for investment readiness and impact enhancement support to portfolio companies after investment. Activities under Component 2 will run in parallel to Component 1 and will be dedicated to pre- and post-investment technical assistance. These activities will leverage the resources and capabilities of existing delivery partners and will also include the establishment and operationalisation of a Technical Assistance Facility (TAF).

2.2 Mirova ESG and Gender Policy

The MSLF2 applies Mirova's ESG Policy which guides the deployment of the Fund. It is complemented by Mirova's wider minimum standards in its capacity as both holding company of Mirova and AIFM (Alternative Investment Fund Managers) of the MSLF2 Fund. The ESG Policy also applies to all of Mirova MSLF2's borrowers/ investees and stakeholders who are working with the organisation. While Mirova has assigned the oversight responsibility for this ESG Policy to its Management Team, the ESG & Impact Manager ensures its operational implementation and updates.

The Policy requires investee companies to comply with national and international standards (e.g. the International Labour Organisation's Core Conventions on child labour, forced labour, equality and rights of association; the IFC Social and Environmental Performance Standards, the IFC's EHS General Guidelines and the relevant sector specific IFC EHS Guidelines). Mirova implements its ESG policies in line with the United Nations Guiding Principles on Business and Human Rights.

Learnings from Mirova's Land Degradation Neutrality Fund

The approach for gender consideration in the MSLF2 builds on the experience and lessons learned from Mirova's Land Degradation Neutrality Fund (LDN). The LDN Fund's approach to gender is aligned with the objectives and principles of the UNCCD's 2018 Gender Action Plan, which outlines the four priority areas to incorporate in LDN implementation[20]. The gender approach also considers the UNCCD manual that provides guidance for mainstreaming gender in LDN projects and programs with the aim of addressing gender-related issues in the land-use sector. In line with the high ambition for gender integration into the fund, in 2021, Mirova and IDH, the manager of the LDN Technical Assistance Facility issued a Request for Proposals targeted at gender responsive projects.

Further, in September 2022, Mirova became a member of 2X Global with the objective of leveraging this unique global network to engage in peer learning and knowledge exchange on practical insights and good practice, and benefit from co-investing and co-financing opportunities. In 2022, six projects (60% of the portfolio) among LDN Fund investees were found to meet the 2X criteria on leadership linked with a high percentage of women in senior management and leadership roles, qualifying the LDN Fund for the initiative's 5th criterion. In 2023, 70% of the LDN portfolio aligned with the 2X Challenge, still predominantly against the leadership criterion. In terms of women beneficiaries reached, in 2022, 44% of the people benefitting from the investments were women (excluding employees), while in 2023 54% of beneficiaries were women. This increase is largely attributed to the addition of one investee that outperformed the overall portfolio in terms of gender inclusion of women in their supply chain.

Based on the learnings from the previous fund, the MSLF2 will maintain a similar approach and high commitment to gender equality by tracking the gender responsiveness of each investment and their alignment with 2X Challenge criteria.

2.1 Key entry points for a gender responsive MSLF 2

The integration of a gender perspective in MSLF 2 follows best practices and alignment with industry standards for land degradation neutrality projects and programmes. The following entry points are relevant for MSLF 2:

- **Reach women beneficiaries and involve women at all levels of the workforce and in value chains** through the development of investment-level gender

[20] Mirova- Impact Report LDN 2022. Available at https://www.mirova.com/sites/default/files/2023-07/Impact-Report-LDN-2022-EN-web.pdf

assessments and the integration of Gender Action Plans as part of the contractual Environmental and Social Action Plan (ESAP).

- **Integrate a gender lens across the investment cycle and track progress** through the application of gender considerations in due diligence, deal structuring and in post-investment processes, as well as the collection of gender-specific key performance indicators (KPIs). A strong focus on risk assessment, mitigation and on gender-based violence (GBV) prevention will be ensured, in line with Mirova's ESG Policy.
- **Alignment with industry standards (2X Challenge)** by tracking and reporting the performance of the portfolio with regard to its alignment with the 2X Challenge criteria, setting an ambitious target to qualify the MSLF 2 for the 2x initiative within the course of the Fund's implementation.
- **Technical Assistance to support companies in achieving gender impacts** – Gender TA support has the objective of helping companies to comply with the gender requirements of the fund, and to ensure that the programme outcomes and impacts are achieved. While gender awareness support will be provided to the whole portfolio, different types of tailored support will be offered to suit the specific situation of the investment, considering specific country contexts, nature of the investee companies, and baseline situation.
- **Generation and dissemination of knowledge** – development of knowledge products to build the business case for gender inclusion in the sector, disseminate promising approaches and best practices applied by the investee companies.

3. Gender approach for the programme

3.1 Programmatic approach

The MSLF2 builds on Mirova's philosophy and dedication to responsible investing, based on the notion that directly and indirectly encouraging and fostering better environmental, social and governance (ESG) practices is essential to creating long-term value for society as a whole.

The fundamentals of the MSLF2 strategy are to invest in sustainable land-use projects and companies in the forestry and agriculture sectors, while targeting positive impacts in terms of climate mitigation and adaptation as well as co-benefits in biodiversity protection, community inclusion and gender equality.

Mirova faces ESG risks - financial, legal and/or reputational - directly as a company and indirectly as a Fund Manager due to the actions of its investees. In response, Mirova acknowledges the significance of identifying and mitigating ESG risks through the implementation of robust ESG management. All ESG risks, whether stemming from Mirova's own practices or through its investees, will be handled in accordance with this ESG Policy.

The MSLF2 ESG Policy provides guidance for the implementation of MSLF2 and applies to Mirova and to all investee companies and stakeholders of MSLF2 Mirova and the investees will commit to ongoing improvements in their environmental, social, and governance aspects.

They will work diligently to address any gaps identified during due diligence in comparison to relevant international best practice standards, setting appropriate targets and timelines for achieving them.

Alignment with GCF Gender Policy

The Fund aligns with GCF Gender Policy[21] which aims to address and reduce gender inequalities, deepen stakeholder engagement and deliver better accountability to both men and women to generate sustainable livelihood opportunities, health and well-being, and resilience against climate-induced shocks and risks. Mirova is responsible for supporting the implementation of the Fund-level gender action plan and for reporting on results, including the generation and use of sex-disaggregated data.

In line with GCF project-level requirements, Mirova will:

- Prepare a gender assessment and gender action plan for the Fund (this Annex) and integrate the analysis of context and sociocultural factors underlying climate changes-exacerbated gender inequality.
- During the Fund's implementation, Mirova will refine as necessary the gender-related baseline, indicators and targets.
- Mirova will monitor progress and report on the progress made in implementing the project level gender action plan.

Mirova will also ensure that each project funded under MSLF2 is aligned with national policies and priorities on gender and that these are reflected in the contextual analysis conducted during the screening phase.

Alignment and contribution to the Sustainable Development Goals (SDGs)

The MSLF2 will contribute to SDG5 – to achieve gender equality and empower all women and girls. The MSLF 2 will aim at contributing to the achievement of Target 5.5: "Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision-making in political, economic and public life" by tracking the proportion of women in managerial positions.

The project will also indirectly contribute to end forms of discrimination against women through the support provided to investee companies and their application of inclusive

[21] Gender Policy adopted by the Board in decision B.24/12

workplace policies and practices (Target 5.1 of SDG 5). Companies will be incentivised to hire women at all levels and to track women participating in their value chains, and to adapt their policies and practices so that they can meet workforce's diversity targets. Further, in alignment with Mirova's strong ESG approach, the programme will also strive to contribute to the elimination of violence against women by supporting companies to develop strong GBV prevention and SEAH prevention mechanisms (Target 5.2).

3.2 MSLF2 Gender Lens Investing Thesis

The MSLF2 approach ensures that activities are established on a foundation of identifying, minimizing and mitigating social and gender risks, underpinned by sound and accountable governance. In alignment with the ESG Policy, the gender approach requires investments in the MSLF2 to[22]:

- Comply with national environmental, social and labour laws and regulations.
- Comply with the Fund-level ESG Policy (which includes any ESG requirements of investors in the fund) and all issue-specific Policies.
- Meet the objectives of internationally recognized sustainability standards such as the IFC Social and Environmental Performance Standards, including GBV and SEAH prevention measures and policies that prevent, address, or eliminate SEAH-related risks.

Eligible investments must be land-based projects that fulfil and demonstrate several eligibility criteria, including:

- **Demonstrated benefits**: projects should clearly benefit local communities (job creation and smallholder inclusion) with gender equality.
- **Environmental & Social (ESG) risk management**: robust ESG Standards are an integral part of the Fund's approach, and ensure the responsible handling of ESG risk.

To meet these requirements, MSLF2 applies a gender and social inclusion lens at different stages of the investment process and focuses on supporting investee companies to meet their gender and inclusion outcomes and to achieving gender equity impacts.

At the **investment process level**, ESG considerations are integrated from screening and due diligence phase, and gender-related milestones are integrated into contracting. MSLF2 fund is therefore committed to apply a gender and social inclusion lens in its investment process and foster its implementation at project level through the following steps:

- Conduct a contextual analysis at the country and sector level using publicly available information prior to the screening phase

[22] For a complete list of requirements, exclusion list - see Annex 6 E&S

- Assess gender risks and impacts at project level during the due diligence phase, including potential SEAH-related risks.
- Include a requirement on Gender Action Plan and women's empowerment in the contractual Environmental and Social Action Plan (ESAP)

At the **project level**, a Gender Action Plan is seen as a key item to:

- Operationalize the constraints and opportunities for women and men identified during the gender analysis phase,
- Serve as a project manual to ensure women's equal participation, management in and enjoyment of project activities and benefits, with clear responsibilities and timelines for implementation, and
- Require periodic reviews of gender action implementation.

At the **portfolio level**, alignment with international industry standards will be tracked, striving for 2X Challenge compliance for the majority of the portfolio. Finally, there will be opportunities to compile lessons learned and share them across the portfolio in terms of what strategies are working well, what is falling behind, and what successful factors can be captured in the implementation of the gender action plans.

Alignment with 2X Challenge Criteria

The 2X Challenge was launched at the G7 Summit 2018 as a bold commitment to inspire DFIs and the broader private sector to invest with a gender lens. To date, the initiative has raised gender lens investments totalling USD 27.7 Billion since 2018, bringing public and private sector investors together to unlock gender-smart capital at scale.

The 2X Challenge Criteria are now a globally recognised *minimum standard* for gender inclusion, defining what gender inclusion looks like across industries. It specifically focuses on evaluating gender inclusion across five areas: Entrepreneurship and ownership; leadership; employment; supply chain and products/services.

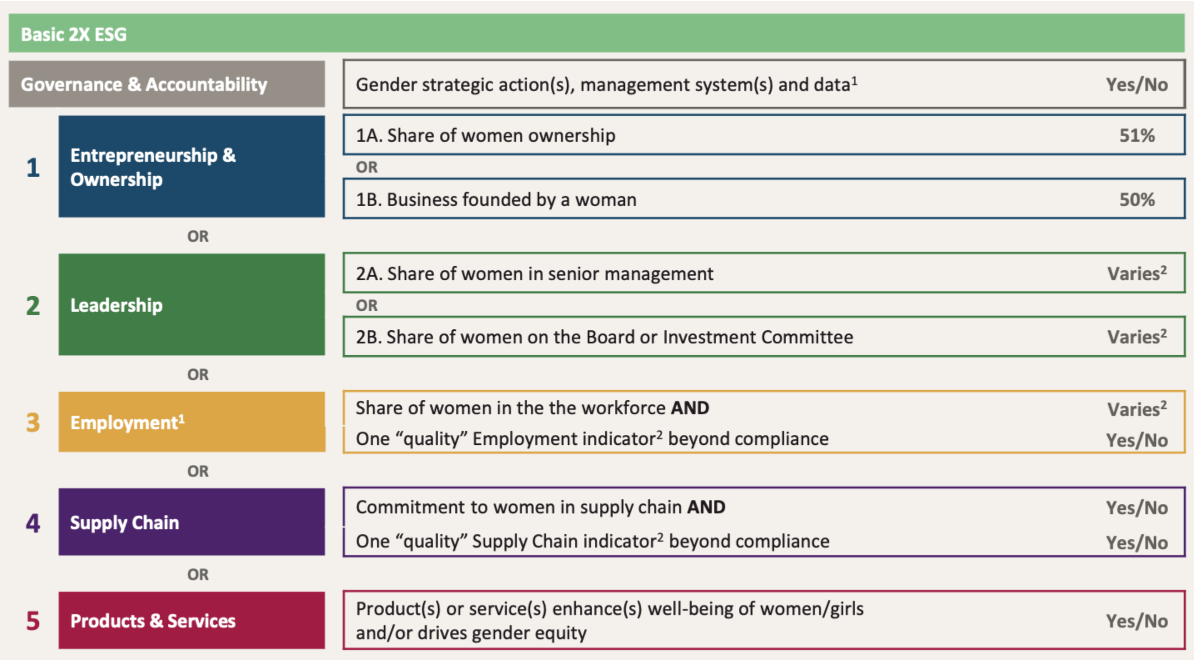

Figure 1- 2X Criteria, updated in February 2024.

The 2X Criteria is currently undergoing an update. The updates include a) the addition of criteria related to the supply chain and governance dimensions of a business/company and b) the introduction of thresholds (particularly for the leadership and employment criteria) depending on the country and sector.

According to the latest information on the 2X website, alignment with the 2X Criteria can be achieved by:

- meeting the Basic 2X ESG (including safeguarding) requirements and

- meeting the minimum Governance & Accountability requirements,

AND (a) have at least one of the six 2X Criteria met, and (b) provide a time-bound commitment to meeting an additional Criteria. Thresholds under each Criterion are country and sector specific.[23]

	<u>**Criteria as per updates in 2024**</u>
BASIC 2X ESG AND	**Assessment conducted by Mirova:** Screening and DD to confirm investee is not involved in exclusion list; demonstrated commitment to human rights across the value chain; implementation of GBVH safeguarding measures
GOVERNANCE and ACCOUNTABILITY AND	**At least 3 practices that demonstrate intentional efforts to drive gender equality,** representing 1 in each sub-dimension of 1) Strategic action, 2) Management systems, 3) Gender Data. Mirova integrates compliance with this criterion in the MSLF2 approach as companies are required to develop a Gender Action Plan and to report sex-disaggregated data.

[23] For more information: 2X Criteria Reference Guide, updated February 2024

ENTREPRENEURSHIP OR	**Share of women's ownership:** 51%
	Business founded by a woman (or group of women) that retain an active role
LEADERSHIP OR	**Share of women in senior management / on the Board or IC:** Thresholds depending on country and sector.
EMPLOYMENT OR	**Share of women in the workforce:** Thresholds depending both on country and sector. AND **one "quality" indicator beyond compliance**
CONSUMPTION OR	**Products/services are offered that enhance the well-being of women/girls**
SUPPLY CHAIN OR	**Explicit commitment to women in the supply chain is demonstrated** AND **one "quality" indicator beyond compliance**
FUNDS	**Percentage of Portfolio that meets the direct criteria:** 30 at the beginning of the investment or 50% by the end of the investment's life

To align with the new criteria, funds must meet the basic 2X ESG (including safeguarding) requirements and minimum Governance & Accountability requirements AND

- (a) FUND MANAGER LEVEL: meet at least one of the 2X criteria[24] (1-5) Or a set time-bound commitment to do so, AND
- (b) PORTFOLIO LEVEL: (A target of) either 30% of investees at origination or 50% of investees by the end of the fund's life must meet the 2X Criteria

Investment alignment with 2X Criteria can be assessed at different points during the investment life. Mirova will monitor performance of the investees on an annual basis and proactively support companies to maintain or exceed the thresholds. In cases where the investees do not meet a specific requirement, Mirova will agree on a formal time-bound action (to be included in the Gender Action Plan) to meet the requirement. This approach can be also used for enhancing the ambition of investees in areas where the biggest gaps can be closed, e.g. in the employment and supply chain areas. For example, Mirova would identify a new investee that is 2X aligned based on Criteria 2 (Leadership) and that demonstrates intentionality to commit to increasing women's participation in their workforce. The investee would make a time-bound commitment to meeting the Employment threshold within 3 or 4 years, showing interim progress within 2 years.

[24] Mirova will need to comply with France's thresholds: - Leadership criterion: 40% of female in senior management or in investment committee - Workforce criterion: 50% female employees/workers + one quality indicator

The country assessment and the country mapping against the new criteria (Table 2) suggests that a target of 50% can be established for the overall MSLF2 portfolio and is expected to align with 2X Criteria over the course of the programme implementation (i.e. the fund's life). Given that not all investments are identified at this stage, this target is aspirational and Mirova will monitor progress on an annual basis and adjust the portfolio target accordingly.

The assumption behind this target is that investee companies in MSLF2 will satisfy the "Basic 2X ESG" criterion as this is in line with Mirova's ESG Policy and part of the ESG compliance assessed during screening and due diligence phases (described in section 2.6). In order to meet 2X ESG criteria, investees need to demonstrate at least one basic GBVH safeguarding requirement (e.g. code of conduct that explicitly addresses GBVH and prohibits all forms of GBVH; gender-responsive grievance mechanisms for GBVH claims; risk management processes that consider GBVH material risks etc.) Further, alignment with the "Governance and accountability" criterion is expected to be met by the whole portfolio as investee companies will be required to report sex-disaggregated data on their workforce and on the beneficiaries reached. In the context of MSLF2' investments, there is an opportunity to increase the ambition of the programme to support women's participation in the agricultural workforce, to benefit from agroforestry and sustainable land use projects and to actively participate as workers, leaders and suppliers. Therefore, the newly established criteria on supply chain and the increased thresholds on leadership and workforce are particularly relevant to track as indicators of the overall performance of the portfolio in achieving gender outcomes. Mirova's LDN portfolio reported an average of 24% for the workforce, and no investment qualified for this 2X criteria (i.e. none of them meets the thresholds of 40% of women). We therefore assume that MSLF2 investee companies will require hands-on support to comply with employment and supply chain criteria, as the new thresholds are high in the target countries and sectors (as illustrated in the table below). Gender-related technical assistance will be made available to support committed companies in developing realistic GAPs and in implementing strategies that will help them to align with the 2X criteria within the course of the investment's life. Emphasis will be placed on ensuring that those companies who do not meet the GBVH safeguarding requirements at the contracting stage (as defined per international standards and 2X criteria compliance) will have actions in place in the GAP to comply with SEAH prevention measures within the timeline of the investment.

Country	**Leadership thresholds (for agri, food, forestry sectors)**	**Workforce thresholds (for agri, food, forestry sectors)**
Ghana	35% of senior management 35% of board members	50% of employees/workers
Morocco	30% of senior management 30% of board members	35% of employees/workers
Côte d'Ivoire	35% of senior management	40% of employees/workers

	35% of board members	
Costa Rica	50% of senior management 50% of board members	30% of employees/workers
Peru	30% of senior management 30% of board members	50% of employees/workers
Philippines	30% of senior management 30% of board members	30% of employees/workers
Malaysia	30% of senior management 30% of board members	30% of employees/workers
Averages across targeted countries (*to be used as indicative thresholds for the portfolio)	**34% for senior leadership**	**38% for employees/workers**

Table 2 Country and sector mapping to identify thresholds for leadership and workforce *for SMEs and corporates operating in the identified sectors*

3.3 Targets for MSLF2

The country assessments provided useful background information to determine realistic targets and related indicators for gender inclusion within the programme. Given that MSLF2 portfolio will track its progress against 2X compliance, and that technical assistance will be offered to investee companies to develop and implement gender action plans, Mirova has determined targets which are ambitious yet realistic given the contexts of the investments. These targets have been informed by Mirova's experience with LDN Fund, and by the country-specific situations, whilst considering that not all investments are identified at this stage. The following table provides an overview of the targets setting for key indicators: workforce participation and women beneficiaries reached.[25]

Indicators for gender inclusion	LDN Fund (based on 2022 and 2023 KPIs)	Targets for MSLF2	Explanations and assumptions
Share of women in the workforce	24% in 2022 29% in 2023 of women across all	35% of jobs created under MSLF2 will go to women	The figure takes into consideration that on average 2X thresholds across the seven countries are just below 38%, which means that investees will likely need TA support to

[25] The targets are reflected in the Gender Action Plan and the Funding Proposal documents.

	levels of the workforce 30% in 2022 41% in 2023 of women in senior manageme nt positions		achieve 2X compliance and meet the 35% target across the portfolio. Learnings from LDN indicate that leadership and management-level roles might have higher women representation, meaning that MSLF2 investees might achieve 2X compliance for senior management roles, but not for the rest of the workforce. That is why the overall target is set at a conservative figure of 35% across all levels of the workforce. While this target is considerably higher than the LDN Fund, the assumption is that companies will be incentivised to comply with the quality indicators needed to achieve 2X compliance (e.g. inclusive policies and workplace practices) which will result in an increased number of women hired and retained in the workforce.
Target women beneficiarie s	44% for 2022 54% for 2023[26]	44% of total MSLF2 beneficiaries will be women	The assumption is that gender technical assistance will support investees to identify strategies for reaching more women beneficiaries, but that country-specific challenges will still impede setting higher targets for women beneficiaries.

3.4 Investment approach and stages of gender lens integration

The Fund's ESG analysis will be fully integrated within the investment process, from pre-screening, to due diligence, contracting and monitoring of progress. The following steps describe how gender and social inclusion considerations will be integrated at each step of the investment decision-making process,

Pre-Screening: Conduct a country and sector-level assessment using publicly available information and based on Mirova's track record and experience. Here Mirova assesses the potential investment from a ESG perspective against eligibility criteria. The initial ESG review has the purpose to highlight any red flags (e.g. exclusion criteria) as well as the potential positive impacts and long-term vision for the investment. This phase generates an ESG & Impact Project Opportunity Note.

Screening and in-depth analysis: As part of the formal initial ESG assessment, Mirova assesses the potential investees' readiness to comply with the ESG and gender requirements.

[26] To note that the increase in female beneficiaries reached in 2023 was largely skewed by the performance of one investee company only.

At this stage, initial questions on the availability of sex disaggregated data, the alignment with MLSF2 priorities and expected impacts from a gender perspective are discussed.

Due Diligence: An in-depth gender assessment focused on establishing a baseline is conducted at this phase. This is combined with a site visit by the ESG team. During the DD phase, Mirova identified the actions required to meet the Fund's ESG requirements and the investees' potential alignment with the 2X criteria. At this stage, Mirova will assess safeguarding risks and the potential investee's willingness to implement safeguarding and GBV prevention mechanisms. In line with the 2X Challenge criteria, a company will need to demonstrate to have measures in place to prohibit SEAH, including survivor-centred grievance reporting mechanisms. During this phase, Mirova and the investee company agree on the definition of an impact plan with clear quantitative targets. Technical assistance is provided at this stage to support the investee in translating gender gaps into strategies aligned with their business priorities. The pre-investment TA support seeks to integrate the development of a Gender Action Plan and the establishment of targets as part of the Environmental and Social Action Plan (ESAP). Where needed, i.e. in instances where a company does not have satisfactory SEAH prevention policies in place, the GAPs will include a mandatory action for the development of such policies in line with international standards (such as the IFC Good Practice Note on Managing Contractors' Environmental and Social Performance).

Contracting: Mirova and the investee company negotiate the final ESAP and GAP to be included in the investment contract.

Post-investment: Investees implement the ESAP commitments and the GAP and report to Mirova. Technical Assistance is provided to eligible and interested organisations to support GAP implementation. Given the importance of SEAH prevention mechanism in the contexts of the investments, training will be provided to the whole portfolio of companies to ensure that each company is equipped to comply with the expectations on SEAH prevention[27].

Monitoring and Reporting: robust monitoring process to capture qualitative and quantitative indicators and track progress against gender outputs and outcomes. Investees report quarterly on ESAP progress, including the progress on GAP implementation. ESG milestones including gender-related milestones are reviewed quarterly by the ESG committees and investees report annually on the environmental and social KPIs (see 2.7). Incidents of health and safety, security, Gender Based Violence and harassment (GBVH) are reported promptly within three business days. In line with international safeguarding instruments, Mirova's grievance reporting mechanism will include a survivor-centred and gender-responsive approach for SEAH-related complaints. Companies will be required to monitor progress and performance on SEAH prevention and report to Mirova on a quarterly basis.

[27] Companies who do not have satisfactory SEAH prevention policies in place at the contracting stage will be expected to develop SEAH prevention policies as a priority action in the implementation of their GAPs.

Where applicable, deep-dive assessments to understand challenges as well as promising approaches and capture learnings across the portfolio will be conducted.

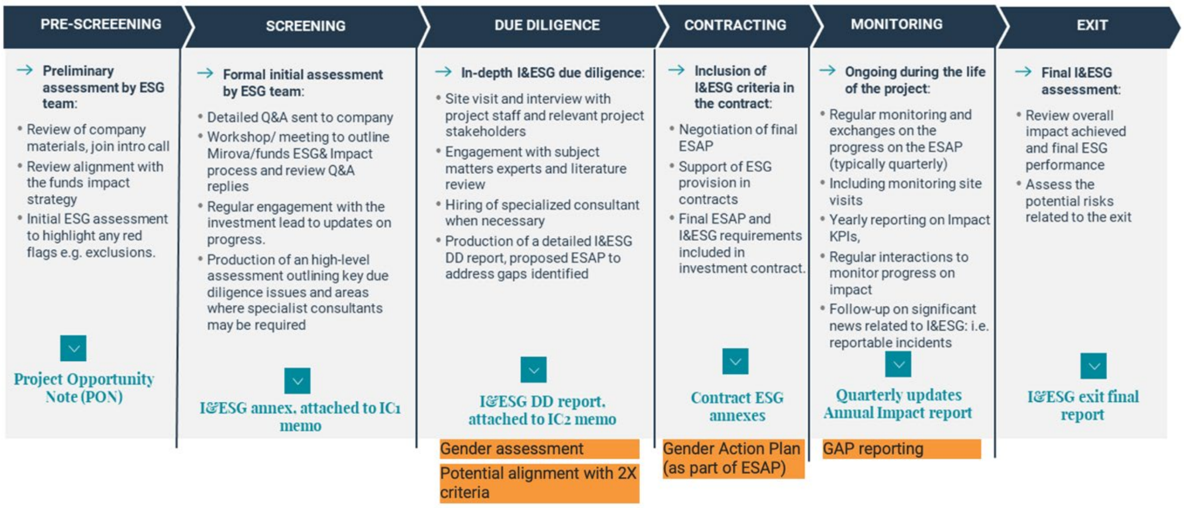

Figure 3 *ESG and Gender Lens Integration in the* investment process

3.5 Gender Technical Assistance

Mirova's experience: the LDN TAF

The LDN TAF could provide grants and repayable grants to (potential) LDN investment projects. The aim was to improve technical quality and strengthen environmental and social impacts, strengthen project design and enable the investment project to meet the LDN Fund investment criteria. The TAF also supported projects post investment to reduce project risks and increase positive social and environmental impacts, as well as to better monitor their impact and practice adaptive management more effectively.

The country studies (see section 3.2) indicate that the investees companies will operate in contexts where predominant gender norms, labour force disparities and discrimination over access to resources and assets persist. Hence, investee companies will require gender technical assistance support to comply with MSLF2 requirements during pre-investment phases, and post-investment support to implement their GAPs and achieve the intended targets of 2X Challenge alignment.

Gender TA Scope and Approach

The design of the gender TA approach builds on the assumption that all investees will require light touch support to develop their GAPs, while only a smaller proportion of the portfolio will require hands-on support to implement their GAP and track progress during project implementation. The gender TA approach is designed with the purpose of supporting investee companies to comply with ESG standards, to enhance their gender and social inclusion impacts, and to align with industry standards while supporting companies to achieve their business and impact results. For these reasons, some activities are envisioned for the whole portfolio to achieve a minimum level of awareness and compliance across investees, while more in-depth and tailored support will be offered on a demand-basis. The eligibility criteria for in-depth gender TA will be further developed during the programme inception phase.

Type of TA support	**Scope and description**	**Estimate uptake of investees**
Portfolio-level awareness	These awareness-raising sessions aim at providing investee companies with basic understanding of gender inclusion in the context of their operations, at sharing best practices and lessons learned from other projects, and at offering the opportunity for peer-sharing amongst the portfolio companies. Some of these webinars will include specific topics such as GBVH prevention (with a focus on developing SEAH prevention policies), working with women in supply chains, or advancing women in leadership roles, for example. Target: 5 webinars for the course of the programme implementation	All portfolio: estimated 21 investments
Pre-investment TA to develop GAPs	A good quality GAP, informed by the gender assessment, will be required for all investments. Gender TA support will be provided to investees for translating gender gaps into strategies aligned with their business priorities. The pre-investment TA support aims at conducting the gender assessment and at co-developing Gender Action Plans that are realistic for the companies and that align with industry standards. In particular,	All portfolio

	GAPs will need to reflect compliance with GBV and SEAH prevention & mitigation measures. Target: 1 gender assessment and 1 GAP for each investee company.	
Hands-on support for GAP implementation	A smaller number of investee companies will require tailored support to implement their GAPs and measure progress against their targets. This support will be provided on a demand basis and will be informed by the DD phase, the readiness of the investee with regards to gender, and the baseline data provided. The support will be tailored to each company and will include activities such as training sessions, GBV prevention mechanisms, SEAH prevention mechanism and capacity building, data analysis, development of strategies or policies for inclusive hiring etc.	40% of the portfolio

Type of activities eligible for TA support

<u>Pre-investment TA (Output 2.1)</u>:

Once investments are identified, and after the positive screening, TA delivery partners will provide investment readiness to help the proponents meet the MSLF2 investment and impact criteria. Activities eligible for pre-investment gender TA include:

- Scope for site/project-specific opportunities to enhance positive social and gender impacts within the investment, including inclusive business models and alignment with gender inclusivity equality standards and women's empowerment principles. This may include developing partnerships with local organizations, information exchange visits between land users, providing capacity building for inclusive stakeholders consultations, identification of specific entry points to make the business more inclusive and to close gender gaps related to women suppliers, etc.
- Project developers can receive pre-investment TA to conduct a diagnostic assessment to identify opportunities and barriers and entry points for gender inclusion within their

organisation or their supply chains. The diagnostic will inform the Gender Action Plan development and will aim at alignment with 2X Challenge criteria (with a focus on issues that female workers, farmers, and managers face, to raise their awareness and design mitigation / specific interventions to overcome these representation issues in workforce, leadership, value chains, as well as risk mitigation for SEAH and GBV risks).

- As part of the ESAP development process, TA recipients will be offered support to develop Gender Action Plans and to identify strategies for alignment with 2X Challenge criteria during the course of the investment.

As a result of the pre-investment TA, MSLF2 investees will have a completed gender assessment and GAP that satisfy the conditions to disburse capital.

Impact enhancement assistance (Output 2.2):

The second element of technical assistance under the MSLF2 will take place in the post-investment phase and will be managed in-house by Mirova. This TA arm will focus on maximising the expected ecological, climate, social, gender and environmental impacts delivered by investees while ensuring the commitments made in the pre-investment phase are upheld. MSLF2 will provide different level of support in terms of portfolio-level awareness to all investees, and tailored 1-1 support for GAP implementation to ensure consistency of reporting and achievement of intended gender and inclusion outcomes. Tailored GAP implementation support will include SEAH prevention and GBV prevention capacity building to investee companies, to ensure that all companies funded by MSLF 2 develop and implement SEAH policies in line with international standards.

Technical Assistance to Mirova Fund Managers - Fund's alignment with 2X

Mirova firmly believes that women bring a different perspective and approach to financing, strongly promoting diversity at the level of fund managers and within the wider organisation. Research also indicates that diversity in the investing teams bring more opportunities to women entrepreneurs and women investors are more likely to have access to women entrepreneurs' networks. Fund managers require an understanding of the opportunities for enhancing gender inclusion in the context of the investments, and, for these reasons, the MSLF2 will integrate gender TA to fund managers. Given that MSLF2 is striving for 2X compliance both at the portfolio and at the fund level, gender TA will be deployed as part of the implementation of the programme and will:

- Provide an assessment of MSLF2's compliance with the 2X Challenge, to identify areas for opportunities and whether time-bound commitment for meeting any of the criteria.
- Develop recommendations for aligning with the 2X criteria, for example identify strategies to increase the diversity of the workforce, to develop gender inclusive HR policies and practices etc.
- Deliver capacity building to fund managers and development of investment tools for MSLF2 fund managers so that they are able to screen investments with a gender lens, to assess GBV risks and SEAH related risks and prevention measures, to support investees in aligning with 2X, and to continuously monitor progress post-investment.

3.6 Reporting and tracking progress towards gender equality and social inclusion

All investee companies/projects will be required to submit gender-related metrics as part of the ESG reporting. All investees report:

- On a quarterly basis on the ESAP and GAP implementation progress
- ESG committees and/or board meetings to review ESG milestones are conducted quarterly
- On an annual basis, investees report ESG impact metrics (table below)

During due diligence and contracting phases, the investment-specific gender assessment and the development of the GAP will inform the identification of specific indicators and metrics to measure success and to assess alignment with 2X criteria. The assessment will include a review of companies' SEAH prevention policies and mechanisms to identify whether companies are fully aligned with expected SEAH provisions. The 2x Criteria reference guide will be used as a basis to determine quality indicators at the investment level (e.g., related to health and well-being, equal care, equal pay opportunities, supply chain commitments etc.) that will be used to track progress across the various business areas.

Gender and Social Inclusion KPIs
Social
Number of employees who belong to vulnerable, minority or excluded/underrepresented groups
Number of employees aged 25 and under
Gender
Share of women ownership or business founded by a woman, with the woman/women playing an active role
Number of senior managers and/or board members - women and total
Number of female employees in Full Time Equivalent (FTE)
Employment benefits specific to women and above regulatory requirements (includes quality indicators related to health and wellbeing, equal care, equal pay opportunities etc.)
Demonstrated compliance with ILO labour standards, commitment to human rights and guidelines (part of the 2X ESG criteria, if not in place during screening)

Women benefiting directly from the project (excluding employees)
Women-led businesses or women in value chains
Inclusion
Number of beneficiaries who belong to vulnerable, minority and or excluded/underrepresented groups
Number of female employees who belong to vulnerable, minority and or excluded/underrepresented groups
Female beneficiaries who belong to vulnerable, minority and or excluded/underrepresented groups

Risk Management KPIs
Number of fatalities / lost-time injuries / gender-based violence incidents (disaggregated by sex)
Number of internal / external grievances received (disaggregated by sex)

4. Country assessments

The assessment of the eight target countries for the MSLF2 identified context-specific challenges for advancing women's participation in forestry and land restoration activities. Some of these countries like Ghana have some of the world's highest poverty rates. Across all countries, there are disparities between men and women which persist in the areas of economic opportunities, health, education, political participation, and empowerment. Particularly in the Sub-Saharan African countries, where dual legal systems persist, statutory laws ensure equal rights and protections for women, gender norms even though customary laws continue to shape women's lives and their ability to access assets and resources and to participate in economic activities. Across Latin American countries, *machismo* is entrenched, curtailing women's agency and liberty. Further in South Asia, while women's labour force participation varies across countries, social norms limit mobility, and access to inheritance, land resources and assets across these countries. Labour force participation among women across Latin American and African countries has been rising over the decades. However particularly in agrifood value chains, women remain relegated to small-scale value-added work, or in subsistence crops.[28] Some of the barriers faced by women which limit their effective participation in agri-food systems includes:

[28] https://www.fao.org/3/cc5060en/cc5060en.pdf

- Limited access to land as owners, and limited access to required technical inputs and assets
- Concentration in low productivity crops compared to men who are in high productivity and or export crop value chains
- Women's participation mostly in manual work like weeding on the fields and in crop export value chains they mostly conduct administrative and manual tasks like bookkeeping and packing
- Women often work as family labour and remain unpaid, or paid in kind for their labour, and when paid, their wages remain considerably lower than those of men

In countries like Costa Rica, Côte d'Ivoire, Ghana, Malaysia and Peru women's labour force participation is high, with more than 50% women of working age being engaged in the labour force, with a majority of women engaged in agriculture across value chains of maize, coffee, seeds/nuts and flowers. Some of these countries also have a high rate of participation of women in agri-food processing, and post-cultivation activities like harvesting, sorting, drying and carrying the fruit. Women in these countries are also more entrepreneurial, however their enterprises in agricultural value chains remain small-scale, or women are engaged as aggregators, supplying to larger male led enterprises. Some of the more socially conservative countries in the region like Morocco, have a much lower percentage of women's labour force participation (21%). Across Latin American countries, there are growing services sectors and women are migrating from rural farms to urban cities engaging in domestic work. Women's labour force participation in these countries stands around 50%, and is particularly high in Peru (70%) where women are also highly educated with more and more girls also graduating from STEM courses. Women working in agriculture across these countries are predominantly engaged in coffee value chains. However, their work in coffee is devalued and women are also often responsible for food production and livestock management for their household, and cultivation of more profitable crops such as rice, fruits, seeds etc. Across Southeast Asian countries, women contribute significantly to both economic and reproductive activities, with labour force participation rate over the 50% mark. Women in the Philippines and Malaysia are predominantly engaged in value chains of rice, paddy, and fruits and vegetables.

Country	**Women Labour Force Participation**	**Gender Development Index (UNDP)**	**Gender Inequality Index (UNDP)**	**% Population living below poverty line ($2.15 a day) (World Bank)**	**Women, Business and the Law score 2024 (World Bank)**
Ghana	67% (2021)	0.946	0.529	25.21 (2016)	75
Morocco	21% (2022)	0.861	0.425	1.44% (2013)	75.6
Ivory Coast	58% (2022)	0.887	0.613	11.50% (2018)	83.1
Costa Rica	57% (2022)	0.996	0.256	0.89% (2022)	86.3

Peru	70% (2022)	0.950	0.380	2.66% (2022)	95
Philippines	48% (2022)	0.990	0.419	6.75% (2021)	78.8
Malaysia	56% (2022)	0.982	0.228	0% (2021)	50

Further, land degradation and deforestation in these countries has severely impacted the quality of lives of women and indigenous communities who depend on forest land for medicinal products, non-timber forest produce etc, often causing distress migration among indigenous communities of Latin America, and Sub-Saharan Africa. Most countries are signatories to or are implementing initiatives towards reforestation, including agroforestry, REDD + strategies. Costa Rica has developed a Gender Action Plan for forestry projects which aims to address gender disparities by integrating gender considerations throughout all stages of implementation, including conducting gender analyses, implementing capacity-building initiatives, promoting inclusive governance structures, ensuring equitable benefit sharing, and establishing gender-sensitive monitoring and evaluation mechanisms. This involves understanding and addressing the differentiated roles, needs, and priorities of women and men in forest-dependent communities to empower women's participation and ensure their equitable benefit from forest conservation efforts.

The following sections provide an in-depth assessment of the gender equality situation for each targeted country.

Africa

Ghana

Overview of gender equality and gender gaps in the country

Ghana, the second most populous country in West Africa, has varied ecosystems, spanning from coastal savannas to tropical rainforests. The country has a population of 34.1 million, consisting of 31% young people within the age group 10-24 years.[29] The fertility rate in the country has seen a decline in recent years and stands at 3.5 which is considerably low among the West African countries.[30]

Ghana has a Gender Development Index of 0.946 and the country is classified with "Group 3" countries which have medium equality in HDI achievements between women and men (absolute deviation between 5 percent and 7.5 percent). A big contributor to this deviation is the gender gap in gross national income per capita, with males earning USD USD 4723. On the Gender Inequality Index, which measures disparities between men and women in economic opportunities, reproductive health, and empowerment - Ghana is ranked 130 with an inequality ratio of 0.529.

Indicator	Result	Source and date
Life expectancy at birth	67	UNDP (2022) Gender Development Index
Maternal mortality ratio	308	UNDP (2023) Gender Inequality Index
Literacy rate (female aged 15 and above)	76%	World Bank, 2020
Women's Labour Force Participation Rate (age 15 to 64)	67%	World Bank, 2021
Mean years of schooling [31]	12.1	UNDP (2022) Gender Development Index
Estimated gross income per capita	4,723 (PPP $)	UNDP (2022) Gender Development Index

Legal status of women

[29] United Nations Population Fund. (2023). World Population Dashboard, Ghana. Retrieved on March 19, 2024 from https://www.unfpa.org/data/world-population/GH

[30] Population Reference Bureau. (n.d.). *International Data, Western Africa*. Retrieved on March 19, 2024 from https://www.prb.org/international/geography/western-africa/

[31] Average number of years of education received by people ages 25 and older, converted from educational attainment levels using official durations of each level.

Ghana has ratified various UN conventions focusing on gender equity and inclusion, such as the Convention on Elimination of Discrimination Against Women (CEDAW) in 1986, and the Convention on the Rights of the Child (CRC) in 1990.[32] The country has also ratified The Beijing Declaration and Platform for Action,1995. [33] Further, regionally, Ghana is committed to the Nairobi Forward Looking Strategies for the Advancement of Women, 1985 and the Protocol to the African Charter on Human and People's Rights on the Rights of Women in Africa, 2003 (ratified in 2007). The constitution of Ghana, under Article 17 (1) and (2) grants equal rights under law to all persons, expressly guaranteeing gender equality and freedom of women and men, girls and boys from discrimination based on social or economic status among others. Overall, under the World Bank's Women, Business and Law report card, Ghana scores 75 out of 100, with pay and parenthood related laws faring the lowest as the country does not have any paid maternity or paternity leave provisions, nor any mandates to ensure equal pay for women or protection against dismissal of pregnant women. With respect to mobility, marriage and workplace related laws, the country scores a perfect 100.[34] Ghana also has a National Gender Policy, which has the overarching goals to mainstream gender equality and women's empowerment in the country's development process including legal, civic, political and provisions, at all tiers of Governance. Overall, the policy has 5 key objectives: [35]

1. **Women's Empowerment:** To accelerate efforts and commitments of the government in empowering women (especially women with disability) to have safe and secure livelihood, access to economic opportunities, decent work to improve earnings while addressing disparities in education, socio-economic and cultural issues, health and agriculture, trade and related matters.
2. **Women's Right and Access to Justice:** To speed up enforcement and domestication of ratified International Treaties, policies and strategies adopted by the Government to tackle violence, discrimination and promote gender equality and women's empowerment nationwide.
3. **Leadership and Accountable Governance for Women:** To support the passage and implementation of an Affirmative Action Law and put in place transformative measures (including leadership development) that will enable women and men participate equally in achieving at least the 40% women representation in politics, on Boards and at all levels of decision making.
4. **Gender Responsive Budgeting:** To improve women's economic opportunities including engendering macro-economic and trade policies so that the basic and strategic needs of both men and women are addressed. In pursuance of this objective, trade, tax literacy, access to credit and encouragement of a savings-culture among women will be enforced.
5. **Promoting Gender Roles and Relations:** To transform inequitable gender relations in order to improve women's status relative to that of men, through monitoring of state policies with a gender and women's equality lens to ensure compliance.

Socio-cultural context and political participation

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[32] United Nations Human Rights Treaty Bodies. (n.d.). *UN Treaty Body Database*. https://tbinternet.ohchr.org/_layouts/15/TreatyBodyExternal/Treaty.aspx?CountryID=182&Lang=EN

[33] Ministry of Gender, Children and Social Protection, Republic of Ghana. (2015). *National Gender Policy*. https://www.mogcsp.gov.gh/?mdocs-file=654#:~:text=Specifically%2C%20Article%2017(1),or%20economic%20status%20among%20others

[34] World Bank Group. (2022). *Women, business and the law 2022: Ghana*. https://wbl.worldbank.org/content/dam/documents/wbl/2022/snapshots/Ghana.pdf

[35] Ministry of Gender, Children and Social Protection, Republic of Ghana. (2015). *National Gender Policy*. https://www.oecd.org/swac/data-and-dialogue/gender-west-africa/Ghana%20National%20Gender%20Policy%202015.pdf

Violence against women is still heavily prevalent in Ghana and between 2015 to 2018, a total of 51,620 cases were reported to the country's Domestic Violence and Victim Support Unit with physical abuse being the most reported form of violence and close to 85% victims/survivors being women.[36] To protect women from domestic violence the country, in 2007, enacted a three part Domestic Violence Act defining acts of domestic violence, provisions and process for protection. Widows among Ghana's ethnic groups, Akans and Ewes, have to face humiliating widowhood rites which the country's legislation is trying to protect.[37] Land Ownership among women is determined by the practice of customary law which is prevalent along with statutory law in Ghana. About 52% of the country's population practices patrilineal inheritance where land is passed from fathers to sons and about 48% of the population practices matrilineal inheritance which is more flexible allowing for both men and women to inherit land, however research suggests that men are more likely to inherit land than women in both systems and hence end up more likely to be managing farms.[38]

Ghana has yet to implement any affirmative action policy setting targets or quotas around women's representation at all levels of governance, with a draft Bill awaiting approval by the country' parliament as of 2023. The number of women in Ghana's leadership has seen a marginal increase over time, however it still remains significantly lower than the targets set under this policy. In 2012, there were 11% female MPs, and after the 2020 General Election, 14.5% MPs were women. In local governance on the other hand, there has been a decline in the number of women representatives elected in the District Assembly elections from 47 in 2006 of a total of 1,772 women candidates, to 216 in 2019 of a total of 909 women candidates. Women face entry barriers such as limited resources for financing campaigns, gender based violence, and lack of support from their families along with lack of political will by parties. Further, failure by women candidates to execute planned projects due to resource crunch, corruption, ignorance, and discrimination also prevented women from contesting again.[39]

Women's health

The Maternal Mortality ratio in Ghana stands at 308 per 100,000 live births.[40] Compared to other sub-Saharan African countries Ghana has a relatively high awareness of modern contraception among women, with 99% men and women being aware of such methods, and 23% married women in Ghana have an unmet need for family planning. While the prevalence of HIV among women is low in Ghana, i.e., 1.66% in the adult population age 15–49, both women and men display discriminatory attitudes towards those with HIV, according to Ghana's Demographic and Health Survey (2022). [41]

Women's education

[36] Ministry of Gender, Children and Social Protection, Republic of Ghana, & UN Women. (n.d.). *Ghana's report: Progress on implementation of the Beijing platform for action*. Retrieved March 24, 2024 https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Ghana-en.pdf

[37] Dowuona-Hammond, C., Atuguba, R. A., & Tuokuu, F. X. D. (2020). Women's Survival in Ghana: What Has Law Got to Do With It? *Sage Open*, 10(3). https://doi.org/10.1177/2158244020941472

[38] Barker, N. (2022). The Effects of Female Land Inheritance on Economic Productivity in Ghana. *Centre for Economic Policy Research.* Retrieved https://steg.cepr.org/sites/default/files/2023-01/STEG%20AC23%20Barker%20TheEffectsOfFemaleLandInheritanceOnEconomicProductivityInGhana_0.pdf

[39] UNDP. (2023). *Under-Representation of Women in Leadership in Ghana: Action Needed to Achieve the Sustainable Development Goals.* https://www.undp.org/ghana/publications/under-representation-women-leadership-ghana-action-needed-achieve-sustainable-devel

[40] UNDP. (2022). *Gender Inequality Index.* https://hdr.undp.org/sites/default/files/2021-22_HDR/HDR21-22_Statistical_Annex_GII_Table.xlsx

[41] Ghana Statistical Service (GSS) and ICF. (2024). *Ghana Demographic and Health Survey 2022.* https://dhsprogram.com/pubs/pdf/FR387/FR387.pdf

Over a decade from 2010 to 2020, women's literacy rate in Ghana has increased by over 10 percentage points, from 65% to 76%.[42] To ensure universal education, the government of Ghana is implementing a Free Compulsory Universal Basic Education policy, as well as the Free Secondary School Education and Free Senior High School policy in the last few years, to enable more and more girls to attain primary and secondary school education.[43,44] At the lower secondary level, the completion rates among boys and girls are almost at par, at around 74%.[45] Further, at the basic education level, the completion rate for girls is 100%, which is higher than that of boys (99%).[46] To further facilitate girls' education the Government of Ghana has supplemented efforts by launching initiatives such as the Ghana School Feeding Program (GSFP), provision of free school uniforms, the recruitment of regional and district girl child education officers to work with partners and related agencies.[47] To increase girls' participation in STEM, UNESCO and the government of Ghana have launched a STEM clinics initiative in select districts of the country, where girls are made aware of various STEM related courses available for them to study, and career prospects in these fields. Girls also have an opportunity to interact with young women scientists which enables them to visualize a career in STEM.[48] Further, The Ministry of Communications and Digitalisation (MoCD) has launched a Seats for Ladies in Stem Initiative with an objective to increase the percentage of women taking up STEM-related jobs from 30 % in 2021 to 40 % by 2031 by providing women equal opportunities to pursue and thrive in STEM careers, narrowing the gender pay gap, and preventing biases in the products and services produced by private sector STEM companies.[49]

Women's economic participation and agricultural work

Women's labor force participation is high in Ghana at 67%.[50] Further entrepreneurship among women in Ghana is highly prevalent and widely accepted. Mastercard's 2021 Index of Women Entrepreneurs for the third consecutive report year found Ghana to be one of three countries with the highest

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[42] The World Bank. (2020). *Literacy rate, adult female- Ghana.* https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=GH

[43] Ministry of Gender, Children and Social Protection, Republic of Ghana, & UN Women. (n.d.). *Ghana's report: Progress on implementation of the Beijing platform for action*. Retrieved March 24, 2024 https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Ghana-en.pdf

[44] Akanbang, B. A. A., Aneleru, C., & Aziabah, M. A. (2023). Incentives and girl child education in Ghana: An examination of CAMFED's support scheme on enrollment, retention and progression in Garu-Tempane district. *Sage Open*, 13(3). https://doi.org/10.1177/21582440231183904

[45] The World Bank. (2019). *Lower secondary completion rate, female- Ghana.* https://data.worldbank.org/indicator/SE.SEC.CMPT.LO.FE.ZS?locations=GH

[46] Ministry of Gender, Children and Social Protection, Republic of Ghana, & UN Women. (n.d.). *Ghana's report: Progress on implementation of the Beijing platform for action*. Retrieved March 24, 2024 https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Ghana-en.pdf

[47] Akanbang, B. A. A., Aneleru, C., & Aziabah, M. A. (2023). Incentives and girl child education in Ghana: An examination of CAMFED's support scheme on enrollment, retention and progression in Garu-Tempane district. *Sage Open*, 13(3). https://doi.org/10.1177/21582440231183904

[48] UNESCO. (n.d.). STEM clinics to boost girls' participation in STEM education in Ghana. *United Nations*. Retrieved April 4, 2024, https://www.un.org/africarenewal/news/stem-clinics-boost-girls%E2%80%99-participation-stem-education-ghana#:~:text=In%20December%202016%2C%20UNESCO%20Accra,for%20girls'%20participation%20in%20STEM

[49] *Minister of Communications calls for support in getting more women into STEM in Ghana*. (2022, December 16). Ghana Chamber of Telecommunication. Retrieved March 19, 2024 https://telecomschamber.com/news-media/industry-news/minister-of-communications-calls-for-support-in-getting-

[50] The World Bank. (2022). *Labour force participation rate, female- Ghana.* https://data.worldbank.org/indicator/SL.TLF.ACTI.FE.ZS?locations=GH

percentage of women business owners globally, at 37.2%.[51] However a majority of women-run businesses remain micro enterprises (80%) [52] Ghana being an agrarian economy, 46% of the female labor force is engaged in primary production agriculture,[53] producing 70% of the country's subsistence crops, particularly maize. However, women face difficulties in accessing land, technology and formal finance which limit their agricultural productivity. Only 38% of the total agricultural land holders are women, and 88% of the large farm land (> 5 acres) is cultivated by men. Cultivation of certain crops like groundnut (47%), cowpea (62%), roots and tubers (61%), is dominated by women.

While most agri producers in Ghana are small farmers, women predominantly take up the role of aggregators, buying produce from the North of the country and re-selling to large wholesalers in the South of Ghana, who are mostly men, who then sell them at a high profit margin. Small market vendors in the country are usually women, however they buy their produce at a small-scale from wholesalers and sell them in the marketplace for low profits, due to limited capital and storage facilities available to them.[54] Women traders in Ghanaian markets have also emerged as "market queens" who are democratically elected leaders of traditional self-help women traders groups.[55]

Land Degradation and Gender

Rural women in Ghana often depend on forest produce for survival and are involved in active collection of forest produce for household consumption, sale in the market and for extraction of natural medicines, for ritualistic practices.[56] Forest degradation, with a net annual deforestation rate at 3,51%, has an adverse impact on women whose livelihood depends on forest produce. For instance, women who harvest shea butter and rosewood are impacted by deforestation, with Shea trees being lost to indiscriminate charcoal production and Rosewood being illegally harvested and exported.[57] FAO's Forest and Farm Facility (FFF) and the Kasena Nankana Baobab Cooperative Union (KANBAOCU), are collaborating to work in baobab and shea value chains, aiming to address this issue by discouraging cutting down of baobab and shea trees for charcoal and wood products and providing communities with alternate ways of using these resources.[58]

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[51] Mastercard. (2022, March 28). *Botswana, Uganda, and Ghana show the highest concentration of women entrepreneurs – Mastercard Index of Women Entrepreneurs.* Retrieved March 19, 2024 https://www.mastercard.com/news/eemea/en/newsroom/press-releases/press-releases/en/2022/march/botswana-uganda-and-ghana-show-the-highest-concentration-of-women-entrepreneurs-mastercard-index-of-women-entrepreneurs/

[52] Kavaarpuo, E.A.V., & Yeboah, P.Y.A.. (2023). Female entrepreneurship and Ghana's informal economy: Prospects and challenges. *International Journal for Multidisciplinary Research*, 5(3) https://www.ijfmr.com/papers/2023/3/2550.pdf

[53] CCAFS. (2021). *Gender profile for climate-smart agriculture uptake in Ghana*. CGIAR Research Program on Climate Change, Agriculture and Food Security (CCAFS), West Africa Program, International Crops Research Institute for the Semi-Arid Tropics (ICRISAT), International Livestock Research Institute (ILRI). https://cgspace.cgiar.org/server/api/core/bitstreams/3deededd-62da-4ea4-a4dd-340df50c95db/content

[54] idib

[55] Scheiterle,L., & Birner, R. (2023). The myth of the market queens: A case study of women and power in Ghanaian markets. *Global Food Security*, 38(). https://doi.org/10.1016/j.gfs.2023.100703.

[56] CCAFS. (2021). *Gender profile for climate-smart agriculture uptake in Ghana*. CGIAR Research Program on Climate Change, Agriculture and Food Security (CCAFS), West Africa Program, International Crops Research Institute for the Semi-Arid Tropics (ICRISAT), International Livestock Research Institute (ILRI). https://cgspace.cgiar.org/server/api/core/bitstreams/3deededd-62da-4ea4-a4dd-340df50c95db/content

[57] National REDD+ Secretariat.(2016). *Ghana Redd+ Strategy 2016*. Retrieved https://redd.unfccc.int/media/ghana_redd__strategy.pdf

[58] Food and Agriculture Organization of the United Nations. (2021, January 29). *How shea products are boosting Ghanaian women's livelihoods.* Retrieved March 19, 2024 https://www.fao.org/fao-stories/article/en/c/1369393/

Ghana is one of the African countries implementing the UNFCCC's Reducing Emissions from Deforestation and forest Degradation (REDD+) strategy, which aims to reduce emissions from deforestation and enable forest conservation, sustainable forest management and enhancement of forest carbon stocks. The country's REDD+ strategy also aims to transform Ghana's major agricultural commodities and Non Timber Forest Products (NTFPs) into climate-smart production systems. Ghana is one of the few countries to establish a sub-working group on gender under the National REDD+ strategy along with a roadmap for gender mainstreaming efforts.[59]

Central and South America

Costa Rica

Overview of gender equality and gender gaps in the country

Costa Rica, is a Central American country, with a huge rainforest cover and a population of 5.2 million people, 22% of whom are in the age group 10-24 years.[60] The fertility rate in the country has been declining steadily since 1990, currently at 1.5 children per woman.[61]

Costa Rica has a Gender Development Index of 0.996 and the country is classified with "Group 1" countries which means the country has high equality in HDI achievements between women and men (absolute deviation less than 2.5 percent). However, when it comes to earnings, men in the country earn close to 1.4 times more than women, with men paid an average of 23,376 $ and women paid 16,568 $ per capita. On the Gender Inequality Index, which measures disparities between men and women in economic opportunities, reproductive health, and empowerment, Costa Rica is ranked 60 with an inequality ratio of 0.256.

Indicator	Result	Source and date
Life expectancy at birth	79.8	UNDP (2022) Gender Development Index
Maternal mortality ratio	27	UNDP (2023) Gender Inequality Index
Literacy rate (female aged 15 and above)	98%	World Bank, 2021
Women's Labour Force Participation Rate (age 15 to 64)	57%	World Bank, 2022
Mean years of schooling [62]	8.9	UNDP (2022) Gender Development Index
Estimated gross income per capita	16,568 (PPP $)	UNDP (2022) Gender Development Index

Legal status of women

[59] National REDD+ Secretariat.(2016). *Ghana Redd+ Strategy 2016*. Retrieved https://redd.unfccc.int/media/ghana_redd__strategy.pdf

[60] United Nations Population Fund. (2023). *World Population Dashboard*. Retrieved March 19, 2024, https://www.unfpa.org/data/world-population-dashboard

[61] The World Bank. (2021). *Fertility rate, total (births per woman)- Costa Rica.* Retrieved March 20, 2024, https://data.worldbank.org/indicator/SP.DYN.TFRT.IN?locations=CR

[62] Average number of years of education received by people ages 25 and older, converted from educational attainment levels using official durations of each level.

Costa Rica has ratified the Convention on the Elimination of All Forms of Discrimination against Women (CEDAW) in 1986 align with the optional protocol to the Convention on the Elimination of All Forms of Discrimination Against Women, and which indicates the country's commitment to ensuring equality that ensures women can fully enjoy all human rights and fundamental freedoms.[63] The country has also been implementing commitments under the Beijing Declaration and Platform for Action, making strides w.r.t ensuring women have power in decision-making, curbing gender violence and protection of women's rights.[64] Costa Rica has also enshrined gender equality in its constitution under Article 33, guaranteeing equal rights for men and women and Article 52 that stipulates that men and women have equal civil rights.[65] Costa Rica scores quite high, 86.3 out of 100 on the World Bank's Women, Business and Law Index. This score indicates a relatively high level of legal protection and support for women in the business sphere. Key areas where Costa Rica performs well include asset access, building credit, and marriage related laws However, the country scores low in parenthood related laws (40 out of 100) since the country lacks any paid maternity or paternity leave benefits mandated by law.[66]

Socio-cultural context and political participation

In traditional Costa Rican society, patriarchy has historically played a significant role in shaping gender relations and women's positions. Particularly, women belonging to rural areas and from indigenous or afro-descent face violence, and abuse in both the domestic sphere and the world of work. In 2007the country enacted a Law on the Criminalization of Violence against Women (LPVcM), however the National Survey on Sexual and Reproductive Health (2010) revealed that 15.1% of women admit to having accepted unwanted sex for fear of reprisals and 12% women have been raped.[67]

Despite progress in recent years, women in Costa Rica still face challenges in political representation and leadership roles. In 1996, voluntary party quotas were introduced in the country and amended many times, and in 2009 the law mandated that 50% candidates in winnable positions on closed party lists should be women. In 2022, Costa Rica elected 47.4% women to its single house of parliament. [68] The Global Gender Gap Report ranks the country 7th globally w.r.t women's political empowerment.[69] However, women continue to face barriers to political participation, particularly digital violence and delegitimization on social media.[70] The country became the first in the region to promote affirmative

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[63] United Nations Human Rights Treaty Bodies. (n.d.). *UN Treaty Body Database*. Retrieved March 19, 2024 https://tbinternet.ohchr.org/_layouts/15/TreatyBodyExternal/Treaty.aspx?CountryID=41&Lang=EN

[64] United Nations. (2004, May). *Report of Costa Rica on implementation of the Beijing Platform for Action and the outcome of the twenty-third special session of the United Nations General Assembly*. Retrieved March 20, 2024 https://www.un.org/womenwatch/daw/Review/responses/COSTA-RICA-English.pdf

[65] *Constitution of the Republic of Costa Rica.* (n.d.). Human Rights Library, University of Minnesota. Retrieved March 20, 2024 http://hrlibrary.umn.edu/research/costarica-constitution.html#:~:text=ARTICLE%2033.,%2C%20May%2031%2C%201968

[66] World Bank Group. (2022). *Women, business and the law 2022-Costa Rica*. Retrieved March 20, 2024 https://wbl.worldbank.org/content/dam/documents/wbl/2022/snapshots/Costa-rica.pdf

[67] United Nations Development Programme. (2020). *Gender Equality and Women's Empowerment: Women´s Situation Analysis and Action Plan.* https://www.undp.org/sites/g/files/zskgke326/files/migration/cr/undp_cr_6373-Annex-4d.-Gender-Analysis-and-Action-Plan_21.pdf

[68] Inter-Parliamentary Union. (n.d.). *Women in parliament in 2022*. Retrieved March 25, 2024 https://www.ipu.org/file/16615/download

[69] World Economic Forum. (2023). *Global gender gap report 2023*. https://www3.weforum.org/docs/WEF_GGGR_2023.pdf

[70] Díaz, D.M. (2023, September 15). *Costa Rica tackles digital violence against women in politics.* United Nations Sustainable Development Group. https://unsdg.un.org/latest/stories/costa-rica-tackles-digital-violence-against-women-politics

action in municipal level elections in 2010 municipal elections. However the position of mayor is usually held by men and women with women elected as deputy mayors. In 2016, only 13.5% of mayors' seats were occupied by women.[71]

Women's health

Costa Rica has made strides in maternal health compared to many other countries in the region. According to the World Bank, Costa Rica's maternal mortality ratio stood at 27 deaths per 100,000 live births. This figure indicates a relatively low rate compared to the global average and demonstrates the effectiveness of Costa Rica's healthcare system in reducing maternal deaths.[72] Further, 98% of pregnant women in the country receive prenatal care.[73] 14% of women in Costa Rica also have an unmet need for family planning.[74]

Women's education

Costa Rica has made strides in women's education. 53.8% of women in Costa Rica have at least some secondary education, compared to 52.3% of men and 62% girls complete secondary school, compared to 54% of boys.[75] In tertiary education 42.7% graduates from agricultural courses are women, and 35.4% from Engineering courses are women, however there is evidence of a gender gap in ICT course enrolment and only 20.3% graduates from these courses are women.[76] The Ministry of Education has also taken definitive steps to encourage girls to enter STEM fields of education through initiatives such as Deciding My Future campaign, providing information to 9th grade girls about financial and non-financial returns of studying STEM, and it's impact on society.[77]

Women's economic participation and agricultural work

In Costa Rica, women's labor force participation is at 57%.[78] This indicates that a growing proportion of women are actively engaged in the labor market, contributing to the country's economic development and growth. The services sector is one of the major employers for women in Costa Rica, with women

[71] United Nations Development Programme. (2020). *Gender Equality and Women's Empowerment: Women´s Situation Analysis and Action Plan*. https://www.undp.org/sites/g/files/zskgke326/files/migration/cr/undp_cr_6373-Annex-4d.-Gender-Analysis-and-Action-Plan_21.pdf

[72] UNDP. (2023). Gender Inequality Index. https://hdr.undp.org/sites/default/files/2021-22_HDR/HDR21-22_Statistical_Annex_GII_Table.xlsx

[73] The World Bank. (2018). *Pregnant women receiving prenatal care (%) - Costa Rica*. Retrieved March 25, 2024 https://data.worldbank.org/indicator/SH.STA.ANVC.ZS?locations=CR

[74] The World Bank. (2018). *Unmet need for contraception (% of married women ages 15-49) - Costa Rica*. Retrieved March 25, 2024. https://data.worldbank.org/indicator/SP.UWT.TFRT?locations=CR

[75] United Nations Development Programme. (2020). *Gender equality and women's empowerment: Women´s situation analysis and action plan*. https://www.undp.org/sites/g/files/zskgke326/files/migration/cr/undp_cr_6373-Annex-4d.-Gender-Analysis-and-Action-Plan_21.pdf

[76] Schneegans, S., Straza, T., & Lewis, J. (Eds.) *(2021). UNESCO Science report: The race against time for smarter development*. UNESCO. https://unesdoc.unesco.org/ark:/48223/pf0000377433

[77] Näslund-Hadley,E., Padilla, J.M., Zeta, M.L., & Hernández-Agramonte, J.M. (2023, February 14). *Beating the odds! New evidence on how to get girls into STEM careers*. Inter-American Development Bank (IDB). https://blogs.iadb.org/igualdad/en/beating-the-odds-new-evidence-on-how-to-get-girls-into-stem-careers/

[78] The World Bank. (2022). *Labour force participation rate, female- Costa Rica*. Retrieved March 22, 2024. https://data.worldbank.org/indicator/SL.TLF.ACTI.FE.ZS?locations=CR

working in industries like education, commerce, hotels and restaurants, and communication.[79,80] Women are well-represented in service-oriented roles as professional and technical workers (46%).[81]

As per the country's agriculture census in 2014, women were found to hold only 8.1% of the farm area in the country, and 13% of total number of farms.[82] In farms owned and run by women, agricultural tasks are mainly conducted by men, while women perform administrative functions such as processing of by-products, rural tourism, and waste treatment. Women engaged in the agriculture sector are majorly concentrated in coffee production (28% of all women in the sector), while men dominate livestock farming (29%).[83] Fruit processing for export in Costa Rica employs female labour for harvesting, processing, and packing fruits.[84] The country has created a National Policy on Gender Equality and Social Inclusion for the Costa Rican Agricultural and Rural Sector 2020-2030 led by the Ministry of Livestock and Agriculture (MAG) in partnership with National Women's Institute (INAMU), the Inter-American Institute for Cooperation on Agriculture (IICA) and UNDP Costa Rica, to ensure gender transformation in agriculture and reduce gender gaps in access to agricultural work opportunities. The effort has involved assessment of needs of women form 8 regions in the country, and revealed the need for providing them better access to technologies, financing for productive projects, marketing spaces, and infrastructure to ensure agri productivity.[85]

Land Degradation and Gender

Costa Rica has made remarkable strides in reversing deforestation and land degradation. According to the World Economic Forum, the country has doubled its tropical rainforests in just a few decades, with forest cover increasing from around 26% in the 1980s to over 52% today. This substantial increase in forested areas has been achieved through strategic conservation efforts, including reforestation initiatives and the establishment of protected areas and ambitious reforestation targets and innovative policies aimed at promoting biodiversity and mitigating climate change. The reversal of land degradation in Costa Rica has had positive impacts on women, as they are often disproportionately affected by environmental degradation due to their reliance on natural resources for their livelihoods. By restoring forest ecosystems and implementing sustainable land management practices, Costa Rica has created opportunities for women to participate in conservation efforts, access eco-tourism and agroforestry

[79] Ivanova, A. (2017). Chapter 10B: Costa Rica. In Kochhar, K., Jain-Chandra, S., & Newiak, M. (Eds.), *Women, work and economic growth: Leveling the playing field.* International Monetary Fund. https://doi.org/10.5089/9781513516103.071

[80] US Commercial Service. Department of Commerce. (2023). *Business opportunities in Costa Rica for women-owned businesses*. Department of Commerce, & International Trade Administration. Retrieved March 31, 2024 https://events.trade.gov/fr/BusinessOpportunitiesinCostaRicaforWomen-OwnedBusi/hotsite.php#:~:text=Costa%20Rican%20women%20represent%2080,Rica%20and%20Intel%20Costa%20Rica.

[81] World Economic Forum. (2023). *Global gender gap report 2023*. https://www3.weforum.org/docs/WEF_GGGR_2023.pdf

[82]OECD. (2017). *Agricultural Policies in Costa Rica*. OECD Publishing. Retrieved March 31, 2024 http://dx.doi.org/10.1787/9789264269125-en

[83] World Bank, & REDD+ Costa Rica. (2019). *Costa Rica: Gender action plan.* REDD+ UNFCCC. Retrieved March 24, 2024 https://redd.unfccc.int/uploads/4863_6_wb-gap-eng-web.pdf

[84] Wanjiru, Q. (2021). The role of women in agriculture today. *Journal of Gender Related Studies. 2(1),* 33-42. https://carijournals.org/journals/index.php/JGRS/article/download/739/958/3176

[85] United Nations Development Programme. (2020). *Gender equality and women's empowerment: Women ́s situation analysis and action plan.* https://www.undp.org/sites/g/files/zskgke326/files/migration/cr/undp_cr_6373-Annex-4d.-Gender-Analysis-and-Action-Plan_21.pdf

initiatives, and benefit from improved ecosystem services such as clean water and climate regulation.[86,87]

Costa Rica is one of the few countries in the world that prepared a Gender Action Plan (GAP) in 2019, for its national strategy on reducing emissions from deforestation and forest degradation (REDD+) through enhanced forest management. This Gender Action Plan (GAP) aims to promote gender equality and empower women in forest governance and conservation efforts. Key objectives of the GAP include increasing women's participation in decision-making processes related to forest management, enhancing women's access to forest resources and benefits, and mainstreaming gender considerations across REDD+ policies and programs. Achievements of the GAP include the establishment of gender-sensitive mechanisms for inclusive participation in forest-related activities, the implementation of capacity-building initiatives for women in sustainable forestry practices, and the integration of gender considerations into REDD+ monitoring and evaluation frameworks. By prioritizing gender equality and women's empowerment within its REDD+ strategy, Costa Rica is advancing towards more inclusive and effective forest conservation and climate change mitigation efforts.[88,89]

Peru

Overview of gender equality and gender gaps in the country

Peru is a country in South America that is covered in part by the Amazon rainforest. The country has a population of 34.4 million people, 25% of whom are in the age group 10-24 years and the average fertility rate is 2.1 per woman.[90]

Peru has a Gender Development Index of 0.950 and the country is classified with “Group 2” countries that have medium equality in HDI achievements between women and men (i.e. absolute deviation between 2.5 percent and 5 percent). The country’s mean years of schooling for girls is lower than that of boys, which is 9.3 years compared to 10.5 years for boys. Average earnings of women is also much lower than that of men, 9,813 $ compared to 14,727 $ per capita for men. On the Gender Inequality Index, which measures disparities between men and women in economic opportunities, reproductive health, and empowerment, Peru is ranked 90 with an inequality ratio of 0.380.

Indicator	Result	Source and date
Life expectancy at birth	74.7	UNDP (2022) Gender Development Index

[86] Wood, J. (2019, June 13). *Costa Rica as doubled its tropical rainforests in just a few decades. Here’s how.* World Economic Forum. https://www.weforum.org/agenda/2019/06/costa-rica-has-doubled-its-tropical-rainforests-in-just-a-few-decades-here-s-how/

[87] Monbiot, G. (2023, April 21). *Costa Rica restored its ravaged land to health: The rich UK has no excuse for such complete failure*. The Guardian. https://www.theguardian.com/commentisfree/2023/apr/21/costa-rica-uk-land

[88] World Bank, & REDD+ Costa Rica. (2019). *Costa Rica: Gender action plan.* REDD+ UNFCCC. Retrieved March 24, 2024 https://redd.unfccc.int/uploads/4863_6_wb-gap-eng-web.pdf

[89] World Bank (2019). *Gender and forest maps: Promoting women’s participation in sustainable productive landscapes in Costa Rica*. World Bank. Retrieved March 25, 2024 https://www.forestcarbonpartnership.org/sites/fcp/files/documents/gender/costa-rica/fact-sheets/Gender%20and%20Forest%20Maps_Eng.pdf

[90] World Population Dashboard. (n.d.-f). United Nations Population Fund. https://www.unfpa.org/data/world-population-dashboard

Maternal mortality ratio	88	UNDP (2023) Gender Inequality Index
Literacy rate (female aged 15 and above)	92%	World Bank, 2020
Women's Labour Force Participation Rate (age 15 to 64)	70%	World Bank, 2022
Mean years of schooling [91]	9.3	UNDP (2022) Gender Development Index
Estimated gross income per capita	9,813 (PPP $)	UNDP (2022) Gender Development Index

Legal status of women

Peru has ratified all major UN conventions to solidify their commitment to gender equality, including the Convention on the Elimination of all Forms of Discrimination against Women (CEDAW) and its Protocol in 1982 adopting measures to mitigate discrimination against women. The country also recognises the rights of indigenous women and has ratified the UN Declaration on Indigenous Women adopted in 2012. Regionally, in 1996, the country also approved The Inter-American Convention to Prevent, Sanction and Eradicate Violence against Women - Convención Belém Do Pará, and internationally Peru has adopted the Beijing Declaration and Platform for at the Fourth World Conference on Women in 1995, to facilitate gender equality and women's empowerment in the country.[92]

Peru's Constitution includes several articles that guarantee equal rights to women, affirming the country's commitment to gender equality and women's empowerment. Among these provisions are Article 2, which establishes the principle of equality before the law and prohibits discrimination based on gender or any other factor. Furthermore, Article 4 ensures the protection of women's rights in marriage. Article 191, mandates that a minimum percentage representation of women, rural and indigenous communities, and aboriginal peoples in regional councils and municipal councils is determined. These constitutional guarantees form the basis for advancing gender equality and ensuring the full participation of women in all aspects of Peruvian society.[93] Peru is one of the few countries in the LAC region which has a high score on World Bank's Women, Business and Law Index, scoring 95 out of 100. The legal framework in the country scores a perfect 100 on all fronts except marriage (women not having the same rights to remarry as men) and parenthood (due to a lack of mandated parental leave policy).[94]

Peru also has a National Plan on Gender Equality 2012-2017 aimed to address gender disparities and promote women's rights across various sectors. Its objectives included enhancing women's economic empowerment through access to education, employment, and entrepreneurship opportunities. Additionally, the plan aims to prevent and eradicate gender-based violence, promote women's

[91]Average number of years of education received by people ages 25 and older, converted from educational attainment levels using official durations of each level.

[92] International Bank for Reconstruction and Development / The World Bank. (2018). GENDER GAPS IN PERU AN OVERVIEW. https://documents1.worldbank.org/curated/en/256681558607242941/pdf/Gender-Gaps-in-Peru-An-Overview.pdf

[93]Peru 1993 (rev. 2021) Constitution - Constitute. (n.d.). https://www.constituteproject.org/constitution/Peru_2021

[94] World Bank. (2022c). Women, Business and the Law 2022: Peru. https://wbl.worldbank.org/content/dam/documents/wbl/2022/snapshots/Peru.pdf

participation in decision-making processes, and ensure access to comprehensive healthcare services for women and girls. Furthermore, it aimed to strengthen institutional mechanisms for gender mainstreaming and monitor progress towards gender equality.[95] The country also has a National Plan against Gender Violence for 2016–2021, with provisions for financing or capacity building of authorities towards prevention, redressal and punishment in cases of violence against women.[96] The Ministry of Women and Vulnerable Populations in the country is also in the process of mainstreaming gender across public institutions at all levels of governance, in their policies, and programs. As of 2019, 25 Commissions for Gender Equality have been created in each regional government in the country.[97]

Socio-cultural context and political participation

Women in Peru face a double burden of work where traditionally defined roles of women as caregivers is reinforced leading to pervasive gender inequalities. Further, indigenous women in the country are the most marginalised.[98] Migrant population of Venezuelan women in the country are also particularly vulnerable to being forced into transactional sex work, along with other forms of abuse and exploitation.[99] Violence against women is pervasive in the country, and peru has a reputation of having one of latin america's highest rates of violence against women, with 6 or 7 of 10 women suffering violence at some point in their lives, and women's agency is quashed through force, which is further perpetuated by women on their boys and girls.[100] Violence is so internalized in the country, that 59% of the population show tolerance towards violence against women.[101] Child marriage is a concern that the country's government is paying keen attention to, as 14% of the women have been married before age 18. The government has passed an amendment to the country's marriage law to prohibit and eliminate early marriage before the age of 18, which was earlier allowed through judicial consent.[102, 103]

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[95] Ministerio de la Mujer y Poblaciones Vulnerables. (2012). PLAN NACIONAL DE IGUALDAD DE GÉNERO [Report]. https://www.mimp.gob.pe/files/direcciones/dgignd/banner/planig_2012_2017.pdf

[96] Peru: National Plan on Gender-Based Violence 2016-2021 approved. (2016, September 1). The Library of Congress. https://www.loc.gov/item/global-legal-monitor/2016-09-01/peru-national-plan-on-gender-based-violence-2016-2021-approved/#:~:text=The%20Plan%20includes%20education%20and,to%20support%20the%20victims%20and

[97] Ministry of Women and Vulnerable Populations (MIMP). (2019). GENDER GAPS AND NEEDS IN PERU, 2019. https://www.usaid.gov/sites/default/files/2022-05/info_genero_EN_v2_rev_YS.pdf

[98] International Bank for Reconstruction and Development / The World Bank. (2018b). GENDER GAPS IN PERU AN OVERVIEW. https://documents1.worldbank.org/curated/en/256681558607242941/pdf/Gender-Gaps-in-Peru-An-Overview.pdf

[99] An unequal emergency: CARE Rapid Gender Analysis of the refugee and migrant Crisis in Colombia, Ecuador, Peru and Venezuela - Colombia. (2020, June 25). ReliefWeb. https://reliefweb.int/report/colombia/unequal-emergency-care-rapid-gender-analysis-refugee-and-migrant-crisis-colombia

[100] EnCompass LLC. (2020). GENDER ANALYSIS: PERU, 2019. https://pdf.usaid.gov/pdf_docs/PA00X36X.pdf

[101] De Orbegoso, G. G., Calderon, R. M., Haaker, J. R., & Levano, L. (2024, March 16). Strategies from Peru to prevent and address gender-based violence. Strategies from Peru to prevent and address gender-based violence. https://blogs.worldbank.org/en/latinamerica/strategies-peru-prevent-address-gender-based-violence

[102] Peru. (2022, June 20). Girls Not Brides. https://www.girlsnotbrides.org/learning-resources/child-marriage-atlas/regions-and-countries/peru/

[103] Young lives. (n.d.). https://www.younglives.org.uk/node?page=0%2C2%2C0%2C4

The country has a Quotas Act of 2000 (Act 27387) which stipulates that 30% candidates for Congress must be women.[104] Currently there are 38.8% women in parliament compared to 61.2% men. However when it comes to women in ministerial positions, women are at par with men in the country with 47% women and 53% men.[105] Between 2016-2021, 37 women were elected as congresswomen i.e. 28.5% of the total and at the provincial level 3.6% majors elected were women. [106] One of the key barriers impeding women's political participation, harassment and violence faced by them, and has now been classified as a form of violence in the National Plan against Gender Violence for 2016–2021.[107]

Women's health

Peru has shown significant and quick progress when it comes to improvement of maternal health services to women, and maternal mortality rates have dropped significantly. 94% births in 2016 were attended by skilled birth assistants compared to just 60% in 2000. However, abortion is still a crime in the country and is only allowed for therapeutic reasons up to 22 weeks, which is restricting women's agency in a country where in 2021, 52.6% women reported that their pregnancies were unwanted at the time of conception (in the past 5 years). [108,109]

Women's education

The literacy rate for women in Peru is 92% which is high in the region.[110] However, a higher proportion of young women aged 15 to 29 years were neither in school nor working, compared to men (23.4% compared to 11.5 %).[111] Further, the gender gap is apparent in high school education with 42.9% of men aged 25 and above having attended high school compared to 34.7% of women.[112] The most common barriers to women's education are the lack of finances available for them to continue education and the need to support their family (which 40.4% of women stated) followed by the need for

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[104] EnCompass LLC. (2020b). Gender Analysis: PERU, 2019. https://pdf.usaid.gov/pdf_docs/PA00X36X.pdf

[105] World Economic Forum. (2023). Global Gender Gap Report 2023. https://www3.weforum.org/docs/WEF_GGGR_2023.pdf

[106] Ministry of Women and Vulnerable Populations (MIMP). (2019b). Gender Gaps and Needs in PERU, 2019. https://www.usaid.gov/sites/default/files/2022-05/info_genero_EN_v2_rev_YS.pdf

[107] International Bank for Reconstruction and Development / The World Bank. (2018c). Gender Gaps in PERU an Overview. https://documents1.worldbank.org/curated/en/256681558607242941/pdf/Gender-Gaps-in-Peru-An-Overview.pdf

[108] International Bank for Reconstruction and Development / The World Bank. (2018d). Gender Gaps in PERU an Overview. https://documents1.worldbank.org/curated/en/256681558607242941/pdf/Gender-Gaps-in-Peru-An-Overview.pdf

[109] Yes to the right to decide. (2023, May 4). UNFPA Perú. https://peru.unfpa.org/en/topics/yes-right-decide

[110] World Bank Open Data. (n.d.-g). World Bank Open Data. https://data.worldbank.org/indicator/SE.ADT.LITR.FE.ZS?locations=PE

[111] EnCompass LLC. (2020c). Gender Analysis: PERU, 2019. https://pdf.usaid.gov/pdf_docs/PA00X36X.pdf

[112] Ministry of Women and Vulnerable Populations (MIMP). (2019c). Gender Gaps and Needs in PERU, 2019. https://www.usaid.gov/sites/default/files/2022-05/info_genero_EN_v2_rev_YS.pdf

them to contribute to the domestic sphere through entering marital unions, having children or rearing them.[113]

The country has achieved gender parity when it comes to women graduating from STEM courses like ICT, where women represent 49.6% graduates, and Engineering with 47.5% graduates being women.[114] In Peru, efforts are underway to increase women's participation in STEM fields. Initiatives such as the "New Codes, New Paths" program aim to empower adolescent girls, including indigenous girls, by providing training in web programming and other STEM skills. Additionally, projects supported by organizations like the International Development Research Centre (IDRC) focus on promoting indigenous women's engagement in science, technology, engineering, and mathematics (STEM), fostering their inclusion and contribution to Peru's development in these critical sectors. These efforts underscore a growing recognition of the importance of gender diversity and equity in STEM fields in Peru, aiming to create more opportunities for women and girls to pursue careers in these areas.[115,116]

Women's economic participation and agricultural work

Women's labour force participation in the country stands at 70%.[117] However there is a huge gender gap in wages with women earning 27.5% less than men (in 2018).[118] Further, women in the country struggle to enter traditionally masculine roles in the private sector, with only 35.37% legislators, senior officials and managers being women.[119] Further, while the rate of women graduating from STEM courses is high, as explored in the section above, only 8 % of programmers in the country are women.[120] Peru has a conducive regulatory environment for women entrepreneurs, only after Chile in the LAC region, making up 40% of all formal entrepreneurs, however women entrepreneurs have lower levels of education than men, and earn much less than men-owned enterprises. [121,122]

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[113]EnCompass LLC. (2020d). Gender Analysis: PERU, 2019. https://pdf.usaid.gov/pdf_docs/PA00X36X.pdf

[114] UNESCO. (2021). UNESCO Science Report: The Race Against Time for Smarter Development (S. Schneegans, T. Straza, & J. Lewis, Eds.). ISBN 978-92-3-100450-6. https://unesdoc.unesco.org/ark:/48223/pf0000377433

[115] New codes. The path of a Peruvian adolescent girl to a more secure economic future. (n.d.). UNICEF. https://www.unicef.org/peru/en/blog/new-codes-path-peruvian-adolescent-girl-web-programming-more-secure-future

[116] Supporting Indigenous women in science, technology, engineering and mathematics in Peru. (2022, November 30). IDRC - International Development Research Centre. https://idrc-crdi.ca/en/project/supporting-indigenous-women-science-technology-engineering-and-mathematics-peru

[117] World Bank Open Data. (n.d.-h). World Bank Open Data. https://data.worldbank.org/indicator/SL.TLF.ACTI.FE.ZS?locations=PE

[118] Ministry of Women and Vulnerable Populations (MIMP). (2019d). Gender Gaps and Needs in PERU, 2019. https://www.usaid.gov/sites/default/files/2022-05/info_genero_EN_v2_rev_YS.pdf

[119] World Economic Forum. (2023). Global Gender Gap Report 2023. https://www3.weforum.org/docs/WEF_GGGR_2023.pdf

[120] New codes. The path of a Peruvian adolescent girl to a more secure economic future. (n.d.-b). UNICEF. https://www.unicef.org/peru/en/blog/new-codes-path-peruvian-adolescent-girl-web-programming-more-secure-future

[121] Ministry of Women and Vulnerable Populations (MIMP). (2019e). Gender Gaps and Needs in PERU, 2019. https://www.usaid.gov/sites/default/files/2022-05/info_genero_EN_v2_rev_YS.pdf

[122] International Bank for Reconstruction and Development / The World Bank. (2018e). Gender Gaps in PERU an Overview. https://documents1.worldbank.org/curated/en/256681558607242941/pdf/Gender-Gaps-in-Peru-An-Overview.pdf

Women in Peru are concentrated in the cocoa and coffee value chain, where they undertake tasks like harvesting, fertilizing, grafting, weeding, pruning and pulping cocoa fruits. Further, since these activities are considered less strenuous, women also simultaneously work in other crop value chains like rice, palm, and fruits, placing a heavy burden on them.[123] On the other hand, men undertake more commercially oriented tasks in these value chains, conducting sales and marketing.[124]

Across indigenous communities, women conduct activities in family or community gardens, they also raise livestock, engage in agroforestry, and non timber forest products while men do hunting, clear land for agriculture, and do logging for the commercial market. [125]

Land Degradation and Gender

Close to 57% of land in Peru is indigenous and community land.[126] Peat swamps in the country are also being degraded.[127] Land degradation in Peru is driven by various factors, including illegal mining, unsustainable extraction of natural resources, and the concentration of land in private hands. Illegal mining activities, particularly in the Amazon rainforest and Andean regions, lead to deforestation, soil erosion, and water contamination, exacerbating land degradation. Unsustainable extraction of timber, minerals, and other resources contributes to habitat destruction and ecosystem degradation, further deteriorating land quality. Additionally, the concentration of land in the hands of large landowners and corporations limits access to land for small-scale farmers and indigenous communities, leading to land tenure insecurity and marginalization. These factors, combined with inadequate land governance and weak enforcement of environmental regulations, contribute to widespread land degradation in Peru, posing significant challenges for sustainable development and the well-being of local communities. Deforestation and land degradation can have grave impact on women in these communities. Community led movements in the country led to the passing of a 2019 law, which mandates 30% representation of women in peasant communities.[128, 129]

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[123] EnCompass LLC. (2020e). Gender Analysis: PERU, 2019. https://pdf.usaid.gov/pdf_docs/PA00X36X.pdf

[124]Gumucio, Tatiana; Yore, Hannah; Mello, Denyse; Loucel, Claudia. (2016). Coffee and cocoa value chains: Gender dynamics in Peru and Nicaragua. International Center for Tropical Agriculture (CIAT). 21 p. https://cgspace.cgiar.org/items/14f6b84e-6c46-427f-8e95-86f4976fcda8

[125] EnCompass LLC. (2020f). Gender Analysis: PERU, 2019. https://pdf.usaid.gov/pdf_docs/PA00X36X.pdf

[126] Peru - Context and Land Governance | Land Portal. (2022b, August 11). Land Portal. https://landportal.org/book/narratives/2022/peru

[127] Olsson, L., Barbosa, H., Bhadwal, S., Cowie, A., Delusca, K., Flores-Renteria, D., Hermans, K., Jobbagy, E., Kurz, W., Li, D., Sonwa, D. J., Stringer, L., Timothy Crews, Martin Dallimer, Joris Eekhout, Karlheinz Erb, Eamon Haughey, Richard Houghton, Muhammad Mohsin Iqbal, . . . Katharine Vincent. (2019b). Land degradation. In J. M. Moreno & C. Vera (Eds.), Climate Change and Land: an IPCC special report on climate change, desertification, land degradation, sustainable land management, food security, and greenhouse gas fluxes in terrestrial ecosystems (pp. 345–405). https://www.ipcc.ch/site/assets/uploads/sites/4/2022/11/SRCCL_Chapter_4.pdf

[128] Peru - Context and Land Governance | Land Portal. (2022c, August 11). Land Portal. https://landportal.org/book/narratives/2022/peru

[129] Shadrack, N., Chakma, T., Oxfam, Burgos, S., Castellanos, P., Codispoti, B., Wickramaratne, P., Oviedo, C., Noriega, N., & Taneja, A. (2023). Grounding Women's Land Rights: Towards equity and climate justice. In Oxfam Briefing Paper [Policy paper]. Oxfam International. https://doi.org/10.21201/2023.621543 https://www.wocan.org/wp-content/uploads/2023/10/bp-grounding-womens-land-rights-200923-en.pdf

Peru has programs such as the Reforestation of Devastated Land in the Highlands of Peru, that aims to restore degraded landscapes through tree planting and agroforestry activities where women play a role in tree planting campaigns, nursery management, and community-based conservation efforts.[130]

South East Asia

Philippines

Overview of gender equality and gender gaps in the country

The Philippines is an archipelagic country in Southeast Asia, in the western Pacific Ocean, composed of over 7000 islands, of which approximately 2000 are inhabited.[131] The total population of 117.3 million people, 28% of whom are in the age group 10-24 years. The fertility rate in the country has declined by almost half since the 1990s, currently standing at 2.7 per woman.[132,133]

The Philippines has a Gender Development Index of 0.990 and the country is classified with "Group 1" countries which means the country has high equality in HDI achievements between women and men (absolute deviation less than 2.5 percent). The country's mean years of schooling for girls is higher than that of boys, at 9.2 years compared to 8.7 years for boys. However, the average earnings of women is significantly lower than that of men, 7,487 $ compared to 10,311 $ per capita for men. On the Gender Inequality Index, which measures disparities between men and women in economic opportunities, reproductive health, and empowerment, the Philippines is ranked 101 with an inequality ratio of 0.419.

Indicator	Result	Source and date
Life expectancy at birth	71.5	UNDP (2022) Gender Development Index
Maternal mortality ratio	121	UNDP (2023) Gender Inequality Index
Literacy rate (female aged 15 and above)	97%	World Bank, 2019
Women's Labour Force Participation Rate (age 15 to 64)	48%	World Bank, 2022

[130] United Nations Framework Convention on Climate Change. Reforestation of Devastated Land in the Highlands of Peru. Retrieved from https://unfccc.int/climate-action/momentum-for-change/activity-database/reforestation-of-devastated-land-in-the-highlands-of-peru

[131] Food and Agriculture Organization of the United Nations. (2022c). National gender profile of agriculture and rural livelihoods. In Country Gender Assessment Series (Second revision). Manila, FAO. https://www.fao.org/3/ca1345en/ca1345en.pdf

[132] World Population Dashboard. (n.d.-g). United Nations Population Fund. https://www.unfpa.org/data/world-population-dashboard

[133] World Bank Open Data. (n.d.-i). World Bank Open Data. https://data.worldbank.org/indicator/SP.DYN.TFRT.IN?locations=PH

Mean years of schooling [134]	9.2	UNDP (2022) Gender Development Index
Estimated gross income per capita	7,487 (PPP $)	UNDP (2022) Gender Development Index

Legal status of women

The Philippines has signed onto key UN conventions related to gender equality, including the Convention on the Elimination of all Forms of Discrimination against Women (CEDAW) in 1981 and its Optional Protocol in 2003 and the Convention on Rights of the Child.[135] The country is also a signatory to the Beijing Platform for Action, the Program of Action of the International Conference on Population and Development, the International Covenant on Economic, Social and Cultural Rights.[136] Further, the Philippine Constitution contains several articles and provisions that protect the rights of women. Article II, Section 14 emphasizes the fundamental equality of women and men in laws and society. Article XIII, Section 14 mandates the state to address the needs of women, particularly those in marginalized sectors, ensuring their participation in development processes and promoting equality in the workplace. Article XIII, Section 17 underscores the protection of women's rights in the workplace, including equal employment opportunities and benefits, and special assistance for women during pregnancy. Article XVI, Section 14 promotes gender equality in political participation, encouraging the state to ensure women's representation in decision-making positions.[137,138] Philippines also has a Gender Equality and Women's Empowerment (GEWE) Plan (2019-2025) with the objectives to promote gender-responsive governance, ensure gender-responsive legislation and policy which address gender-based discrimination and violence, advance women's economic empowerment through access to decent work, entrepreneurship, and livelihood programs, as well as promoting equal pay for equal work, enhance women's participation in decision-making processes and leadership positions across various sectors, including politics, business, and civil society and improve gender-responsive social protection and services focussing on enhancing access to quality social services, including healthcare, education, and social welfare, with a particular emphasis on addressing the needs of marginalized and vulnerable women and strengthen gender research through collection of gender-disaggregated data to inform evidence-based policymaking.[139] The country has a comprehensive legislation aimed at promoting gender equality, The Magna Carta of Women (MCW). Enacted as Republic Act 9710, it outlines provisions to address discrimination against women and ensure their rights across various sectors, including education, employment, health, and political participation. The MCW emphasizes the protection and promotion of women's rights, particularly those belonging to marginalized sectors of society. It mandates the government to take proactive measures to eliminate gender-based discrimination and violence against women, while also promoting their economic empowerment and

[134] Average number of years of education received by people ages 25 and older, converted from educational attainment levels using official durations of each level.

[135] Office of the United Nations High Commissioner for Human Rights. TreatyBodyExternal - Treaty. https://tbinternet.ohchr.org/_layouts/15/TreatyBodyExternal/Treaty.aspx?CountryID=112&Lang=EN

[136] Paradox and promise in the Philippines. (2008). Asian Development Bank, Canadian International Development Agency, European Commission, National Commission on the Role of Filipino Women, United Nations Children's Fund, United Nations Development Fund for Women, United Nations Population Fund. https://www.adb.org/sites/default/files/institutional-document/32239/cga-phi-2008.pdf

[137] Philippines. (n.d.). https://constitutions.unwomen.org/en/countries/asia/philippines

[138] Philippine Commission on Women. (2020, April 29). Summary of articles and provisions - Philippine Commission on Women. https://pcw.gov.ph/summary-of-articles-and-provisions/

[139] Philippine Commission on Women. (2022, July 22). Gender Equality and Women Empowerment Plan - Philippine Commission on Women. https://pcw.gov.ph/gewe-plan/

social welfare. Overall, the Magna Carta of Women serves as a pivotal legal framework in advancing gender equality and protecting the rights of women in the Philippines.[140]

Philippines scores 78.8 on the Women, Business, and the Law (WBL) index. The country performs well in several areas, including laws prohibiting discrimination in employment based on gender, providing equal remuneration for work of equal value, scoring a perfect 100 in workplace related laws, and in entrepreneurship with women having the same rights as men to register businesses and sign contracts, however the country scores 60/100 in women's access and rights to assets. The country's laws related to marriage and parenthood also score lower (60/100) with women not having the same rights as men to divorce, or remarry, and the country not providing 100% paid maternity leave to women.[141]

Socio-cultural context and political participation

Patriarchal norms have traditionally constrained Filipino women's empowerment, perpetuating inequalities in various aspects of life such as education, employment, and decision-making. These norms often prioritize male dominance and control over resources, limiting women's opportunities for economic independence and social mobility. Feuds between families in Philippines (*rido*) however, have led to women taking on financial responsibility by seeking employment outside their homes, and working in the fields and engaging with markets, which has led to a shift in norms that traditionally restricted women to their homes. However this has led to women experiencing a double burden of work.[142]

Gender Based Violence is a grave issue in the Philippines. As per the latest (2022) National Demographic and Health Survey (NDHS) 17.5% of Filipino women aged 15-49 have experienced some type of physical, sexual, and emotional violence from intimate partners.[143]

The country has a huge gender gap in political participation with only 27.3% parliamentarians being women and 26.32% ministerial positions held by women.[144] While the constitution of the country recognises the importance of having women engage in nation building and guarantees equal rights to participate in public and political life, women face key barriers including limited access to resources, including financial support and campaign networks. Discriminatory practices within political parties, such as tokenism and exclusion from decision-making processes, also impede women's advancement in politics. Moreover, the prevalence of violence and harassment against women in political spheres deters many from entering or remaining active in the political arena.[145] The presence of women in

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[140] Philippine Commission on Women. (2023, November 23). FAQ: Republic Act 9710 or the Magna Carta of Women - Philippine Commission on Women. https://pcw.gov.ph/faq-republic-act-9710-the-magna-carta-of-women/#:~:text=The%20Magna%20Carta%20of%20Women%20(MCW)%20is%20a%20comprehensive%20women's,the%20marginalized%20sectors%20of%20society

[141] World Bank. (2022d). Women, Business and the Law 2022: Philippines. https://wbl.worldbank.org/content/dam/documents/wbl/2022/snapshots/Philippines.pdf

[142] Herrero, C. I., International Gender Unit – Action Against Hunger, & International Gender Unit – Action Against Hunger Canada. (2019). GENDER ANALYSIS REPORT: THE PHILIPPINES. In Action Against Hunger, Action Against Hunger. https://actionagainsthunger.ph/wp-content/uploads/2021/06/2019-Gender-Analysis-Philippines.pdf

[143] Philippine Commission on Women. (2023b, December 13). Violence against Women - Philippine Commission on Women. https://pcw.gov.ph/violence-against-women/

[144] World Economic Forum. (2023). Global Gender Gap Report 2023. Retrieved from https://www3.weforum.org/docs/WEF_GGGR_2023.pdf

[145] Philippines. (2021). Promoting women's political participation and representation in the Philippines: the case for gender quotas and temporary special measures. https://pcw.gov.ph/assets/files/2019/10/PCW-WPLA-PB-07-Womens-Political-Participation-and-Representation.pdf?x12251

electoral politics is also dynastic, with women representatives being members of political clans, which puts into question the nature of democratic representation in the country, with the risk of women being proxies for men in legacy political clans.[146] The country's Magna Carta of Women includes a quota for 40% of seats in local development councils and planning bodies to be filled by women, and provides for an incentive structure to be created to encourage political parties to integrate women in the electoral nomination process. [147]

Women's health

Maternal mortality ratio in the country is 121 per 100,000 live births.[148] The country is implementing a conditional cash transfer scheme for women, called the Pantawid Pamilya Pilipino Program, as part of which pregnant women receive cash transfers when they get complete prenatal care beginning in the first trimester of pregnancy, the birth is attended by a skilled health professional, they receive postnatal care and parents attend parent effectiveness service classes. This program has particularly been instrumental in achieving a reduction in stunting.[149,150] However women's access to quality health services is impeded in the country by inefficiencies in health care management, and lack of medical professionals, who are mostly concentrated in urban areas.[151] A few years ago the country launched the Universal Health Care Act, to enroll all Filipinos in the PhilHealth scheme under which each beneficiary is matched with a primary healthcare team, and includes access to reproductive health services, regardless of socioeconomic status.[152] As of 2023, 15% of women in unions or married women had an unmet need for family planning,[153] Contraception use among women in the Philippines has seen progress but is still hindered by various barriers. These barriers include limited access to modern

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146 Paradox and promise in the Philippines. (2008b). Asian Development Bank, Canadian International Development Agency, European Commission, National Commission on the Role of Filipino Women, United Nations Children's Fund, United Nations Development Fund for Women, United Nations Population Fund. https://www.adb.org/sites/default/files/institutional-document/32239/cga-phi-2008.pdf

147 Philippines. (2021b). Promoting women's political participation and representation in the Philippines: the case for gender quotas and temporary special measures. https://pcw.gov.ph/assets/files/2019/10/PCW-WPLA-PB-07-Womens-Political-Participation-and-Representation.pdf?x12251

148 United Nations Development Programme. (2021-22). HDR21-22 Statistical Annex GII Table [Excel spreadsheet]. https://hdr.undp.org/sites/default/files/2021-22_HDR/HDR21-22_Statistical_Annex_GII_Table.xlsx

149 World Bank Group. (2017). FAQs about the Pantawid Pamilyang Pilipino Program (4Ps). In World Bank. https://www.worldbank.org/en/country/philippines/brief/faqs-about-the-pantawid-pamilyang-pilipino-program

150 Kandpal, E., Alderman, H., Friedman, J., Filmer, D., Onishi, J., & Ávalos, J. O. (2016). A conditional cash transfer program in the Philippines reduces severe stunting. The Journal of Nutrition (Print), 146(9), 1793–1800. https://doi.org/10.3945/jn.116.233684 https://www.sciencedirect.com/science/article/pii/S0022316623007083#:~:text=The%20Pantawid%20program%20provides%20cash,use%20of%20maternal%20health%20services

151 Paradox and promise in the Philippines. (2008c). Asian Development Bank, Canadian International Development Agency, European Commission, National Commission on the Role of Filipino Women, United Nations Children's Fund, United Nations Development Fund for Women, United Nations Population Fund. https://www.adb.org/sites/default/files/institutional-document/32239/cga-phi-2008.pdf

152 Philippines on track to further strengthen access to modern contraceptive methods. (2019, November 11). Family Planning 2030. https://www.fp2030.org/news/philippines-track-further-strengthen-access-modern-contraceptive-methods/

153 World Population Dashboard. (n.d.-h). United Nations Population Fund. https://www.unfpa.org/data/world-population-dashboard

contraceptive methods, particularly in rural and remote areas, due to factors such as lack of information, cultural and religious beliefs, and societal stigma surrounding contraception. Additionally, healthcare provider bias and misinformation contribute to the underutilization of family planning services.[154,155]

Women's education

When it comes to education, women in the Philippines are at par with men. The country has achieved gender parity in primary education, however the gap appears in secondary (with 94.18% enrolment rate for boys and 86.91% for girls) and tertiary (with 41.22% enrolment rate for boys and 30.18% for girls) education levels.[156] A lot more young women are out of school compared to young boys, i.e. 13.8% compared to 5.9 %, with the majority of young women stating marriage or family matters as the reason they were out of school.[157] The country has a Gender-Responsive Basic Education Policy that outlines commitment to fostering gender equality in education by ensuring equal access to learning opportunities, fair treatment, and equitable outcomes for girls and boys. It aims to protect children from gender-based violence, discrimination, and bullying in schools, address gender-based barriers, reduce gender gaps, and involve all stakeholders in promoting gender equality through curriculum, teaching methodologies, and support services to empower and transform gender relations.[158]

Higher education is also highly gendered in the country, with women opting for courses which are considered suitable for them and in line with their 'stereotypical' role as nurturers. Women make up only 24.5% of graduates from engineering courses in the country, while in health and welfare related courses women make up 71.9% of the graduates.[159] Societal stereotypes and biases, lack of female role models and mentors in STEM fields, limited access to resources and opportunities, and gender-based discrimination in academic and professional settings, contribute to the underrepresentation of women in STEM disciplines.[160]

Women's economic participation and agricultural work

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155 Responding to unmet family planning needs | Innovations in Healthcare. (n.d.). https://www.innovationsinhealthcare.org/responding-to-unmet-family-planning-needs/

156 World Economic Forum. (2023). Global Gender Gap Report 2023. https://www3.weforum.org/docs/WEF_GGGR_2023.pdf

157 Food and Agriculture Organization of the United Nations. (2022d). National gender profile of agriculture and rural livelihoods. In Country Gender Assessment Series (Second revision). Manila, FAO. https://www.fao.org/3/ca1345en/ca1345en.pdf

158 Food and Agriculture Organization of the United Nations. (2022e). National gender profile of agriculture and rural livelihoods. In Country Gender Assessment Series (Second revision). Manila, FAO. https://www.fao.org/3/ca1345en/ca1345en.pdf

159 UNESCO. (2021). UNESCO Science Report: The Race Against Time for Smarter Development (S. Schneegans, T. Straza, & J. Lewis, Eds.). ISBN 978-92-3-100450-6. https://unesdoc.unesco.org/ark:/48223/pf0000377433

160 Philippine Business Coalition for Women Empowerment (PBCWE), Unilab Foundation's STEM+PH, & UP Center for Women's Studies Foundation. (2019). WOMEN IN STEM: A Baseline study. In Philippine Business Coalition for Women Empowerment (PBCWE) [Report]. https://pbcwe.com.ph/wp-content/uploads/2021/06/WOMEN-IN-STEM-2019_Final-Report.pdf

Only 48% of Fillipino women are in the labourforce, which is one of the lowest in the EAP region.[161, 162] Similar to gender stereotyping in education, in economically oriented activities, women majorly work in sectors that mirror their reproductive roles, for instance domestic work and health and education fields, while men work in construction, fishing, mining and quarrying.[163] Further, there is a huge gender gap in wages, with daily wage for men being 50% higher than that of women.[164] Labour migration is a pervasive issue in the Philippines, and migration of women to the Middle East and South East Asian countries for work as domestic workers leads to precarity of work among women, with no security net in foreign countries.[165] Women entrepreneurs in the country are concentrated in the MSME sector, with 66% of MSMEs being women led. Women-led MSMEs make up 58.1% of manufacturing related enterprises, followed by service-oriented enterprises (56.0%) however only 44.4% agri enterprises are women-led.[166]

In the Philippines, agriculture serves as a significant source of employment, engaging around 11 million Filipinos, which accounts for 27 percent of the country's total employment as of 2016. Both men and women participate in the agricultural sector, with male agricultural workers constituting 33.2 percent of total male employment and female agricultural workers comprising 17.3 percent of total female employment in 2016. Women are involved in crucial roles in food production, including harvesting, processing, and marketing of agricultural products. Both genders contribute to various tasks such as preparing fishponds/cages, collecting fingerlings, feeding, monitoring, managing accounts, processing, marketing, and fostering business growth.[167] While the Magna Carta of Women has sought to address gender disparities in land ownership by promoting gender equality in property rights, gender gaps persist, with only 10% of all landowners being women.[168] This contributes to women's economic vulnerability and impacting decision-making power in agricultural activities. Addressing these gender

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[161] World Bank Open Data. (n.d.-j). World Bank Open Data. https://data.worldbank.org/indicator/SL.TLF.ACTI.FE.ZS?locations=PH

[162] Buchhave, H., & Belghith, N. B. H. (2024, March 16). Overcoming barriers to women's work in the Philippines. World Bank Blogs. https://blogs.worldbank.org/en/eastasiapacific/overcoming-barriers-womens-work-philippines

[163] Paradox and promise in the Philippines. (2008d). Asian Development Bank, Canadian International Development Agency, European Commission, National Commission on the Role of Filipino Women, United Nations Children's Fund, United Nations Development Fund for Women, United Nations Population Fund. https://www.adb.org/sites/default/files/institutional-document/32239/cga-phi-2008.pdf

[164] Buchhave, H., & Belghith, N. B. H. (2024b, March 16). Overcoming barriers to women's work in the Philippines. World Bank Blogs. https://blogs.worldbank.org/en/eastasiapacific/overcoming-barriers-womens-work-philippines

[165] Food and Agriculture Organization of the United Nations. (2022f). National gender profile of agriculture and rural livelihoods. In Country Gender Assessment Series (Second revision). Manila, FAO. https://www.fao.org/3/ca1345en/ca1345en.pdf

[166] ASIAN DEVELOPMENT BANK. (2023). Measuring Progress on Women's Financial Inclusion and entrepreneurship in the Philippines: Results from S Micro, Small, and Medium-Sized Enterprise Survey. In ADB Publications [Report]. https://www.adb.org/sites/default/files/publication/917111/women-financial-inclusion-entrepreneurship-philippines.pdf

[167] Food and Agriculture Organization of the United Nations. (2022g). National gender profile of agriculture and rural livelihoods. In Country Gender Assessment Series (Second revision). Manila, FAO. https://www.fao.org/3/ca1345en/ca1345en.pdf

[168] The Meek Shall not Inherit the Earth - Gender Equality and Access to Land | Asian Development Blog. (n.d.). https://blogs.adb.org/blog/meek-shall-not-inherit-earth-gender-equality-and-access-land#:~:text=In%20the%20Philippines%2C%20around%2010,%2D13%25%20of%20the%20total

disparities in land ownership and inheritance is crucial for achieving sustainable development and ensuring the empowerment of women in agriculture.

Land Degradation and Gender

Land degradation in the Philippines poses significant challenges, particularly for women. Land degradation threatens the livelihoods of many Filipino women who are heavily reliant on agriculture and natural resources for their income and sustenance. Women often bear the brunt of environmental degradation, facing increased workloads, reduced access to resources, and heightened vulnerability to climate-related risks.[169] The Philippines Biodiversity Strategic Action Plans (PBSAP) prioritizes gender as a fundamental crosscutting concern. The PBSAP 2015-2028, an updated plan aligning with the CBD Strategic Plan for Biodiversity 2011-2020 and the 20 Aichi Biodiversity Targets, comprehensively incorporates gender considerations into its program interventions, targets, and indicators. A corresponding Department Administrative Order No 2016-12 mandates the adoption of the PBSAP 2015-2028, assigning the Biodiversity Management Bureau (BMB) of the Department of Environment and Natural Resources (DENR) to coordinate its implementation and mainstreaming across various government entities, financial institutions, and educational institutions. Although the PBSAP vision does not explicitly mention gender equality, it emphasizes the importance of using sex-disaggregated data, which is considered the minimum standard for planning, implementing, monitoring, and evaluating all programs, projects, and activities outlined in the PBSAP document. Additionally, gender-specific indicators are incorporated into each program intervention where appropriate.[170]

Malaysia

Overview of gender equality and gender gaps in the country

Malaysia is a country in Southeast Asia with a total population of 34.3 million people, 23% of whom are in the age group 10-24 years. The fertility rate in the country has steadily declined significantly since the 1990s and is currently 1.8 per woman.[171,172]

Malaysia has a Gender Development Index of 0.982 and the country is classified with “Group 1” countries which means the country has high equality in HDI achievements between women and men (absolute deviation less than 2.5 percent). While the mean years of education for women and men are close to par, the deviation is driven by gender disparity in earnings, with the average earnings of women being 20,672 $ compared to 32,380 $ per capita for men. On the Gender Inequality Index, which measures disparities between men and women in economic opportunities, reproductive health, and

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[169] Ganz, D., Gurung, J. D., & Kono, A. (2014). Women’s Inclusion in REDD+ in The Philippines: Lessons from Good Practices in Forest and Other Natural Resources Management Sectors. https://redd.unfccc.int/uploads/2234_1_philippines_gender_and_redd_report_sm.pdf

[170] ASEAN Centre for Biodiversity, Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) GmbH, & German Federal Ministry for Economic Cooperation and Development. (n.d.). Gender assessment for biodiversity conservation in the ASEAN: the case of selected protected areas in Lao PDR, the Philippines, and Singapore. In In cooperation with, Gender Assessment For Biodiversity Conservation in the ASEAN: The Case of Selected Protected Areas in Lao PDR, the Philippines, and Singapore. https://snrd-asia.org/wp-content/uploads/2020/11/2017_ISB_Gender-Assessment_lr.pdf

[171]World Population Dashboard. United Nations Population Fund. https://www.unfpa.org/data/world-population-dashboard

[172]World Bank Open Data. (n.d.-b). World Bank Open Data. https://data.worldbank.org/indicator/SP.DYN.TFRT.IN?locations=MY

empowerment, Malaysia is ranked 57 with an inequality ratio of 0.228.

Indicator	Result	Source and date
Life expectancy at birth	77.4	UNDP (2022) Gender Development Index
Maternal mortality ratio	29	UNDP (2023) Gender Inequality Index
Literacy rate (female aged 15 and above)	96.3%	Dept. of Statistics Malaysia, 2017
Women's Labour Force Participation Rate (age 15 to 64)	56%	World Bank, 2022
Mean years of schooling [173]	8.2	UNDP (2022) Gender Development Index
Estimated gross income per capita	7,906 (PPP $)	UNDP (2022) Gender Development Index

Legal status of women

Malaysia has ratified the UN Convention on the Elimination of All Forms of Discrimination against Women in 1995 however not its optional protocol.[174] Demonstrating its commitment to reducing the gender wage gap, the country also ratified the Convention 100 and the Minimum Wage Fixing Convention 1970 (No.131) of International Labour Organization (ILO) in 1997 which relates to equal remuneration for men and women.[175] Regionally, the country has also ratified the Beijing Platform for Action, Commonwealth Plan of Action on Gender and Development.[176] The Malaysian government has taken proactive measures to mainstream gender equality across ministries. This includes the establishment of gender focal points within ministries to ensure gender considerations are integrated into policies, programs, and initiatives. Additionally, the government has adopted various measures such as gender budgeting (with the Ministry of Women Family and Community Development producing the Manual on Gender Budgeting in Malaysia), gender impact assessments, and gender-responsive

[173] Average number of years of education received by people ages 25 and older, converted from educational attainment levels using official durations of each level.

[174] United Nations Human Rights treaty bodies. (n.d.). UN Treaty Bodies Database. https://tbinternet.ohchr.org/_layouts/15/TreatyBodyExternal/Treaty.aspx?CountryID=112&Lang=EN

[175] Ministry of Women, Family and Community Development. (2019). Beijing Declaration and Platform for Action Malaysia Progress Report 2014-2019. In Ministry of Women, Family and Community Development https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Malaysia.pdf

[176] Malaysia. (n.d.). Malaysia Questionnaire to Governments on Implementation of Beijing Platform of Action (1995) and The Outcome of the Twenty-third Special Session of the General Assembly (2000). In Part One: Overview of Achievements and Challenges in Promoting Gender Equality and Women's Empowerment. https://www.un.org/womenwatch/daw/Review/responses/MALAYSIA-English.pdf

planning to promote gender equality and women's empowerment across different sectors.[177,178] The country also has a National Women's Policy Plan of Action for Advancement of Women, however the policy details are unavailable. In its 12th Malaysia Plan, the country makes explicit references to gender mainstreaming in policy under strategy F3.[179]

Malaysia scores poorly on the World Bank's Women, Business, and the Law (WBL) index, i.e. 50/100. The country scores relatively well in areas related to women's economic empowerment such as Entrepreneurship and Pension related laws (75/100), with women having the right to sign contracts and register business the same way as men and retiring at the same age with full pension benefits. However the country scores a 0 on Parenthood related laws, and very poorly on marriage law (40/100) as women cannot obtain divorce the same way as men, and paid maternity leave benefits are not available to women.[180]

Socio-cultural context and political participation

Social norms in Malaysia often impose limitations on women. These norms include traditional gender roles that assign women primarily to domestic duties and caregiving responsibilities, while men are expected to be the primary breadwinners. Additionally, religious interpretations and conservative beliefs such as the requirement for women to wear a covered headdress (hijab) and the legal recognition of polygamous marriage, perpetuate gender inequality across various aspects of life, including education, employment, and political participation.[181, 182] Violence against women is a pervasive issue in Malaysia, incidence of which saw a 42% increase in 2021, from 5,260 to 7,468 cases as reported by the Ministry of Women Family and Community Development and growing online violence being faced by women

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[177] Ministry of Women, Family and Community Development, Malaysia. (2023). Replies of Malaysia to the List of Issues and Questions in Relation to Its Sixth Periodic Report (Report No.CEDAW/C/MYS/RQ/6). Retrieved from https://www.kpwkm.gov.my/kpwkm/uploads/files/Penerbitan/instrument_antarabangsa/Discrimation%20against%20women%20CEDAW/REPLIES%20OF%20MALAYSIA%20TO%20THE%20LIST%20OF%20ISSUES%20AND%20QUESTIONS%20IN%20RELATION%20TO%20ITS%20SIXTH%20PERIODIC%20REPORT.pdf

[178] Ministry of Women, Family and Community Development, Malaysia. (2005). Gender Budget Advocacy (ISBN 983-41432-5-7). Retrieved from https://www.kpwkm.gov.my/kpwkm/uploads/files/Muat%20Turun/Gender_Budget_Advocacy(1).pdf

[179] Twelfth Malaysia Plan, 2021-2025. (n.d.). https://rmke12.ekonomi.gov.my/en

[180] World Bank. (2022). Women, Business and the Law 2022: Malaysia. https://wbl.worldbank.org/content/dam/documents/wbl/2022/snapshots/Malaysia.pdf

[181] KRYSS Network, Malaysia, Centre for Independent Journalism (CIJ), & Women's Aid Organisation (WAO). (2021). Gender Justice and the Right to Freedom of Opinion and Expression (Malaysia). https://www.ohchr.org/sites/default/files/2021-11/KRYSS-Network-Malaysia.pdf

[182] Ministry of Women, Family and Community Development, Malaysia. (2023). Replies of Malaysia to the List of Issues and Questions in Relation to Its Sixth Periodic Report (Report No.CEDAW/C/MYS/RQ/6). Retrieved from https://www.kpwkm.gov.my/kpwkm/uploads/files/Penerbitan/instrument_antarabangsa/Discrimation%20against%20women%20CEDAW/REPLIES%20OF%20MALAYSIA%20TO%20THE%20LIST%20OF%20ISSUES%20AND%20QUESTIONS%20IN%20RELATION%20TO%20ITS%20SIXTH%20PERIODIC%20REPORT.pdf

and girls.[183,184] The Domestic Violence Act (DVA) of Malaysia, enacted in 1994, serves as a legislative framework to address domestic violence and protect survivors. The Act was later amended in 2017 to strengthen its provisions and enhance protection for survivors. The amendment expanded the definition of domestic violence to encompass physical, emotional, psychological, and economic abuse, ensuring a comprehensive approach to addressing different forms of violence within the home. Additionally, the amendment introduced measures to improve access to protection orders, support services, and legal remedies for survivors.[185,186]

There is a huge gender gap in political participation of women in the country, with women representing only 21.6% of parliamentarians and holding 20.69% of ministerial roles.[187] The government has launched programs like the Program Felo Wanita Muda (Young Women Fellowship Programme) and Felo Wanita Politik (Women in Politics Fellowship) to provide young women with exposure to public life as leaders and decision makers in politics. [188] In Malaysia, there are several quotas aimed at increasing women's representation in politics and decision-making positions. These include the 30% quota for women in local council appointments and the 30% quota for women in political party leadership positions, as stipulated by the Malaysian government. Despite this quota, women continue to face significant barriers to political participation including limited access to financial resources and campaign support, as well as discriminatory practices within political parties and electoral systems.[189] Further women parliamentarians face harassment and are subjected to derogatory remarks within parliament. [190]

[183] Devi, V. (2022, February 13). Domestic violence cases up by 42% last year, says Rina. The Star. https://www.thestar.com.my/news/nation/2022/02/13/domestic-violence-cases-up-by-42-last-year-says-rina

[184] KRYSS Network, Malaysia, Centre for Independent Journalism (CIJ), & Women's Aid Organisation (WAO). (2021b). Gender Justice and the Right to Freedom of Opinion and Expression (Malaysia). https://www.ohchr.org/sites/default/files/2021-11/KRYSS-Network-Malaysia.pdf

[185] Ministry of Women, Family and Community Development. (2019b). Beijing Declaration and Platform for Action Malaysia Progress Report 2014-2019. In Ministry of Women, Family and Community Development. https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Malaysia.pdf

[186] Malaysia. (n.d.-b). Malaysia Questionaire to Governments on Implementation of Beijing Platform of Action (1995) and the Outcome of the Twenty-third Special Session of the General Assembly (2000). In Part One: Overview of Achievements and Challenges in Promoting Gender Equality and Women's Empowerment. https://www.un.org/womenwatch/daw/Review/responses/MALAYSIA-English.pdf

[187] World Economic Forum. (2023). WEF Global Gender Gap Report 2023. Retrieved from https://www3.weforum.org/docs/WEF_GGGR_2023.pdf

[188] Ministry OF Women, Family and Community Development. (2019c). Beijing Declaration and Platform for Action Malaysia Progress Report 2014-2019. In Ministry of Women, Family and Community Development. https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Malaysia.pdf

[189] Devaraj, P. (2024, February 19). 30% quota for women: Are we there yet? Aliran. https://aliran.com/thinking-allowed-online/30-quota-for-women-are-we-there-yet

[190] KRYSS Network, Malaysia, Centre for Independent Journalism (CIJ), & Women's Aid Organisation (WAO). (2021c). Gender Justice and the Right to Freedom of Opinion and Expression (Malaysia). https://www.ohchr.org/sites/default/files/2021-11/KRYSS-Network-Malaysia.pdf

Women's health

The maternal mortality rate in Malaysia is 29 per 100,000 live births which is much lower than other ASEAN countries.[191,192] The country has a Family Health Programme which was launched in 1996 and free antenatal and postnatal services are provided at public facilities.[193,194] As per the latest National Health and Morbidity Survey in the country conducted in 2022, 98.4% of births in the country are attended by skilled birth assistants and 86.5% deliveries take place in public hospitals. Further, 98.1% of women had received at least 4 visits for pregnancy care. However, when it comes to unplanned pregnancies, a very high percentage i.e. 33% had unplanned pregnancies and 26.7% had an unmet need for family planning methods. Further, the use of modern contraception methods is very low, compared to all other ASEAN countries, with only 34.5% women using modern methods. [195] Reasons for this low usage include cultural taboos surrounding contraception, limited access to comprehensive reproductive health services, and religious beliefs influencing contraceptive decision-making.[196]

Women's education

Under Article 12(1) of the Constitution of Malaysia, girls and boys have equal rights to education. [197] Girls and boys in the country are almost at par in education enrolment, with 98.3% enrolment for boys and 97.29% for girls in primary schooling, 86.91% enrolment rate for boys and 82% for girls, however the gender gap seems to appear at tertiary levels, with 47.29% boys enrolled in tertiary levels compared to 35.84% girls.[198] While technical and vocational education and training (TVET) traditionally draws more male students, female enrolment in Polytechnics and Community Colleges is notable. Women constitute approximately 48% of total enrolment in Polytechnics and 44% in Community Colleges,

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[191] United Nations Development Programme. (2022). HDR21-22 Statistical Annex GII Table [Excel spreadsheet]. https://hdr.undp.org/sites/default/files/2021-22_HDR/HDR21-22_Statistical_Annex_GII_Table.xlsx

[192] Ministry of Women, Family and Community Development, Malaysia. (2005). Gender Budget Advocacy. Retrieved from https://www.kpwkm.gov.my/kpwkm/uploads/files/Muat%20Turun/Gender_Budget_Advocacy(1).pdf

[193] Malaysia. (n.d.-c). Malaysia Questionnaire to Governments on Implementation of Beijing Platform of Action (1995) and the Outcome of the Twenty-third Special Session of the General Assembly (2000). In Part One: Overview of Achievements and Challenges in Promoting Gender Equality and Women's Empowerment. https://www.un.org/womenwatch/daw/Review/responses/MALAYSIA-English.pdf

[194] Ministry of Women, Family and Community Development. (2019d). Beijing Declaration and Platform for Action Malaysia Progress Report 2014-2019. In Ministry of Women, Family and Community Development. https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Malaysia.pdf

[195] IKU (Institute for Health Systems Research). (2023). Infographic NHMS-MCH. https://iku.gov.my/images/nhms-2022/4a.-infographic_nhms-mch_english_19.05.2023.pdf?_t=1684481335

[196] Law, D. S., Tan, C., & Tong, S. F. (2019). Influences on the decision to use contraception among Sarawakian women with diabetes: a qualitative exploration. Sexual and Reproductive Health Matters, 27(1), 126–135. https://doi.org/10.1080/09688080.2019.1571316

[197] Ministry of Women, Family and Community Development. (2019e). Beijing Declaration and Platform for Action Malaysia Progress Report 2014-2019. In Ministry of Women, Family and Community Development. https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Malaysia.pdf

[198]World Economic Forum. (2023). WEF Global Gender Gap Report 2023. https://www3.weforum.org/docs/WEF_GGGR_2023.pdf

demonstrating a growing presence in these institutions alongside their male counterparts.[199] However when it comes to tertiary graduates, there is a gender divide in STEM fields, with only 27% of engineering graduates being women, while women dominate health and welfare fields, constituting 72.4% of graduates in that field.[200] The country has identified STEM education a critical driver for development and aims to mainstream gender in key policies concerning STEM education such as the National Policy on Science, Technology & Innovation, 2013-2020, as part of which Malaysia aims to train talent trained in STEM domestically, including maintaining the ratio of female researchers and the Malaysia Education Blueprint 2013-2025.[201]

Women's economic participation and agricultural work

Labor force participation rate in the country among women is 56%.[202] The rate of inactivity (state of being out of employment and education) among women is almost 2-3 times more than men, with 45.3% for women compared to 19.9% for men.[203] Malaysia has been struggling with a phenomenon of "leaking" talent among women, who quit the workforce after having their first child.[204] When it comes to distribution of labor force by sector, there is a clear gendered pattern. While men are more evenly distributed in sectors like service and sales work (18.7%), as plant and machine operators (12.1%), the majority of women are concentrated in service and sales work (30.2%), followed by professional roles (17.5%). This also reflects a positive trend, wherein more and more women are completing tertiary education compared to men, and taking up service roles which offer flexibility and better work-life balance to urban, educated women. [205,206] The Global Gender Gap data report also reflects a narrowing gender gap w.r.t employment in Professional and technical work, with 54% men compared to 45.97% women.[207]

In Malaysia, women play a significant role in both the agriculture sector and the agro-based industry. In agriculture, approximately 18% of farmers are women, actively involved in various cultivation tasks such

[199] Ministry of Women, Family and Community Development. (2019f). Beijing Declaration and Platform for Action Malaysia Progress Report 2014-2019. In Ministry of Women, Family and Community Development. https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Malaysia.pdf

[200] UNESCO. (2021). UNESCO Science Report: The Race Against Time for Smarter Development (S. Schneegans, T. Straza, & J. Lewis, Eds.). ISBN 978-92-3-100450-6. https://unesdoc.unesco.org/ark:/48223/pf0000377433

[201] UNESCO International Bureau of Education. (2016). Sharing Malaysian Experience in Participation of Girls in STEM Education (S. B. Ng, Ed.). (Document No. IBE/2016/WP/CD/03). 33 p. https://unesdoc.unesco.org/ark:/48223/pf0000244714

[202] World Bank Open Data. (n.d.-c). World Bank Open Data. https://data.worldbank.org/indicator/SL.TLF.ACTI.FE.ZS?locations=MY

[203] Administrator. (n.d.). 13. Inactivity - Institute for Labour Market Information and Analysis (ILMIA). https://www.ilmia.gov.my/index.php/en/dashboard-datamart/kilm/indicators/item/inactivity

[204] Ministry of Women, Family and Community Development, Malaysia. (2005). Gender Budget Advocacy. https://www.kpwkm.gov.my/kpwkm/uploads/files/Muat%20Turun/Gender_Budget_Advocacy(1).pdf

[205] Administrator. (n.d.-a). 5. Employment by Occupation - Institute for Labour Market Information and Analysis (ILMIA). https://www.ilmia.gov.my/index.php/en/dashboard-datamart/kilm/indicators/item/employment-by-occupation

[206] Administrator. (n.d.-a). 4. Employment by sector - Institute for Labour Market Information and Analysis (ILMIA). https://www.ilmia.gov.my/index.php/en/dashboard-datamart/kilm/indicators/item/employment-by-sector

[207] World Economic Forum. (2023). Global Gender Gap Report 2023. https://www3.weforum.org/docs/WEF_GGGR_2023.pdf

as fruit and vegetable clusters and Permanent Food Production Park projects. However, despite their substantial contribution, women in agriculture face challenges accessing productive resources, resulting in undervaluation of their work. In the agro-based industry, women's involvement is even more prominent, with 73% of entrepreneurs producing diverse agro-based products like snacks, frozen foods, and fruit-based products. To support women in this sector, the Malaysian government has introduced initiatives such as the Dananita financing program by the Council of Trust (MARA) and facilitated over 11,000 women entrepreneurs through the Ministry of Agriculture and Agro-based Industry. These initiatives aim to encourage women's participation in entrepreneurship and enhance their competitiveness by providing financial support and resources.[208,209] The Ministry of Agriculture and Food Security (MAFS) has prioritized talent development to promote inclusivity and gender equality for women in the agrofood sector through Policy Thrust 3 of the National Agrofood Policy 2021–2030 (NAP 2.0). NAP 2.0 aims to facilitate women's participation in the agrofood sector by providing training and knowledge transfer on essential skills needed for the industry.[210]

Land Degradation and Gender

In Malaysia, various forms of land degradation, including soil erosion, deforestation, and loss of biodiversity, have been observed. These environmental changes have gendered impacts, particularly on women and indigenous peoples. For women, who often play significant roles in agriculture and natural resource management, land degradation can lead to reduced agricultural productivity, loss of income, and increased workload due to the need for soil conservation measures. Indigenous communities, such as the Btsisi' (that are engaged in maritime-related activities) are particularly vulnerable to land degradation as they rely heavily on natural resources for their livelihoods. Deforestation and habitat destruction can disrupt their traditional way of life, affecting access to food, water, and cultural practices. Mitigation efforts in Malaysia aim to address these challenges by promoting sustainable land management practices and empowering women and indigenous communities to participate in conservation initiatives.[211,212]

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[208] Yee, S. S., & Man, N. (2023). Does Participation of Rural Women in Agriculture Associated with Sociodemographic Characteristics? Case of Ranau District in Malaysia. International Journal of Academic Research in Business & Social Sciences, 13(10). https://doi.org/10.6007/ijarbss/v13-i10/19006

[209] Ministry of Women, Family and Community Development. (2019g). Beijing Declaration and Platform for Action Malaysia Progress Report 2014-2019. In Ministry of Women, Family and Community Development. https://www.unwomen.org/sites/default/files/Headquarters/Attachments/Sections/CSW/64/National-reviews/Malaysia.pdf

[210] Ministry of Women, Family and Community Development, Malaysia. (2023). Replies of Malaysia to the List of Issues and Questions in Relation to Its Sixth Periodic Report. https://www.kpwkm.gov.my/kpwkm/uploads/files/Penerbitan/instrument_antarabangsa/Discrimation%20against%20women%20CEDAW/REPLIES%20OF%20MALAYSIA%20TO%20THE%20LIST%20OF%20ISSUES%20AND%20QUESTIONS%20IN%20RELATION%20TO%20ITS%20SIXTH%20PERIODIC%20REPORT.pdf

[211] Nowak, B. S. (2008). Environmental Degradation and its Gendered Impact on Coastal Livelihoods Options among Btsisi' Households of Peninsular Malaysia. Development (Rome), 51(2), 186–192. https://doi.org/10.1057/dev.2008.3

[212] Ahmed, I. A., & Teh, C. B. S. (2023). Mitigation of land degradation in Malaysia. In M. A. Zain (Ed.), Advances in Tropical Soil Science (Vol. 5, pp. 34-52). UPM Press. https://www.researchgate.net/publication/373426320_Mitigation_of_Land_Degradation_in_Malaysia

Gender and Social Inclusion Action Plan

IMPACT STATEMENT: IF the appropriate investment capital and technical assistance are provided to MSLF

2 staff and investees, THEN they will be able to engage women in their workforce and as beneficiaries in the supply chains contributing to women's economic empowerment and to socially-inclusive production models, BECAUSE companies will be adequately incentivized and capacitated to operate and to align with global gender equality commitments.

OUTPUT STATEMENT: Finance and technical assistance lead to increased capacity of MLSF2 investees to engage women beneficiaries, to hire and retain women employees, and create gender inclusive workplaces for women to thrive.

MSLF2 Gender Objectives:

- Reach women beneficiaries and involve women at all levels of the workforce and in value chains
- Ensure high ESG standards and compliance, including gender-related risk identification and mitigation
- Support investee companies to align with industry standards and influence portfolio to adopt gender inclusive business practices
- Align with 2X Challenge and reach 50% of the MLSF 2 portfolio to be 2X aligned
- Generate and disseminate knowledge about best practices for women's engagement in forestry, sustainable agriculture and land restoration activities across geographies

Activities	Indicators and targets	Timeline	Responsibilities
1. Gender consideration in MSLF2 investment decision-making			
1.1 Identify companies that are 2X Challenge compliant and support portfolio growth and MSLF2 portfolio alignment with 2X	# of companies that are 2X compliant at the end of the fund's life Target: 50% of the MSLF2 portfolio is 2X compliant at the end of the fund's life	Year 1-12	ESG Expert at Mirova
1.2 Develop investment-level gender assessment to inform GAP development and design of strategies to close gender gaps and mitigate gender-related risks within the context of the investment	# of gender assessments for the specific investment Target: 100% of investments have a gender assessment	Year 1-12	TA delivery partners and investee companies Reviewed by ESG Expert at Mirova
1.3 Require companies to develop a Gender Action Plan as part of ESAP	# of GAPs developed Target: 100% of investees develop a GAP	Year 1-12	TA delivery partners and investee companies Reviewed by ESG Expert at Mirova
1.4 Require companies to collect and report sex- disaggregated beneficiary data	# of investee report on disaggregated data # of women beneficiaries reached Target: 100% of investee report on disaggregated data	Year 1-12	Implemented by investee companies Reviewed by ESG Expert at Mirova

2. Offer pre- and post-investment gender Technical Assistance			
2.1 Support the development and implementation of gender inclusive business practices by offering gender TA support to investees to meet minimum requirements, including GBV and SEAH prevention mechanisms, and to implement their GAP	# of companies participating in TA activities Target: 40% of investees	Year 1-12	TA delivery partners and investee companies Reviewed by ESG Expert at Mirova
2.2 Provide job opportunities for women and increase diversity in the workforce across all levels of investee companies	# of jobs created for women Target: 35% of total jobs created, i.e. 3500 jobs created for women	Year 1-12	Implemented by investee companies Reviewed by ESG Expert at Mirova
3. Insights, data aggregation and knowledge dissemination			
3.1 Share lessons with ecosystem players, investors and companies based on an analysis of portfolio data on women's engagement and empowerment	# of knowledge products developed and shared (publications or webinars) Target: 2	Year 5-12	ESG Expert at Mirova

3.2 Establish inter-portfolio partnerships and convene ecosystem players in the sector (gender lens investors, women associations, industry aggregators etc.) to support coalitions and knowledge to scale up success	# of partnerships developed No target is established at this stage, progress will be tracked on a yearly basis	Year 2-12	ESG Expert at Mirova
3.4 Annual stakeholders engagement meetings or workshops with NDAs, civil society organizations, private institutions, and women's organizations at the country level	# of workshops/ meetings organised at the country level Target: 10	Year 1-12	ESG Expert at Mirova and TAF Staff